Home First Finan (HOMEFIRST)

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To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001.
Scrip Code- 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai- 400 051.
Scrip Symbol- HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2023

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2023 conducted on May 3, 2023 for your information and records. The Company referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company: www.homefirstindia.com

This is for your information and record.
For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

Home First Finance Company India Limited
Q4 & FY23 Earnings Conference Call
May 03, 202 3

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MANAGEMENT : MR. MANOJ VISWANATHAN , MD & CEO
MS. NUTAN GABA PATWARI , CFO
MR. MANISH KAYAL , HEAD - INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Home First Finance Company India Limited Q4 and FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr . Manish Kayal, Head, Investor Relations at Home First Finance. Thank you, and over to you, Mr. Manish Kayal.
Manish Kayal Thank you, Renju. Good afternoon, everyone. I hope that all of you and your families are safe

and healthy. I am Manish Kayal and I lo ok after Investor Relations of HomeFirst Finance. I extend a very warm welcome to all participants on our Q4 & full year FY23 financial results concall. As usual, HomeFirst management is represented by MD & CEO, Mr. Manoj Viswanathan and CFO Ms. Nutan Gaba Patwari. I hope everybody had an opportunity to go through our investor deck and press release uploaded on stock exchanges and on our website yesterday. We will start this call with an opening remark by Manoj and Nutan, and will then have a Q&A session. W ith this introduction, I handover the call to Manoj. Over to you Manoj.
Manoj Viswanathan: Thank you, Manish.
Good afternoon, everyone.
I am pleased to share that HomeFirst reached several notable milestones in FY23.
• We now take pride in having served 1,00,000 customers since inception with total housing loans disbursed in excess of 10,000 Cr.
• Our physical branch office distribution crossed 100 branches (111 branches as of 31 Mar, 2023) and disbursed more than Rs 3,00 0 Crs in this financial year demonstrating a growth of 48.4% over the previous year.
• This year saw the entry of International Finance Corporation (member of the World Bank Group) as a lending partner to the Company with the issue of NCDs aggregating to Rs 280 Cr.
• We also received our first ESG Rating score under “low risk” category from M orningstar’s Sustainalytics.
• Declaring our maiden annual dividend of Rs 2.6/share (10% Dividend Payout).
Moving on to FY23 Financial Performance
• Profit After Tax at INR 228 Crs saw a growth of 31.1% on y -o-y basis over Rs 174 Cr in the previous year. This translates to a Return on Assets of 3.90% an increase of 30 bps compared to last year. As a result, ROE improved sharply by 170 bps to 13.5% in FY23 over 11.8% in FY22. In Q4FY23 the Company delivered an ROE of 14.4% vs 12.5% for Q4FY22 .

• Strong financial results were achieved on the back of good disbursal momentum, AUM growth, portfolio quality and prudent management of cash and operating costs . AUM at INR 7,198 Crs, grew by 33.8% on y -o-y basis.
• Disbursal momentum continued into Q4FY23 with a disbursal of Rs 869 Cr a growth of 35.6% over Q4FY22 .
• Portfolio health remains strong with further improvement. Bounce rates improved to 13.6% in Q4FY23 from 14.9% in Q3 FY23 .
• 1+ DPD improved to 4.0% from 4.4% in Q3 and has dropped below Mar2020 i.e., pre-covid levels.
• 30+ DPD improved to 2.7% from 3.0% in Q3 .
• Gross Stage 3 (GNPA) as per latest RBI guidelines, improved by 20bps to 1.6% in Q4 from 1.8% in Q3. This includes Rs 421 mn which is currently in buckets less than 90DPD but included in NPA due to asset classification norms as per RBI notification dated 12 -Nov-2021 . Prior to such classification it is 0.9% and stands below Mar20 levels
We will now focus on some of the key drivers and metrics of the business and outlook for the current year:
Technolog y:
• During Q4FY23, digital adoption has further improved.
• Usage of the customer a

pp for various activities has increased. 93% of our customers are registered on our app as on Mar'23 compared to 91% in Dec'22.
• Unique User Logins have also seen increase to 57% in Q4 FY23 from 55% in Q3 FY23.
• 91% of our service requests were raised on app v/s 89% in Q3FY23.
• We continue to invest in technology and we have a number of projects lined up for the year that will enable us to widen our moats in origination, under writing and collections.
Distribution
• We added 9 branches in Q4 and a total of 31 branches in the entire year. We now have 111 physical branches. 65 touch points were added this year taking the total touchpoints to 265.
• Our FY23 disbursements in our core segment of Rs 5 -25 Lakhs ticket size are diversified with Top 50 districts of the industry contributing 72%, Next 50 districts of the industry contribute to 15% and the balance 13% from districts beyond the Top 100 distri cts of the industry. For reference, the Top 100 districts of the industry contribute to 62% of the disbursals in the Rs 5 -25 Lakhs ticket size segment.
• We continue to focus our expansion in the States of Gujarat, Maharashtra, AP, Telangana,

Karnataka and Tamil Nadu, supplemented by gradual and contiguous expansion in the other States where we are present. Expansion will span Tier 1, 2 and 3 levels of towns.
• We are targeting to reach 400 touch points by March 2025.

• We are targeting an AUM growth of 30%+ for FY24 to enable us to cross the 10,000 Cr AUM mark in the next 12 -18 months.
• We have a three -pronged approach to growth – cantered on expanding distribution, increasing market share and expanding the addressable m arket through co -lending

Margins

• FY23 full year spreads at 5.7% is an improvement from 5.6% of FY22. Q4FY23 spreads at 5.5% declined by 10bps on y -o-y basis.
• We have increased our rates by 50 bps from 1st April onwards, an overall increase of 125 bps sinc e July 2022 and this will stabilize spreads going forward.
• We are confident of maintaining spreads of 5.25% on our loan book in the medium term.

Asset Quality

• Asset quality is at pre -covid levels and we intend to maintain this with a bias towards gradual improvement. Our strategy is to achieve this by strengthening our data driven risk models and filters.
• The stability in input parameters post covid will enable us to accomplish this.

People

• We have always focused on building a high -quality team that is c apable of high productivity.
• We have invested in creating a campus recruitment program with a connect across 200+ engineering colleges and business schools in the country. Freshers are equipped with the right knowledge and skill sets through a 1 -year cont inuous training and testing process that will make them productive entry level employees.
• A majority of our Branch Managers and Cluster Managers are selected from amongst our existing employees and are trained on specific skills for the next role. This ye ar we have planned some new initiatives to further strengthen our hiring and training programs

With this, I would now like to handover the call to Nutan to take you through the Financials. Nutan over to you.

Nutan Patwari: Good afternoon, All

I will take you through our performance in Q4 FY23 .

Key highlights

Financials

I will like to start by mentioning that we have now crossed 14% ROE and reported Q4FY23 ROE of 14.4%.
• Our Q4 Net Interest Margin is robust at 6.1%. For full year, it stands at 6.4%, increase from 5.4% on better utilisation of balance sheet and PLR increase of 75 bps we have taken till Mar’23. I would also like to convey that we have taken another round of hike of 50bps from 1st Apr’23.
• Net Interest Income has gone up by 44.6% i n FY23 on YOY basis.
o For the quarter

, it increased by 30.6% on y -o-y basis to Rs 101 Crs.
• We did direct assignment of Rs 81 Crs during the quarter as a liquidity strategy (Rs 289 Crs for FY23). We continue to have a robust demand for our portfolio of ass ets.
• We executed Co -lending transaction of Rs 35 Crs in Q4 and Rs 89 Crs in FY23. Co -lending business is growing and expect this to contribute around 10% of disbursements in the near future.
• Opex to Assets stands at 2.9% for the quarter & 3.0% for FY23. As guided earlier, we expect this ratio to remain in the range of 3.0% -3.2% going ahead; as we focus on expansion. Cost to income at 34.4% in Q4FY23, decline of 130bps on yoy basis. For FY23, it stands at 35.7% v/s 34.0% in FY22 . Q4FY23 PPOP stands at Rs 9 1 Crs, growth of 11.3% on qoq and 38.0% on yoy basis. For full year, this is Rs 317 Crs, growth of 26% from Rs 251 Crs in FY22.
• Credit cost in Q4FY23 at 0.4% is within our guided range of 30bps - 50bps. Our ECL provision stands at 1.0% of the total POS. W e continue to be conservative with the provisions. Total PCR stands at 59.5%. Prior to NPA reclassification as per RBI circular, PCR

stands at 104.8% vs 83.6% in FY22.
• Our adjusted PAT for Q4 of Rs 64 Crs; grew by 9.0% on qoq basis and 32.9% on Yoy basis.
For full year FY23, Adjusted PAT is Rs 228 Crs, increase of 31.1% over FY22 PAT of Rs 174
Crs.
Liquidity and Borrowings:
• The Company continues to have diversified & cost -effective long -term financing sources.
During the quarter, we added South Kore a's Shinhan Bank and Indian Bank as our new banking partners and we continue to work towards further diversification. We have a healthy borrowing mix with 58% of our borrowings from Banks (Public sector 26%, Private sector 31%) , 15% from NHB Refinance and 19% from Direct Assignment . We continue to have zero borrowings through Commercial paper. Our cost of borrowing is competitive at 7.9% despite not drawing NHB's Rs 600 Crs in FY23 (drawn in Apr23 month), increase of 70bps from 7.2% on yoy basis. We pushed forward drawing the NHB funds in Apr'23; as we had sufficient liquidity through other lenders and NHB funds in Apr'23 will help us manage our COB better in FY24.
Capital :

• Our total CRAR is at 49.4% and Tier 1 CRAR is at 48.9%
• Our Mar'23 Networth stands at 1,817 Crs vis -à-vis Rs 1,574 Crs as on Mar'22
• Our quarter ROA stood at 3.9%.
• Our annualized ROE for Q4 stands at 14.4% vs 12.5% in Q4FY22. For full year FY23, ROE stands at 13.5% vs 11.8% in FY22.
• Our Book Value per share (BVPS) stand at Rs. 20 6.5 as on Mar'23.
• Declared our first ever dividend of Rs 2.6/ - per share.
With this I open the floor for Q&A. Thankyou.
Moderator: The first question comes from the line of Mona Khetan from Dolat Capital. Please go ahead.
Mona Khetan: What percentage of AUM, have you seen an increase in EMI so far after having exhausted the tenor increase?.
Manoj Viswanathan: We are looking at in terms of number of customers. So about 2% of our customers have undergone an increase of more than INR 1,000 and another 3% is between INR 500, INR1,000.
The balance would be either lower than earlier or lesser than INR 500. There are about another 20% who have an increase between INR0 to INR500, but a significant increase is only 5% of the customers.
Moderator: Next question comes from the line of Rahul Maheshwary from Ambit Asset Management.
Please go ahead.
Rahul Maheshwary: Good evening and excellent set of numbers. First of all, the disclosures regarding the ESG and all, etc, is very fantastic. My two questions , in the previous commentary last quarter, you had said in southern markets, the ATS is getting stable at least in the Tier 2 and Tier 3 cities. And in northern markets, the ATS has witnessed reduction. Can you give some brief colour on what has happened in quarter 4? And

what are the insights you're getting at the start of this financial year?
Manoj Viswanathan: What I was referring to was that in northern markets, the ticket sizes are lower than southern markets. In southern markets, the size of the houses and also the material use d, etc is more extensive, so the ticket sizes tend to be a little higher. So, the same trend continues. We are seeing the same trend even in this year or this quarter as well. The ticket size in the southern markets is marginally higher than what we're seeing in Northern markets.
Rahul Maheshwary: And on your slide, if we go in whe re you have given some detailed information on the tech interventions, you have developed a lead management system. Can you give some more numerical quantitative details on how it will be helping and in terms of the throughput, how the trajectory you would be seeing going ahead? And second thing, how much leads you are getting on a monthly basis? And what is the rejection rate?

Manoj Viswanathan: Lead management system is just to streamline the processing of leads. We are already using Salesforce platform t o track our loans. So, we just thought the lead management system will act as a central database for all leads which are coming through, and we don't have to run all those leads through our Salesforce system. So that is the reason we're building this lead management system plus it also has integrations with things like SMS, WhatsApp, etc. So, it kind of makes it easier to interact with the customers. In case we have to answer queries, etc. There are multiple features in it. It helps to route the cases to the right person, right colour , act as the central repository where we can pull various details like bureau, etc directly. There are many features which help us to improve the productivity. A nd as far as number of leads are concerned, it depends on the channels.

Overall, our conversion rate is about 40% to 50%. If we are booking about 3,000 to 4,000 loans in a month and a number of leads will be double of that. But in certain channels, there is a very large number of leads coming through like in digital channels. So, I'm not considering that as far as this ratio i s concerned.

Rahul Maheshwary: Just one more question related to this . Whenever suppose 6,000 to 8,000 leads you receive , only 50% is converted, how much fees you are charging at the beginning for those cases , also in case if they are not converted?

Manoj Viswanathan: Rahul, on the leads which get declined straight away based on initial parameters , we don't charge any fees. If the relationship manager on the ground feel that the loan is feasible to go through, which satisfies some of the basic criteria, then we charge a login fee, which is about INR 3,000.

Rahul Maheshwary: Okay. I will come back in queue. Thank you so much.

Moderator: Thank you. Next question comes from the line of Renish from ICICI. Please go ahead.

Renish: Congratulations on the set of numbers. So just one question is on the spread. In presentation , we have mentioned that our incremental spread is sort of pretty low at 4.7%. So just one thing, is that after considering this 50 basis point rat e hike?

Nutan Patwari: No, spread of 4.7% is for the prior quarter origination.

Renish: And secondly, which is sort of linked to this only. So, in the opening remarks, we did mention about maintaining spread at around 5.25%. But when we look at the incremental spread at 4.7%, how confident we are that we'll be able to meet this 5.25 % spread in coming quarters?

Nutan Patwari: 13.4% is our yield fo r Q4 and we have taken a 50 basis point yield increase in Apr ’23. So, we expect that with this increase in yield, the Q1 yield will close around 13.7% to 13.8%. That is almost 30 to 40 basis points higher than reported quarter which is Q4. Now on the cost of bor

rowing , we have drawn down NH B in Apr’23 and also, we are able to maintain a similar

marginal cost of borrowing. So, we expect that the cost of borrowing will be around the same range or at least not more than 10 basis points higher.

So essentially 5 .5% spread could practically expand for a very short period in quarter one. And quarter two, when the cost of borrowing moves up to 8 .20%, spread can go back again to 5 .50% - 5.60% levels. So that is how we are projecting this. We are very comfortable with the watermark that we have set out for ourselves which is 5 .25%. That's the next two quarter projection on the spread we have. We also has to monitor how the RBI repo rate progresses in June and August and then decide if you want to do any further changes.

Renish: Okay. So just a clarification, when we do the rate hike, what percentage of our AUM gets repri ced in a month or quarter?

Nutan Pa twari: So essentially, for example, for April 2023 rate hike, all customers who were in the AUM as on 31st January will get re priced with the exception of NHB funds.

Renish: Got it. So basically, it's a 3 -month period kind of a thing?

Nutan Patwari: 2 mont hs, you can say.

Renish: 2 months, okay. And secondly, on the disbursement run rate, so this quarter, of course, we have seen the improvement. So, what kind of a sequential growth we are expecting given we have added people and branches in this quarter? So maybe first half, what sort of disbursement growth rate we assume?

Manoj Viswanathan: So, we have always maintained about a 5% to 10% kind of a growth on previous quarter. So, we intend to maintain that kind of number.

Moderator: Thank you. Next question comes from the line of Mayank Agarwal from InCred Capital. Please go ahead.

Mayank Agarwal: Hi. Thanks for taking the question. My first question is on opex. So, we witnessed a 7% Q -o-Q growth on opex while there was no branch addition this quarter. So, is it different because of the increased disbursement or we might see an increased number of branches next quarter so that opex was up contained ? And my second question is on margins again. So basically, your current forecast is factoring the rate hike. However, you are still factoring the rate hike or rate reduction in this fiscal quarter. You know what you guided for a 5.25% spread.

Nutan Patwari: We've actually added nine branches in Q4. And that is also mentioned in our presentation. That is where the operating cost increase is coming from. The second question on margins, it assumes that there is no rate change by RBI either upwards or downwards. We will have to watch how it progresses in June and then take further action.

Mayank Agarwal: Okay. And secondly, are you witnessing any kind of increase in competition from small regional player , is it higher than what you have seen within a year ago? Any colour on that?
Manoj Viswanathan: No significant change. I mean competition has always been there in the segment. So, no significant change as much.
Mayank Agarwal: And my last question is on DA income this quarter. It was higher just because you've done more assignments in this quarter or anything specific there?
Nutan Patwari: No, just the volume. And we've also given the volume trends. Largely, we have mentioned that we will do around this INR 100 crores plus minus INR 20 crores.
Moderator: Thank you. Next question comes from the line of Chandra from Fidelity. Please go ahead.
Chandra: Hi, good afternoon. I had a few questions. Manoj, maybe you can just help me tell us what is the number in terms of rupees increase, what is the percentage increase in the EMI for these customers? And second is, what does this mean to the FOIR at this point in time versus origination? What's been the cha

nge in FOIR if you've done some work around that?
Manoj Viswanathan: Yes, the percentage increase, so when if you take an INR 500, we have basically loo ked at two buckets, 500 to 1,000 and 1,000 plus. So , INR 500 plus increase would be like a 5% increase in the EMI generally because average EMI is about INR 10,000 and so a INR 1,000 would be about 10%. So, 5% to 10% maximum 15% would be the kind of EMI in crease which is 5% of the customers. And FOIR again, we can calculate the average FOIR is about 40%. So, on 40% the, if you were to look at it on income of INR 25,000, there would be a 2.5% to 5% change in the FOIR .
Chandra: Right. Secondly, you also said that, once you cross sort of 14% ROI, you eventually start moving to a different target segment of customers. I mean, those which you may not necessarily want to do business, given that your incremental lending yields are at 14%. Does the customer profile start changing, you know, in any material way?
Manoj Viswanathan: Yes. So, this is why we kept the incremental lending rate at about 13% to 13.5%. If you see, even for the current quarter, the origination rate is 13.5%. We are always trying to keep it below the 14% because 14% we feel there is a psychological threshold where you move into a different segment. We originated between 13% and 14%. And if we have to reprice it, we reprice it after a couple of, after a quarter or so , because then it just gets passed on as a ten or increase and not as an EMI increase.
Chandra: Right. So, could you just tell me maybe what's then the origination yield on HL and LAP at this time? I mean after the rate hike, which is taken.
Manoj Viswanathan: Blended rate is about 13.5 and LAP would be giving us about 30 basis points. So, 13.2% for HL.

Chandr a: So even after the April increase your originating at 13.2%.
Manoj Viswanathan: No, this is before the increase. This is at the origination, time of origination.
Chandra: Okay. So even at origination for your new customers, you'll be originating a cycle lower and then take a rate increase later.
Manoj Viswanathan: Right. At the time of origination, we are keeping it below 14% and then we increase it after maybe a couple of quarters, if required.
Chandra: Right, and this quarter, the repayment rate was a l ittle higher. Is it just the CL SS subsidy or is there anything else to be writing?
Manoj Viswanathan: There was a big CLS S subsidy tranche , which came in this quarter. Which contribute 8% of the portfolio erosion on an annualised basis ..
Chandra: Right. And then lastly, When do we come up for our next rating change with you? I mean, obviously you just had an upgrade a while back, but just trying to see how does it look like in a year or a couple of years? How do w e think about that? And just within the context right now, currently could you just help us with what is the leverage caps you are working with ?
Nutan Patwari: Chandra, on these rating improvements, essentially, it's now an outcome of scale, subject to we are maintaining good asset quality , diversif ying in terms of markets , improv ing profitability, and everything else remaining the same. Now, its is a function of scale. So, let's say once we cost INR 10,000 crores, let's say in the next 12 to 15 months, and add say three to six months from then. So, give or take about 18 months from now is the broad timeline is what it should take for the next rating upgrade.
Now coming to your second question on lever age, we are actually at, 3.6 x as we speak. Now

this is really, if you look at from a debt to equity, it's around 2.6 x. So not significant leverage as of now and capital adequacy is also high, and we get a 35% risk -weight benefit. So, in our conversations w ith rating agencies, they are comfortable with a debt to equity of almost 5x. Now, you know, we've also be

en talking about INR 100 crores of assignment every quarter.
We've also been talking about co -lending of 10% disbursement.
So, this really allows us t o look at a very different AUM from let's say five years before where some of these products couldn't be scaled the way they can today. So, the AUM context would be very different, but you know, your asset to equity could still operate at let's say a 5 x to 6x in the next rating cycle. So, some of these questions haven't bothered us and we are remaining focused on growth per se. And we think that the way it will happen in the next 15 -18 months once we cross INR 10,000 to the AUM.
Moderator: Thank you. Next q uestion comes from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Taking forward Chandra's question. In terms of this CLSS subsidy, I didn't get the number. It was 8% of AUM. What was the absolute quantum, if you can highlight?
Nutan Patwari: Yes. INR 138 crores is the absolute amount of CLSS subsidy that we received in Q4. In FY23 we received INR 266 crores. And with this, the good news is that we've received everything. So, no more deals on this particular line going forward . If you look at it, in percentage terms total asset runoff was 25%, 8% out of this was pertaining to CLSS on annualised basis for Q4 .
Manoj Viswanathan: This is annualized erosion rate we have calculated.
Kunal Shah: So out of INR 422-odd crores, INR 138 crores is this .
Nutan Patwari: Yes.
Kunal Shah: Okay. And when we look at this entire BT out, so given that there is another further 50 odd bps kind of an increase, which we have done from April. So, any risk out there in terms of elevated BT out, or this is more kind of a Q4 phenomenon ?
Manoj Viswanathan: Yes, it is basically Q 4 phenomena. If you see Q4 FY22 also BT Out was a little higher than the Q4FY23 . So, it's just a Q4 phenomenon .
Kunal Shah: Okay. So, the hike would also not have too much of impact on this. And again, we should see it normalizing in the coming months?
Manoj Viswanathan: Yes, it doesn't seem to be because last Q4, rates were low and the BT outs were also again high. So, it's more of a quarter end phenomenon .
Kunal Shah: Sure. And then in terms of the branches, we added more than 30 odd branches and you have been highlighting that maybe for another couple of years, should we see similar kind of a run rate or maybe we have done some part of it and now it should slow?
Manoj Viswanathan: No, I wouldn't say slow, maybe similar kind of phase, about 20 to 30 branches, 20 odd branches we can say.
Kunal Shah: Okay. And overall, in terms of the disbursement, so again, after 18, 24 months or maybe two years down the line, because when we look at it, it's like say from 19 to 22, there have hardly been like 20 odd branches which were added and still there is a strong run rate of disbursements. So once these branches mature, almost like say 30 on 80 odd branches, which is again more than 35 odd percent. Then the disbursements should see a strong uptake once the branch mature and maybe at leas t this growth momentum can sustain.
Manoj Viswanathan: We get disbursements from all categories of branches. We will continue to put some new branches and the growth momentum is coming up from the larger branches as well.

Kunal Shah: In terms of the opex, overall, when we look at the opex to the expense ratio, it should stabilise . We are not seeing any, maybe 3% odd levels, obviously it has gone up from 2.7% to 3% for the full fiscal with the 30 odd branch expansion. So, I think broadly should be able to sustain this level?
Manoj Viswanathan: Actually, around this level, we had said when it was at 2.5 % / 2.7%, we said it will go up to 3% to 3.2%. So that is what we are maintai

ning. Maybe for some more time, it will stay at these kinds of levels before it starts coming down.
Kunal Shah: Sure. And lastly, in terms of the ROA trajectory, so it's commendable that maybe 30 / 50 bps kind of addition every quarter accretion, which is happening. But now incrementally, what would be the levers ava ilable, both in terms of the ROA and ROE?

Nutan Patwari: So, some of the levers that we have is to really utilize the co -lending and DA to full potential. So that is one of the aspects. We are looking closely at credit cost as well. We can further optimize some of our cash utilization. Even if we are able to hold on the ROA at around 3.7% / 3.8% levels, with the increased leverage, we are hopeful that we should be able to move towards 15% ROE trajectory in the next two to three quarters.
Kunal Shah: Okay. So, co-lending & DA ? And secondly, you mentioned credit cost also any levers available?
Nutan Patwari: Credit cost, if you see, we are still carrying 1% of provision of ECL as a percentage of our principal outstanding. Now, when the 30 + DPD is 2.7%, sometimes we'll have to relook at it. Some of those areas, we will take a closer look and see if there is an opportunity. And the fourth area that I also mentioned was cash utilization.
Moderator: Thank you. Next question comes from the line of Ravi Naredi from Naredi Investments. Please go ahead.
Ravi Naredi: Thank you to give me this opportunity. Really wonderful results. My question is, in Q4, interest income rises 47% while net profit rise only 7% and finance costs rise 76%? What are the reasons? This is INR 204 Crs is the interest income against INR 139 Crs.
Manoj Viswanathan: Quarter four total income is INR 139.7 crores for this year quarter four versus INR 102 crores for the last year quarter four. So that's a 35.3% increase in total i ncome.
Ravi Naredi: The finance cost rises more than that.
Nutan Patwari: Sir, that is because the finance cost has gone up because there has been a lag in the increase in cost of borrowing. If you look at our last four quarters of cost of borrowing, though the repo rate has increased by 250 basis points, our rate is only by approximately 70 basis p oints. And there has been a very high degree of lag. We were able to maintain almost flat levels of cost of borrowing in Q1 and Q2 because they linked to MCLR borrowing. There has been a lot of lag and the cost of borrowing increased only Q3 and substantia lly in Q4. That is the reason why

you are seeing a sharper increase in interest expense versus interest income. But when you look at it at a full year level, the interest income has gone up by 43% and the interest expense has gone up by 41%. So, we've perf ormed better.
Ravi Naredi: For these other expenses also high, very high, INR 175 million against INR115 million?
Nutan Patwari: Sir, as we expand the businesses into more branches and more people, that is the reason. If you see the overall quality of retu rn has improved sharply on a quarter -on-quarter basis consistently.
Ravi Naredi: Okay. And Mr. Manoj, can we assume the 30% CAGR growth is possible in next 2, 3 years?
Manoj Viswanathan: Yes, sir, we are targeting AUM growth of about 30% over the next 2, 3 years.
Moderator: Thank you. Next question comes from the line of Sanket Chheda from DAM Capital. Please go ahead.
Sanket Chheda: Congrats on good set of numbers. Just setting new standards as far as disclosures are concerned. So quite good disclosures. Particularly my question was on opex. So last year we guided that we'll carry on with some investment in this year, wherein the opex should be around 3% to 3.2%. We have closed it at about 3% and last couple of quarters, the opex has been over at about 2. 8% / 2.9%. So how do we see this now over the FY24-FY25?
Nutan Patwari: So Sanket, we still wan

t to expand, let's say, from 265 touch points to 400 odd in the next two years, which will essentially mean more branch locations, physical branch locations, more people, more travel and all of that. And as you know that you know there is a vintage by which the branch really starts to perform a nd the productivity etc. picks up. Basis all of that, we've done a bottom -up analysis and we are projecting a 3% to 3.2% level of operating cost to assets . We have calibrated it to 30% plus growth, this level of operating cost is essential today. So operating costs will be directly variables on a growth perspective. This is something we have in mind.
Sanket Chheda: And now that the stress has also normalized i n terms of the credit cost, what run rate do we see in FY24-25?
Nutan Patwari: 30 to 40 basis points. We don't need more than that.
Moderator: Thank you. Next question comes from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg: Yes. Hi. Thanks for the opportunity. Just a couple of questions. First one on the treasury income side. So, I see that you reported about INR 95 million of treasury income this quarter. The run rate usually has been about INR 20 / INR 22 million in l ast few quarters. When I look at that as percentage of average assets, that's about 1.6% versus a run rate of about 1.1% in last several

quarters. So, can you explain what is the reason behind this bump up and whether this is sustainable or not?
Nutan Patwari: Raghav, when you look at the overall treasury investment management, it essentially falls into three buckets. We look at liquid funds, essentially overnight funds for the very short -term liquid funds, which carries no underlying risk. The second c ategory is deposits with the consortium banks and the third category is T-Bills. Now depending on the underlying disbursal and operating cost plan, we choose between these three products, essentially depending on where we think we can maximize the returns even if it is 10 or 20 basis points. So, in this quarter, it so happens that we placed more deposits and lesser liquid funds, which is why you see now reduction in mutual fund income and an increase in the bank deposit income in our fact sheet. Coming to y our second part of the question on sustainability, at a very high level, this presents almost a 6.5% to 6.6% of yields on the funds placed across these three categories. So, it will depend on two things. One, the operating rate in the market and secondly v olume. As far as volume is concerned, we don't expect to increase it by any meaningful number. So, we want to keep approximately two months of disbursals with us in cash and cash equivalents on the balance sheet to optimize our cash holdings. That we will continue to do. We don't expect the overall treasury income to be changing meaningfully. It can change between the three categories.
Raghav Garg: Right. So is this understanding correct that, you know, the run rate will not be as high or whether if we look at this, the yield that you just mentioned around 5%, 6% versus around 1% / 1.5% that we've seen previously is not sustainable. Is that, would that be fair to assume?
Nutan Patwari: No. So, it will really depend on where the repo rate is. So as long as th e repo rate is 6.5%, there is no reason why this should change. We have not seen 1.5% earlier. We used to see more in the range of 4%, 4.5%, which is similar to the repo rate then. It is really a function of the repo rate at that point of time.
Raghav Garg : Understood. My second question is on your PLR hike. So, if I do the math, July, you would take in about 25 basis points. December, again, another 50 basis points. Cumulatively, that's about 75 basis points that you've taken in FY23. But on your reported yields, the increases are only about 60 basis points. So, can you explain, t

o what extent have you been able to pass on the rate hikes that you've taken in FY23? And in light of that, how confident are you that this 50 basis points of PLR hike that you've taken in April 2023, to what extent will you be able to pass that on in order to mitigate any margin compression?
Nutan Patwari: So, let me break down this for you. So, when we take any rate hike, we look at various pools of AUM. And there is one significa nt chunk, which is your NH B's AHF pool, which is a fixed rate pool on asset side as well as liability side where we do not increase the rate. Now, please also remember that this particular pool has similar or better spreads to us in itself. So, you know, there is no need to worry from a spread compression on that particular part of the pool. That

pool has been about INR700 crores, more recently it's increased to INR900 crores. So, when we take any rate hike, we have to exclude INR900 crores out of our total rate hike pool. So, when you look at the blended increase in the yield line, the drop from 75 to 60 represents the fact that you've not taken any increase on this pool because it is fixed in nature on both sides.
Raghav Garg: Sure. I understand. This INR700 crores that you're mentioning, this is as of March 2023, is that?
Nutan Patwari: Yes. This is as of March, and INR900 crores as of April.
Raghav Garg: And this would be under affordable housing fund?
Nutan Patwari: Yes.
Raghav Garg: Right. Do you have any visibility or any sense whether this AHF fund will be rolled over or whether it will get any new deposits in FY24 or not?
Nutan Patwari: So out of the INR 600 crores that we have drawn down in FY24 in the month of April, we already have received INR 300 crores under this fund. This next application will happen in July because the NHB refinance year is July to June. So, we will have to engage with the officials at that point of time and we would only have a better understanding perhap s in Q2 of this year.
Raghav Garg: Sure. And if at the system level, the AHF fund does not get rolled over in FY24, would that mean that typically, if a company is lending under the AHF, then without it, there would be some kind of pressure on margins for a typical housing finance company? Would that be correct to assume?
Nutan Patwari: No, simply because it's a very small set of our book today. If you see, like I mentioned, INR 700 crores as of March out of INR 7,200 of AUM and we're able to manage the mar gin on the spread to the rest of the book. So, there will be no impact or anything of that front.

Raghav Garg: Sure. Thanks a lot, Nutan. That's all from my side. Thanks.
Nutan Patwari: Okay. Thank you.
Moderator: Thank you. Next question comes from the line of Amit Ganatra from Invesco AMC. Please go ahead.
Amit Ganatra: A couple of questions. One is that I think at the beginning of the last year, so during first quarter concall, you had mentioned that spreads from 5.8% can come down to 5.25%. Now if you see the spreads have come down to 5.5%. But when they have touched 5.5%, your guidance seems to be that spread should remain stable. So, any specific reason as to why this change in thought process when it comes to spread? So that's my first question, and I'll ask the second question later.

Nutan Patwari: Our guidance still remains at 5.25% on the lower end. What we are trying to say that the visibility for the next quarter seems to be stable on spreads.
Manoj Viswanathan: Yes. And also, one year after tha t, sitting where we are today, the overall outlook on interest rates seems to be more that there may be a minor increase or to flatten out. So, which is the reason for our slight change in stan ce.
Amit Ganatra: Okay. And on the borrowing side, I mean, your reported

cost of borrowing is 7.9%, right? And what is the incremental right now, cost of borrowing ?
Nutan Patwari: 8.80% excluding NHB.
Amit Ganatra: Okay. That was my other question that in terms of your borr owing mix, so why is it that NHB as a percentage is continuously coming down?
Nutan Patwari: If you see March '22, we were at around 27%. And in the last four quarters, we did not drawn on any NHB, which we draw on in April '23. So, when you look at Q1, that number will go back to 20 -plus levels. So, it's just a function of when we have drawn down the NHB funds.
Amit Ganatra; Okay. So, during the course of the year, you did not draw down anything and that's why that kept on coming down? And now once again, if you're saying that in April you draw down automatically in the first quarter the share shoul d go up?
Nutan Patwari: Yes.
Amit Ganatra: So then if that happens, then that also helps in terms of overall cost of funds, right?
Nutan Patwari: Absolutely. So that's why we are saying that our Q1 cost of fund will not go up. See if you remember, Amit, we 've always said that there is a lot of lag in MCLR. So, the increase actually started to happen in Q3. So, we've seen the increase in Q3, Q4, but because of NHB, we are saying we should be able to hold it in Q1 and then see another 20 basis points rise in MCLR , 30 basis points in Q2, and then there's a flat line after that.
Amit Ganatra: Okay. After that, okay, you're saying and then there should be a flat line?
Nutan Patwari: Yes.
Amit Ganatra: And cost, you are saying that you still will be in the investment mode?
Nutan Patwari: Yes, we have to be right.
Amit Ganatra: Okay. So more or less, from an ROA perspective, this year, the fact that you managed to protect ROA itself is decent, right? Because overall, there was this possibility that ROEs could have declined. I mean at the beginning of the year considering interest rates going up, that was this possibility, but that has not happened. So now the important thing is that more or less, we

should be able to maintain RO As at these levels and as levera ge should go up, which should drive ROEs, right? That should the thought process?
Nutan Patwari: Absolutely. That is the thought process.
Amit Ganatra: Okay. Understood. Thank you.
Moderator: Thank you. Next question comes from the line of Nidhesh Jain fr om Investec. Please go ahead.
Nidhesh Jain: Firstly, on the disbursement, can you share the disbursement per branch on three -year vintage branches, the branches which we opened three years back, what is the disbursement per branch on an annual basis for FY 23 from those branches?
Manoj Viswanathan: Three years plus vintage generally will be about INR 3 crores -plus per branch.
Nidhesh Jain: INR 3 crores -plus, per month?
Manoj Viswanathan: Per month, yes.
Nidhesh Jain: Sure, and secondly, in the distribution in the origination, the share of connectors continues to go up. So, the origination mix is becoming much more concentrated towards Connectors. So, does it worry you or is it a stated strategy that Connectors is the best segme nt to originate

loans?
Manoj Viswanathan: No, the Connector group itself is a very diversified group, and the distribution of loans is also very diversified. So, most of the connectors are only providing us one or two loans in a month. And the connectors a re also from different categories. So, these are not large entities which are giving us any concentrated business. We are very comfortable with this channel. And if you look at the asset quality also, the connector groups asset quality is good or better th an the overall average. We are very comfortable with this channel.
Nidhesh Jain: And what will the count of active connectors for the quarter?
Manoj Viswanathan: Active connectors for the quarter is about 2,382.
Nidhesh Ja

in: There is significant increase in the quarter -on-quarter on active connectors in this quarter. I think last quarter was in the 2,100 connectors.
Manoj Viswanathan: Correct, about 200 -plus is the addition .
Nidhesh Jain: And lastly, on the operating cost, when should we expect operating l everage cost to asset ratio to start improving? FY24, I think it will still be in investment mode. But should we expect operating leverage to play out from FY25, or that will also be early to expect that?

Manoj Viswanathan: I think from FY25 some operating leverage should play out. So, I mean the objective is to bring the cost to income at least marginally lower in FY25.
Nutan Patwari: Nidhesh, having said that, if you compare us with the larger players in the affordable housing industry or even the prime industry, we are actually quite competitive when it comes to operating cost. Whether you look at it an opex -to-AUM per loan or per lakh of dis bursals , whichever way you slice it. So, from that perspective, the focus right now is growth and of course maintaining the right optimal levels, not over stressing about the operating cost and compromising growth. So, it's really a choice that we are making to focus on growth, maintain right as set quality, and then also not go overboard on operating cost. We've been maintaining this 3% approximately, which is actually quite good.
Nidhesh Jain: Sure. Last question on the LAP segment, which is witnessing a reasonably strong growth and the share of LAP has now increased to almost 13%. And we have guided that long term, we want to keep the share of LAP at around 15%. So, if you can share what is the ticket size in LAP and the 15% limit still holds true for us?
Manoj Viswanathan: Yes. was currently disbursing at about 15% rate. And so, I guess maybe in a couple of quarters, the AUM will also catch up to that level. So, at the moment, our stand is that we'll stay with 15%. We'll see the portfolio quality for maybe a few more quarter s before we start taking a decision to take it further up. The ticket sizes are generally in the same range as our regular housing loans, no major difference.
Nidhesh Jain: Sure. That's it from my side. Thank you.
Moderator: Thank you. Next question comes from the line of Karthik Chellappa from Indus Capital Advisors Limited. Please go ahead.
Karthik Chellappa: Hi, Manoj and Nutan. Congrats on the quarter. So, I have three questions. The first is, if you were to look at your 78,000 odd borrowers, how many of them either anecdotal or so have either experienced a drop in their income or possibly face the job loss? It could be economic, it could be macro, but I'm just trying to see what portion of your customers based on the interactions that your field officers had with them would have experienced a drop in income, whether it is inflationary or macro or fall in demand or any reason?
Manoj Viswanathan: Generally, i f you look at it on a steady -state basis, we keep reviewing our collection cases. Typically, about 15% to 20% of the collection cases, the reason comes as job loss . I'm talking about the collection cases , And in most of the cases, the resolution is also th at the customer has got another job. So now he will catch up on his instalments. So, in job loss cases, we don't normally see a permanent delinquency. So, this is all from our collection experience.
Karthik Chellappa: And the 15% to 20%, what was the pre -Covid number and has it gone up in any significant ly, or is this more in line?

Manoj Viswanathan: Well, ratios have actually come down to pre -Covid levels. If you see 1+ DPD is at 4%. So, since the numbers have come back to pre -Covid levels, we are not see ing anything different from our pre -Covid times. And 30 + DPD has

also come down to 2.7 %. Generally, the reasons are
similar, temporary job loss, and the customer will get back another job or is getting another job. The problem is more permanent in case of medical problems, where there is a serious medical issue in the family, etc. The ratios are generally the same. We have not se en any particular reason going up as such.

Karthik Chellappa: Got it. My question is, if you were to just look at our AUM mix by credit history, the new credit is now almost 20%. And if I'm right, it's probably one of the lowest among our previous two to three years or so. Typically, what is the difference in the yield with new to credit customers and customers with a credit score? And at what point of time do you think you'll be comfortable to increase this ratio?

Manoj Viswanathan: This ratio is actually coming down because it's more of a market phenomenon . There are more -and-more customers getting some form of credit, and they end up getting a score. We are being true to our segment, which is, people who are building their first home between 20,000 to 50 ,000 income levels, coming with some form of informal income, etc. So, in that segment, more -and-more customers are getting credit, either a small personal loan or a consumer loan, etc. As a result of it, they're getting a score. So, this number, according to us, is actually reducing secularly every quarter. So, every quarter, you're seeing a 1% - 2% kind of a drop in this number. It's just a question of time, maybe in the next six quarters to eight quarters, it will vanish completely. I mean, you may not find customers in our segment who don't have a credit bureau score. So that is really the way we are looking at it.

Karthik Chellappa: Okay, interesting. And my last question is basically on channels. Now, in the past, we've had this separate channel, which we're trying to develop called strategic alliances. And I think we have an officer heading that. What constraint are you actually facing in scaling up this channel, if any?

Manoj Viswanathan: It's a channel which, has multiple problems that need to be solved. And we along with partners are working towards it. The challenge is not getting leads. I think I've mentioned this in the past also that you get a very large number of leads through these channels. But the intervention that the connector provide s of actually filtering the leads to understand which customer is serious, which customer is eligible, etc. So, there is some value -addition being provided by the connector, which is absent in the other channels including the strategic alliance channels, because they have leads come through without much of much filtration. So as a result of it, the conversion rates are low. So, we are working with the partners to see how to address this challenge. And at some point, there will be a good enough solution to i t and then the channel will start scaling up.

Karthik Chellappa: What exactly is the difference between a connector and a micro connector?

Manoj Viswanathan: Yes, just a certain classification difference. Micro connectors are located near the branches. I mean, they're like neighbourhood shops. Whereas these connectors are more of people who are in the real estate segment or in the financial services segment and they are in touch with our kind of customers. So, the neighbourhood shops, the arrangement or relationship with neighbourhood shops, we call it as micro connectors.

Karthik Chellappa: Okay, got it. Very clear. Thank you very much for your replies and wish you and the team all the very best for FY24. Thank you.

Manoj Viswanathan: Thanks, Karthik.

Moderator: Thank you. Next question comes from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Hi, Manoj. Hi, Nutan. Congrats on a good quarter. I joined around 20 min

utes late, so please
let me know in case some of the questions that I ask is a repetitio n. I'll listen to the recording after the call. First things first, I mean, have you already addressed why we chose to increase the provisioning cover in this quarter?

Nutan Patwari: We've kept it at the similar levels compared to what we've been doing las t five quarters or six quarters .

Manoj Viswanathan: We wanted to keep it at 1% of the overall book. We have kept at that. We'll observe our delinquencies more over the next four quarters, then we'll take a call on whether to bring that down or not.

Abhijit Tibrewal: Got it. And secondly, Nutan , the other income that we are seeing now, it's a fair thing to annualize it, right, for year -on-year.

Nutan Patwari: Yes, you can annualize it.

Abhijit Tibrewal: Then the other question that I had was on the br anches, some of the mature branches that we have today, in terms of productivity, do you think that they are anywhere close to their peak capabilities in terms of the kind of AUM that they manage, or do you think we still have basically capabilities in eve n our mature branches to further scale up?

Manoj Viswanathan: We are looking at, say, branches reaching at least INR 200 crores before we start thinking about them tapering off. So, I think at the moment, we have only maybe one branch approaching that numb er. But we have a lot of branches in the INR 100 crores to INR 200 crores category, or INR100 crores to INR150 crores category, so they still have maybe at least a couple of years to go before we can start thinking about them tapering off. But I think ever y time a branch crosses a certain threshold, we are able to discover new ways of making them more productive. So, we are hoping that even at the INR 100 crores, INR 200 crores barrier, we'll be able to kind of push it further.

Abhijit Tibrewal: Got it. May be one more question that I had was, again, I'm not trying to suggest that we should grow faster. As a matter of fact, I feel analysts or investors are happy if you continue to grow at maybe a 30% kind of a CAGR over the next few years. But just try to understand when you look at the demand which is there in the affordable housing segment, when you look at some of your peers in the unlisted affordable housing segment, and the rate at which you are growing. So is it that we are consciously kind of try ing to maintain these levels of disbursements so that our asset quality is under control, we cherry -pick our customers, we are able to pick and choose which customers we want to lend to.
Given that there is so much demand, given that there is so much of disbursements that's happening even from some of the unlisted affordable players, are we making a conscious decision of keeping disbursements under check, or how should we kind of read this?
Manoj Viswanathan: Yes, to some extent, I mean, we are focusing o n, it's a question of bandwidth. If we put all our attention on disbursals , maybe, as you mentioned, we can grow more. But we are trying to just balance it, because we also have to create an organization that will be able to handle a much larger book. And, coming back to the question on branches, we have to start thinking what happens when a branch is INR 150 crores or INR 200 crores, how do we make it more productive? So, we are also spending time answering some of those questions and getting the branches ready for that. So that occupies some time.
And plus, if you see our rate of interest is also has been extremely good, even though we have very little loan against property, our blended yields are very strong compared to our peers. That is also another ar ea, where we kind of focus. We are trying to get the right kind of customers in the segment who are willing to pay that kind of rate, that also is one of the parameters tha

t we look at.
Given all this, given that we want to create a strong foundation for a strong, strong brand structure, get the right kind of customer who will pay us, good yield, we feel comfortable with a 30% kind of growth rate.
Abhijit Tibrewal: One last question. Here, if you assume basically two scenarios that going forward, there are no more repo rate hikes and assuming another 25 basis points repo rate hike. Under these scenarios, what says where we are in terms of cost of borrowings, where should we be? If there are no repo rate hikes and if there is a 25 basis point repo rate hike, where should I cost of borrowing stabilize?
And against that, against these two scenarios, in case there is a 25 basis point hike, what is the, I would say, increase in yields that you would have to take to maintain or to meet the guidance of stable spread s from here?
Nutan Patwari: Right. So, let's go one by one. The first scenario is where there are no more changes in the repo rate. We are seeing that our cost of borrowing will be at 8 .20% in the next two quarters. So

that is the peak. Now moving to the second scenario, if there is a 25 basis point rate hike in repo in June, let's say, we will see this 8 .20% getting to 8 .40%.
Then that takes us to the yield question. So, if we want to stick to 5 .25%, we frankly don't have to do much. We don't have to do anything. But it will be a call at that point in time, how we want to look at new growth versus old customers, how we want to look at this whole EMI portfolio, etc. And at that stage, we can decide if we want to pass on or want to absorb. But those deci sions will have to come post the June rate hike, if it happens.
Moderator: Thank you. Next question comes from the line of Nischint Chawathe from Kotak Institution Equities. Please go ahead.
Nischint Chawathe: Thanks for taking my question. Firstly, you me ntioned that your incremental cost of funds is around 8.8%. Then how do you expect your average cost to flatten out as 8.2 %? I understand

that there is some support coming from NHB. But if your incremental rate is higher than your weighted average, then it should kind of start continuing to inch up, right?
Nutan Patwari: Right. So, we've discussed this. So, there is a 50 to 70 basis points impact that comes because of the NHB portion . So, we've taken INR 600 crores of NHB drawdown in the middle of April. That will really help us to hold our rates at around 7.9% to 8% in quarter one. And then, of course, if I look at the rate today, it is below 7.9% because of a sudden increase in NHB in April. But of course, the lag is also being passed on.
I will touch clos er to 7.9% / 8% for the full quarter. And then 8.1% to 8.2% is the peak that we are seeing in Q2. So, this essentially depends on what is the mix of NHB in the overall borrowing book. As long as I am at 20% levels broadly, I will continue to get that 60 -70 basis points NHB impact on the blended cost of borrowing.
Nischint Chawathe: So basically at 8.2%, you're just sort of building in the annual borrowing program?
Nutan Patwari: Yes. And for the first half of this year, we've already drawn down in April. So, it's no longer an if or when, it's already done.
Nischint Chawathe: Got it. The second question is on collections, in stage two is at around 1.1%. And peak was, I think, the best was like 80 or 90 basis points in 2018 or so. Do you think that we are al ready there at the best level where we can be? Is there a scope for improvement? And do you see that we are already at the best levels where we can be or are not coming to further? And probably how was April vs April last year?
Manoj Viswanathan: Yes, so w e are more or less there in terms of the pre-Covid levels. Of course, our aim is to keep on improving. And I think as our experience also keeps growing, we will be able to im

prove it.
Maybe not substantially, but at least marginally we will keep improving it because our experience on what works and what doesn't work will keep on increasing. So, we will

implement that, and we will try to bring some improvements. So yes we are more or less there. We will keep trying to improve marginally from here on.
Nischint Chawathe: And how was April vs April last year?
Manoj Viswanathan: April was April last year was, I mean, compared to April last year was substantially like March versus last March has been substantially better. So, April is on that base. And gene rally, we don't have that kind of a skew in March. Our first quarter is generally similar to our last quarter of the previous year. So, I would say, I mean, there's nothing significant to report as far as April is concerned. It was a good month. Are you ta lking about collections or are you talking about disbursals ?
Nischint Chawathe: I am talking about collections.
Manoj Viswanathan: Collections, yes.
Nischint Chawathe: The collection efficiency, which I think some of your peers put out, we'll probably say that April versus April would not be very different.
Manoj Viswanathan: April versus March is still very similar. I would say maybe just a marginal difference.
Moderato r: Thank you. Next question comes from the line of Jatin Sangwan from Burman Capital. Please go ahead.
Jatin Sangwan: Hi, thanks for taking my question. I wanted to understand under the breakup of this other non - interest income, there is a section called o thers. It was more or less zero for the last eight quarters. Now it has increased to INR 4.5 crores. What is this income related to?
Nutan Patwari: We started some work on using our website for marketing, etc, and getting revenue against that. We expect that this will be consistent on a quarterly basis going forward.
Jatin Sangwan: Okay, great. And now the second question is around the AUM growth you'r e guiding for 30% AUM growth for FY24. Is that conservative guidance because on one hand you're guiding for 5% to 10% Q -o-Q growth for disbursements and repayment rate will come down as there will be no impact of CLSS subsidy. So just doing the backend cal culation, you will be growing at 35% -36% growth. So, are you being conservative by giving like 30% growth guidance for FY24?
Manoj Viswanathan: I can only say we are aiming for 30%.
Moderator: Thank you. Next question comes from the line of Amit Ganatra fr om Invesco AMC. Please go ahead.
Amit Ganatra: Just one question I missed was this co -lending business. Can you explain, if this business grows, then what kind of implication it has on, first of all, where does the income get looked? Just like,

any other l ending that you do, the entire thing gets reported in interest income and interest

expense in your proportion, or how does it get recognized?
Nutan Patwari: Yes. So as far as reporting goes, Amit, it gets reported in the respective lines. There is no up - fronting in co -lending. So, no spiking of income or expense, so just on the tenor based for our portion as well as for the portion to bank. The only portion that we get up front is the processing fee that we collect from the customer. And then we sell down 8 0%. So that part of the process ing fee comes to us in the quarter where we actually transfer the loans, which is not a very large number.
Coming to the portion of how we are looking at it from an overall level. See, once we do the transfer to the bank, we are able to leverage a book much better. That's one from a financial perspective. Second, we're able to actually address the adjacent market, because we actually can look at a sizable portion of slightly higher ticket cases of 20 / 25 / 30 lakhs where the borrower expec

ts a lower rate of interest.
So that opens up and it also improves productivity for our front -end teams. So those are the broad two or three aspects on how we're looking at it. Maybe I can just request Manoj to share how w e are looking at expanding this.
Manoj Viswanathan: Yes, mainly co -lending will have the impact of helping us expand the addressable market. I mean, that's the key benefit from co -lending, because we end up spending time on distribution, building distribut ion. But in some places what happens is, in the same area there are adjacent ticket sizes. In the same project, same area, there are adjacent ticket sizes that come to us.
So, we generally operate in the 5 to 25 lakhs. But when the ticket size comes in the 25 to 40 lakh range, generally the customers are a little more rate conscious. They are a little more formal in their overall outlook. And as a result of which they are more rate conscious. That is the segment that we have to give up. I mean, we may end u p even meeting the customer, but then the customer does not take the loan from us.
So that is a customer segment that we can address through co -lending. And it helps us overall improve our productivity of our teams and improves our brand presence in the ma rket. So that is really how we are looking at co -lending. And of course, it is an accretive product because the capital allocation from our side is also very low for this product. So overall it is a win -win. And for the bank it is very good because they ge t extra distribution, and so it's good for them as well.
Amit Ganatra: But from a customer's perspective, he is taking loan from your company only, right? Or is he aware that there is a bank?
Manoj Viswanathan: Yes, we are the front face for the customer. So, the customer knows that he's going to interact with us through the life of the loan. He is made aware of that it's a co -lending product. So, there

are two parties involved. That is something that we make the customer aware. And for that anyway, the cus tomer gets a benefit of a lower rate.
Amit Ganatra: Okay. So effectively, I mean, if proportion of co -lending goes up, then from an optical perspective, it has a deflationary impact on your yield as well as cost, right?
Manoj Viswanathan: Sorry, inflationary impact on yield?
Amit Ganatra: Deflationary, because if co -lending goes up as a proportion, then the reported yields tend to go down, reported cost?
Manoj Viswanathan: Yes, but we are reporting origination yields, we are reporting ex -co-lendin g.
Nutan Patwari: Yes. So, see, if you see page 27 of the presentation, the 13.5 % is excluding co -lending.
Amit Ganatra: Okay. But from a calculated perspective, when we calculate it, it will, come down, right? And leverage goes up?
Nutan Patwari: Leverage goes up, yes.
Amit Ganatra: But leverage, why should it go up? I mean, you, you have the same risk weight, right? Why should leverage go up?
Nutan Patwari: It will go up when you look at it from an AUM perspective.
Manoj Viswanathan: No, but when they calculate also, it should work out now because the principal on our book is only 20%. So, the interest that we're getting will be measured on the 20%, not on the total. So, the yield also should work out.
Nutan Patwari: But it's a lower y ield loan. That's why.
Manoj Viswanathan: So, a rate to the customer.
Nutan Patwari: So, a rate to the customer, so the blended will go down.
Amit Ganatra: It goes down, but leverage should not necessarily go up, right? It basically helps you to improve your leverage faster is what I can understand. There was a possibility that this customer would never have been your customer. If co -lending was not a product available to you. So, it helps you to report higher growth. It actually helps you to improve your TAM to some extent. And to a

large extent, I mean, since the risk and everything is shared, so to that extent, yes, it's actually a win -win at this stage if it works.
Manoj Viswanathan: And the customer also is marginally better because it's the formal customer.
Amit Ganatra: Correct. Exactly. Understood. Thank you.

Moderator: Thank you. Next question comes from the line of Aravind R. from Sundaram Alternates. Please go ahead.
Aravind R: Good set of numbers. I just have one question. So, like on f ee income side, I can see like, there was like a INR 3.6 crores in fourth quarter and INR 3 crores in third quarter, but it was virtually nothing in the previous years. What are the driving factors behind this? And the other question is just a clarificatio n. You are mentioning 50 basis points rate hike in first of April 2023. So, the overall impact on yields will be 30 to 40 basis points, and then it could be stabilized around that?
Nutan Patwari: Yes. So, one by one, on your first question of the fee incom e, this largely represents the processing fee that we get on closures. So, every time there is a repayment or a partial repayment or a B T out or when we do assignment or co -lending or when we receive any CLS S subsidy, we get a small fee from NHB. So, every time we get like we g ot INR 137 crores of subsidy, so that's why you see this number going up. So that is the first part. The second par t of 50 basis points, yes, once we take this rate hike in first April, it will stabilize around that 30 to 40 basis points plus levels.
Moderator: Thank you. Next question comes on the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Hello, sir. Good evening and thank you for giving me the opportunity. And congrats on yet another strong quarter. So, my question was pertaining to the branches that we have. So, what percent of our branches would be more than INR 100 crores? And what perce nt of our branches would be less than INR 50 crores? And checking in line with the same question, what would be the KRA, like if you could highlight some KRAs of a branch or of an employee who would be operating at a mature branch .
Manoj Viswanathan: So, about 2 5 branches out of 111 are more than INR100 crores.
Moderator: Since there is no repl y on the line of Mr. S hreepal, we'll go with the next. Next comes Mona Khetan from Dolat Capital. Please go ahead.
Mona Khetan: So firstly, on the non -interest income , this component has declined sharply in FY23. So, what is the outlook here? I understand it's partly driven by lower DA direct assignments. So, could this as a percentage of assets remain the same going forward? Or how do you see this?
Nutan Patwari: We've been doing about INR 100 crores of DA approximately. We will continue to maintain that. So as a percentage, the gain on DA as a percentage will remain ballpark around 1%.
Mona Khetan: Okay, so what was the primary reason for non -interest income comin g down so sharply this year?
Nutan Patwari: Are you specifically referring to net gain on DA or any specific line? Because when I see non - interest income, it's actually gone up from 1.1% to 1.3%.

Mona Khetan: I'll take it offline. The other question was, o n the write -offs, so how many write -offs have you made this year? And if you could also share the cumulative write -off the company has made so far?
Nutan Patwari: So last year, we had a write -off of INR 22 crores. And this year has been less than 50% of th at. So approximately INR 10 crores. Also, it's important to remember that the write -offs are majorly short recoveries when we close loans. And for most part of this write -off, we already have a provision. But when we actually close the loans, it appears in the write -off line and not in the net provision

line. So, there is no financial impact per se, because we are replacing those provisions with newer provisions. Your second question was about the cumulative write -off, it will be approximately INR 40 crores to INR 45 crores.
Mona Khetan: Sure. Thank you. So, FY23 was INR 10 crores?
Nutan Patwari: Yes. Write -off.
Moderator: Thank you. Next question comes from the line of Manuj Oberoi from Yes Securities. Please go ahead.
Manuj Oberoi: Yes. Hi. You know, congr ats on great numbers. This question is on the provisioning coverage on Stage 3 assets. So that's been consistently taken up. Any specific reason behind this, or is this pure conservatism, or is it also driven by the recovery experience on the top?
Nutan Pa twari: So, see, we have thought that we want to keep the overall provision at 1% of the principal

outstanding. Now, if you have to do that, you have to park it against some exposure . Now, in a situation where the 30 + DPD is continuously improving, it becomes diff icult to park it in Stage 2 or in Stage 1, because, probability of default models, etc, showing a right back. But then we said, okay, if you want to still continue with given the conservatism approach we want to follow, so then the only place where we can practically park is as an overlay in Stage 3. So that's how it ends up appearing there. As you have seen from the credit indicators, even Stage 3, the pre -RBI NPA is back to March 20 levels. So, no indicative stress, but it's just a parking position from how we are looking at it.

Manuj Oberoi: If it's a management overlay, if in case if the Stage 2 increases in the future, would you dip into Stage 3 provision and, shift from provision in Stage 2, or would you still, so because I mean, if it's already allocated to Stage 3, then how would you then treat the provision in the future?

Nutan Patwari: So, see, movement between stages is allowed because it's an overlay. It's not a big issue. I think in a situation where Stage 2 increases, in my mind, that's a bigger issue to be resolved. So frankly, we'd have to go back and see where the concern is and why that would happen. What we are seeing even today based on daily collection, our fresh flows are actua lly improving. So,

there is no reason that we think that in the near term we should get to a stage where 30 DPD is concerning from where we are today.

Manuj Oberoi: Got it. So, it's pretty much floating . And just on this Karnataka and, Maharashtra, I mean, they're part of our core focus markets, but they kind of continue to grow slightly slower than the overall book. When do we see a stronger turnaround in those markets, and they start growing in line wi th the overall book?

Manoj Viswanathan: Maharashtra should start turning around this year. And as far as Karnataka is concerned, a large part of the business comes basically from Bangalore itself. And I think it will continue at similar levels. But in Maha rashtra, you should start seeing an increase in AUM.

Moderator: Thank you. Next question comes from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind R: Hi, sorry, the same questions on fee income itself. Like, can we expect, fee inc ome run rate to be around this level? Or like, do you think it could increase like as a percentage of it or like something?

Nutan Patwari: So, I want to remind you that this fee income is not the processing fee income that we recover from customers at this stage of onboarding. That goes and gets booked in the interest line itself under the EIR norms of IndAS . This fee income pertains to early closures or any additional fee that we recover from CLS S subsidy. So CLS S subsidy is no longer there. So, you know, that portion will not come. So, what I can confirm is that probably 50% of this should continue because we will not have any more CLS S s

ubsidy going forward.

Aravind R: And because of interest rate hike, do you expect a BT out rate to go up maybe?

Manoj Vi swanathan: We have not seen that happening so far. You see the BT out rate, it's more of a, there is a year - end spike and otherwise it just follows a normal trend. Even through the last year, there were multiple interest rate hikes. You have not seen any s pike. The spike happened only in March or in the last quarter. So, we expect the same trend to continue. And last year was a year of aggressive rate hike. This year that kind of aggressive rate hike should not happen. I think most people are expecting mayb e one round or maybe not even that.

Aravind R: And lastly, just one question. I think at the start of the call, you were discussing higher disbursement rates or growth in certain markets, like some kind of breakdown. Can you repeat that?

Manoj Viswanathan: No, I was just discussing about ticket size. Ticket size is higher in Southern markets. Disbursement, if you see the share of disbursement more or less, if you see FY23, it reflects the same disbursement, share of disbursement as FY22. So, we have not see n any major changes geographically in terms of the share of disbursement.

Aravind R: Okay. Because we have by AUM in your fact book, but it was not very clear on disbursement size. So that's why I wanted to understand .

Manoj Viswanathan: Yes. Yes. Share of disbursement is more or less similar to what we had last year.

Moderator: Thank you. Next question comes from the line of Shreepal Doshi from Equirus. Please go ahead.

Shreepal Doshi: Hello, sir. Thank you for taking up my question. Also, my question was pertaining to what percent of our branches are mature, that is more than INR 100 crores AUM size and what percent of our branches will be below INR 50 crores AUM size. Secondly, in the same line, what are key KRA differences for a branch, which will be mature versus a branch, which is relatively new?

Manoj Viswanathan: So, we have about 25 branches which are 100 Crore s plus and there's still a lot of headroom to grow because we are looking at each of these branches reaching at least INR 200 crores. And if you look at the branches which are below 50 Crores of AUM , it would be about 60 branches. In terms of KRAs, the lar ger branches would have slightly more, you can say, focus or bias towards collections because the volume of collections would be higher in the larger branches. In smaller branches, the bias towards collections would be lower. It's just a function of volume of collections, just proportional to the portfolio.

Shreepal Doshi: And so, in terms of say employee targets, so like for an RM of a relatively larger branch, would probably have a target, monthly target or if you could highlight that?

Manoj Viswanathan: Yes, so relationship managers have broadly two sets of targets. One target is to achieve a disbursal number for the month. And so, it will be around INR 50 lakhs to INR 70 lakhs of disbursals per month. And they also have their collection allocation. So typically, a relationship manager would get about between 10 to 20 loans to be collected. So, we are talking about 75,000 plus loans and with a 13% rate bounce rate , it's about 10,000 loans to b e collected every month.

So typically, an RM would get about 10 to 20 loans to collect. So broadly, I mean, at a very high level, this is the KRA. There is a disbursal target and there is a collection target. We also do on a quarterly basis, we set some ne w priorities for them, which is either it could be a target, or it could be a channel diversification target. It could be a number of active channels. It could be a product diversification target, things like that.

So that depends upon quarter to quarter, we change the priorities. But what remains static is basically the di

sbursal target and the collection target.

Shreepal Doshi: Got it, sir. The second question was with respect to the LTVs. So, if I look at it, more than 80% LTV is close to 34% of our over all origination currently. Now that has been coming down. Is there a strategy to further bring it down?

Manoj Viswanathan: So, this is actually ON AUM. So, this gives you a share of AUM at the time of origination. If you look at actually our current share of cases which are greater than 80% LTV, it would be far lower than this. So don't have the figure right down front of me, but my guess is it could be around maybe 10% to 15%.

Shreepal Doshi: Got it. The last question was with respect to the rate. So, you highlighted early in the call that there has been an increase of 5% to 10% in terms of EMI for a customer. Now, is that including the 50 basis point last rate hike that we have done?

Nutan Patwari: Yes.

Manoj Viswanathan: After the recent rate hike also.

Shreepal Doshi: Got it. And is there any other rate hike on the cards?

Manoj Viswanathan: Not at the moment. I mean, we'll have to see how the policy rates move and then we can decide, decide if at all we need to increase it.

Shreepal Doshi: Got it. So, this quarter we've also come up with a dividend payout. So, what's the strategy there in terms of payout ratio that we would want to sort of maintain?

Manoj Viswanathan: So, we have done some analysis and we said for a company of our size, and you know, which is declaring dividend for the first time, this kind of a ratio is a good ratio to have. And we'll maintain this for some time. You know, based on our analysis and divide nd policy, we are at a 10% dividend payout. So, we are likely to probably keep it at these kinds of levels .

Moderator: Thank you. Next question comes from the line of Aravind R from Sundaram Alternates. Please go ahead.

Aravind R: Hi, I just have this one last question. So, you mentioned MCLR based loans from banks. So, is that what funding from banks makes up like or does it also consist of, repo rate or another external benchmark?

Nutan Patwari: So, bulk of it is actually MCLR linked. Almost 75% of our ba nk loans are MCLR linked, and the rest is based on external benchmarks including repo and T -bill.

Moderator: Thank you. Ladies and gentlemen, as there are no further questions, we have reached the end of the question -and-answer session. I would now like to hand the conference over to Mr. Manoj Viswanathan for closing comments.

Manoj Viswanathan: Thank you everyone for joining us on the call. I hope you have been able to answer all your queries. In case you require any further details, you may get in touch w ith Manish Kayal who Heads the Investor Relations. Thank you so much.

Moderator: Thank you. On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

HFFCIL/BSE/NSE/EQ/63/2023-24 Date: 03-08-2023
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001.
Scrip Code- 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai- 400 051.
Scrip Symbol- HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter ended June 30, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter ended June 30, 2023 conducted on July 28, 2023 for your information and records. The Company referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company: www.homefirstindia.com

This is for your information and record.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

Home First Finance Company India Limited
Q1 FY24 Earnings Conference Call
July 28, 2023

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MANAGEMENT : MR. MANOJ VISWANATHAN , MD & CEO
MS. NUTAN GABA PATWARI , CFO
MR. MANISH KAYAL , HEAD - INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to the Home First Finance Company India Limited Q1 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference o ver to Mr. Manish Kayal, Head, Investor Relations. Thank you, and

over to you, sir.
Manish Kayal: Thank you, D orwin.
Good afternoon, everyone. I hope that all of you and your families are safe and healthy. I extend a very warm welcome to all participants on our Q1 FY24 conference call.
As usual, HomeFirst management is represented by MD & CEO, Mr. Manoj Viswanathan and CFO Ms. Nutan Ga ba Patwari.
I hope everybody had an opportunity to go through our investor deck and press release uploaded on stock exchanges and on our website yesterday. We have also uploaded the excel factsheet on our website.
We will start this call with an opening re mark by Manoj and Nutan, and will then have a Q&A session. With this introduction, I hand over the call to Manoj. Over to you, Manoj.
Manoj Viswanathan: Thank you, Manish. Good afternoon, everyone.
I am pleased to share with you the highlights of our Q1FY24 performance.
➢ We delivered a PAT of Rs. 69 Cr for Q1 recording a growth of 8% on a qoq basis and 34.9% on a yoy basis. This has helped us touch 15% ROE mark which is an increase of 60 bps on qoq a nd 220 bps on yoy basis. ROA holds steady at 3.9% .
➢ Disbursement in Q1 at Rs 895 Cr was 3% higher on q -o-q and was 35.4% higher on y -o-y basis leading to an AUM of Rs 7,776 Cr s, with a yoy growth of 33.3%. We stay focused on housing loans which form 87% of our AUM.
➢ Strong liability management has enabled spreads of 5.7% in a steep interest rate environment.
➢ Asset quality is at pre -covid levels and reflects marginal seasonality impact in Q1FY24.
❖ 1+ DPD increased from 4.0% in Q4 to 4.3% in Q1 but showed a yoy decrease of 70 bps
❖ 30+ DPD increased from 2.7% in Q4 to 2.9 % in Q1 but showed a yoy decrease of 60 bps
❖ Gross Stage 3 (GNPA) is stable qoq at 1.6%, showing a yoy decline of 50 bps .
Prior to such classification, it stands at 1.0%, up 10 bps from Q4 .

❖ Our credit cost is at 40bps for the quarter.
We will now move on to some more details on the business and our outlook for the current year:
Technology
Technology has been at the centre of our business since inception. Systemic tech led controls have been i mplemented across all our operations, providing a strong backbone for our risk management and internal audit processes.
Technology continues to be a key driver with several projects lined up for release during the year including a new -improved website. Ap p registration continues to be high at 93% with usage of 55%. We have 2 key highlights for Q1:
➢ Successful adoption of account aggregator model to access the bank statements of customers. This has the dual benefits of maintaining customer privacy as well a s providing richer and more reliable information to underwrite the loan.
➢ Usage of e -signatures for loan agreements has moved up to 59%. This has the dual benefit of error proof customer authentication as well as customer convenience.
Distribution
➢ We added 2 branches and 17 touch points in Q1. We now have 113 physical branches and 282 touch points.
➢ We are targeting an AUM growth of 30%+ for FY24 to enable us to cross the Rs. 10,000 Cr AUM mark in the next 12 -15 months.
People
Pleased to report that
➢ We hav e added 112 employees in Q1 to reach a total strength of 1105 employees.
➢ We have expanded our ESOP coverage to encompass 358 employees, which is 33% of total employee base.
Demand continues to be strong in the affordable housing sector. With our expanded distribution and employee base we are well placed to gain market share and deliver strong numbers in the rest of this financial year.
With this, I would now like to handover the call to Nutan to take you through the Financials.
Nutan over to you.

Nutan Gaba Patwari: Thank you. Good afternoon, all.
I will like to start by mentioning that we have touched 15% ROE in Q1FY24; a number that we have been looking forward to.
Moving to financial performance;
➢ Our Q1 Net Interest Margin is robust at 6.1% on the back of calibrated PLR increases over the last few quarters , timely drawdown of NHB funds, better utilisation of balance sheet and operational leverage.
➢ Net Interest Income has gone up by 30.3% in Q1FY24 on YOY basis.
➢ Spread at 5.7% remains well abo ve our guided range of 5.25%.
➢ Opex to Assets is at 3.1% for the quarter. We expect this ratio to remain in the range of 3.0% -3.2% going ahead; as we focus on expansion. Cost to income at 36.3% in Q1FY24, increase of 190bps on q -o-q basis.
➢ Credit cost in Q 1FY23 at 40 bps; is within our guided range of 30bps - 50bps.
Our Balance sheet is stronger than before.
➢ Starting with borrowings, the Company continues to have diversified & cost -effective long -term financing sources. We raised funding of Rs. 1200 Crs+ in Q1 itself. This remained diversified based across banks as well as NHB. Our Borrowings mix is :
❖ 54% of our borrowings from Banks (Private sector 32% and public sector 22%)
❖ NHB refinance share increased from 15% in Q4 to 22% in Q1 due to drawdown of Rs 600 Crs during the quarter
❖ 17% from Direct Assignment
❖ 4% is from IFC NCD
❖ We continue to have zero borrowings through Commercial paper.
➢ Our cost of borrowing is competitive at 8.0%, increase of 10bps from 7.9% on qoq basis; despite the continuous impac t of MCLR increases on our borrowing book.
➢ Coming to capital;
❖ Our total CRAR is at 46.0% and Tier 1 CRAR is at 45.5%.
❖ Our Debt to Equity is now 3 times.
❖ Our Jun'23 Networth stands at Rs. 1,868 Crs post dividend payout in Jun'23.
❖ Our Book Value per sha re (BVPS) stand at Rs. 212.
➢ Moving to provisions, we have remained conservative and continue to carry provision overlay over and above the ECL requirements. Total Provision coverage ratio stands at 57.1%. Prior to NPA reclassification as per RBI circular, PCR stands at 90.8% vs 81.0% in Jun'22.
On specific transactions;

➢ We did direct assignment of Rs 79 Crs during the quarter as a liquidity strategy. We continue to have a robust demand for our portfolio of assets.
➢ We executed Co -lending transactio n of Rs 35 Crs in Q1. Co -lending business is growing and expect this to contribute around 10% of disbursements in the near future.
With this, I open the floor for Q&A. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services.
Abhijit Tibrewal: First of all, congratulations on a very good quarter. So , Manoj, Nutan, before I ask the questions that I had, jus t wanted to understand the kind of delivery that we've had for many quarters together now. What is it that you think from these levels can go wrong? Or in other words, what is it that kind of makes you anxious , looking at the overall credit landscape , mort gages in particular?
Manoj Viswanathan: Abhijit, over the last 3 years, we have actually come through a fairly stressful period of Covid . And from a credit perspective, if something were to go wrong

, I think that was the time when we saw things going wrong and several customers being impacted by Covid , etc.
Post that, the demand has picked up. The credit performance o r the repayment behaviour has actually improved quite dramatically across the industry, not only for us. Today, we are actually seeing a far more disciplined and mature behavio ur from customers. The answer to your question is that there is nothing as such which we feel anxious about at this point from a credit perspective.
Abhijit Tibrewal: Got it. Sir, the other question that I had is, thi s increase in bounce rate that we 've seen in this

quarter and subsequently in July, is it just more to do with seasonality or there is anything else? Because repayment behavio ur across the industry has improved more dramatically. I mean none of the data re ally points to the fact that, delinquencies could increase even in the foreseeable future. So how to read this increase in loan sets?

Manoj Viswanathan: Yes, we would just put it down to seasonality because if you look at it historically, prior to C ovid also, in the first half of the year , delinquencies generally tend to inch up a little bit before settling down again in second half of the year . We are seeing a similar pattern this year as well. During the last 3 years, we were actually used to seeing continuously declining numbers because it was all basically a recovery from Covid . We were expecting that we would do better than the previous quarter because customers were recovering from Covid and they were coming back and repaying.

But now that things have stabilized and kind of reached a pre -Covid level, I guess these kind of fluctuations quarter -to-quarter, depending on seasonality, is something we have to start looking at.

Abhijit Tibrewal: Got it. One mo re thing on, employees, Manoj, fourth quarter when we added about 9 branches, the kind of employee addition that we had versus this quarter when we have added 2 branches and about 112 employees that have been added. So, is it more like a timing issue kind of a thing, some branches are in progress of being opened and then they eventually open in the next quarter, and what is leading to this? Or are there certain functions today in addition to employees that we need at branches that we are kind of building on strengthening so as to say?

Manoj Viswanathan: You are right. The employee addition is more a function of timing because we predominantly hire from campuses. Generally, there is a large number of people joining in the first quarter because that 's when the campuses finish their exams and they release the people for joining. That is the reason these many people have joined, although the branch addition is only 2. Bran ch addition is also sometimes bunched up. For example, we have a number of places where the lease has been signed and interior work is going on. We normally declare the branches open once everything is done and the branch is open for business , not when the lease is signed. So , some amount of bunching up happens. For example, we are expe cting about 5 to 6 branches to be opened in Q2FY24 and those branches will also need people. Those people have already joined. It's more or less a timing issue.

Abhijit Tibrewal: Perfect. And my last question was for Nutan. Well, Nutan, if you look at, I mean, the yield, the cost of borrowing trajectory, obviously, you 've reported the incremental cost of borrowings, ex-NHB and including NHB. But now given that where we are, I mean, what quantum of MCLR increases are yet to reflect in our cost of borrowings? And from here on, for the next few quarters, how should yields and cost of borrowing trend leading to what kind of spreads? And maybe if I can squeeze one last question. From a p rocess perspective, you would have noticed that recently there was one HFC w

hich identified some frauds. These are more in the nature of internal fraud , not on the lending side. From a process perspective, what is it that we are doing to further strengthen those processes just to ensure that something that has happened with the peer does not really happen in your organization?

Nutan Gaba Patwari : Sure. Abhijit, To address your firs t question on cost of borrowing and yield. On c ost of borrowings, most impact of MCLR has already come through. There is some lag effect still to come. Based on our projection, 8.20% - 8.30% is where we are seeing the peak to happen. This also assumes that there is no further policy rate change in India. With that assumption, I think, another 20 to 25 basis points at best is what we should look at. Now , when we are saying that , we are not looking at repricing our customers on a totality basis an ymore. And if we still g o

through the whole journey on 8 .30% with respect to cost of borrowing, we should be able to achieve the 5 .25% spread that we've been guiding. That's what's playing through our mind. At the later part of the year, if we see some softening o f interest rates, et c, then the conversation can be different in terms of when do we start passing it on to the customer, but that's for another quarter conversation.

On the process side, let me just get started and, of course, Manoj will add. On the process side, at every step of the process, starting from the underwriting to when you look at our processes of sanction , the 9 -step process that we have in a loan journey, the disbursal, the che ques , the penny drops, the endless reconciliations that we do across the operations and finance teams, kind of put us in good stead.

Now when we do most reconciliations, they have been done seamlessly across functions through use of multiple scripts written on Python or some other aspects. These systems and processes are well set in our situation. Central ised disbursement is something we have done right from the very start of the company, just as an example. The topical issue that you raised is around disbursements, and that is something we've been doing right from the very start.

Manoj, would you want to add to that?

Manoj Viswanathan: Yes, I just wanted to say that we have been focusing on systemic controls right from the start, which is why we have always kind of advocated a centralized underwriting as well as operations and disbursal process. The thought pr ocess at every stage is that the control should be established in the system itself so that it is not led to any manual process of check s and balance for any of the critical processes.

Even in the case of, for example, bank accounts, we do a penny drop on the customer's bank account. A person who owns the property is the one who gets the payment or the disbursal from us. We check the person who holds a title to the property. We ask them to give us a cancelled cheque to verify the bank statement and that is the bank into which the disbursal goes in. We have established those kind s of systemic checks in each process, which ensure tha t all the loopholes are covered. I just want to add that.

Moderator: We have the next question from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: Congrats for good set of numbers. My question was pertaining to the rate hike. So, have you taken a ny rate hike since April? We had already taken 125 basis point of rate hike. So, post that, is there any rate hike and is all of the rate hike already factored in the interest income now?

Nutan Gaba Patwari : The last rate hike that we took was 50 basis poi nts effective 1st April. That fully got absorbed in the quarter. It is fully reflected in income.

Shreepal Doshi: Okay. And on the cost of funds, if there was no benefit of NHB borrowing, what would be our cost of fund against the 8% that we have reported?

Nutan Gaba Patwari : The overall marginal cost of borrowing for this quarter is 7.6%; excluding NHB, it is 8.8%. So, if we did not have NHB, the cost of borrowing would have been higher by almost 15 to 20 basis points.

Shreepal Doshi: All right. S o basically, broadly in our range of 8.2% to 8.3% that we 've been guiding for?

Nutan Gaba Patwari : Yes.

Shreepal Doshi: All right. And then what 's the reason behind the increase in 1+ DPD and 30+ DPD?

Manoj Viswanathan: 1+ and 30+ I would put it as more seasonal because the last 10 quarters, we have kind of continuously driven down the delinquency, and a lot of it is recovery from C ovid . Now that things have reached a kind of steady state, if you look at the 1+, 30+, they have reached kind of pre -Covid numbers. So, there could be minor movements between quarters. That is basically what it is.

Shreepal Doshi: Got it, sir. Sir, one last question was pertaining to the increase in EMIs for our customers post complete implementation of this rate hike that we have taken. So, what has been that for our customers, the increase in EMIs?

Manoj Viswanathan: About 60-65% of the customers have no increase in EMI. We have about 30% of the customers who have an increase of between Rs 1 to Rs 1,000. And we have about 5% of the customers who have more than Rs 1,000 increase.

Shreepal Doshi: Got it, sir. Sir, just last question on the growth front. We 've been delivering more than 30% Y -o-Y growth for the last 5 -6 quarters, while you 've been guidi ng for close to 20% to 30% growth.

So, would we look at revisiting this growth number given that our first quarter has also been such a strong quarter? So, any revision of growth for the year?

Manoj Viswanathan: No, we have been guiding to a 30% AUM growth . That is where we are at the moment. I mean , we are a little higher than 30%. We have always been guiding to a 30% AUM growth.

Moderator: The next question is from the line of Raghav Garg from Ambit Capital.

Raghav Garg: Congrats on a good set of numbers. I have a couple of questions. First one being on yields so, they've expanded by about 30 basis points quarter -on-quarter despite the rate hike being about 50 basis points, and that has been fully absorbed.

I also note tha t the share of high -yield non -HL has gone up. So, the point that I 'm trying to make here is that the 50-basis point hike that we change in portfolio mix doesn 't fully reflect in the

quarter -on-quarter change in the reported yields. So, should we understand that there is some sort of pricing pressure because of competition that you are facing? That 's my first question.
Nutan Gaba Patwari : Raghav, there is a portion of NHB, which we do not reprice because that is fixed to the customer and fixed to us. Due of that, this shows a slightly lower yield increase than the PLR increase.
Raghav Garg: Okay. Fair enough. My second question is that the BT out has also been going up. Any specific thoughts on that? That 's been up since last 2 quarters. Or not really a c oncern as of now?
Manoj Viswanathan: It's not increased very substantially. So, it's not a major concern at this point. It could be a reaction to rate hike, etc. But largely, it 's in the same range of 4% to 6% that we have been talking about since last 10 quarters. We will have to watch it for some time. But as of now, it 's not something which is a matter of anxiety.
Raghav Garg: But would you have observed any kind of competitive tactics by some of the large financiers in this quarter?
Manoj Viswanathan: No, nothing which is very obvious kind of activity . Generally, in the last quarter of the year, there is a lot of interest in balance transfers. But last few quarters, it has not been a focus area for many comp

anies because the rates have also gone up. So , balance transfers are also a little difficult to achieve. But this would be probably just a reaction from customers to the headline rate increases because they are hearing about rate increases all the time. So , some customers probably are taking the initiative to get it transfer red to a lower cost lender. It could be just that.
Raghav Garg: Sure. Just my last question. I noticed that the treasury income has been going up . And if I look at that as a percentage of average investment and cash balance at an annualized 12% kind of a figure for this quarter, it was I think 10% in last quarter. What sort of instruments are these? Because that seems to be contributing a lot to the overall ROA/ROE. Could you explain a lit tle bit more as to where are we investing this money and whether this yield is sustainable on the investment balance or not?
Nutan Gaba Patwari : Raghav, there are only 3 instruments which we can invest our extra funds. The first one is fixed deposits with banks, T -bill with RBI and liquid / overnight funds with mutual funds. Those are the only three categories of instruments we are allowed to invest . At present, the yields that we're earning on this is in the range of 6.5% to 6.6%.
Coming to the part of sustainability of this treasury income , this will really depend on the lower end of the interest rate curve. It's a reflection of that because T -bills, fixed deposits and liquid funds are dire ctly mapped to the overall policy rate as well as the open market rate. So , if we are saying that policy rates are stagnant for some time, so should this be.

Raghav Garg: Sure. The calculated yields seem to be way higher, but I think I'll take that off -line in the interest of time.
Nutan Gaba Patwari : Calculated yields, the challenge is that sometimes towards the quarter end, the investments show a slightly lower number. You will have to add the cash and bank balances on the balance sheet and the investments together and then calculate the yields. It should come around 7% from there.
Moderator: The next question is from the line of Kunal Shah from Citigroup.
Kunal Shah: With respect to this bounce rates, again, going up in 1Q and currently being at almost like 15 -odd percent level, should we expect then maybe in terms of the 1+ delinquency and 30+ delinquency, it should broadly be something which we have seen all past 2 quarters and might not get down towards the pre -COVID level, okay? So maybe pre -COVID of 1+ was almost like 3.2% and in fact, 30+ was somewhere around, say, 1.7 to 2 -odd percent. So, does it seem that now it should be more kind of a range bound in the current levels?
Manoj Viswanathan: Not really. I think, like we said, there is a lit tle bit of a seasonal uptick, but our attempt is to continue to keep working on these numbers and keep improving these numbers. Other than the bounce rate itself and as you mentioned, there could be some flow from the bounced cases , We also track the actua l flow from the current bucket to the next bucket. And that number has been fairly stable or rather shown some improvement over the last couple of quarters, so which is what gives us the confidence that the numbers can only improve. It can only be stable or improve further.
Kunal Shah: Sure. Okay. And secondly, in terms of the sequential momentum as well in terms of the disbursement, that's been quite good. So, in fact, when we look at it, does it give much more confidence with respect to maybe the overall AUM traction? And would we maybe -- stick to like maybe 20 -30 odd percent branch addition during the fiscal given that it was hardly like 2 odd branches and maybe 1Q could be seasonally slow even in terms of the branch addition?

Manoj Viswanathan: Yes. We are looking at about 130 by the end of the year
Kunal Shah: S

o around 20 branches in this fiscal?
Manoj Viswanathan: That's right.
Kunal Shah: Okay. And in terms of the growth, does it give you more confidence in terms of building the traction even from this level?
Manoj Viswanathan: Yes. Growth is a function of the disbursal numbers. Disbursal numbers, we are already at a run rate of Rs. 900 crores per quarter or Rs. 3,600 crores for the year. Rs. 3,600 crores for the year should give us the desired AUM growth.

Moderator: The next question is from the line of Nidhesh from Investec Capital.
Nidhesh Jain: So firstly, on the BT out rate that we have seen slight increase. Is there any peculiarity that we have seen the customers for which EMI has increase d, those customers have moved out? And have we also tried to look at the reasons of BT out? Is it interest rate or higher funding that these customers are seeking?
Manoj Viswanathan: No. Generally what we are seeing as BT out is triggered by customers who are interested in getting a lower interest rate. And I guess the continuous hammering of news over the last 1 year that rates are going up and we have also done 3 rate increases , that would be playing on people's minds. And some people would move out of their inertia and start looking actively for another lender. I think , that is really what is playing out over here.
The number of customers who have significant EMI increase is very, very small for us to draw any conclusions. Like I said, hardly 5% of our customers have even a Rs. 1,000 increase in EMI. That is not a significant base for us to draw any conclusions. But yes, broadly, the inte nt is to reduce the interest rate.
Nidhesh Jain: Okay. Sure. Secondly, if you look at the attrition rates on annual ba sis, that still remains quite high at around 40%. That I know is an industry phenomenon, but what we are doing to reduce the attrition rate of employees because I think that hampers the growth opportunity over a medium to longer term?
Manoj Viswanathan: Attrition rates have actually moderated for us. If you see last year, our overall average was about 39-40% . But the last quarter, Q4FY23 , was a little lower. And Q1FY24 has been actually substantially lower at about 26%. In fact, Q1 is actually even better than pre -COVID levels, when the attrition used to be around 30 -ish. It is t oo early to draw any conclusions. But yes, Q1 attrition has been much lower.
Nidhesh Jain: Okay. And on the ROE, we have reported 15% ROE in this quarter. A nd now going into the year, I think there will be a pressure on margins, say, 20, 30 basis points. So how should we think ROE for the full year?
Nutan Gaba Patwari : Nidhesh, we have to look at the balance sheet management overall from a NIM perspective first. Then we also have some –non interest income lines, which we could look at. We have visibility of 15% ROE for the rest of the year.
Nidhesh Jain: Sure. And next on the co -lending. So, in co -lending, when we do co -lending, the income comes into interest income or this element which also comes into fee and other income on the co -lending?

Nutan Gaba Patwari : No, there is no upfronting in co -lending. There are 2 portions of the income: the processing fee goes in the interest income line and for the spread portion it comes over the tenure of the loan in the interest income line itself.
Nidhesh Jain: Okay. So, there is nothing which comes in fee and other income on the co -lending?
Nutan Gaba Patwari : No
Nidhesh Jain: Sure. And just last question on the active connector base for the quarter, what was the count of active connectors we had in Q1?
Nutan Gaba Patwari : 2,500.
Moderator: We have the next question from the line of Nischint Chawathe from Kotak.
Nischint Chawathe: Congrats for the quarter. If I

look at the AUM mix on average ticket size, and we are able to see a consistent rise in the higher ticket. Four quarter out, how would you see a shift further appearing towards the higher tickets? Or are we kind of stabilizing at these levels? And if so, what is the implication on the business in terms of margin, in terms of employee incentivization

and asset quality?
Manoj Viswanathan: On the ticket si ze, there is a certain distribution in the AUM . And you see our current disbursals, the disbursal is also very similar to what is there in the AUM. I think you were probably referring to the ticket size of above 2.5 million, which is showing a slight incre ase. That is basically because of co -lending. If you take off 1% or 2% because this is a contribution of co -lending, the numbers are fairly static across quarters.
Nischint Chawathe: So, if you see the AUM mix on average ticket size, both above 1.5 million to 2.5 million, above 2.5 million, I think, on a year -on-year basis has seen a kind of a fair amount of increase. So, I'm just trying to say that whether it kind of stabilizes at least 28% and 11% ?
Manoj Viswanathan: Yes, I think this is because of probably not very high -ticket sizes, but within the 0 to 25 or 5 to 25 ban d, slight redistribution is there. I think the 10 to 15 lakh ticket size segments is moving up slightly if you look at our current disbursals. That is probably increasing the overall ticket size. But that is more of an inflation linked movement and the movement in the ticket size. Nothing that we have done structurally to change our focus.
Nischint Chawathe: So, the question essentially is that if I look at how would these ratios looking like 4 quarters down. Is it that kind of keep on seeing the higher ticket increasing because the co-lend ing goes up or is it something that now we probably made a shift ?
Manoj Viswanathan: I think we can expect two trends one is that the 2 to 2.5 and 2.5 plus, we can expect some increase because of co -lending. If we will take away the co -lending, it should be l argely the same as what we have been doing in the past.

Second, w ithin the 5 to 25 lakh range, I think customers who were earlier purchasing houses below 10 lakhs are probably going beyond the 10-lakh range. It is purely an inflation linked movement . So, the 10 to 15 lakh segment has moved up slightly. You will see that peculiar increase playing out in the overall average ticket size also. Earlier average ticket size used to be in the Rs. 9 lakh to Rs.10 lakh range, but now you are seeing it more like Rs. 10 lakh to Rs. 12 lakh range.
These are the 2 trends that are likely to play out. So , more loans in the Rs. 10 to Rs. 15 lakh range which will probably come through. And this is also because of a strong presence in the southern part of the country, where affluence is higher and ticket sizes are slightly higher. And that is creating a small, secular movement on the overall average ticket size. But structurally, I just want to assure you that we have not done anything to incentivize or migrate people to source higher ticket sizes .
Nischint Chawathe: And how do you incentivize employees? I mean, is it on a number of cases or ticket sizes and then there will be an actual information to kind of -- to do these larger tickets?
Manoj Viswanathan: Right. We do both. There is a value target for employees, and it is also moderated by the number of loans that we need to activate. Indirectly, it boils down to maintaining the check on the ticket size.
Nischint Chawathe: Perfect. And just one small question is, any other NHB lines of funding that are there in the pipeline?
Nutan Gaba Patwari : We are in advanced stages of discussion. There should be something in this quarter, but only when it comes, we can be sure.
Nischint Chawathe: And these lines of funding on

an incremental basis are still sort of costing a little lower than the rest?
Nutan Gaba Patwari : Yes.
Moderator: The next question is from the line of Mayank Agarwal from In Cred Capital.
Mayank Agarwal: So, my first question is on basically above 80% LTV loans. So , we have seen an increase of 19% Q-o-Q growth in this segment. Any specific reason for that? And what k ind of customers are these? And can we see the growth in higher -LTV loans going forward?
Manoj Viswanathan: No, there would be some uptick because of a minor movement because of co -lending because co-lending largely comes from apartment -led loans where the LTV tend to be higher, and that's industry practice also. Co-lending loans generally come in 75% to 85% LTV kind. There would be a slight movement because of that. Other than that, we don't see any reason why that particular band will go up.

Mayank Agarwal: Yes. Because actually, I'm seeing Rs. 200 crores of increase in this quarter for this segment?
Manoj Viswanathan: Yes. But if you look at it from a percentage basis, the ratio is the same or slightly lower actually

in terms of ratio.
Mayank Agarwal: Okay. So basically, it's due to co -lending only? Okay, okay. Got it, got it.
Manoj Viswanathan: Yes. It is due to co -lending only, and there is no change in trend. Whatever trends we have been posing earlier, the same trend that is continuing. In fact, if you look at it as the ratio of the overall portfolio, it is slightly lower than earlier .
Mayank Agarwal: Okay. And my second question is basically, we have indicated a spread of 5.25% earlier. But now, currently, we are in a spread of 5.7%. So, as you mean, in this quarter also, we have increased liquidity of Rs. 250 crores because of the NHB funding. So why do you think it can go down to 5.25 % spread ?
Manoj Viswanathan: Are you saying that the rate is already 5.7, right? Would it go down to 5. 25, is that the question?
Mayank Agarwal: Yes, yes, yes.
Manoj Viswanathan: Yes. If the rates moderate or taper out some years, then it is fine. But we will still have t o pass on if there's any reduction in rates going forward. And we'll have to pass that on to customers because when the rates went up, we have passed it on to the customer. So , we'll have to pass that decrease also to the customers. That is one reason why the rates would trend down. And still, we are not very sure whether the rates will go up or not. There could still be a possibility that the rates could go up from here by maybe 10, 20 basis points.
Mayank Agarwal: Sure, sure, sure. Okay, got it. Okay, sir , my last question is, now we are at an ROE of 15%, while we are still sitting at a capital adequacy of 45%. So, what levels of leverage would be comfortable at? So, in 1 or 2 years, let's say, if you reach by 18% ROE, would that be sustainable or that could see a further increase?
Nutan Gaba Patwari : You mean increase in capital adequacy or increase in ROE?
Mayank Agarwal: ROE. Till what it can expand?
Nutan Gaba Pat wari : Our goal for this year, the 15%, now for the rest of the year, we would like to sustain this. Next year, we would like to cross 16%.
Mayank Agarwal: Because we are going at a 30% kind of AUM growth. We are making a 3.9% kind of RO A that basically indicated 2% kind of increase in ROE this year also.
Nutan Gaba Patwari : Given the interest rate environment and the cost of borrowing increase, it will be a bit early to commit to that.

Moderator: The next question is from the line of Arvi nd R from Sundaram Alternates.
Arvind R: Yes. Congratulations on the great set of numbers. So , I understand like we have increased 125, 150 bps yields to the customers if you consider from the fourth quarter of 2022. Am I right?
Nutan Gaba Patwari :

Yes, 12 5 basis points.
Arvind R : Yes. So my question is this, I could see you like average yields also gone up to that -- in a similar extent, 120 bps, but at the same time, like our mix shift towards more and more towards self - employed I thought like you could have gone even more higher. So tha t is one of my -- first question.
And I just wanted to understand like rate sensitivity kind of a thing. Like, let's say, like 100 bps or 50 bps cut, what could be like impact on yields or the cost of fund?
Manoj Viswanathan: On the yield, there is a very, very marginal increase in self -employed, I think probably 1 or 2 percentage points. That will not really move the needle too much. Because the self -employed rate is about 50 to 75 basis points higher than a salaried customer. With a 1% or 2% movement in self-employed, it will not change the overall yield too much.
And as far as sensitivity is concerned, we are anyway consciously trying to keep the yields in the 13% to 14% range because that's really the core affordable segment. Beyond 14%, the segment that we are accessing will be slightly different in terms of profile. Our attempt is to maintain the yields between 13% to 14%.
Arvind R: I also ask this because like even LAP loans have gone up in terms of share of AUM. So that would also likely give us more yields ,
Manoj Viswanathan: Yes, LAP loans, once we reach that 15% of our disbursal, we have kind of maintained it. What you are seeing on the AUM is just the catch -up on that. But as far as disbursal is concerned, we are maintaining it below 15% of our disbursals.
Arvind R: No, sir, I mean that even like LAP as a proportion has grown. These 2 things, like high -yielding books like in terms of self -employed and the LAP also grown, but this product shift hasn't contribute that much into the yields. That's w hat I was trying to understand.
Manoj Viswanathan: But the shift is very marginal is what we're seeing. Self-employed again has moved up by 1-2%, LAP has moved up by 1-2%. That shift is not significant enough in order to contribute a lot to the yields.
Arvind R: Okay. But, sir, can we expect the shift to continue in the product mix?
Nutan Gaba Patwari : Arvind, let me try to explain you differently. If you look at the overall LAP mix, that has

increased year -on-year by almost 2%. These self -employed has i ncreased by almost 3% on a

year -on-year basis. Therefore, ideally what you're saying, wh y is these yields not coming through. There is almost 10% of the book, which is fixed in nature from NHB, which is also fixed for the customers, which we don't reprice.

While the LAP mix and self -employed mix should increase the yields ahead of 125 as per the discussion we are having, there is something that is pulling down the yield as well, which is the NHB fixed book. And hence, what we see is a blended increa se in the book from 12.7% to 13.7%. I hope that addresses your specific question.

Arvind R: Just one more question. So opex growth has been faster than revenue growth for the past 5 or 6 quarters. Like when can we expect to be in line with the revenue grow th or like even lesser than that?

Nutan Gaba Patwari : What we are aiming to do on opex growth is to be in line with AUM growth first because when you look at income, income has variations of item of other income as well. AUM is the right way to look at absolute opex growth.

Now in opex growth, if you look at it, our operating cost at per loa n level or any other metrics, opex to assets, cost -to-income, we are actually quite frugal in our approach and very, very productively running the processes. We will have to move to a stage where we are at a moderate growth level for operating costs to com e down.

Given the fact that we are at a high growth rate today, opening a lot of branches every year, almost 20 plus

branches every year , adding people, for us to see a substantial reduction in operating costs is some time away. And hence, we continue to g uide 3% to 3.2% operating cost to AUM for the next 2 years.

Arvind R: Okay. Okay. Just one last question. So, this BT out which is happening, like who are they going to? Like are they going to like some other NBFC or something else?

Manoj Viswanathan: No, they generally go to banks. If you see the top four companies or banks, they go to typically HDFC Limited, ICICI Bank, Bank of Baroda, State Bank of India , etc . It is largely the big commercial banks that they migrate to because that is wh ere they get low rates which are satisfactory. So, customers don't generally shift for 1% or 2% change. They generally –shift where they are able to get a substantial improvement in their rates. These are generally the entities where they move.

Arvind R: In terms of AUM growth prospects which states do you see like offer a much scope for growth, other than Maharashtra and Gujarat?

Manoj Viswanathan: States are all growing across the board. The potential is different in different states. There are all different sizes in terms of the affordable housing book. But we are seeing growth come through practically in every market where we are present. That is at least what we are seeing.

Moderator: The next question is from the line of Renish from ICICI.

Renish : Congrats on a great set of numbers. One, slightly on the strategic side. So of course, the LAP proportion is increasing maybe a percentage point by every quarter. But if we, let's say, track back a couple of years, the share has actually now gone up to 12% versus 5% -6% 2 years ago, I mean, let's say, pre -Covid type.

So, the existing model, which is more or less based on the connector and the centralized underwriting, and once we see this proportion going up by even, let's say, a percentage po int every quarter, maybe within a year or so, this will be above 15%. So, what kind of business strategies we have to grow the LAP product? I mean, it certainly will be similar to what we've been doing in the similar segment? Or there will be some differen tiated strategy we are having for LAP product?

Manoj Viswanathan: LAP, we are currently originating 15% or disbursing 15% as the LAP product. And we had taken a call that we will keep it at 15%. So, what you will see on the AUM is the catch -up up to 15%. So, once it reaches 15%, then it's likely to stay there because the disbursal rate is only 15%.

As said, there is no di fferentiated strategy because it's only a 15% of the share at the moment. Our existing channels, existing branches originate that little bit of LAP that comes through. We have not set up separate channels or separate vertical for LAP . It's a part of the re gular business.

Renish : Okay. Got it. That is helpful. Secondly, again, on the ROA side, okay? So, when we look at the cost to asset , as Nutan was highlighting that we ’ll continue to invest and hence, cost might remain slightly elevated at more than 3% versus 2.8% during FY22 . And considering there will be some pressure on NIM. So how confident we are that we 'll be able to sustain this nearly 4% ROA in coming quarters?

Nutan Gaba Patwari : Renish, there could be some softening of the ROA, but the leverage will also pick up gradually as you have seen that the leverage has continued to increase with the increase in the book. So that will continue to support the overall ROE. At an ROE level through li nes, we feel confident at 15% plus for the rest of the year.

Renish : Got it. So , ROA, there could be some deviation is what you are saying, maybe because of margin or something, but ROE we are confident to sustain at 15%?

Nutan Gaba Patwari : Yes.

Moderator: We have the next question from the line of Chandrasekhar Sridhar from Fidelity International.

Chandrasekhar Sridhar: Given that the CLSS subsidy is getting over by this year -end, do we take this into account at all at the time of sanction? And sort of given this is a long -duration product, do we take that account in the transaction ?

Manoj Viswanathan: No, CLSS subsidy is over now . We stopped offering this product last March '22 because that is when the scheme got closed. So, we stopped offering the product. Throughout last year, there was a residual payout of the earlier cases, which were sourced . So, the subsidy came through from the government. And the fina l subsidy came before March this year. We do not even expect any mor e subsidy to come through. I mean nothing is due as such. That scheme is closed.

Chandrasekhar Sridhar: Right. Okay. Great. And Manoj, I don 't know where I heard it, right, but you said that you wanted to maintain this level of disbursements, which is sort of Rs. 300 crores a month for this year?

Manoj Viswanathan: No, the question was how do you expect the AUM growth to play out? So, I said even at the current trend of disbursals of about Rs. 900 crores per quarter, we should be able to meet our annual AUM growth plan, which is 30% is what I mentioned. But there will be obviously an increase in disbursals in the subsequent quarters.

Moderator: The next question is from the line of Lalitabh from Anvil Wealth Management .

Lalitabh : Congratulations on a very good set of quarter. Most of the questions have been answered. One small question. This bounce rate has slightly moved up in the June month as well as on the Q1. So, I would like your sense, does it have to do anything with the cu rrent environmental issues that we are seeing, floods and all? Or is it something operational? If you can help us understand.

Manoj Viswanathan: Actually, the bounce rate movement is very slight. So difficult to establish any trend out of it. Anecdotally, they are not really hearing anything other than the normal reasons for bounces. So very difficult to establish any trend out of it. It 's very, very slight movement. And we have seen these kinds of movements in the past also. In some quarters, it goes up by 1% or so. I would say, we c an't read much into it.

Moderator: Next question is from the line of Rajiv Mehta from Yes Securities.

Rajiv Mehta : Congrats on a very good set of numbers. So just one question on growth in terms of, say, Gujarat state. I see solid growth continuing in Gujarat, and that is the largest market for us . It is going in line with our overall AUM growth even on a larger base. And we haven 't seen much branch addition also in the state. What drives this very strong growth from the same branches in Gujarat?

Manoj Viswanathan: Yes. Gujarat is actually a very organized market. You can actually tap a large part of Gujarat with presen ce in a fewer number of places. It 's more concentrated. The 4 large cities in Gujarat actually contribute almost 70% of the business in the state. So, if you 're present in around those cities, you can actually tap 70% of the addressable market. That is one reason why the number of branch addition is not required.

However, we are trying to see if there are any pockets which are left to penetrate. We are penetrat ing it through addition of touchpoints. You may not see too many branch additions. Idea is once we have established like a branch which is in the nearby area, you don 't need to add more branches. You can just add touch points and build distribution. That 's what 's happening in Gujarat.

Moderator: The next question is from the line of Omkar Kamtekar from Bonanza Portfolio Limited.

Omkar Kamtekar: So we are aiming for the AUM to cross about Rs. 10,000 crores by the end of this year? Just a cla

rification, is th is correct?
Manoj Viswanathan: No, we said 12 to 15 months.
Omkar Kamtekar: Okay. 12 to 15 months. Okay, 12 to 15 months for the Rs.10,000 crores barrier. And also on the branch addition, so how many branches were we going to add in the current year?
Manoj Viswanathan: We're targeting 130 branches by the end of this financial year. Currently, we are at 113.
Omkar Kamtekar: And lastly, the co -lending part of the business. So, this is something that I wanted to understand. What type of a difference will it make on the ROA side? So , because generally in the co -lending business, you can slightly improve your RO A. So, do you see if the share from the co -lending business increasing for the next 2, 3, 4 or even 7 to 8 quarters, the ROA to improve further?
Nutan Gaba Patwari : There is a potential for co -lending to improve ROA at a certain scale. We are slightly away from that scale, and it has to be done at the right yield structure also and in the right interest rate environment. If all things work, then co -lending can add up to 30 basis points on the ROA. But if one of these things is not at the right stage, then of cour se, the addition ends up being much lower.
Let's say, we are not projecting any ROA benefit from within the next 6 months. We are using the next 6 months to scale the product and then look forward for the ROA benefit.
Omkar Kamtekar: Okay. Okay. So , we are currently looking to get the critical mass, and then we jump forward on it?
Nutan Gaba Patwari : Yes.
Omkar Kamtekar: That would be correct way to understand. Okay. And one last clarification with respect to the portfolio mix. So currently, the portfolio mix, 87% of the portfolio is from home loans , 1% is Shop Loan and 1 2% is from LAP, and 69% is from salaried employees and 31% is from self - employed . So, do we see the mix to be same? Or what will be the maximum limit that you would want to see on the self -employed? Is there any upper barrier that you have set for

your self? And similar in the shop loans and LAP, is there an upper limit that we might not go beyond this threshold ?
Manoj Viswanathan: Historically, as far as LAP is concerned, we already set the threshold at 15%, and we are not going beyond that. So, we have capped it at 15%. Shop loan is really very. I mean we would like to scale it up more. Currently, it is just 1% of the business. So, we have not even set any cap. We would be comfortable for it to go up because it 's a good product. We 're not facing any problem with whatever we have originated.
Again, on the self -employed side, we have never had any upper cap as such. It is just the way the market is distributed or the business is distributed for us because the way we do business, it attracts most salaried customers. We tend to get more salaried customers. We don 't have any upper cap as far as self -employed is concerned. You may see as we go deeper into the smaller market, you may see a slight uptick in the self -employed numbers.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: All the best to all of you. You are doing nicely. As our company gives loan by common man , do you confirm they are technically friendly to any app or they take the loan from app only?
Manoj Viswanathan: Mostly, customers don't take the loan on the app. We provide the services on the app. The way it happens is customers first take the loan. When they come for completing the documentation, we educate them on how to use the app. We download the app for them o n their mobile. After that, any small queries they have, service queries, statements, etc, they can get on the app itself. They are comfortable with. It saves them a trip to the branch, saves them a phone call. They can get things at their fingertips. If t hey want to make payments, th

ey can pay from the app. So that is really the advantage.
Ravi Naredi: In financial year FY25, what is our growth plan in our mind?
Manoj Viswanathan: AUM growth of 30% is what we have in our plan at this point.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital.
Raghav Garg: Just one question, so you mentioned initially that the ESOP stock pool has been expanded substantially. And I understand that covers about 32% of the employee base. What I wante d to understand more in this is that, have you changed any criteria so as to accommodate more employees, maybe to arrest the attrition, especially in light of the attrition rates that we witnessed in the last couple of years. That 's the only question that I have.
Manoj Viswanathan: No, we haven 't changed any criteria. Our criteria have always been to cover people who are branch managers and above. We have not changed that criteria. I think overall, number of

people have gone up. And it could j ust be a timing issue. Because last year, probably those

people were not branch managers. This year, they ’ve become branch managers. So that number has expanded a bit. Otherwise, we have not changed any criteria.

Raghav Garg: So, the minimum vintage for an employee to be eligible is?

Manoj Viswanathan: It depends on the level. If somebody is joining at a senior level, then we would not look at the vintage. It could be either almost immediate or from the next financial year. But if they are joining as freshers, then we would look for them to become like a supervisor, either a branch manager or getting to a supervisory role in head office.

Raghav Garg: And what kind of time line would that take for their pressure to become a supervisor?

Manoj Viswanathan: That will generally take about 2 to 3 years.

Moderato r: We have the next question from the line of Arvind R from Sundaram Alternates.

Arvind R: I just had one question. What is this Rs. 4.5 crores and Rs. 4.8 crores in fourth quarter 2023 and first quarter 2024? What is that income? And like is that something which will be sustainable and growing?

Nutan Gaba Patwari : This pertains to marketing we are doing on our website. If you go to our website, you will see some of the insurance partners. So , for that, we get some fee because we ’ve tied up on a lon g-term contract and it is sustainable.

Moderator: The next question is from the line of Shreepal Doshi from Equirus.

Shreepal Doshi: The question was on opex front. So currently, we are at 3.1% opex to asset . With the branch addition in pipeline, do we expect this to move upwards to 3.2%?

Nutan Gaba Patwari : Shreepal, the range remains 3% to 3.2%. Now from quarter -to-quarter, this could vary slightly because sometimes the exact number of branches through the quarter may not come through because location, people, everything needs to be in place. So, 3% to 3.2% is a more appropriate range to look forward. Specific numbers on a particular quarter will be much more difficult at this stage.

Shreepal Doshi: Okay. Got it, ma ’am. And then, during the quarter, we have seen the liquidity on balance sheet. The investment in cash as part of the percentage of the balance sheet has gone up on a sequential basis. What explains this?

Nutan Gaba Patwari : First and foremost, it explains our ability to raise fund ing right at the beginning of the year. So, we’ve raised close to Rs. 1200 -plus crores funding in the first quarter itself. The same set of banks giving us additional lines with higher value. So first, it reflects that.

Second, because we are growing much more in absolute size . Last year, same period, we were doing approximately Rs. 220 crores – Rs. 230 crores of disbursal. And now we are doing Rs. 300 crores plus. So, the

need from the balance sheet per se has expanded. So, we need to keep that much liquidity on the balance sheet.

Shreepal Doshi: Okay. So, going ahead also, there won ’t be any benefit occurring from trimming of excess liquidity? This is the level we wil l be maintaining on balance sheet. Is it fair to assume?

Nutan Gaba Patwari : Yes, Shreepal. But what also happens is through the quarter, we sometimes see much lower liquidity levels because the nature of funding is that it kind of bunches up towards the quarter end with disbursals from the bank. What you see at the quarter end may not be there through the quarter. It could be slightly lower.

Shreepal Doshi: Got it. Got it. And last question was on NIM guidance. So, what is that we are guiding with respect to FY24 NIM from here on?

Nutan Gaba Patwari : Closer to 6%.

Moderator: The next question is from the line of Sameer Bhise from JM Financial Limited.

Sameer Bhise: Congrats on a good set of numbers. Pardon me if I may be nitpicking a bit. But if I see the credit cost run rate is up to 40 basis points last 2 quarters , and the ECL outstanding on the portfolio stayed down by 10 bps on a Y -o-Y basis or even sequentially. So , could you just explain with respect to what do you expect on credit cost and probab ly the number on write -offs, et c?

Nutan Gaba Patwari : Right. So, the number on ECL that you talked about, 90 basis points, first and foremost, the decline actually is just 2 basis points because we present our data in one decimal numbers. So, it looks like a 10-basis point reduction from 1.0 to 0.9 but if you look at a double decimal number, the drop is just 2 basis points.

Now this is coming from broadly two reasons: first, of course, the growth in the book itself, which needs to be provided for, which is essentially parked in Stage 1. Then as we've been

discussing through the call, there is a slight increase in the 30 + DPD and 1 + DPD, which needs for a highe r provision.
So then when you look at that, the overall provision kind of looks slightly lower. But if you look at on a stage -to-stage basis and on a total provision coverage ratio basis, it's actually quite healthy and way above the ECL requirements. This is the ECL part of your question.
Coming to credit cost of 40 basis points which is about Rs.7.5 crores in absolute number, out of which around Rs. 4 crores is the increase in ECL. And a large part of it is shorter recoveries that we write off as we repossess and close the loans through the quarter. I hope that explains the details on credit cost and ECL.

Sameer Bhise: Yes, this is helpful.
Moderator: As there a re no further questions, I would now like to hand the conference over to Mr. Manoj Viswanathan for closing comments. Over to you, sir.
Manoj Viswanathan: Thank you. Thank you very much, for joining the call. I hope we've been able to answer all your querie s. In case you require any further details, you may get in touch with Manish Kayal, who looks after Investor Relations. Thank you very much.
Moderator: Thank you. On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines .

Call: Nov 2023

HFFCIL/BSE/NSE/EQ/85/2023-24 Date: 03-11-2023
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001.
Scrip Code- 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai- 400 051.
Scrip Symbol- HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter and half year ended September 30, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and half year ended September 30, 2023 conducted on October 27, 2023 for your information and records. The Company referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company: www.homefirstindia.com

This is for your information and record.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

Home First Finance Company India Limited
Q2 FY24 Earnings Conference Call
October 27, 2023

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MANAGEMENT : MR. MANOJ VISWANATHAN , MD & CEO
MS. NUTAN GABA PATWARI , CFO
MR. MANISH KAYAL , HEAD - INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Q2 FY24 Earnings Conference Call of Home First Finance Company, India Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manish Kayal from Home First Finance. Thank you, and over to you, sir.
Manish Kayal : Thank you, Yashashri. Good evening, everyone.
I extend a very warm welcome to all participants on our Q2 FY24 conference call.
I hope everybody had an opportunity to go through our investor deck and press release uploaded on stock exchanges and on our website yesterday. We have also uploaded the excel factsheet on our website.
On today's call, HomeFirst is represented by our MD & CEO, Mr. Manoj Viswanathan and CFO Ms. Nutan Gaba Patwari.
We will start this call with an opening remark by Manoj and Nutan, and will then have a Q&A session.
With this introduction, I handover the call to Manoj. Over to you Manoj.
Manoj Viswanathan : Thank you, Manish.
Good evening , everyone.
I am pleased to share with you the highlights of our Q2FY24 performance.
• Q2FY24 performance has been strong across all operating and financial parameters. We have delivered an ROE of 15.6% in an inflationary and peak interest rate environment. This level of consistent and superior returns is a testimony to our strong risk man agement, use of right technology and scalability of our business model.
• We continue to build our distribution by simultaneously entering new markets and deepening our presence in existing markets. We added 7 branches in Q2 and now have 120 physical branches. Including potential branches & digital branches, we now do business from 295 touchpoints across Tier 1 to Tier 3 markets in 13 states / UT.

• Disbursement in Q2 at Rs 959 Cr was higher than Q1, with a growth of 36.6% on y -o-y basis and 7.1% on q -o-q basis, leading to an AUM growth of 33.3% on y -o-y basis to Rs 8,365 Cr.
• Spreads at 5.5% remain ahead of our guided levels of 5.25%.
• Our asset quality continues to be strong with a focus on early delinquencies
o 1+ DPD is at 4.5%
o 30+ DPD is flat at 2.9% in Q2; decline of 40 bps on y -o-y basis.
o Gross Stage 3 (GNPA) is at 1.7% (Q1FY24 - 1.6%, Q2FY23 -1.9%). Prior to RBI classification circular of Nov'21, it stands at 1.1%.
o Our credit cost is at 40bps for the quarter.
We will now move on to some more details on the business and our outlook for the current year:
Technology
Technology has been at the centre of our business since inception. Systemic tech led controls have been implemented across all our operations, providing a strong backbone for our risk management and internal audit processes.
Digital adoption continues to be strong and a key area of our focus as we grow. Some of our recent initiatives on technology include:
• Successful adoption of account aggregator model to access the bank statements of customers. This has now gone mainstream with a 30% penetration rate within 2 quarters of implementation.
• An Employee KRA module has been developed with full integration with our loan origination and collection system to make the goal setting and tracking process more effective.
• Tableau visualization within Salesforce to help drive superior analytical outcomes .
• Property Insight Ver 2.0 has been implemented to digitally validate the property titles and

have an independent authentication of our primary security for the loan
Distribution
• We added 7 br

anches and 13 touch points in Q2. We now have 120 physical branches and 295 touch points.
• We are targeting an AUM growth of 30%+ for FY24 to enable us to cross the 10,000 Cr AUM mark in the next 12 months.

People
Pleased to report that
• We have added 137 employees in Q2 to reach a total strength of 1242 employees and we plan to add another 100 -150 by Mar'24.
• We have expanded our ESOP coverage to encompass 335 employees, which is 27% of total employee base.
• Employee attrition is down from FY23 levels as a result of initiatives implemented by us supported by hiring lull in certain sectors
Demand continues to be strong in the affordable housing sector. With our expanded distribution and employee base we are well placed to gain market share and deliver strong numbers in the rest of this financial year.
With respect to the quarterly results, there are a few metrics that we would like to address:
• Balance Transfers have increased during the quarter. It is the result of series of interest rate hikes that our customers have witnessed in past 18months. We have sensitized our teams on customer retention and coached them on some techniques to arrest balance transfers.
• Bounce Rate uptick in Oct: We still see that a substantial portion of bounced customers pay within 3 days of bouncing the instalments . Bounce rates normalisation to pre -covid levels will take time. We are working towards improving this behaviour change that happened during Covid. NPCI data also validate our view where the bounce volume has increased. Our overall collection efficiency re mains strong and continue to focus on containing early delinquencies as a collection strategy.
With this, I would now like to handover the call to Nutan to take you through the Financials. Nutan over to you.
Nutan Patwari: Thank you, good evening, all.
I will like to start by mentioning that we have delivered our medium -term industry leading ROE goal of 15% -16% ahead of our expectations. Our superior performance in a tough environment gives us confidence that we can outperform these returns in the next 2 -3 years.
Moving to financial performance;
• Our Q2 Net Interest Margin is robust at 6.0% and is in line with our guidance. We mentioned in our Q1 call about the stable yields and increase in CoB in Q2 which has led to 10bps decline in NIMs for Q2.
• Net Interest Income has gone up by 27.2% in Q2FY24 on YOY basis.
• Spread at 5.5% remains well above our guided range of 5% -5.25%.

• Opex to Assets is at 2.9% for the quarter. We expect this ratio to remain in the range of 3.0% -3.2% going ahead; as we focus on expansion. Cost to income at 35.2% in Q2FY24, decline of 110bps on q -o-q basis.
• Credit cost in Q2FY23 at 40 bps; is within our guided range of 30bps – 50bps.
Our Balance sheet is stronger than before.
• We continue to have a diversified & cost-effective long -term financing sources in our borrowings . This remained diversified across banks as well as NHB. Our Borrowings mix is
• 55% of our borrowings from Banks (Private sector 33% and Public sector 21%)
• NHB refinance share is stable at 22%. We have drawn Rs 250 Crs in Q2 FY24. We have another Rs 450 Crs to draw which we will calibrate as per requirements.
• 16% from Direct Assignment and 2% from Co -lending.
• 4% is from IFC NCD
• We continue to have zero borrowings through Commercial paper.

• Our cost of borrowing is competitive at 8.1%, increase of 10bps from 8.0% on qoq basis.
We expect further increase of 20bps in 2HFY24.
Coming to capital
• Our total CRAR is at 45.5% and Tier 1 CRAR is at 45.0%.
• Our Debt to Equity is now 3.1 times.
• Our Sept'23 Networth stands at 1,947 Crs.
• Our Book Value per share (BVPS) stand at Rs. 221.
Moving to provisi

ons, we have remained conservative and continue to carry provision overlay over and above the ECL requirements. Total Provision Coverage Ratio (PCR) stands at 52.3%. Prior to NPA reclassification as per RBI circular, PCR stands at 84.6%.
On specific transactions;
• We did direct assignment of Rs 97 Crs during the quarter as a liquidity strategy. We continue to have a robust demand for our portfolio of assets. This is within our guided range of Rs 100 Crs +/- Rs 20 Crs.
• We executed Co -lending transaction of Rs 50 Crs in Q2. Co -lending business is growing and expect this to contribute around 10% of disbursements in the near future.
With this I open the floor for Q&A. Thankyou.
Moderator: We have our first question from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal : Congratulations to the management on a good quarter. There are a couple of things on the opening remarks that Manoj made. Manoj , you did touch upon the BT out being higher during the quarter and the fact that you have sensitized your team on customer retention. Are we seeing high competitive intensity ? And are these balance transfers typically happening to banks, if yes, whether they're happening to PSU banks or private banks ? Is there any particular bank which is overly aggressive and leading to such high competitive intensity?
Manoj Viswanathan : The players are the same that we have seen in the past. I don't think there is any change in the mix of players. Of course, some NBFCs are also doing balance transfers now at low rate, which probably is not sustainable. That might be more a tactical move i n a particular quarter. We see the balance transfers more as a reaction to the rate hikes that have happened over the last year.
A lot of customers have gone through a 125 basis point rate hike. When the loan was originated, the tenure was 20 years, but now suddenly their tenures looked very extended, probably 25 to 30 years. So , this is provoking the balance transfers. We think it should moderate with the passage of time.
Abhijit Tibrewal : Got it. The second thing you touched upon was employee attrition, which is down from March levels. Another HFC, which had its earnings call just before you , were kind of hinting at significantly higher employee attrition, at the relationship officer level. How is it like for us? In the past, we used to talk about that at an industry level attrition remains very high. Has it gotten better for us? Are we seeing more stability in our frontline staff now?
Manoj Viswanathan : Yes. Last year, we had kind of elevated attrition levels, and it has reached about 40% levels. But in the first quarter of this year, it was lower than 30%. This quarter also, it has been around the 30-ish level, 32 -odd so. We have taken some steps, as we had mentioned that we have expanded our ESOP pro gram. We have started a different onboarding program for our front - end employees. We have taken several initiatives. However, this year we are also getting support from hiring lull in certain segments and certain sectors of the industry. I think a combination of these factors has led to a lower attrition for us in this year.
Abhijit Tibrewal : Got it. One last question, Manoj. If I look at your AUM today, looking at the run rate, probably early next financial year is where we'll probably look to hit the milestone of INR10,000 crores in AUM. From a business model perspective, we've been unique in terms of the connector model that we have , as well as the fact that our sales and collections both are do ne by our relationship officer.
Over a course of time over the last few years, you've grown this business model, but I just wanted to understand, even at that size and scale, our conviction remains same , that this business model is something which will help us scale further beyond INR10,000

crores towards
INR15,000 crores and INR20,000 crores?

Manoj Viswanathan : Yes, of course. We are very confident now. We are seeing strong demand wherever we go and we are confident of expanding and deepening our distribution in our focus states. In some of the other states where we had a thin presence, we are looking at expandin g distribution more in the Central and Northern states. Distribution expansion itself should allow us to get from the INR10,000 crores to INR20,000 crores level.
As far as the connector model is concerned, there is still a lot to be done. We currently have probably about 2,500 - 2,600 active connectors in a quarter. And that number can go up multi - fold as we expand our distribution. So , we are confident of the model and that it will help us to achieve those numbers.
Moderator: Thank you. We have our next question from the line of Renish Bhuva from ICICI Securities.
Renish Bhuva : Circling back to BT out rate. Despite the higher BT out rate, our growth has been quite steady at around 8% sequentially. Once we restrict the BT out as you highlighted that we have initiated in several steps. What kind of AUM growth we target in near term?
Manoj Viswanathan : Renish, we are looking at a 30% growth rate. I think that is the growth that we have been talking about last couple of years and which we have been delivering. And it's a number that we have derived through a ground up calculation, taking into account the number of distribution points we will be able to add, people we need to hire. Our growth projection remains the same at 30% plus.
Renish Bhuva : Got it. Again, just to understand a bit more on the BT out. Most of this BT out is due to the rate, there is no other thing which can sort of restrict or result in a higher BT. So , when you say that we have taken an initiative, could you highlight what kind of initiatives we have taken to restrict BT outs? I mean, apart from rates, and if we sort of get into the rate would you assume any margin compression going ahead?
Manoj Viswanathan : Yes. Across the board, reduction of rate not really be useful to address this BT out because then our yields also will get reduced. That is not what we are aiming to do. What we have done is , we have kind of sensitized our teams on the ground on how to address the BT out because there is a certain point at which the custome r approaches us.
The person who is doing a balance transfer needs to be approached or counselled at an early stage . When the person is coming with the BT che que or with the transfer request from the other banks , at that point, it will be difficult to stop the person. So , we have done some coaching camps for our teams to help them understand how to address the BT outs. We have also circulated or tagged the cases which have a high likelihood of BT outs so that they can give special attention to those cases.
Overall, what we feel after having talked to our teams, etcetera , and traveling across the country, it's more of a awareness and sensitization issue. If we are able to pay more attention

to customers who are at an initial stage of exploring a balance transfer, we will be able to reduce the numbers.
Renish Bhuva : Got it. So , maybe is it fine to assume that October monthly BT out will be lower than last quarter average?
Manoj Viswanathan : I can't say for sure, hopefully yes.
Renish Bhuva : Okay. Got it. And lastly, on the marginal increase in the Stage 3 we have had, I mean, is there any specific trend which is emerging or this is just transitory in nature ?
Manoj Viswanathan : No, this is first half of the year . Generally , the March figures are extraordinarily good. So , after that, any figure looks worse when compared to March which is really what we saw this

year
also. The level of collection efficiency that we managed to achieve in March was not repeated over the last six months. That kind of performance again comes in the second half of the year. It's more a seasonal movement, nothing else to it because if you see the 30 DPD figures, they are flat compared to last quarter. So , nothing really to be read into the figures.
Renish Bhuva : Got it. And just last question on the ROE. We have been able to achieve this, maintain ROE may be higher than our plans. And now we are exploring 10% of co -lending on the disbursement side. So, what's the next level of ROE we are targeting? And the co -lending piece, would it add anything to our earlier assumption on the ROE front?
Nutan Patwari: Renish, if you see in the last six months, we've been able to expand the ROE by almost 200 basis points. It will stabl ilise here for some time. And the co -lending business will require a little bit more time to grow with the right interest rate environment. In a good interest rate environment, we presume co -lending can be good. So , give us some time and hopefully, we should outperform these numbers as well.
Renish Bhuva : Got it. Got it. So, the near -term target would be to sustain this mid -teen level?

Nutan Patwari: Yes. 15% to 16% range is what we will sustain in the near term.
Moderator: Thank you. We have our next question from the line of Nidhesh Jain from Investec.
Nidhesh Jain : Firstly, on the growth, so this year you've guided for 30% growth. How should we think about growth for subsequent year FY'25? And how are you preparing for that, any guidance on branch addition, etcetera ?
Manoj Viswanathan : Nidhesh the growth of 30%, we are looking for the next two to three years because our planning is in instalments of two to three years. 2.5 years ago, we said we will be able to grow at 30% for the next three years. As per our current plans and what we are seeing on the ground, next two to three years, we should be able to grow at a 30% kind of a level.

Nidhesh Jain : And what would be the branch addition plans for that?
Manoj Viswanathan : Branch addition, broadly, we are thinking of adding about 20 to 30 branches in a year. But the distribution will be more on the number of locations we are adding, the number of relationship managers, number of connectors, etcetera . So those will get added and that w ill contribute to the business.
295 touch points is where we are today. We should be adding another 100 - 150 touch points in the next two years and a corresponding number of Relationship Managers . We are at about 1,200 employees as of now. That number should go up to about 1,600 - 1,700 employees in the next two years.
Nidhesh Jain : Sure. Secondly, sir, in last two years, we have expanded in Tier 3 locations as well. In the past, we were operating largely in Tier 1, Tier 2 locations. How is the experience in terms of asset quality, bounce rate in Tier 3 geographies ?
Manoj Viswanathan : Asset quality, bounce rate etcetera of Tier 3 locations are largely very similar to our existing portfolios. Location -wise, we don't see any major differences. When we go to Tier 2, Tier 3 locations, these are generally not very remote locations. They would be within driving distance from a branch. So, in that sense, they would be periphery of urban areas not really remote Tier 3 locations.
Nidhesh Jain : Sure, sir. And lastly, on the BT out, are you monitoring connector wise BT out? And are we seeing any trends there, any connector, which is inducing this BT out?
Manoj Viswanathan : There would be sporadic instances of connectors referring our customers, etcetera . But those get addressed very quickly by blocking those connectors or penalizing those connectors. The trend is more towards larger cities, larger branches where there are more BT outs because of mo

re intense competitive activity.
Moderator: Thank you. We have our next question from the line of Shreepal Doshi from Equirus Securities.
Shreepal Doshi : My question pertains to the NHB sanctioned pipeline that we have, what can be draw n down in the second half of the year during -- I mean during FY'24?
Nutan Patwari: We have an unavail ed sanction line of Rs 450 crores, which we can utilize between now and June'24. We will plan to draw down based on the business need.
Shreepal Doshi : So just wanted some comments or colo ur on where do we see the share of salaried customers stabilizing in the overall loan book?
Manoj Viswanathan : We are not structurally changing that. As we penetrate deeper into markets, etcetera , probably more self -employed customers could come on board. I would say right now, we are at about

70%-30%, I would put it maybe in the medium term, maybe at 60 %-40% if at all. There is no such strong trend, but if you're asking for a number, it could be 60 salaried, 40 self -employed.
Moderator: Thank you. We have our next question from the line of Shubranshu Mishra from Phillip Capital .
Shubranshu Mishra: First one is on the regulations and the collateral and the documents that need to be given back to the customer in a time that's been stipulated. How does that change our opex ? Second is why are we not looking at or why are we not making any kind of representations to the rating agencies for a rating upgrade despite having a strong asset quality number? Third is if we can talk on the cost of acquisition for our home loan customers across markets and the cost connectors?
Manoj Viswanathan : We already have a practice of returning the documents within 30 days to customers. It does not really change anything for us. We have a strong monitoring on that. As far as the rating is concerned, yes, at the suitable time the rating will get updated, and we are in continuous discussions with rating agencies. At a point when they find it appropriate , the rating should get upgraded. On the cost of acquisition, there is not much differential across markets. It anyway

flows in a tight range . The acquisition cost is generally 30 to 50 basis points for the connectors. It's agnostic to market. It's broadly based on size and nature of the connector, etcetera . It's a very narrow range of 30 to 50 basis points across the board.

Shubranshu Mishra: Sure. And if I can just squeeze in two more questions. The first one is, if you can decompose the 30% growth guidance that you're giving, how much would come from the ticket size increase, how much would come from productivity increase and how much would come from volume increase? That is first . Second is, you're talking about BT out, however, given the ticket sizes that we deal with and across lenders, the affordable housing comes at a higher yield. And the fee is barely anything in it f or someone to really churn a customer -- for a connector to churn the customer. So why should we have BT out in the first place?

Manoj Viswanathan : Ao addressing the first question, which is the growth. Most of the growth will come from distribution expansion. We have not really factored in growth on account of ticket size or productivity. Those should come as an addition. Broadly, we are targeting distribution expansion for the growth. Coming to BT outs, BT out is largely customer initiated which is why the BT out is kind of spike now because this has come on the back of three consecutive pricing increases for the customer.

As customers are getting more irritated with the extension of their tenures and increase in rates, they initiate the balance transfers more from their side. Which is why I said, connector -initiated balance transfers are not many. There would be sporadic here and there, but not really a major cause. The major cause is the customer

initiated only. And when the customer sees the differential of maybe 4% on the loan, where they feel that they can get at least a 3% to 4% reduction, then they try very hard and pursue a balance transfer. Largely, they end up being customer initiated.

Moderator: Thank you. We have our next question from the line of Omkar Kamtekar from Bonanza Portfolio.

Omkar Kamtekar : Can we have a bifurcation to understand is there a specific bucket size of a specific ticket size, seeing more growth. So, say, for example, is the two million to 2.5 million having a higher disbursed sales than a one million to 1.5 million, is there -- can we see some change in there? Are we seeing some trends there?

Manoj Viswanathan : Growth is largely coming from 10 lakh plus. Less than 5 lakh is not really an area of growth. There is moderate growth in five to 10 lakh and largely, the growth is from 10 lakh plus.

Omkar Kamtekar : Okay. And with respect to the cost of borrowing, our current cost of borrowings as for H1, it's standing at 8.1%. The incremental cost of borrowings, what would be that if we can have some colo ur on that on going forward?

Nutan Patwari: Incremental cost of borrowing for the last two quarters is in the range of 860 to 870 bps. We also actually published that on our Slide 27. This 860, 870 range does not include the NHB borrowing. If you were to include that, the cost of borrowing is around 8.1 %.

Omkar Kamtekar : Okay. So that would be what would also go ahead for maybe two, three quarters or more?

Nutan Patwari: Assuming no change in the policy rates, yes.

Omkar Kamtekar : Okay. Okay. And with respect to branch addition, I think you had mentioned but I did not catch it. What is the number of branch additions that we are looking at and geographical expansion also, if you could add?

Manoj Viswanathan : Branch additions, we are looking at 20 to 30 branches a year and geographies, our focus markets are West and South. Currently branch additions are happening in Maharashtra, Gujarat, Tamil Nadu, Andhra, Telangana, Karnataka . We're also beginning to expand in the Northern market. We are gaining traction in MP, Rajasthan and UP also . In the future, you will also see some branch additions coming from these markets. You can say 70 -30 split, 70% will come from our focus markets of west and south and the 30% would come from the northern markets.

Omkar Kamtekar : Okay. Is the southern market seeing more growth than any of the other markets because generally, we have a dichotomy because south being slightly more prosperous and high earning states. Is there something of a trend going on that we might see more concentrated growth in the southern states, would that be fair?

Manoj Viswanathan : In Southern states, growth is stronger in higher ticket sizes because of the incomes going up, states becoming more urbanized and industrialized , etc . But Northern markets are also , are growing in the core affordable segment, which is the five to 15 lakh segment s. Growth in different forms is coming from both areas.

Omkar Kamtekar : Okay. And finally, just a macro update on the specific low-ticket size, affordable housing segment. What is your view from a two- or three -year horizon? Are we seeing any systemic problems in the space?
Manoj Viswanathan : Not at all, not at all. See there are large , different states are at different income levels , If you look at the per capita incomes. For example, on a PPP basis, the average for the entire country is about $7,000. States like MP, Rajasthan, UP are at about $ 4000 -5000 PPP level of per capital income.
Whereas southern states are closer to $10,000. The growth is coming in different forms. In these northern states, we get growth in the core affordable segment. Ticket

sizes between
INR5 lakh to INR15 lakh is growing fast in the northern states . In the southern states, higher ticket prices INR10 lakh to INR20 lakh is growing fast. In different forms, you're getting growth from both the sectors. We don't see a prob lem at all.
We are actually seeing a very, very strong growth at the ground level. I think it's only our own capacity to grow, our own capacity to hire, train, which is a limiting factor. Supply of housing or demand is really not a limiting factor at all.
Moderator: Thank you. We have a next question from the line of Bharat Sheth from Quest Investment Advisors.
Bharat Sheth : Manoj, when we are talking of a 30% CAGR growth, so we expect to more than double the size of the portfolio, the AUM from March '23 level. And when we are seeing that we are also expanding distribution where the ticket size is a little low and where we hav e to also develop a new connector and our own capacities, which you just highlighted. So how does one really see that will happen?
Manoj Viswanathan : Our distribution strategy for the next two to three years is as follows. One part of it is deepening our distribution in our existing state. These are the states which were already urbanized, industrialized, where we had a decent presence. There we are deepening our penetration.
Gujarat, Maharashtra, Tamil Nadu, etcetera , we were already present to some extent. We are deepening our penetration there.
I think three years back, we said that we are going to focus on these states. And we said that we will keep the expansion in the Northern states for a little later time . We are starting that expansion now. We feel that this is the right time to start ex pansion in the Northern states.
MP, Rajasthan, UP, etcetera , which are at a kind of a threshold level today and where we see that in the next five years, the demand for affordable housing will be good. We are setting our footprint there, establishing certain locations so that we are well prepared to serve the customers over the next five years. This is how we are looking at our distribution plan.

Bharat Sheth : And second, also, you said that our own capacity to increase because then we more than doubling our asset AUM. But in this kind of a number of additions of the branch or will that or addition of the people will be that sufficient?
Manoj Viswanathan : No, which is why I said we are looking at a 30% growth. If we are able to move faster and because we also have a limitation on number of people, branches, etcetera , that we can add.
Currently we are at about 1,200 employees. We may be able to add maybe another 400 - 500 employees in the next two years, not more than that. That is what I meant is a limiting factor.
If somebody can move faster than that, then the market is not the limiting factor There is enough demand in the market.
Bharat Sheth : Okay. And last question, you said that demand for affordability will continue to grow over the next four , five years. So, what is the underlying assumption that are we taking? I mean that this market will grow because in past, we have seen there is a lot of ups and downs. With that background so if you can give a little more colo ur?
Manoj Viswanathan : Affordable housing is a direct function of income in that particular state. We are seeing that correlation quite strongly. States where the incomes have risen, for example, Gujarat, Tamil Nadu, etcetera , the affordable housing demand is high. Today, for example, a state like Gujarat accounts for about INR25,000 crores of affordable housing disbursements every year, which is probably higher than the affordable housing demand in a state like UP, which is 4x the population of Gujarat.
We have seen that the affordable housing demand is a function of per capita incomes, which is why in states like UP, Rajasthan, MP, etce

tera , we feel that as the incomes start rising in the next few years, the demand should reach the same level as the other states like, Gujarat Tamil

Nadu, etcetera . We are projecting that this demand will continue to grow over the next five years.

Bharat Sheth : But do you think that in that case, competitive scenario may further increase because everyone who are looking of this kind of a market, but they were not actually going on and now the kind of business transfer that also we are seeing?

Manoj Viswanathan : The competitive intensity has been there and it will continue to be there. But it's also a business that has a lot of complexity. Somebody who has been in the business for a while, who understands that complexity and who was able to execute well on the ground are the ones who will succeed, competition will continue to exist. We have to find ways of addressing that.

Moderator: We'll take our next question from the line of Chandrasekhar Sridhar from Fidelity International.

Chandrasekhar Sridhar : After the start of the rate cycle, our borrowing costs are up 90 to 100 basis points. And just curious to understand the marginal cost of borrowing basically for the last couple of quarters except NHB basically has not really changed . Whether the entire cost of fund is showing up in

our books right now because the marginal number has not changed. It seems the increase in rates has been much higher, but it's not showing up in the book ?

Nutan Patwari: Chandra , you're right. The transmission is largely done, but there is some residual transmission that's still to come in. That is why we've been saying that this 810 could look more like 830 by March. So, let's say, another 10-basis point increase in the next two quarters. And let's say, if there are no further rate changes, then that should be where we should be for a while.

Chandrasekhar Sridhar : Understood. the 525, which you have always said just in terms of spread bets will pretty much stay what you're working with because spreads are still holding up reasonably well.

Nutan Patwari: Yes, absolutely, yes.

Chandrasekhar Sridhar : Okay. And then on the yield side, you've taken cumulatively 125 bps hike starting from July last year. But the on-book yields are up since then only up 60 bps. So I would presume onboarding yields must be lower for customers? And also, is it fair to assume because of this slightly higher balance transfer that you've sort of given some discounting yields to some customers. Is that the way to think of it? Or are you basically given that cost system hasn't risen as much that we've been far more okay, just on passing on yields entirely, I mean, for some customers.

Nutan Patwari: Chandra, customers have been repriced 125 basis points. However, what also happens is as and when we get the NHB AHF fund, we reprice the customers downwards. And that reflects in the yield line. You will see that while the spread is protected, the yield shows an optical reduction. That is largely because of this NHB AHF fund. And last two or three quarters, we've been doing quite a bit of it.

On the origination yield, it has stayed around 13.5% -13.6% almost since the increase of the policy rate. That has not changed. And that is the second part. The third part is our co -lending portfolio is booked at a slightly lower rate. That gets excluded from the origination yield, but not from this particular line but that is sitting at a lower yield. That also pulls down the rates here.

Chandrasekhar Sridhar : And then just maybe just lastly, it seems that over a period of time, the LTV on origination is changing little marginally. I mean I don't want to read too much into it, but the LTV on origination actually at less than 50% actually goes up and more than 80 % is actually going down. Is there a change in just the apartment types or any

thing else you just want to highlight?

Manoj Viswanathan : No, I think what we see in coming years is more self -construction and resale taking a larger share so the higher LTV at origination should keep decreasing going forward. Higher LTV origination is largely only in apartment segment because that's a builder -driven market and where the industry practice is to give higher LTVs. But going forward, as we expand into the other states where the self -construction is the larger busine ss, self -construction resales, they both come at lower LTVs, so th e LTV at origination should keep declining going forward.

Chandrasekhar Sridhar : Sure. Manoj, just a last question for you. You did make a comment on the share of self - employed potentially going up over a period of time, is that just natural? Or is it a conscious strategy ?

Manoj Viswanathan : No, no, we never had a conscious strategy to exclude self -employed, from the beginning. It is just a natural flow of loans to us, the ratio has got formed over a period. Partly because we started out with large cities where there are more employment opportunities, so more salaried customers were there.

Plus our processes are quicker, so salaried customers find it easy to deal with us. Some of those factors have contributed to a slightly higher share of salaried customers. But otherwise, in the market, we don't have an articulated strategy of going only after salaried customers or excluding a self -employed. That has never been there. Now as we are going deeper in the market, we are going into markets where there are more self -employed customers , lesser of organized salaried customers. Just a long -term projection that this could move to a 60 -40 kind of a figure.

Moderator: Thank you. We have a next question from the line of Aravind R from Sundaram Alternates.

Aravind R : Sir the higher ticket size book is growing faster , if I take INR15 lakhs to INR20 lakhs or above INR20 lakhs kind of loans, are these loans are growing faster? Is it a conscious strategy? Is the profile of customers slightly different when it comes to the higher ticket size loans?

Manoj Viswanathan : No. As I mentioned, it's more a function of where we are expanding distribution, etcetera . I think last three years, our articulated strategy was that we will expand in West and South and as we expanded more in South, the ticket sizes are slightly higher. We are getting more loans in the INR10 lakh to INR20 lakh ticket size range there. But as we now build our distribution in the northern part of the country that should again get moderated.

We are not really going after higher ticket size as such. It's just the same segment where the ticket sizes in South are slightly higher because of higher income etcetera . And some part of it is also contributed by co -lending because now we have INR200 crores - INR250 crores co - lending book, where the ticket size is naturally high, because of which also the ticket sizes are showing up higher.

Aravind R : And am I correct in understanding that the yields should not move up that much going forward like considering if there are no other rate hikes or ?

Manoj Viswanathan : Yes, if there are no further rate hikes, we will not increase the rates for our customers. Broadly, we should be in the same ballpark origination.

Aravind R : What is the cost of funds, sir?

Manoj Viswanathan : Cost of funds, we are anticipating maybe a 10 to 20 basis point increase, but that's something that we will absorb. We are not looking at passing on such a small increase to customers at this stage.

Aravind R : Okay. Even though marginal cost of borrowing is still going up, is it because of the repricing?

Manoj Viswanathan : Yes, there are some lines which are still left to be repr

iced. So, as they get repriced, it will go up, please.

Aravind R : Okay. And just one more question. Like so in the new markets, like we are entering into this new market. Does it affect the operating efficiency, like opex to AUM or opex to assets?

Manoj Viswanathan : No, not really . That is something that we are conscious of. We don't go into really remote markets which don't fit into our operating metrics. We are very much cognizant of our RM productivity, the disbursal a RM has to deliver every month. We only go into markets where that can be delivered comfortably. Otherwise, we will not enter those markets.

Moderator: Thank you. We have a next question from the line of Omkar Kamtekar from Bonanza Portfolio.

Omkar Kamtekar : Sir my follow up question is as we keep continuing to hold a 30% growth target and we are also expanding our technological capabilities to a certain extent and capacity capabilities. Are we targeting some specific disbursement targets for the quarter or particular month? And do we have something in our mind that we would target this much per quarter per month, anything like that?

Manoj Viswanathan : Yes, broadly, the plan is made for the year, and that is kind of bifurcated into first half, second half, and we follow that plan. If you see, our disbursal this quarter is about 7% higher than the previous quarter. Broadly, we follow that kind of a framework through the quarters in the year.

Omkar Kamtekar : Okay. Okay. So, would it be possible for you to share what would be the range for FY'25, if it is possible, the FY'24 half, if you could extrapolate it ?

Manoj Viswanathan : The current year disposal, the target would be around INR4000 crores. That is what we are targeting for this year. Next year, the target will be maybe INR4,800 crores to INR5,000 crores.

Omkar Kamtekar : Okay. And what is the sanction to disbursement ratio, if you can share, is that data point available? sanction to disbursement?

Manoj Viswanathan : Normally, around 80% -85% is the sanction to disbursement ratio range.

Omkar Kamtekar : Okay. And lastly, a question with respect to quality measures. So, as we go deeper into the more Tier 3, Tier 4 city, expand into these areas. So, the probability of us encountering people who are new to credit and as you said, the self -employed people. So, there is also a higher probability of they having subpar asset quality, so what will be the measures that we tighten our credit policy so that we don't increase the NPAs. Will there be specific additional measures involved or the current system would suffice?

Manoj Viswanathan : While we expand into this market, our basic principles are that the asset needs to be a formal asset, which has got a registered title. We will never deviate from that. That is our basic principle. From a property perspective, we will not deviate, we will maintain that. From a customer profile perspective, in smaller markets, there would be more self -employed customers compared to salaried customers because there would be lesser organized employment opport unities.

That is the only variation that we will kind of accept. So far, we have not seen any asset quality difference in smaller markets. Other than the difference between salaried and self -employed we don't anticipate any asset quality difference in smaller markets.

Omkar Kamtekar : Okay. So, we will also as a consequence, we are also not required to tighten our measures to disburse loans to them ?

Manoj Viswanathan : Our screens are more or less the same. There is no difference in screens between a smaller market and a larger market.

Moderator: Thank you. We have our next question from the line of Punit Daga from V T Capital.

Punit Daga: Could you just state the reason like why we saw a decline in our yields by 10 basis points? Is it because of some pricing pressure

s which we are facing like in this segment?

Manoj Viswanathan : There will be some amount of variation month -to-month, quarter -to-quarter. Broadly, we are committed to maintaining a 13.5 % kind of a yield on an overall basis.

Punit Daga: We are envisaging that the yield would go down going forward. Like could you state like why is it so?

Manoj Viswanathan : No, no. We mentioned that we have guided to spreads of about 525 basis points. That is more from an anticipation of increase in cost of borrowing, like borrowing could go up by another 10 - 20 basis points. So, which we have been saying for the last several quarters that we are planning to absorb that increase. Which is why we have guided to spreads of 525 basis points . Otherwise, the yields are broadly going to be in the same level that we are talking about.

Moderator: Thank you. We have our next question from the line of Sameer Bhise from J M Financial.

Sameer Bhise : Congrats Manoj and team for the good set of numbers. Just wanted to get a sense on the co - lending piece. Can you comment a bit on the ticket size of the origination and probably, how does it vary in terms of what customers are selected across banks, some s ense there would be helpful.

Manoj Viswanathan : Co-lending is allowed up to INR35 lakhs the ticket size. The ticket size falls between INR20 lakhs to INR35 lakhs. Broadly, if you see the average, it's between 20 and 25, the average ticket size for co -lending. From a profile, it is a little more formal customer segment. Customers who have salary credited in the bank and working for large organizations, etcetera .

That's the profile of the customer. And so, they would be purchasing properties which are priced between say INR30 lakhs, INR40 lakhs or to INR50 lakhs to gets the profile. This was a profile that earlier, we would avoid because the pricing would not fit into our pricing norms. But now we can actually address the segment through the co -lending program.

Sameer Bhise : And is the portfolio quality meaningfully different from our core segment or it is in the similar ballpark?

Manoj Viswanathan : As of now, this is a low vintage portfolio. I think the oldest case would be probably just one year old. At least from our own evidence or our own experience, we will not be able to comment. But logically, yes, it should be a slightly better portfolio quality.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Manoj Viswanathan for closing comments. Over to you, sir.

Manoj Viswanathan : Thank you, everyone, for joining us on the call. I hope we have been able to answer all your queries. In case you require any further details, you may get in touch with Manish Kayal. Wish you a very Happy Diwali. Thank you.

Moderator: On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

HFFCIL/BSE/NSE/EQ/111/2023-24 Date: 24-01-2024
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001.
Scrip Code- 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai- 400 051.
Scrip Symbol- HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter and nine months ended December 31, 2023

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and nine months ended December 31, 2023 conducted on January 19, 2024 for your information and records. The Company referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company: www.homefirstindia.com

This is for your information and record.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

Home First Finance Company India Limited
Q3 FY24 Earnings Conference Call
January 19, 2024

MANAGEMENT : MR. MANOJ VISWANATHAN , MD & CEO
MS. NUTAN GABA PATWARI , CFO
MR. MANISH KAYAL , HEAD - INVESTOR RELATIONS

This document is a transcription of the conference call conducted on 19th January 2024. Click here to listen to the original audio.

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call of Home First Finance Company India Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '* ' then '0' on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manish Kayal from Home First Finance. Thank you and over to you, Mr. Manish.
Manish Kayal: Thank you. Good afternoon, everyone. I hope that all of you and your families are safe and healthy. I extend a very warm welcome to all participants on our Q3 FY24 Conference Call.
I hope everybody had an opportunity to go through our Investor Deck and Press Release uploaded on stock exchanges yesterday. We have also uploaded the Excel fact sheet on our website. Please have a look.
On today's call, Home First is represented by our MD and CEO – Mr. Manoj Viswanathan and CFO – Ms. Nutan Gaba Patwari.
As usual, we'll start this call with an opening remark by Manoj and Nutan and then we will have a Q&A session.
With this introduction, I will now hand over the call to Manoj. Over to you, Manoj.
Manoj Viswanathan: Thank you, Manish. Good afternoon, everyone.
I'm pleased to share with you the highlights of our Q3 FY24 performance:
● Growth momentum for Home First continues in Q3 with stable asset quality. Performance has been strong across all operating and financial parameters. During a high inflationary environment, we have delivered a RoE of 15.8%.
● We continue to build distribution by simultaneously entering new markets and deepening our presence in our existing markets. The states of Uttar Pradesh and Madhya Pradesh are emerging as large affordable housing markets, and we have taken steps to strengt hen our existing presence and deepen distribution in these growing states.
● Overall, we have added three branches in Q3 and now have 123 physical branches. Including potential and digital branches, we now do business across 305 touch points across Tier -1 to Tier -5 markets in 13 States and 1 Union Territory of India.
● Disbursement in Q3 at Rs. 1,007 crores grew by 29.1% on a y -o-y basis, leading to an AUM growth of 33.5% on a y -o-y basis to Rs. 9,014 crores.
● Spreads remain healthy at 5.3%.

● The PAT delivered is Rs. 79 crores and RoE is range bound at 3.7%.
● Our Asset Quality continues to be strong with the focus on early delinquencies.
o 1+ DPD is at 4.5%, which is an increase of 10 basis points on a y -o-y and flat on a q -o-q basis.
o 30 DPD is at 3%, which is flat on a y -o-y basis and there is an increase of 10 basis points on a q -o-q basis.
o Gross Stage -3 that is GNPA is at 1.7%, which is a decline of 10 bps on a y-o-y basis and flat on q-o-q basis. Prior to the RBI classification circular of November '21, it stands at 1.1% which is flat on y -o-y and q-o-q basis.
● Our Credit Costs is at 30 basis points declined by 10 basis points on a y -o-y and q-o-q basis.
Technology:
Technology continues to be at the core of our strategy. Account aggregator adoption has now become mainstream with close to 40% adoption rate. We have set in motion several account aggregator -led initiatives that will further strengthen our speed and accuracy in underwriting.
With this, I would now li

ke to hand over the call to Nutan to take you through the financials.
Nutan, over to you.
Nutan Gaba Patwari: Thank you. Good afternoon, all.
Coming to Financial Performance:
Starting with Spreads:
● Our Spread is at 5.3% and is within our guided range of 5% to 5.25%.
● Our Q3 NIM at 5.7% is due to projected increase in cost of borrowing and higher cash balances during the quarter. As discussed earlier, the increase in cost of borrowing is from the MCLR reset that has continued to happen on the historical borrowing book.

Cost of Borrowing is expected to go by another 10 basis points, and I would like to reiterate our spread guidance of 5% to 5.25% for the medium term.
● Net Interest Income has gone up by 20.1% on a Y -o-Y basis.
Moving to Operating Cost:
● Operating Cost -to-Assets at 2.9% is stable. We expect this ratio to remain in the range of 3% to 3.2% going ahead as we focus on expansion and getting deeper into newer markets.
● Cost-to-Income at 35.9% is an increase of 60 basis points on a Y -o-Y basis.
● Credit Cost is at 30 basis point and remains well within our guided range.

Moving to Balance Sheet:
It remains strong and ready to take on the growth ambitions of the company.
Starting with Borrowing:
● Company continues to have a diversified source s and cost -effective long -term financing sources. Our sources are diversified across banks as well as NHB .
● Our Borrowing mix is 56% from banks. NHB refinance share is stable at 22%. We have drawn Rs. 200 crores in Q3 and we have another Rs. 250 crores to be drawn in Q4, 14% is from direct assignment , 3% from co -lending and 3% is from IFC NCD. We continue to have zero borrowing through commercial paper.
● Our cost of borrowing is competitive at 8.2%, an increase of 10 basis points on a Q -o-Q basis. We expect further increase of around 10 basis points in Q4.
Coming to Capital:
● Our total CRAR is at 40.9% and Tier -1 CRAR is at 40.5%. The impact of capital adequacy is 2% on account of organic growth and 3% on account of higher liquid fund balances at the end of the quarter.
● Our Debt -to-Equity is now 3.4x.
● Our Dec'23 Net Worth stands at Rs. 2,032 crores.
● The Book Value per Share (BVPS) stands at Rs. 230 .
Moving to Provisions :
● We continue to have remained conservative and continue to carry provision overlay over and above the ECL requirements.
● Our total Provision coverage ratio stands at 52%. Prior to NPA reclassification as per RBI circular, PCR stands at 79.0% .
● On specific transactions, we did direct assignment of Rs. 135 crores during the quarter as a liquidity strategy. We continue to have a robust demand for our portfolio of assets.
● We also executed a co -lending transaction of Rs. 61 crores in Q3.
● Co-lending business is growing and is expected to contribute to around 10% of disbursement in the near future.
With this, I open the floor for questions and answers, thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Rajiv Mehta from YES Securities. Please go ahead.
Rajiv Mehta: Manoj, how should we read the persistence of BT pressure which is reflecting in both BT Out remaining higher than trend and the pressure on the back book yield because of repricing of BT requests? And also when I look at your incremental lending rate, the origination yield, it has

been pretty stable over the past few quarters and we haven't bee

n able to fully pass on the increase in the incremental cost of borrowing. So, can you comment on both these things in the context of the competitive intensity?
Manoj Viswanathan: The BT Out has moderated slightly if you see compared to last quarter, that is the result of some of the actions that we have taken to retain customers, etc. It's moderating and trending back towards our earlier levels. Repricing of the back book, we have not done a lot, that is not really the reason for the compression of the spreads. The spreads have compressed because the cost of borrowing has gone up. Back book repricing is minimal. There are few customers who come to us with some req uests, only they are getting repriced. There is no systematic repricing of the back book at this point and as far as the origination is concerned, we have always been maintaining that we are operating at a certain yield point and we continue to operate the re and the spreads are moving up and down depending upon the cost of borrowing. We don't want to operate at very high yield because then we tend to tread into a different customer segment altogether. So, we have kept that balance and we have always maintai ned that the spreads are

likely to hover around 5% to 5.25%. That is just coming to play right now.
Nutan Gaba Patwari: I'll just like to add to that. The 13.5% -13.6% yield that you see is an outcome of three aspects, one, the new business that we have done at 13.7%, second is that the NHB led repricing like I was mentioning earlier, we've taken Rs. 200 crores of NHB this quarter, which entails repricing of that pool of customers down to 10.7% and thirdly, this line that you see of yields is gross of co-lending. But what you are seeing on the origination yield line is net of co -lending. So, that differenc e contributes as well. Overall, we have not passed on any systematic repricing downwards to customers apart from NHB repricing.
Rajiv Mehta: Nutan, just to clarify the origination yield which you put out in the presentation, that is excluding the co -lending yield, right? That's what you're saying?
Nutan Gaba Patwari: Yes.
Rajiv Mehta: And that is a blended number for both home loan as well as LAP?
Nutan Gaba Patwari: Yes. But the yield line does not exclude co -lending.
Rajiv Mehta: And the second question is on the employee base. This quarter we have seen some decline in the employee base. So, any comments on whether the challenges persist in terms of employee attrition?
Manoj Viswanathan: No, It is the cycle of when people are hired, when they join, etc. Generally, our hiring is largely from campuses. The hiring actually happens in October to December period and then they join between January to June. This month itself probably more than 100 people would have joined us. It's just the way the cycle is. The employee attrition is at similar levels, it's in the range of 30%-35% and still not gone to the highs that we saw last year, so the employee number should come back again in Q4.

Rajiv Mehta: Just the last thing on the bounce rate in January remaining slightly higher than usual. So, typically in Q4, the bounce rate subsides, but in January it has been slightly higher. Just understanding whether the increase in bounce rate has any repercussions for our RMs productivity?
Manoj Viswanathan: The increases are fairly marginal, so it does not really impact productivity much. If you see as on date, hardly 4% out of the bounce cases are left. Today we are sitting on the 19th Jan and each RM would have probably 3 -4 loans left to collect with 10 to 12 days left in the month. Hence, this marginal change does not really impact productivity.
Moderator: Thank you. O

ur next question is from the line of Renish from ICICI. Please go ahead.
Renish: Again, two questions on spread and bounce rate. On spread, if you look at the incremental spread at 5.3% which is broadly at par with our Q3 marginal spread and also it is very close to our guided range as well. But now if you look at the pricing trend an d we have not hiked our rate since April ‘23. And if you look at the competition, I'm assuming it would be difficult to hike rates further. So, in that scenario, let's say where do you see the spreads settling and if one has to assume the rate cycle , we were saying over next 2 to 3 quarters and given we have a fairly high share of floating rate book, directionally how should spread behave considering the rate cycle as well as the competition considering limited room for further rate hike?
Manoj Viswanathan: We intend to maintain the origination yields that we have and unless there is a reduction in rates, then we obviously intend to pass that on to the customer as we mentioned earlier. So, if we do that, then the spreads will remain where it is. Overall, we are looking to maintain this 5% to 5.25% range of spread guidance. If there is any advantage that we're getting out of reduction in cost of borrowing, then we intend to pass most of it to the customer so that we remain competitive and we are still earning a healthy 5.25% kind of a spread.
Renish: So, trying to assume that over the next two to three quarters, we will maintain the spread guidance of 5% to 5.25%?
Manoj Viswanathan: That's right.
Renish: And sorry again, circling back to the che que bounce rate, so of course our 1+ DPD, 30+ DPD has been stable quite sequentially, but generally your Q4 is the strongest quarter in terms of asset -led growth, but in Jan’24 this che que bounce rate going up, though it is marginal. How should one read this data? Is there a change in customer behavior because of like say last 3 -4 quarters rate hike so that the EMI might have gone up, etc. So, how one should look at this data?
Manoj Viswanathan: I would say these minor fluctuations keep on happening. If you see the overall bounce rate curve, it's kind of an up and down. Sometimes it's 15.6%, sometimes it's gone down to 14%. Within that 100 -150 basis points gap, there is always some movement. As l ong as its range bound, frankly, it does not impact our operations that much. Sometimes it is just the date on which it is presented. If it is a Sunday, the bounce rate is a little higher, things like that. So, can't read much

into it as we have mentioned before. As long as it is in this 13% to 15.5% kind of a range, can't really read much into it because the collection results are fairly similar whether it is 13% or 15%. By 20th of the month, we would have collected about 10% -11% out of that 15%. So, you would be left with hardly 4% as on date which is a very reasonable number for the organization or for even an individual RM to kind of focus on in the remaining 10 days of the month. You can't really read much into it.
Renish: Just follow up on that. Let's say on ground we don't foresee any early warning signal in any of the geography as of now, right?
Manoj Viswanathan: Not at all. As far as the collections is concerned, we're not really seeing any headwinds which is worse than what we have seen in the past.
Moderator: Thank you. Our next question is from the line of Mayank Agarwal from InCred Research. Please go ahead.
Mayank Agarwal: My first question is on bounce rate. So, is there any specific geography like Tamil Nadu or any place which has increased bounce rate because of any particular region or it was broad based?
Manoj Viswanathan: No, it is broad

based. Generally, the fluctuations happen only branch to branch and not region to region. We have never seen any major increase or decrease in any particular region as a whole, but of course there are fluctuations within the region in spec ific branches, etc. which is all business as usual.
Mayank Agarwal: My second question is on account, use of account aggregators. So, in terms of understanding of the customer, speed, have you witnessed any kind of benefits from the use of account aggregators or how it works for you?
Manoj Viswanathan: To start with, the major benefit is that the bank statements of the customers come to us directly. It helps us in two ways. One is that we get a more detailed understanding of the customer. Plus, we are guaranteed that it is an authentic document. So, we don't need any further verification of the bank statement or any cross -check to ensure that it is an authentic document. So, it helps us to start the credit evaluation process quickly by getting the bank statement electronically. That is the basic or the most elementary advantage that we gain out of account aggregators. Of course, there will be other benefits like I mentioned in the call that we have set in motion couple of initiatives which is based on account aggregator, which will allow us to improve our underwriting further because analysis of the bank statements and models bui lt on the basis of bank statements, etc. help us to underwrite better. After looking at the initial success of almost 40% adoption within a few months of launchin g, we are encouraged to kind of create models based on the bank statements.
Mayank Agarwal: Any changes in rejection rates or a change in the CIBIL score category wise rejection rates like you can now give loan to certain lower CIBIL score per customer as well or any interesting thing to highlight in that?

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Manoj Viswanathan: Based on credit score, it's more of an elimination. If you look at credit scores which are less than 700, we have only about 10% of our business coming from that segment, where the credit score is less than 700. Within that, it is more of a case -to-case d ecision that we take. If the customer has good credentials and some justification for earlier defaults, etc. Hence, below 700, it's more of a selection criteria. Credit score itself will not be the sole criteria. We will have to look at multiple other criteria. Approval rates, yes, definitely, if the credit score is more than 700, the approval rate will be definitely higher. In less than 700, it is more of a selection, like I said. It is likely that the customer will get declined rather th an approve d, if the score is less than 700.
Mayank Agarwal: Any trends you are witnessing that a customer rejected by you is still getting the loan at a similar rate from the competitors? Anything you want to highlight because what we are seeing is that competition is getting aggressive day by day and they have the ability to, becaus e of easy capital availability, they have the ability to offer a riskier customer at lower rates also. So, anything you are witnessing on that front?
Manoj Viswanathan: I can't say it is anything new, but this kind of trend usually happens because we are a fairly large player now in affordable housing. So, yes, there may be declines on credit score, etc. which are picked up by smaller players. That has been a general ind ustry trend. When a new player comes in the market, they have to take a little higher risk. They tend to be more liberal or more lenient. That's a normal market trend. We are not seeing anything new or something significant.
Moderator: Thank you. Our next question is from the line of Raghav Garg from Ambit Capi

tal. Please go ahead.
Raghav Garg: One of my questions is that you give this breakup by ticket size, right? Rs. 1mn to Rs. 1.5mn and then all the way up to Rs 2.5mn and above. Is there any yield differential between these cuts

in terms of the ticket sizes? And if yes, can you please give us the data in terms of which ticket size would be commanding how much yield.
Manoj Viswanathan: Generally, the yields tend to follow the ticket size trend. So, the higher the ticket size, the yields tend to be a little lower. Our interest rate offers in the market are based on an algorithm which takes into account multiple factors including ticket s ize, bureau scores, customer's income, whether it is salaried or self -employed, etc. Multiple factors are taken into account before we offer the rate. But generally, in the market if you look at it, higher ticket sizes come at lower yield because the customer generally tends to be more affluent, having more stable income, etc. They have more choices in the market, and it becomes more competitive. Broadly that is the trend because we are operating in a fairly tight band up to Rs. 25 lakhs, we don't deviate that much, and we have a fairly strict policy as far as rates are concerned. We have to maintain a certain yield so we don't fluctuate much on the yields between ticket sizes, but yes, there would be some trend of lower pricing as the tick et size increases.
Raghav Garg: The reason why I ask this question is that if you look at your trends for the last several quarters, the AUM cut where the ticket size is more than Rs 2 million, that's been growing at some 50% -

60% for the last many quarters. Now, is that something that's weighing on your yields, which have come off by about 12 basis points versus last quarter?
Manoj Viswanathan: It's a more gradual trend but if you see the AUM cuts, the segment that is more than Rs. 25 lakhs is still in the 12% odd range. I think maybe 6 -8 quarters ago it might have been 10% and 9%, it has gone up by about 2% -3%. That is a more secular trend which is following inflation and overall price increases, etc. We are not going after that segment specifically.
Nutan Gaba Patwari: Just to add, the co -lending product that we do is in the Rs. 20 lakhs+ segment, where the spreads are protected given the nature of the agreements with the bank and the regulatory interface. Now, like I was mentioning earlier to a previous question, the yi eld line that you see does not exclude the co -lending yield, but the origination yield that we've given does. And that probably is what is the issue. And the second part, the 12 basis points decline that you see is also contributed by the NHB led repricing.
Raghav Garg: Understood. The second question is, would you have seen any impact of elections in Rajasthan and Madhya Pradesh on collections?
Manoj Viswanathan: In our portfolio, these are states which are doing extremely well on collections.
Moderator: Thank you. Our next question is from Mr. Nidhesh Jain from Investec, please go ahead.
Nidhesh Jain: First question is on the growth. So, as we prepare for the next 3 years, reaching roughly around Rs. 20,000 crores book, how do we prepare ourselves in terms of distribution, in terms of products, customer segment? Do we see that the current segments that we are operating that can take us to that level of loan book over the next 3 or 4 years and how we plan to scale our distribution to achieve that?
Manoj Viswanathan: So, if you see the quarterly disbursement in this segment, even if we take the ticket size only up to Rs. 25 lakhs, the quarterly disbursement is around Rs. 45,000 crores to Rs. 50,000 crores. If you exclude the states where

we are not present, say about 2 0% of the volume will go away. So, let us say, ballpark around Rs. 40,000 crores is the potential or addressable market that we have in the states that we are present in. The plan for the next 3 years is to ensure that we are able to get to all the pockets, all the pin codes of the existing states so that we have complete access to that entire Rs. 40,000 crores potential market which is there in this segment. As we have been saying in the past, there were two or three states which are cen tral and northern states where we had only skeletal presence. Rajasthan, UP, and MP are states which we are focusing on, now they are emerging as large states. The per capita income is increasing in these states. The industrialization is increasing, and th ey are getting more urbanized. So, we are seeing those green shoots. We are looking at building distribution in these states. That will be one of our key focus areas to ensure that we have access to that Rs. 40,000 crores. Currently as you can see, we have done Rs. 1000 crores out of that Rs. 40,000 crores. It's kind of a 2.5% share that we have in that segment. The idea is to take that Rs. 1 ,000 crores to a Rs. 2 ,000 crores kind of a level over the next 3 -4 years. Parallelly , to expand the addressable market we are also doing co -lending. So,

that will give us access to probably another Rs. 10,000 crores to Rs. 15,000 crores which is in the Rs 25 Lakh to Rs 35 Lakh segment which can be addressed through co -lending. On LAP, we have been conservative in the past. We have maintained it at about 15% of disbursal and about 12% to 13% of the AUM. So, that is also something which we can explore in terms of taking it up a little bit more because our credit performance so far has been good in that and we

still have a lot of headroom there from a regulatory sense. These are three ways in which we are looking at the next 3 years. The aim is to get from Rs. 10,000 crores to Rs. 20,000 crores in the next 3 years. And at the same time, deliver similar productivity and keep improving on the other metrics, which is cost as well as profitability metrics. To try and deliver a 17% plus kind of a RoE in that timeframe.
Nidhesh Jain: Sure, and what will be the branch network expansion strategy in terms of number of branches, number of employees, what are the numbers?
Manoj Viswanathan: Branch expansion strategy, when we listed the company, we were at about 100 touch points and we said we are going to take that to about 400 touch points in the next 3 to 4 years. Currently we are at 300 touch points. Now our strategy is to take the 300 to 500 touch points in the next 3 years and branches will keep expanding as a by -product of that at about 25 branches a year. Currently we are at 123, so probably in the next 3 years, we will expand to about 200 branches, and servicing abou t 500 touch points. This is our overall strategy in terms of distribution.
Nidhesh Jain: Sure. And in terms of the market share in some of the states like Gujarat, Maharashtra, in the segment where we operate, what would be the market share and disbursement in these states?
Manoj Viswanathan: On an overall average, our market share is about 2.5%. But in Gujarat, it would be higher, it would be 3% to 4% market share. Maharashtra, we still have some way to go. We are still at about 1% -1.5% market share. And so that is the journey that we will be undertaking in the next 3 years. Wherever we are at 1% or 1.5%, the idea is to take it to about 3% and where we are already at about 3% -4%, we take it beyond 5%. So, that's the aim.
Nidhesh Jain: And as the co -lending scales up, so first of all, what is the timeline by when we wi

ll reach 10%
of disbursement through co -lending? And as co -lending scales up, how it will change the P&L construct?
Manoj Viswanathan: We are at about 6% of our disbursal. You see, last quarter we disbursed Rs. 60 crores in co - lending out of Rs. 1 ,000 crores overall. So, we maybe a couple of quarters away from hitting a 10% share of co -lending as a percentage of disbursal. So, our aim is to do that first and then take co-lending to 10% of the AUM. Co -lending would not change the profitability struct ure very much because at the current rate that we are lending, we are making a 5% plus spread on the co - lending portfolio and our aim is to keep doing that. If the rates start trending down, then the spread should improve, making it more RoE accretive.
Nidhesh Jain: And lastly, what is the number of active connectors this quarter and the number of sales manager or RMs as of December ‘23?

Manoj Viswanathan: We have scaled up the connectors to about 2,900 active connectors this quarter and relationship managers are at about 800 now.
Moderator: Thank you. Next question is from the line of Arjun Bagga from Baroda BNP Paribas Mutual Fund. Please go ahead.
Arjun Bagga: I had just one question regarding the yields. I understand the last repricing that we took, I think that was in the month of April and we did take some 50 basis points. At that time, I think Q4 we were at 13.4% yield. Then Q1 we improved to some 13.7% but since then we have been coming down. So, how should I understand because I think my understanding would be that yield should actually increase for the remainder of the loans as and when they are repriced, but is it the BT out pressure which is keeping the yields under pressure?
Nutan Gaba Patwari: What has been happening every quarter we have been taking the NHB drawdown and when we take the NHB drawdown, there is a portion of that drawdown which we allocate to specific customers which happened at 10.7% yield to customer and approximately 5.5% cost of borrowing to us. So, when we reprice, the overall yield shows a drop and that's what you see in that number. We've been taking about Rs. 200 crores every quarter.
Arjun Bagga: So, this decline is entirely due to that spread maintenance.
Nutan Gaba Patwari: Yes.
Moderator: Thank you. Our next question is from the line of Mohit Surana from HDFC AMC. Please go ahead.
Mohit Surana: If you can throw some light around in terms of the BT out customer, how their eventual asset quality has behaved versus if you have tracked versus your own book. And secondly, what is the percentage of BT out customer that go to a bank lending institution versus a NBFC?
Manoj Viswanathan : Majority of the BT out go to banks. I mean if we now consider HDFC, HDFC used to be one of the large entities doing the BT outs, but if you now consider that the large part of the BT outs goes to banks only. There would be a small residual portion that goes to other housing finance companies. And as far as the quality is concerned, post BT out, we have not kept track of the customer asset quality.
Moderator: Thank you. Next question is from the line of Gaurav Sharma from HSBC. Please go ahead.
Gaurav Sharma: Yesterday, one of the HFCs mentioned that they have slowed down their disbursement through

co-lending as they received some intimation from NHB that a minimum certain threshold of their loan has to be maintained in their own book. So, just wanted to under stand whether you have also received such instruction like this and if yes, can you please elaborate on that?
Manoj Viswanathan : No, we have not received any intimation and we are maintaining the minimum percentage as per the RBI guidelines w

hich is 20%.

Nutan Gaba Patwari : The co -lending guidelines are fairly well articulated and there is a transfer of loans circulars also which companies need to follow. We are following both of them.
Manoj Viswanathan : Okay, so no intimation from NHB as of now?
Nutan Gaba Patwari : No intimation at all.
Moderator : Thank you. Our next question is from the line of Bhaskar Basu from Jefferies. Please go ahead.
Bhaskar Basu : This is on your guidance for spreads. I mean, if I get it right, you're now guiding to 5.0% to 5.3%. I think earlier you used to guide to about 5.3%. So, is there a downward revision in the spread guidance and what is this being driven by?
Nutan Gaba Patwari : Bhaskar, the guidance was always 5% to 5.25%. What's been happening is that we've seen this cost of borrowing projection for a long time. And of course, we've been managing above 5.5% levels. So, we've slightly gotten used to that number, but if you look at the business model, the business model works best from a growth perspective as well at a 5% to 5.25%.
Bhaskar Basu : And I mean from a perspective of the recent RBI tightening and general increase in funding cost, what is the incremental impact you're seeing? I mean, I see that marginal cost of borrowing is kind of similar. So, do you see some increase because of this, because of the RBI tightening?
Nutan Gaba Patwari : The RBI framework on this aspect, either capital adequacy or the bank credit to NBFC actually is favorable for housing finance companies that you would have read. What we are actually seeing on the liquidity and the funding side, we are getting more pref erence over NBFCs. We're able to retain the exact same marginal cost of borrowing for four quarters now, despite increase in MCLR, despite the RBI regulations. Coming to the capital adequacy part of it, the housing part is clearly exclude d. There remains a confusion on the non -housing part, specifically LAP portfolio for us. We have also looked at the details. We've also engaged with some experts. The clarity is still not there on the secured asset side, specifically loan against property. Our understanding is that there is likely to be some clarification, so we await that clarification. However, we've also done simulation at our end to see that if LAP gets considered at 125% risk weight, what will be the impact for us? That is about 2% for us on the capital adequacy. What you see is 40.9% will perhaps come down to 38% -39%. From a capital perspective, we are fairly well covered. Even leverage is at 4.3. So, long way to go on the capital side.
Bhaskar Basu: Okay, so just following up on the spread and the cost of fund issue, with this 10 -bps hike increase, which you're kind of guiding for the next quarter, would you say that the whole MCLR repricing is largely done or we continue to see some more increase in the coming quarters?
Nutan Gaba Patwari: Largely done, Bhaskar. However, if you see, HDFC Bank, in the last six months, the MCLR for one year has gone up by 20 basis points. SBI in the last 6 months has gone up by 10 basis points. We should assume a formula of, let's say, a public sector bank. L et's say SBI is a good representative. Whatever MCLR increase is happening for SBI, 50% of that comes and resides

on our book over a one -year period. So, if SBI is taken up by 10 basis points, we will get another 5 basis points in the next 12 months. That's really the impact, hence we've kind of chosen to call

it minimal. So, 8.30% levels is what we are likely see in the next quarter, but I think after that we are largely done.
Bhaskar Basu: Whenever kind of rate cycle turns given that MCLR, your borrowing is largely MCLR and you intend to pass on some of the rate cuts to the borrower, do you see some kind of a timing difference between the way you kind of passed on or would you kind of time it similarly because your cost of fund will also fall with a lag, I guess.
Nutan Gaba Patwari: Similar is the best approach. However, a few weeks here and there can always be there.
Moderator: Thank you. Our next question is from the line of Arvind R from Sundaram Alternates, please go ahead.
Arvind R: Are we comfortable with current BT out trades? That is my first question. What about yields continuously declining, is it because of the higher ticket sizes, is it that the higher ticket sizes continue to grow faster than the overall?
Manoj Viswanathan : BT out trend is moderated compared to last quarter. So, still maybe about 1% point higher than

what we used to see earlier, but it's moderated from the high of last quarter.
Nutan Gaba Patwari : The question is on why yields are dropping right? So, yields are not dropping, the yields are only getting adjusted for the NHB drawdown that we are taking every quarter.
Arvind R : What is the cap on spreads on the NHB front?
Nutan Gaba Patwari : Close to 5.5%.
Arvind R : And do we have anything like leverage cap we are comfortable with?
Nutan Gaba Patwari : We have 4.3x on asset to equity. We are very comfortable to at least go up to 5.5x -6x levels.
Moderator : Thank you. Our next question is from the line of Omkar Kamtekar from Bonanza Portfolio, please go ahead.
Omkar Kamtekar : One of the questions was in regard to the leverage. So, you said you're comfortable to go up to 5.5x - 6x leverage. So, it would be assumed that by FY26 if we hit a leverage of say 5.5x and the ROA remains same, so our RoE would be much higher. So, our R OEs could be closer into the 20%. Would that be fair assumption then?
Nutan Gaba Patwari : What we are looking at is more in the range of 17% ROE as we grow the book. Also, as the debt portion of the balance sheet becomes larger, there will be some compression in the NIMs. We are looking at an ROA close to 3.5% -3.6%in about 24 months' time . And with leverage of let's

say 5x, ROEs of approximately 17% -18% is the range that we are working at. We are not looking at a 20% ROE as of now.
Omkar Kamtekar : Okay, so if we take it at 5x, then it makes sense. And also, will there be an equity raise required by the firm? Do you see a need for an equity raise to happen in the near future?
Nutan Gaba Patwari : In the future, yes. Maybe not in the next 2 years.
Omkar Kamtekar : And with respect to the run rate, we hit the Rs. 1 ,000 crores disbursement per quarter. Will this become sustainable from the next quarter itself or will it take some time to steady state itself at this level and then run at Rs. 1 ,000 crores per quarter?
Manoj Viswanathan : Rs. 1 ,000 crores per quarter, if you see last 12 quarters, we have continuously increased the disbursal quarter -on-quarter. We are looking at a similar trend going forward.
Omkar Kamtekar : So, if that is the case, what is the base target that we are looking at for disbursals for FY25 and FY26?
Manoj Viswanathan : We are looking at 30% AUM growth. The disbursals will follow the trend which is required to achieve that. So, probably a disbursal growth of 20% to 25% should be able to achieve AUM growth of 30%.
Omkar Kamtekar : And the asset quality has also remained very much stable at 1.2% and 1%. Will this remain stable at 1.2 %? Do w

e see any points of concern that it might marginally increase?
Manoj Viswanathan : Absolutely not. On asset quality, there is absolutely no concern at all. It is looking very stable and even from the ground, the feedback that we get, the monitoring that we are doing, it looks absolutely stable.
Omkar Kamtekar : And finally, with respect to co -lending, I think we did about Rs. 60 crores worth of disbursement. You said we will be targeting 10% of AUM. So, incrementally, there will be a higher share of disbursement through co -lending in the coming quarters. Will t hat be a fair assumption?
Manoj Viswanathan : Yes, marginally higher because we are currently at about 6% or 7% of the disbursal. As we kind of inch up towards 10%, yes, the share of co -lending you can say is going up.
Omkar Kamtekar : And the spreads on that, what I think someone had mentioned from the management was up to 5%, did I get it right?
Manoj Viswanathan : That's right.
Moderator : Thank you. Our next question is from the line of Chandrasekhar Sridhar from Fidelity. Please go ahead.

Chandrasekhar Sridhar : Spread which is ranging between 5% -5.25%, is that more a function that beyond the point while your costs are increasing, still because of some of these MCLR hikes, you don 't want to basically underwrite beyond a certain hurdle rate in terms of the customer of yield because you sort of underwrite a different set of customers. Is that primarily why you 're looking to absorb a little bit at this moment?
Manoj Viswanathan : That is correct. As you know, we have already passed -on 125 basis points to our customers. We don't want to reprice the back book too much. Also, over the last quarter, we have got a 20-basis points COB increase, but we are not passing that on to the customer.
Chandrasekhar Sridhar : So, some of this is relatively clear. It 's a function of where we are. Maybe at some point in time, if it goes down some of these things could change.
Manoj Viswanathan : That's right.

Moderator : Thank you. Next question is from the line of Arvind R from Sundaram Alternates. Please go ahead.
Arvind R : Do we get any fee income for co -lending?
Manoj Viswanathan : Yes, we get a processing fee on originating the loan. This is the normal processing fee that we charge on our own core affordable housing loans that we originate. Same processing fee we earn on co -lending home loans as well.
Arvind R : And just one more thing, when we say that we intend to pass the benefits of funding costs with the rate cycle reverses, would we be looking to pass on everything or part of it?
Manoj Viswanathan : It depends on how sharply it moves. If it moves very gradually, then we may just pass it on. If it moves sharply, we could probably retain a portion and pass on the balance.
Moderator : Thank you. Next question is from the line of Amit Jain from Axis Capital. Please go ahead.
Amit Jain : As you grow bigger and bigger, so in terms of distribution, will account aggregator be the way ahead or would you like to look at other forms as well such as DSA?
Manoj Viswanathan : No, our distribution is basically through individual connectors, individual agents who refer customers to us. We intend to continue that model. That model has worked extremely well for us. We have certain competitive advantages there in the way we manage it, etc. So, we intend to continue to leverage the connector model. Account aggregator is more for credit evaluation, that is for basically collecting information about the customer. That is for a different purpose altogether. As far as d istribution is concerned, we intend to stick to our connector model.
Moderator : Thank you. Next question is from the lin

e of Omkar Kamtekar from Bonanza Portfolio. Please go ahead.

Omkar Kamtekar : My question is on the average ticket size of the loan. Is there any specific bucket of loan that is growing faster and from the previous comment on the co -lending becoming 10% of the AUM and I think the higher ticket size that is Rs. 25 lakhs and above i s where the co -lending transactions are there. So, would the average ticket size on a whole increase over the next 2 to 3 years?
Manoj Viswanathan : Yes, average ticket size will increase. The reason being that what was let us say Rs 5 lakhs few years ago is now around Rs 10 lakhs and so on and so forth. If you rewind 5 years ago, our core segment used to be between Rs 5 to Rs 10 lakhs. But now the R s 5 to Rs 10 lakh segment, because of inflation, that segment has moved to Rs 10 to Rs 15 lakhs. So, now our core segment is Rs 10 to Rs 15 or Rs 10 to Rs 20 lakhs. It 's just the impact of inflation. The profile of the customer is the same, but the ticket sizes are gradually moving up. As a result, yes, every 5 years you will see some shift in the ticket sizes.
Omkar Kamtekar : So, is it more so from the perspective of structural change and not because of the co -lending and, etc. that you would see a higher, a bigger expansion in the ATS?
Manoj Viswanathan : Yes, ex of co -lending. Yes, co -lending is definitely contributing to it or it is contributing more to it. But if you remove co -lending also, there is a gradual shift in the ticket sizes. You will see that our growth in the Rs 10 to Rs 15 lakh and Rs 15 t o Rs 20 lakh is higher than the Rs 5 to Rs 10 lakh segment. That 's because of the gradual shift in ticket sizes. Apart from that, there is obviously an extra contribution from the co -lending aspect as well.
Omkar Kamtekar : Got it. And any specific bucket of the bifurcation that you have given by ticket size, any specific segment that is growing, if you could give which is the fastest growing and maybe anything in that sense?
Manoj Viswanathan : Yes, so like I mentioned, Rs 10 to Rs 20 lakhs. Rs 10 to Rs 15 and Rs 15 to Rs 20 are growing faster than the smaller segments.
Moderator : Thank you. Next question is from the line of Sonal Gandhi from Centrum Broking Limited. Please go ahead.
Sonal Gandhi : Basically, I needed a few clarifications before I moved to questions. So, if you could just let me know what exactly happened in Tier -1 capital wherein it has fallen from 45% to 40.5%. Because I heard Nutan saying that if we take that risk weightage on t he LAP portfolio, this might actually go down to 38.5%.
Nutan Gaba Patwari : Let’s discuss CRAR’s journey from 45% to 40%. So, there are two components to this. If you see our investments in December versus September, they have gone up significantly. When you park funds in liquid funds, they carry a 100% risk weight under the capital a dequacy regulations. However, if you park the same money in fixed deposits, they carry a 0% risk weight. So, this 3% increase is contributed by just how we 've chosen to invest our cash and cash balances. The other 2%, which is basically coming from organic growth of the business. What I was trying to

mention earlier, if we took the impact of the circular, then this 40% will look like 38%. Now if you want to look at it, 3% is just how we choose to allocate funds between fixed deposits and liquid funds. So, March quarter for example, you can see this goi ng back. But organic growth - related

capital consumption will continue to happen.
Sonal Gandhi : That's helpful. The other one was on co -lending. So, is there an upfront income in co -lending as we do in direct assignment? Can we say fair value gains?
Nutan Gaba Patwari : No, we don 't do that.
Sonal Gandhi : So, we had this stated policy, wherein we were planning to do about Rs. 100 crores of direct assignments every quarter. That number has gone up this quarter. So, how should we see this up-fronting income moving from here?
Nutan Gaba Patwari : There are two ways to look at this. Rs. 100 crores +/ - is the kind of number we 've discussed in the past. The other way to look at this is the proportion of direct assignment to the overall AUM. If you look at that, that has remained constant at this 13% -14% level. I think that will be the right number to look at that the overall comp osition of the off book contributed by assignment is not increasing. But with the growth in the book, the absolute number might shift.
Moderator : Thank you. Our next question is from the line of Ravi Naredi from Naredi Industries. Please go ahead.
Ravi Naredi : First of all, congratulations on crossing the 1 billion market cap of our company. Sir, our cheque bounce rate increased and was higher side at 15%+. So, many questions asked by so many investors. My point is that if cheque bounces, customer bank also ch arge cheque bounce charges to the customer, it increases the cost of middle -class borrowers, so have you plan to control this?
Manoj Viswanathan : We keep educating customers that they should clear the payment at the first clearing, etc. But there would be a set of customers where it is not impacting them because probably, they are not using those accounts or maybe those accounts are in minimum balance, etc. Which is probably the reason they are bouncing those payments. We of course encourage our customers to keep clearing it on the same date and not bounce it. But today wi th so many different options for repayment through UPI and through multiple cha nnels, customers don 't take that very seriously which is also one reason why there is higher bounce rate.
Ravi Naredi : Sir, company maintained Rs 2,460 crore liquidity against AUM of Rs 9,014 crore or against borrowing of Rs 6,843 crore or 36% of borrowing is the liquidity we are maintaining. So, do you think Manoj it is higher side?
Nutan Gaba Patwari : That number that you are seeing includes the undrawn line. What we are carrying on the balance sheet is around Rs. 1 ,200 crores sir.
Ravi Naredi : Sir, any equity raise on cards?

Manoj Viswanathan : Not for the next 2 to 3 years sir. We have enough accruals which will carry us through for at least 2 to 3 years.
Moderator : Thank you. Next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.
Raghav Garg : At what rate would we be getting the NHB borrowing? Would it be somewhere around 6.5%?
Nutan Gaba Patwari : Depends on schemes, Raghav, so the weighted average cost will be around 6.5%, but it is different for different schemes.
Raghav Garg : And you also mentioned that our spreads on this particular piece is about 5.5%?
Nutan Gaba Patwari : That's right.
Raghav Garg : So, Nutan, if I just calculate the impact of NHB borrowing that comes to about 5 basis points. But your yields have actually compressed by about 12 basis points. So, what explains the other 7-8 basis points of compression?
Nutan Gaba Patwari : Right. So, the full delta is actually 8 basis points. I think there could be some rounding of numbers. About 5 basis points is contributed by NHB and around 2 basis points is contributed by co -lending and there is also some marginal contribution b

y the B T out. So, that is the full breakup.
Raghav Garg : Sorry, how do you arrive at 8 basis points? As per your reported numbers, it's about 12 basis points.
Nutan Gaba Patwari : Where do you see that? Because what we have is 13.5 %.
Raghav Garg : Moving down to 13.5 %.
Nutan Gaba Patwari : No, so there is a rounding off that we're doing. So, we are looking at 13.58% to 13.52%.
Moderator : Thank you. Ladies and gentlemen, that was the last question of our question -and-answer session. As there are no further questions from the participants, I now hand the conference over to Mr. Manoj Viswanathan for closing comments.
Manoj Viswanathan : Thank you. Thank you, everyone, for joining us on the call. I hope we have been able to answer all your questions. In case you require any further details, you may get in touch with Manish

Kayal. Thank you very much.
Moderator : Thank you. On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

HFFCIL/BSE/NSE/EQ/16/2024-25 Date: 15-05-2024
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai- 400001.
Scrip Code- 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai- 400 051.
Scrip Symbol- HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 2024

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 2024 conducted on May 9, 2024 for your information and records. The Company referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company: www.homefirstindia.com

This is for your information and record.
For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

Home First Finance Company India Limited
Q4 FY24 Earnings Conference Call
May 9, 2024

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MANAGEMENT : MR. MANOJ VISWANATHAN , MD & CEO
MS. NUTAN GABA PATWARI , CFO
MR. MANISH KAYAL , HEAD - INVESTOR RELATIONS
This document is a transcription of the conference call conducted on 9th May 2024.
Click here to listen to the original audio.

Moderator: Ladies and gentlemen, good day, and welcome to Home First Finance Company India Limited Q4 FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manish Kayal, Head, Investor Relations, at Home First Finance. Thank you and over to you, sir.
Manish Kayal Thank you, Ria. Good morning, everyone. I hope that all of you and your families are safe and healthy. I extend a very warm welcome to all participants on our Q4 & FY24 conference call. I hope everybody had an opportunity to go through our investor deck and press release uploaded on stock exchanges. We have also uploaded the excel factsheet with historical numbers on our website. On today's call, HomeFirst is represented by our MD & CEO, Mr. Manoj Viswanathan and CFO Ms. Nutan Gaba Patwari and we will start this call with an opening remark by Manoj and Nutan, and will then have a Q&A session. With this introduction, I will now hand over the call to Manoj. Over to you Manoj.
Manoj Viswanathan: Thank you, Manish. Good morning, everyone. I am pleased to share with you the highlights of Q4 & Full Year FY24 performance.
We concluded FY24 on a strong note. Disbursements at Rs 3 ,963 Crs, grew by 31.5% and AUM grew by 34.7%. Spreads remain healthy at 5.4%. PAT at Rs. 306 Cr grew by 33.9% on y -o-y basis leading to ROA of 3.8%. Delighted to deliver ROE of 15.5% for FY24 and Q4FY24 saw it higher at 16.1% even in a high interest rate e nvironment.
We continue to build distribution by simultaneously entering new markets and deepening our presence in existing markets. Overall, we have added 22 branches in FY24 and now have 133 physical branches. Including potential & digital branches, we now do busine ss across 321 touchpoints across Tier 1 to Tier 5 markets in 13 states / UT of India. States of Uttar Pradesh, Madhya Pradesh and Rajasthan are emerging as large affordable housing markets and we have taken steps to strengthen our presence and expand distr ibution in these states. We have added 7 branches in UP, MP and Rajasthan in FY24 serving 16 additional touchpoints in these States .
Our asset quality continues to be strong with a focus on early delinquencies . 1+ DPD is at 4.2% , decline of 30 bps on q -o-q. 30+ DPD at 2.8% , decline of 20 bps on q -o-q. Gross Stage 3 (GNPA) is at 1.7% , flat q -o-q. Prior to RBI classification circular of Nov'21, it stands at 1.1%. Our credit cost at 10bps , decline of 20 bps on q -o-q basis. Our overall collections remain strong and in Q4FY24 we have had considerable recoveries from previously written -off accounts contributing to these credit cost levels. We continue to maintain our credit cost guidance of 30 to 40bps.
Digital adoption continues to be strong and a key area of our focus as we grow. 95% of our customers are registered on our app as on Mar'24. Unique User Logins was 53% in Q4FY24.

Service requests raised on app was stable at 89%. In Q4FY24, we have processed 47% of loan sanctions with data coming from Account Aggregator.
Another important point to communicate is that our Chairman Mr. Deepak Satwalekar tenure has been extended for a second term of 5 years subject to shareholders approval at the upcoming AGM.
With this, I would now like to hand -over the call to Nutan to take you through the Financials. Nutan over to you.
Nutan Patwari: Good morning, all.
Our overall Spread is at 5.2% and our spread ex CL is 5.4%. Our overall Q4 N

et Interest Margin
stands at 5.3%. The NIM compression is an outcome of continued growth and increase in financial leverage, increas ed cost of borrowing and higher cash and cash equivalent holding in Q4. The break -up of this NIM compression is: ~ 20bps coming from Cost of borrowing increase net of repricing , ~ 20bps on impact of financial leverage and ~ 20 bps on higher cash.
Our ex-CL Spread guidance of 5 .0-5.25% stands for the medium term. CL is building well in line with plan and remains a return accretive product in markets we operate. Our first milestone is to take it to 10% of AUM. Today we are at 3% .
As you all must also be watching - the deposit rates are holding, MCLR of banks are all trending up on the back of tight liquidity situation. Despite all of this, our marginal cost of borrowing remains range bound for the last 5 -6 quarters with continued diversification. Our ability to engage wi th banks for improved pricing comes from continuous focus on transparency of sharing information with lenders and our scalable business model that allows us to expand while managing risks.
We also got an outlook upgrade from India Ratings – one of our 3 rating agencies. This kicks - off a very important journey for us to move to the next rating category.
Opex to Assets at 2.5% for Q4 is due to clean -up of some old provisions as part of closing the financials for the year. We continue to maintain the guidance of around 3.0% going ahead; as

we focus on expansion and get deeper into new markets.
Our Balance sheet is strong & ready to take on the growth ambitions of the company. Starting with borrowings, the company continues to have diversified & cost -effective long -term financing sources. This remained diversified across banks as well as NHB. Our Borrowings mix is: 60% of our borrowings from Banks (Private sector 31% and public sector 29%) . NHB refinance share at 18% , we have drawn Rs 250 Crs in Apr'24 from NHB . 14% from Direct Assignment and 3% from Co -lending. 3% is from IFC NCD . We continue to have zero borrowings through Commercial paper. Our cost of borrowing is competitive at 8.25%, an increase of only 3 bps on q -o-q basis.

Coming to capital : Our total CRAR is at 39.5% and Tier 1 CRAR is at 39.1%. Our Debt to Equity is now at 3.4 times. Our Mar'24 Networth stands at Rs 2 ,122 Crs. Our Book Value per share (BVPS) stands at Rs. 239.7 .
Moving to provisions, we have remained conservative and continue to carry provision overlay, over and above the ECL requirements. Total Provision coverage ratio stands at 50.9%. Prior to NPA reclassification as per RBI circular, PCR stands at 75.7%.
On specific transactions : We did a direct assignment of Rs 103 Crs during the quarter as a liquidity strategy. We continue to have a robust demand for our portfolio of assets. Our total Co - lending volume in Q4 was Rs 68 Crs & Rs 214 Crs in FY24. Co -lending business is growing and e xpect this to contribute around 10% of disbursements in the near future.
With this I open the floor for Q&A. Thank you.

Moderator : Thank you very much. We will now begin with the question -and-answer session. The first question is from the line of Abhijit Tibrewal from Motilal Oswal.
Abhijit Tibrewal: Congratulations, Manoj and Nutan. Let me congratulate on another good quarter for you and the team. I had just three questions. First one for Nutan, how should we look at cost of borrowings trending? I think you've guided that in 1 -2 quarters, it is going to stabilize. Where are we now in terms of the outlook on cost of borrowings.
Nutan Patwari: Abhijit, like I was mentioning , everyone is watching the overall liquidity situation , deposit rates and MCLRs. What we're experiencing is that the private banks are able to continue to maintain the pricing. Public sector banks, there is a little bit of pu

shback. Nonetheless, our pricing is maintained at the same level for the last 5 to 6 quarters as we've been disclosing the numbers as well. Net-net, coming to cost of borrowing another 10 -20 bps increase at best is what we're looking at. We a re not expecting any further increase, unless, of course, the policy rate changes or the G -Sec pricing changes. With this environment, another 10 -20 bps, not more than that.
Abhijit Tibrewal: Manoj, if I look at the BT Out rate until last year, the number which used to be in the ballpark of 6%, right? Suddenly seems to have moved in this year to 7.5% to 8%. Is there anything you are seeing there? Because you've seen in the past, as organizations grow and mature and other lenders, have more comfort on your originations, the appetite to take the balance transfers of other institutions go up. Anything that you're seeing there on balance transfers?
Manoj Viswanathan: No, I think the balance transfers are slightly elevated only because of the repricing that has happened. We don't see any kind of long -term trend or anything like that. It is l argely a reaction to this sharp increase in rates that has happened in the last 2 years. We are also putting in place a lot of new measures to address the balance transfers. It is a concern, but it's not a major concern because you can see the overall erosion levels are still at the same level. It balance s out the balance transfers and own prepayments, etc. The total erosion still stands at about 16% to 18%,

including the balance transfers. So , it's not like the increase in balance transfers have increased erosion rate of the portfolio.
Abhijit Tibrewal: Got it. And one last question that I had was more of the sectoral level. There was the circular from RBI, which spoke about HFC is now asked to start charging interest on loans only when the cheque was handed over to the customer. At the sectoral level, what you're seeing is it can even take up to 30 days, 40 days in a lot of cases from the time th e cheque is printed to the time the cheque is actually handed over to the customer. Two things I wanted to understand from you in terms of our practices, what is our practice, when is it that we start charging interest to customers. And if at all, you see this having any impact on the interest income?
Manoj Viswanathan: In our case, we don't issue cheques at all. As a practice, we have been doing electronic transfers

from day 1. There are, of course, a certain proportion of transactions, especially on the resale transactions, where the customers themselves require demand draft because they have to show the demand draft to the seller so that the seller will transfer the property in their name. It acts as a kind of assurance. Those are the only transactions where we issue a demand draft. But in the case of a demand draft, we are also incurring the cost from day 1 because the money goes out of our account so we charge the interest to the customer.
However, the clearance happens fairly quickly. We don't have a practice of actually issuing a cheque and then completing the transaction later, etc. The turnaround time between issuing the demand draft and transaction clearing happens quickly. Within 30 days, almost 90% -95% of the issued DDs get cleared. On an average, in about 15-day DDs are cleared.
And we don't have a very large volume of such transaction, it largely happens in the case of resale transactions where the seller requires the assurance. Those are the only cases where we issue a demand draft otherwise largely it is done electronically.
Abhijit Tibrewal: Got it. So , in essence, for us, it is not going to be much of an impact because anyway recent transactions should be a much lower proportion of our disbursements. And there also -- like you are saying, there was a 15 -day on an average kind of a lag between the dem

and draft getting
printed and handed over to the customer.
Manoj Viswanathan: Correct.
Abhijit Tibrewal: So now if at all, this is the only impact which will be there. But now on printing of demand draft, you can start charging the customer. Only when the demand draft gets handed over to the customer, we can start charging interest.
Manoj Viswanathan: Exactly. The RBI circular does not mention demand draft. So , we will have to get a clarification on that in due course.
Moderator : Next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: First question is on the origination yield ex of co -lending. That has come down by 30 basis points quarter -on-quarter. And the second is the AUM shift in this quarter towards more than 1.5

million loan ticket has been pretty accelerated. And this is also ex of co -lending. If you remove the impact of co -lending, the shift is pretty significant. What is driving this?
Manoj Viswanathan: Origination yield will be range bound. Our target is 13.5% kind of an origination yield, but there will be some quarter -to-quarter fluctuations on that. Nothing more to read into that.
Average ticket size, as we have mentioned before, there will be a secular increase in ticket size as we go forward because in certain states in the country, the ticket sizes have gone up because of higher incomes and aspirations of people to build or purch ase larger houses. There will be a gradual uptick in ticket sizes . We're not going after a different segment. It is just a normal increase that we will likely to see as the country progresses.
Rajiv Mehta: And the second question is on Gujarat, which is a key market. Incrementally, there has been a growth slowdown in Gujarat. So , when I calculate the growth Q -on-Q has been around 4.5%, 5% this quarter versus 6%, 7%, 8% in the previous quarter. So , the slowdown which we have seen in this quarter in Gujarat, is it linked to competition what we have? Is it that the higher amounts of BT Out are happening in Guja rat because it's slightly more mature market for us. Or whether if there is any market slowdown happening in Gujarat.
Manoj Viswanathan: We are diversifying ourselves to other m arkets, so it's kind of intended number. Our aim is that over time, share of Gujarat will come down in the overall mix. Our market share in Gujarat is about 4% -5%. So , there is still a lot of headroom to grow. It's not that we are looking at a slower growth in Gujarat. We aim to grow by between 20% to 30% in Gujarat as well.
Rajiv Mehta: Okay. And just lastly, Nutan can you explain the decline in opex in the quarter, about the employee cost as well the non -employee cost because I see that branches have been added but the opex has come down. Have I missed out something in terms of explanation in the press release?
Nutan Patwari: Nothing to miss, Rajiv, essentially because March is a financial year close. We took this as an opportunity to clean up some excess provisions that got built up. And that's why in my opening remarks, I mentioned that the right number to look at moving ahead is 3%. We should not get anchored to the 2.5%.
Moderator: Next question is from the line of Shreepal Doshi from Equirus Securities.
Shreepal Doshi: My question was pertaining to the cost of funds side, so incrementally what is the rate of interest rate getting on sanctioning by NHB?
Nutan Patwari: NHB, again, has multiple schemes. It varies from scheme to scheme. The range that we get from NHB is anywhere from 5.5% to 8.5%. It depends on the funds available with them, the pool that we can tag and refinance their mix and how they want to share it with different HFCs with the combination of various factors, but that r emains to be the range .

Shreepal Doshi: Okay. We must have seen a change or an increase in that range as well, right, in the

last 6 months'
time period?

Manoj Viswanathan: Yes.
Shreepal Doshi: So technically, we would have passed on that change to our customers as well, right?
Nutan Patwari: If it is the floating book, yes. If it is fixed book, then it does not change, but it is fixed from NHB as well. For Example, t he AHF scheme rates remains fixed. The other scheme is floating which we pass on. But the pass -on is not 1:1. We do pass on at specific time periods which we plan for it. We will not specifically go and then pass on for customers which are tagged to NHB. We will not do that.
Shreepal Doshi: Okay. The second question was on the credit cost front, so if you look at structurally, we have had a credit cost ranging between 30 to 50 basis points. So , this quarter, it has been a little lower. While if you look at peers in the landscape, they have been in the range of 15 to 20 basis points. With portfolio seasoned now and having seen 2 big cycles, is it fair that incrementally, we can also stabilize at relatively lower levels.
Nutan Patwari: Let me give you the context and how we also look at from a ECL provisioning perspective because that impacts credit cost. Firstly, as you would have seen, our delinquencies have improved and stabilized across buckets . Therefore, the ECL movement is only for new growth that we build on the book. But we also try to carry a larger provision than what the ECL model throws up, and we have a significant overlay more from risk management perspective.
Specifically for this quarter, what has happened is that we've had some write -backs from loans that were originally written off during the COVID period because we've been taking prudent calls to do technical write -offs, but we've had recoveries of almost cl ose to INR 2.5 crores. That is essentially why this quarter, the number is looking low.
Moving ahead because of the provisions that we've continued to carry, which is higher, we continue to carry slightly higher provisions from growth as well. The right number for us probably is around 30 basis points, not 15, not 20. Around 30 basis points is what we think we should be projecting for us.
Shreepal Doshi: Okay. And the last question was on the branch expansion side. So incrementally, which states would drive our branch expansion?
Manoj Viswanathan: We are looking at some of the emerging affordable markets like UP, MP and Rajasthan to drive further expansion. As we mentioned, 7 out of the 22 branches that we have put up last year are in these states. And in the coming years also, we intend to further expand into these states.
Moderator: Next question is from the line of Sameer Bhise from JM Financial.
Sameer Bhise: Congrats on good quarter. If I look at the marginal cost of borrowing, that's still like 40 bps away from the on -book cost that we see on slide 29. By when do you think the both converge, like given the environment remains the way it is right now?

Nutan Patwari: Sameer, hopefully never is the answer because we also have NHB borrowing. As you would have seen on the liquidity slide, we have a INR 250 crores sanctioned line from NHB, which we have drawn down in April, which allow s us to kind of maintain the cost of borrowing. And of course, in this FY25 is also hope to get a significant line which will again help us manage the cost of borrowing. From a projection perspective, the 8 .3% would look more like 8 .5% in 2 quarters to 3 quarters and hopefully flatline there. Again, the assumption is that there is no policy rate change or no significant changes in the overall Debt capital markets.
Sameer Bhise: So then is there a case for a bit of a pricing increase on the asset side?
Manoj Viswanathan: As we mentioned earlier, up to small increases like 10, 20 basis points, we are

looking to absorb
it, and we are not looking to pass it on to the customer. We want to give the customers a stable period where we don't keep changing the rates. We will watch the trends. If there is a substantial increase in COB , then, of course, we will have to pass it on. But if the difference remains in the 20 basis points range, we will not pass it on.
Sameer Bhise: Secondly, if I just look at the quarterly ROA profile. For the full year, I think we have been able to hold on well at around 3.8%. But say, if I look at a 5 - to 6-quarter trend, steadily there has been like a 30 bps kind of a drop. Is it the right way to look at it on a quarterly basis? And would it be fair to comment that probably the ROA kind of bottomed out at current levels?

Manoj Viswanathan: ROA will keep declining slightly every quarter because that's the financial leverage that is playing out. That much of movement you will see. I mean there may be some fluctuations in some quarters because of higher cash being kept, etc. But otherwise, on a secular trend, you will see that there is a small decline every quarter, which is largely due to the financial leverage.
Sameer Bhise: Yes. So , in terms of our threshold on the downside, we would be towards the trough now?
Nutan Patwari: Yes. Let me share how we are looking at next year's ROA tree for example. We've always been talking about the spread of 5% - 5.25% . When you look at that, our NIM for full year is 5.8%. So, let's say, 5.5% NIM more or less, and 2.2% to 2.5% of other income. So that lands somewhere between 7 .8% - 8% of total net total income. And an opex of 3% and a credit cost of 30 basis points, you wil l land at a ROA of around 3.5%. So that range can be 3.4% to 3.6%. But let's say you anchor around 3.5% plus/minus which essentially leaves you with a 16% plus ROE because the financial leverage will continue to go up. We are already at 4.5 X. Let's say we exit close to 5 X with an average of 4.7 X to 4.8 X. So, the idea is that we maintain a 16% plus ROE with a significant contribution from the core business itself.
Moderator: Next question from the line of Raghav Garg from Ambit Capital.
Raghav Garg: My first question on this thing where RBI pointed out charging of interest before the date of disbursal. But if I understand correctly, you gave in -principal approval but the actual disbursement happens later, right after further due diligence. Just wanted to clarify if you are charging any interest before the date of disbursal but after giving the in -principal approvals, just one clarification on that and then I will ask my other question.

Manoj Viswanathan: The interest starts only once the actual payment goes out of the system , once our account gets debited for the amount only then the interest starts.
Raghav Garg: My second question is on incremental spreads. So , I think you are guiding for 5%, 5.25% in that range but if I look at your incremental spreads, it's around 4.7%, right? So how is it that you will be able to bridge that gap from 4.7% to say 5% -5.25%?
Nutan Patwari: Raghav there are quarters where the spread will be lower. Essentially, those quarters really do not take the NHB funding. But the quarters where we've taken NHB funding, the spreads will also expand. The overall spread for the year, therefore, will kind of compensate that and land in that 5% to 5.25% range. That is one of the key drivers. The other driver, of course, we talked about more expansion. We've talked about the product mix slightly increased i n the last slide. So, all of those thing s will contribute to spread as well.
Raghav Garg: Right. Nutan, if I look at your spreads since 1Q FY23, they've been coming down, right, and that's because of the higher cost of borrowing. There hasn't been a series of quarters where these spreads are fluctuated up and down. So

why should that be the case going forward?
Nutan Patwari: The reason that is coming down is because the cost of borrowing has increased sharply. There has been a significant catch -up. Now that catch -up is complete. Therefore, it will kind of stabilize. But the yield line, I am talking about ex -co-lending numbers. We should start seeing some expansion in that from new products as well.
Raghav Garg: Understood. And last question, why was your opex ratio lower or absolute opex flat despite branch and employee addition?
Nutan Patwari: There's some cleanup in the financials, Raghav. We kind of d id a deep clean -up of the financials. We had some old provisions which we decided to knock off.
Raghav Garg: Okay. Understood. What is the outstanding pool of written -off loans, from which you could potentially see some recoveries going ahead?
Nutan Patwari: The potential target pool, the number would be close to INR20 crores, but we do not expect the INR20 crores to come and hit us as write -backs anytime in the future. What we see is usually a reversal of around INR50 lakhs - INR70 lakhs every quarter. This quarter, it was around INR2.5 crores. Of course, we did some focused activity as well on that. I would not expect more than INR50 -70 lakhs going ahead every quarter.
Moderator: Next question is from the line of Pavan Kumar from RatnaTraya Investments.
Pavan Kumar: I just wanted to check if there has been any change in terms of NHB lending pool that is available to all the HFCs? And how do we see our NHB or NHB pool as a proportion of our entire borrowing pool going forward, is there going to be any kind of significa nt increase in proportion -- and how will that assess their overall spreads.

Nutan Patwari: So, no significant change as far as we are familiar with. NHB does have this process of inspection

and quality of reporting and everything else, which determines the size of the borrowing. One of the new criteria's that we also understand has got an added is the incremental housing loans. And essentially a percentage of that is what NHB will be funding. We are the best placed from that perspective.
Coming to the second part of your question, NHB refinance as a percentage of the overall book my sense it will be 20% on an average basis. I mean we believe plus/minus 2%, depending on whether we've taken disbursal or not, but ballpark around 20%, the percentage of cost of borrowing of 8.3% is where we are right now, like I was mentioning earlier, 8.50% assumes that we will continue to maintain a 20% in NHB finance and able to deliver COB of 8.5%, let's say, for the rest of this year.
Pavan Kumar: The HFCs that are there in the market, the pool should have significantly increased since the biggest housing finance player has now merged with the bank.
Nutan Patwari: We tend to agree with you. But going back, NHB runs a treasury function. It's not the money that they have from the government or subsidies. They essentially raise from the market because they have a significant advantage in rating. They add a small margin to that and then they lend to us. So , the overall, what they have been raising has reduced to account for the largest HFC becoming a bank.
Pavan Kumar: Okay. Now one last question from my side. What would be the difference in the borrowing rate NHB versus marginal borrowing rate at the moment?
Nutan Patwari: Almost 50 basis points.
Moderator: Next question is from the line of Nischint Chawathe from Kotak Institutional Equities.
Nischint Chawathe: Three small questions. One is, where do you account for recovery from written -off loans?
Nutan Patwari: In the credit cost line.
Nischint Chawathe: So, this is adjusted with the credit cost?
Nutan Patwari: Yes.
Nischint Chawathe: Okay. How do you account for co -lending income? Where does it get reflected?
N

utan Patwari: The co -lending income gets reflected on the spread basis. Essentially, only the delta gets represented in the net interest income line.
Nischint Chawathe: Okay. It is not like fee income or something.
Nutan Patwari: No. The fee income is sitting in the fee line, but there's no up -fronting, if that's your question.

Nischint Chawathe: I got it. And this comes -- sorry, just to clarify, this comes on interest on loans or does it come on other interest income?
Nutan Patwari: Interest on loans.
Nischint Chawathe: Okay. Got it. Can you quantify the number for this quarter or the year or it's too insignificant?
Nutan Patwari: I'll have to come back to you.
Nischint Chawathe: Okay. Maybe you can do it from next year, when it will start getting a little more relevant .
Nutan Patwari: Yes, my view is that once we get to this milestone of 10% on co -lending, it merits a separate disclosure on the product. Otherwise, it's too small.
Nischint Chawathe: No, no, fair point. The reason why I'm saying is that you can just book a spread and the IGAAP yield calculation that you do sort of tends to get a little distorted and obviously kind of get into that discussion mode. The other one was that, why did the repayment rate go up for the quarter? And ideally, I would have expected the repayment rate to be lower this year versus the previous year.
Nutan Patwari: The number is 18%, right? That you're looking at the same number.
Nischint Chawathe: 18.5% for the quarter. For the full year, it remains flat at 20.5%, which we would have ideally expected to go down. So, just some color on that. Is it something that BT Outs have gone up?
Manoj Viswanathan: No. If you see the total erosion rate quarter -on-quarter largely in the 18% range only. It ranges between, 17% to 20%. This quarter has not been very different. The total erosion rate that is what you're referring to is 18.5% for the quarter. That includes the balance transfer, which is about 8 % odd. And the balance comes from loan prepayments and the EMI portion, etc.
Nischint Chawathe: Last year, the BT Out was lower than 8%, right?
Manoj Viswanathan: Yes. Last year, the BT Out was lower than 8%. But if you see the erosion rate that again was in the same 18% to 20% range only.
Nischint Chawathe: So last year, anything there was something because of the CLSS scheme and the repayment rates were higher, and this year, despite the fact that there's no CLSS scheme, the repayment rate is still at around 20.5%, which probably means that the difference is BT Outs. I think that's what my question was.
Manoj Viswanathan: Last year, including CLSS, rate was higher actually. It was higher by about 2% - 3%. This year, it's come down to about 2% -3%. Last year average was about 20%. This year average is about 18%.

Nischint Chawathe: No, sir mathematically both, I can take it offline, but mathematically repayment rate for '23 and '24, both years is 20.5%. And we would have expected that ex of CLSS, probably this goes down

to maybe 200 basis points or so. So maybe that is the increase in BT Outs. that's what I wanted to check.
Manoj Viswanathan: Reduction in CLSS probably has been compensated by a slight increase in BT Out.
Nischint Chawathe: And is this because of competition? Or what is it that you are seeing the high in BT Outs.
Manoj Viswanathan: BT Out rates are higher largely because of rates being higher because we have repriced the large part of our book and that is creating some tension with customers. That's primarily the reason.
We have analysed our BT Out also. In the last 2 years, we have increased the PLR thrice. The customers who received the three hikes are more prone to B T Out.
Nischint Chawathe: And the last rate hike you would have

done in which month?
Manoj Viswanathan: Last hike, we did in April ’23
Nischint Chawathe: That's a long time back, right? I mean some of your peers have done it as late as Jan'24. So , it's not like nobody else is hiking price rates. Are you seeing new players in the market? Are any of your borrowers getting migrated to the larger bank?
Manoj Viswanathan: Migration is largely to the larger banks. New players in any case, will not target BT Out as their starting point or as their core business because they'll have a challenge on cost of borrowing, etc.
It will be largely the bigger banks and bigger housing finance companies that target BT Out.
Nutan Patwari: If you compare us with the peers because you brought up that point. Home loan to home loan, we are operating at a much higher pricing in the competitive markets. So that makes us more prone to BT Out per se, but we've kind of maintained that and we've delivered the growth despite that.
The second issue in comparison is that most peers run with a mix of fixed and floating book. BT Out numbers are not fairly disclosed on the floating and the fixed book. The comparison is not very fair. What we can compare is the total runoff. And if you compare that, HomeFirst versus anyone else in the market, we are broadly aligned. So , it's not isolated issue for us in the sense that our BT rate is higher compared to anyone else. If you compare runoff, it's identical. Pricing in the market is higher so t hat makes us more prone to BT Out by design.
Nischint Chawathe: Got it. But is it something that you may want to review going forward given the fact that competitive intensity seems to be heating up?
Nutan Patwari: Yes. We have a thought in mind that we will want to look at customers and cohorts and see where we need some pool of customers to reprice upwards and downwards also take risk into consideration. That is something that we will do probably this quarter.
Nischint Chawathe: And in that backdrop, what kind of margin guidance would you give? Would you say that we are willing to sort of drop down the spreads a little bit

Nutan Patwari: No. The idea is that the increase and reduction compensate each other.
Nischint Chawathe: Sorry, what is the increase?
Nutan Patwari: There could be some pool of customers where the risk has gone up, so we can reprice them. And some pool of customers where we think they are prone to BT Out and hence we need to reprice them downwards so we can go cohort by cohort rather than looking at the entire book.
Moderator: Next question is from the line of Nid hesh from Investec.
Nidhesh Jain: First is on insurance income. We have got corporate insurance license. So, any update on that? And what could be the quantum of fee income that can be related from that vertical?
Nutan Patwari: We got the agency license in February '24. We are in the process of discussions with multiple insurance companies. We are in advanced stages. We hope that we should be able to sign one agreement in this quarter. Once we sign with at least 2 to 3 companies and cover the entire book that we onboard today, my expectation is that should add close to INR5 crores to INR6 crores of additional income into the P&L, on a quarterly basis. So, let's say Q3 onwards is when you should be able to see the full income of INR5 crores to INR6 crores in the P&L. And how fast can we get there, maybe mid of Q2 or early Q3, something that we'll have to see. But INR5 crores to INR6 crores quarterly is what we have in mind.
Nidhesh Jain: Secondly, what will be the branch expansion target for this year and next year?
Manoj Viswanathan: Branch expansion, we are targeting 20 to 25 branches every year. And along with that, say, about 60 to 70 touchpoints per year. So that's our expansion plan.
Nidhesh Jain: And in the new geographies, specifically

UP, Rajasthan and MP where we are expanding our
branches, what is the sourcing strategy and what is the profile of connectors that we are acquiring here? Do you see any change in the financial profile? Are these con nectors new to market or they are already sourcing business for someone in those markets?
Manoj Viswanathan: Sourcing strategies is going to be the same that we have followed in other markets. And it's not that we are new to these states. We have been doing business in these states for a while now. It's just that we are scaling up. So largely, the profile of connectors, etc, remains the same. It's a mix of both new connectors as well as people who might be sourcing for others. That's generally the case in all the markets and true for these markets as well.
Nidhesh Jain: And what is the active connector number for the quarter and number of RMs at the end of March '24 and March '23?
Manoj Viswanathan: Active connectors, we had about 3,000 connectors for the quarter. And RMs was in the range of about 700.
Moderator: Next question is from the line of Rahul Maheshwary from Ambit Asset Management.

Rahul Maheshwary: Good set of numbers, Manoj and Nutan. Just two questions. First, can you give some highlight on the borrowers across pan -India? What is the income? How the income is shaping up, specifically in the India hinterland? Are you witnessing the growth or some ki nd of pressure? We have witnessed that there is some recovery, rural recovery taking place. So, can you give some highlight that how the income -ish thing?
And second, as you mentioned that UP and MP are the 2 states where you are becoming more and more growth drivers. Can you highlight that each state has its own credit cost as a regional specific? Are you finding specifically towards those states? I mean yo u're entering or it's a pan - India basis, same kind of credit policy which you are now opting up?
Manoj Viswanathan: On the first question, as far as the income etc is concerned, we are not seeing any stress with our customers. Overall, its looking strong. And whatever stress was there, immediately post COVID, etc, has also kind of tapered out now. Jobs are available, so overall, it's a more positive picture across the country.
Rural is where we do not have a large part of our business. Customers would have a very small impact or small advantage from rural incomes. So largely, our customers are from service background or from manufacturing sector or they have their own businesses, etc. So, they are not highly dependent on rural incomes or agricultural incomes.
As far as the credit cost by state is concerned, there is no such trend. It's largely location -led and depending upon the supervision in that location, etc. Credit quality of the quality of that particular portfolio because consumer behaviour across states, we have seen is fairly similar. It is more related to the occupation the customer comes from, their own income streams, etc. So not connected to the state as such. We are not seeing any such trends. And the variations are not really state -led. It's more customer -led or customer profile -led, or customer occupation -led.
Rahul Maheshwary: Manoj, just one thing on the first question, how much income growth you have witnessed in the last 1 year for them? Whatever the self -employed people, which are with you and who are regularly paying the EMI, any such number or some color you can quantify?
Manoj Viswanathan: Income growth is not something that we track as a specific number, but we can just extrapolate based on ticket size growth because it flows from income growth. Ticket size growth as you can see annually, we are seeing about a 10% kind of ticket size growth. So , I would say incomes are also broadly moving up maybe 10% to 15% income growth is what we can kind of extrapolate.
Moderator: Next

question is from the line of Ar vind R from Sundaram.
Arvind R: It was mentioned that leverage would reach 5x by fourth quarter 2025. What would be the maximum leverage you would be comfortable with?
Nutan Patwari: At our planned expansion, debt -to-equity of 5x or asset -to-equity of 6x is what we have in mind. We also look at capital adequacy ratios and what is the comfort level with banks and rating agencies. So , all of that, we've taken into consideration and asset to equity of 6x, which gives us another 2 - 2.5 years of runway is what is on our mind.

Arvind R: And like a provision coverage ratio , ours is one of the highest among the peers. And considering we are also doing loans to the better set of customers, like can we expect credit cost to come down like I can also see like your PCR , our PCR also like come down in last 1 year consecutively, are we getting more and more comfortable with the lower credit cost than what we have done in the past?

Nutan Patwari: So, there are 2 ways we look at it. One, you are absolutely right, the PCR overall is coming down. We've not reduced absolute provision. What has happened is that the new growth that we're adding that is the reason why the PC R looks low. What we track internally is the overall ECL provision as part of principal outstanding, which is around 0.9 %. That is the approximate 0.8%- 0.9% is what gives us comfort. Our ECL throws up around 0.5 % number. So , we want to kind of keep 40% / 50% higher than that. So that's the broad thought process at our end. So , when we look at that our credit cost comes around 30 basis points going ahead.
Arvind R: And just one question on the yields. I mean excluding co -lending also that come down. I'm just trying to understand how it will like move? This is despite increasing the mix of LAP loans and it's like high -yielding segments, like yields we are not able to hold up that question I have. Yes.
Nutan Patwari: I mean, firstly, quarter -on-quarter a few quarters, it's largely stable, I would say. It has not been reducing ex co -lending. The other angle to keep in mind is that compared to the peers, we're actually on the higher side with an 85% housing book and 13.6% yield is something that we feel is really competitive from a market perspective.
Arvind R: And just one last question on the competition ; BT Out rates increasing, in case of the rate cut scenario like can this competition even become aggressive. What is your view on that?
Manoj Viswanathan: It is largely relative. So, when the rate is cut, then we'll also pass something on to the customer, etc. So, it becomes relative. I think BT Out is largely a result of sharp increases over the last 12 to 18 months, which has been passed on to the customer. And if there is a period of stable interest rates and the BT Out rates should moderate a little bit.
Arvind R: Our borrowings, especially the bank borrowings, is it only predominantly linked to MCLR or is it linked to our other external benchmarks.
Nutan Patwari: Almost 3/4 is MCLR linked while 1/4 is other external benchmarks.
Moderator: Next question is from the line of Ravi from Naredi Investments.
Ravi: Congratulations to Manoj and his team to reach INR9,697 crores of AUM and might probably reach INR10,000 crores in 40 days. At present you might be INR10,000 crores, I mean to say.
Sir, cost-to-income ratio, what is our target to reach in next 3 years? At present, it is 34.1%.
Manoj Viswanathan: Our aim is to keep pushing it down. In the next 1 or 2 years, likely to hover around the same level. Maybe from third year onwards, we can start seeing some decline. Our aim in the medium term is to get that down to around close to 30% levels. In maybe 3 - to 5-year timeframe, we

should be able to get it

down to 30% levels. Otherwise , next 1 to 2 years, we are looking at 34%, 35% level.
Ravi: Okay. Sir, our 2 promoters, True North and Aether Mauritius, both having 23.56%. What I saw our price share is always down in fear that they will exit from our company. So, any information do you have about the exit of their promoter holding?
Manoj Viswanathan: As we mentioned in the past, they are likely to exit gradually because they are private equity funds. So currently, only 23% is left. The aim is to probably exit by about 10% every year . So, once a year, there will be a 10% sale in the market through a block and exit through that process. We have tried to give it a bit of predictability in structure. And since the last transaction they have given a 6 -month lock -in after previous transaction, which happened in November. Just to give comfor t to the market that it will happen only once a year.
Moderator: Next question is from the line of Sonal Gandhi from Centrum Broking Limited.
Sonal Gandhi: Sir, I had a couple of questions. One is for the co -lending book, what is the yield that we are getting?
Nutan Patwari: Close to 10%.
Sonal Gandhi: Nutan, I mean our yields has gone down by 30 basis points. Now I understand I'm talking about origination yield. I understand the rates are competitive, but our BT Out is a little high, our co - lending rate is a little low. What gives this confidence that we'll be able to maintain between 5% to 5.25% kind of spread? If you could just try a nd give some clarity over there? Also, w hat will be the percentage of LAP portfolio in our book in the next one or two years, which wou ld kind of cushion up y ields to?
Nutan Patwari: Currently, our spread is 5.4% . And we are guiding to 5% to 5.25%. So , on the upper side, 5.25% to 5.40%, we already have 15 basis points that we have with us. We are saying that our cost of borrowing can go up to maximum 20 basis points. So , we are still within that range. Mathematically, we feel very comfortable. Of course, on the yield side, we have opportunities in LAP, we have opportunities in smaller markets, which will continue to drive. The LAP portion of our current portfolio is 13%. Our 3 -year plan is to take it to 20%. So , it will be gradual , it will not be very sh arp but March ’27 is 20%. We have room there. Those are the things on our mind, which give us the confidence to maintain this 5% to 5.25% ex of co -lending.
Sonal Gandhi: And any range that you would like to give for co -lending, what would be the spread then?

Nutan Patwari: The problem of co -lending spread and the reason we kind of split it out this time is that co -lending, we only keep 20% on our balance sheet. Let's say, when I said that the yield is 10%. And let's say, I am having a cost of borrowing of 8.75%. The spread is 1.25% but that's an incorrect way to look at it because you have to multiply that by 5. Therefore, the number becomes 6.50% or 6.75%. That is the right way to look at it. Right now, the number is low because we have a very high interest ra te situation.

Our aim and our thought process is that by the time we scale this up to 10%, co -lending today remains a return accretive product on the balance sheet, primarily because we access the same markets we are presented in an adjacent segment. It uses our capital more effectively and allows us to build a return of equity product. We're at 3% today. We can scale this up to 10%. And by the time the interest rate situation will improve, adding significantly to the overall profitability of the company. So , co-lending spread is not a straight answer, unfortunately.
Sonal Gandhi: Just other way to ask it would be basically saying because you are taking the spread income on the co -lending book. So , the spread should logically be higher than your on -book, probably that's not the ca

se right now, but the spreads would be higher than on your on -book spreads. Is that correct understanding?
Manoj Viswanathan: If you look at spread on assets, it will be . The example, which Nutan gave, it's 125 basis points is the spread. But if you look at it on the asset, the asset is only INR20 out of INR 100 . So, if you take 125 bps on INR20, it actually then works out to 6.25%, so it's relatively higher than the spread that we are running on our core affordable housing finance. That’s the way to look at it. Here, the asset is only 20% of the loan.
Sonal Gandhi: Okay. Another question was on fee income. So that looks a little low this quarter. So have the rates come down in the market, if you could give some clarity around it?
Nutan Patwari: We have a lot of liquidity already on the balance sheet. We continue to do DA primarily because we have relationships with banks. And if you see our DA mix on the balance sheet, is at an all - time low of 12% -13%. So just more from a liquidity perspective, we did not want to load more cash on the balance sheet so we kept it at a lower number. I mean, probably, we should start doing a little bit more, perhaps another INR 150 crores, let's see. That is something that we will plan it out.
Sonal Gandhi: Okay. Let me just take this offline because I think if I just calculate the percentage, that is also looking lower on a Q -o-Q basis. I take this offline.
My next question was on employee addition. So , employee addition, I mean, we've added about 10 branches this quarter and employee addition is only around 13 employees. So , what exactly is happening here?
Nutan Patwari: The employee addition does not happen when the branches get added. There is always people come onboard and then branch will be reported. So , it's a lead -and lag effect. It's not 1:1 matching, but I'll request Manoj to get into the strategy on how we hire.
Manoj Viswanathan: Yes. We hire almost 90% of our hiring as freshers. They are hired from campuses, so there are periods when there are large batches which come in. So , for example, as of March, you're seeing the number. But if you see, as of April, there would be a large number of people who would have joined in April. So , there is a bit of a spike in certain months when there are larger number of people joining. It's more of a step function, not a smooth curve .

Sonal Gandhi: UP market, MP market then Rajasthan that you're growing really strong. I mean what is the initials sense that you have on the asset quality in this market from the initial trends?
Manoj Viswanathan: Asset quality, as I mentioned, it is largely consumer -led and consumer profile -led, so we are taking care to ensure that we are onboarding what we are comfortable with . The idea is to keep the credit quality similar to what we have in the rest of the country. So as such, the early signals are good. Credit quality in these markets are also very similar to other markets. Plus, as I also mentioned, we have been in this market for a while now, so they are not new to us, just that we are scali ng up. From that perspective, the credit quality is similar to what we had in the past.
Moderator: Next question is from the line of Sanidhya from Unicorn Assets.
Sanidhya: Congratulations on great set of numbers. Our NIMs have been going slightly down as compared to like quarter -on-quarter also and last year as well like from around 6% to now 5.3% in the latest quarter. So how are we looking at this?
Nutan Patwari: As I was mentioning in the opening remarks, there are 3 key contributors. One, we've had more

cash on the balance sheet, then there is financial leverage. And of course, the cost of borrowing has also gone up, and we've repriced as well, but the net impact is there. So approximately 20 basis points, if you look at year -on-year is the impact. Mo

re or less, most of these things have
settled. We are going ahead from here, let's say if you maintain this 5 % to 5.25 % spread, which we have a signifi cant degree of confidence.
Our NIM should be in a similar range where we are today like 5.3% - 5.5% is what we have thought. The next question you might say , your financial leverage is going to go up, then how will you maintain the NIM because we have the cash cushion, which we can kind of look to manage better.
Sanidhya: Okay. That's fine. So , like 5 would be the minimum level, which we are looking 5% to 5.25% would be the ideal?
Nutan Patwari: Yes,
Sanidhya: Okay. And like my question was that we have been a major player in Gujarat, Karnataka, Maharashtra kind of states with a good per capita income, right? And now we are aggressively venturing into MP and UP, Rajasthan and all these states. Whereas I see per capita income in these states are lower. How is the ticket size that we are referring to in these states? Is it the same like in the earlier we had for the states with higher per capita income or is it slightly lower
Manoj Viswanathan: Ticket size is lower. In these states, the ticket size is lower , in these states the product is largely self-construction.
And your question on the profile. When we started the business 10 years ago, the per capita income in places like Gujarat, Tamil Nadu, etc, was where it is in UP, MP today. So, we are at that starting point when we started the business, so which is why we feel very confident that these states now will be large contributor s for affordable housing.

And as we see some of the development like in the more industrialized states, we will have more affordable housing coming in. And the people's income also will keep going up in the same manner, and we'll have a similar trajectory like what we have had in Gujarat, Tamil Nadu, etc.
Sanidhya: Okay. That's a good perspective to look at. Any number you want to give for the average ticket size compared to states like Gujarat and Maharashtra versus these newer states? And at the same time, what are the yields, particularly in these states compared to what in the other states?
Manoj Viswanathan: Gujarat you can say slightly different from other states because it's largely an apartment -led market. So, to that extent, the ticket sizes tend to be a bit higher and the interest rates also tend to be slightly lower. But most of the other markets are very similar because they all serve the self-construction market. Ticket sizes tend to be around 10 lakhs to 12 lakhs in the new states that we are talking about. And rates you can say it would be maybe 20 to 30 basis points higher because self-construction market rates are slightly higher.
Sanidhya: Okay. Just on the same state bifurcation, just AUM. So , I can see that as a percentage of gross loan when compared to states total AUM versus the particular states. These states are continuously losing like from Gujarat from almost 36%, 38% to now 31%, same for Maharashtra and same for Karnataka whereas for Uttar Pradesh, Rajasthan, we are aggressively trying to increase this. So, what is the mix that we are going to see? Like currently, I can see 50% is coming from these 3 states Gujarat, Maharashtra and Karnataka, I would say, more than 50%, so is it going to be much lower? Which would be the highlighted state, like 3 years, 4 years down the line? I'm not talking in the short term
Manoj Viswanathan: 3 - 4 years down the line, I think we would be aiming for something like a 10% share across the states. In similar size states. If the population is very small, the state is small and the ratio will be likely to be lower but amongst the top 10 states, 6 -7 states, the ratio is likely to be in the same 10%, 12% range is what we think it will happen.
Sanidhya: Okay. And just on the branch and

number of districts. We are seeing that we have covered 11
districts in Uttar Pradesh whereas branches are just 6. So how are we managing in that part?
Manoj Viswanathan: It's a large state, and we are expanding gradually. And like I mentioned, a single branch caters to nearby areas as well. It can cater to multiple locations. A single branch can cater to multiple distribution points across districts also. So that's probably the multiple locations.
Sanidhya: So yes, that's okay, but as I could see a trend from all the different states versus branches and compared to just states, every time the branches are higher, of course than the districts. So, we have multiple branches maybe more than 1 name, certain district in other states versus compared to UP and other and I can see that 11 districts are covered under 6 branches.
I'm not sure how are we doing a fact check for those people who we are disbursing. Is it totally technology -driven? Or is it some kind that we are physically -- if the person is site and section

is done? How are we doing in like just 10 districts, whereas our branch is in different district. Are we really able to do the know -how of the place? Or is it just a little bit riskier that we are?

Manoj Viswanathan: No, no, it's not. You're just seeing the starting point because we have just started our expansion into UP. So , we generally have what we call it protocol which we follow, which is we start with a person going into a new location. We call it a digital branch. And then it becomes a virtual branch or a proposed branch where we start looking out for a new branch premises.
We are in that early stage in UP. And in the coming years, you will see that this number converge, as you have seen in other places. So , a number of branches will be either equal to or overtake the number of districts in due course, because right now we are at an early stage because many of the branches are in the digital or virtual stage. So that's where you're seeing the number of branch es being smaller than the number of districts.
Moderator: Next question is from the line of Jigar Jani from B&K Securities.
Jigar Jani: Congrats on a good set of numbers. Just one question or clarification. Your guidance on yield of 13.5% and cost of borrowing as on IGAAP, or is it ex co -ending IGAAP?
Nutan Patwari: This is essentially on AUM. So , it will be on IGAAP.
Jigar Jani: So essentially, you were saying that this 5.2 % will probably end up near 5% on an IGAAP basis all sides.
Nutan Patwari: The number that we disclose on an IGAAP basis.
Jigar Jani: So, on an IGAAP basis your cost of borrowing is 8.3% because you see in your fact sheet as of Q4, which you are saying probably will end up in the next 2 quarters at 8.5% because there could be a 10 to 20 bps increase whereas you are yields you are guiding to wards 13.5%. Is my understanding correct for this number?
Nutan Patwari: That is right. But the number I'm referring to on the spread guidance is ex of co -lending. So , the number you need to anchor to is 13.6%.
Jigar Jani: Okay. And for the cost of borrowing also, I need to anchor to 8.2% then in that way.
Nutan Patwari: Yes, exactly.
Moderator: Next question is from the line of Gaurav Sharma from HSBC.
Gaurav Sharma: Yes. Sir, my question is on the disbursement side for LAP segment. So, LAP segment in disbursements will grow at a similar rate of overall disbursement or it will grow faster in FY '25. Can you do some color around AUM growth guidance?
Manoj Viswanathan: Not substantially different. We are trying to increase or we will gradually increase the LAP share. So , it might have a slightly higher growth rate than housing loans, but not very significantly different.
Gaurav Sharma: Okay. And AUM growth will also be in the similar rate, right?

Manoj Viswanathan: Yes. AUM growth overall, we are targeting a 30% AUM growth. LAP is currently, it's only about 13% - 14% of our book. So, I mean the AUM growth in LAP will look a little higher. But overall, we are targeting 30% growth.
Moderator: Next question is from the line of Varun, an individual investor.
Varun: Just wanted to check why do we have so much of cash balance on our balance sheet this quarter and even in the last quarter?
Nutan Patwari: It's close to around 2 to 2.5 months of disbursal that we have been keeping. Now this is something that we started right after IL&FS crisis and then we kind of maintained these sorts of balances . What also happens is the number that you look at is the end of the quarter number where we take most drawdowns towards the end of the quarter. So that our overall interest cost is managed, and we also are able to manage banks in terms of broad periodic dra wdown. The average cash holding will be slig htly lower than what you end up seeing.
Varun: Okay. So, should we expect this to remain at a similar level going forward? Or should we expect it to go down in the coming quarters?
Nutan Patwari: Not immediately, I would say, but perhaps 12 months from now, once the liquidity situation in the overall market improves, we are fully covered as far as our next rating upgrade is concerned. Then I think we definitely have a case for improvement here.
Moderator: Next question is from the line of Harshit Porwal , an individual investor.
Harshit Porwal : My question is with respect to the cash salaried customer percentage in the total salaried book.
Manoj Viswanathan: Cash salarie d will be around, so out of the total, it will be around 20%, 25%. So, within the salarie d, it will be maybe 30% plus.

Harshit Porwal : Okay. So, 30% plus. Any amount of construction finance in our total book?
Manoj Viswanathan: No, there is residual of about INR4 crores or so left. 2 loans are left in the portfolio. The rest are all closed.
Moderator: Next question is from the line of Raj Tater , an Individual Investor .
Raj Tater : I just wanted to know , what is the vision for next 5 years in terms of new products or new business line?
Manoj Viswanathan: We want to stay focused on housing because we feel that there's a huge opportunity in housing for a dedicated housing finance company. And so our aim is to stay focused on housing and specialize in housing itself. And of course, the related products like l oan against property, etc, we will continue to offer. But otherwise, largely remain as a housing finance company and stay focused on housing.
Moderator: Next question is from the line of Divyansh Gupta from Latent Advisors.

Divyansh Gupta: Yes, one data keeping question. For this quarter, how much was the write -off in absolute amount?
Nutan Patwari: Around INR2 crores.
Divyansh Gupta: INR2 crores. Got it. And the collection efficiencies that you have mentioned in the presentation deck is based on the number of EMIs or the customers? What could be your collection efficiency from a POS perspective, given the ticket sizes are now varying, the EMI does not necessarily present the POS collection efficiency.
Nutan Patwari: So, the first point is that this is based on number of customers, not value.
Divyansh Gupta: Yes, I'm asking from a value perspective or cost outstanding, right, typical industry collection efficiency.
Nutan Patwari: Slightly better.
Manoj Viswanathan: It would be slightly better because in higher ticket sizes, the delinquency slightly lower than the lower ticket sizes. So, it will be slightly better.
Divyansh Gupta: Would it be possible to give a number? Or do you want to keep it right now with you?
Manoj Viswanathan: It is not significantly different. So that is why we are no

t publishing it. It will be very similar,
but very marginally better.
Divyansh Gupta: Got it. Just one last question around BTs. How much of our origination is coming in from balance transfers?
Manoj Viswanathan: Less than 1%.
Divyansh Gupta: Less than 1%. Got it. And in the similar way to the balance transfer, you mentioned that, let's say, till 20 bps, you are comfortable in taking hit in your P&L and not pass it on to the customer. Now let's say, the overall increase happens 30 bps. So, when you pass on, ultimately pass on the interest rate hike, do you pass 10 bps or do you pass 30 bps?
I'll tell you; the origination of the question is that certain 30 bps will affect our customers psyche much more, which might lead to a higher incidence of balance transfer because others will just sit at 10 basis point hike has happened. But for Home First customer, it has become 30 bps. So, does it play any role in the psyche of customers leading to BT Out?
Manoj Viswanathan: See, last time when there was rate increase, we passed on 25 basis points and then 50 basis points and another 50 basis points. So , a total of 125 basis points was passed on. Anywhere between 25 to 50 basis points can be passed on to the customer. As of now, we are running a deficit of 20 basis points. I think your question is, let us say that rates grow by another 20 basis points, whether we will pass on 20 or whether we will pass on 40. The answer to that will be that we will probably pass on 25 basis points and leave the 15 for later.

It all depends upon how the rates move and how sharply they move. If they were to move much more sharply, which is unlikely. So, let's say they move another 30 or 40 basis points, then we may have to pass on 50 basis points at one go. It all depends upon how the rates move.
Divyansh Gupta: Got it. And given this will be last time and we were passing on rate hikes then the whole industry was also doing it. Home First was not the only player who was passing on these hikes. So that as a customer in the industry did not have a big option to go to another lender who might be doing a predatory pricing but now the other players are increasing the rate. So why aren't we taking that hike?
Manoj Viswanathan: We have had an ideology that we do not want to change the rates too many times for the customer. Frequently changing the rates with the customer not only agitates the customer, but

it's also upsets their planning, etc, which is why we want to hold on to the rates as much as possible. Unless there is a serious increase, we don't want to pass it on. We want to keep it stable for the customer. It's just a good fair practice as far as the customers are concerned.
Divyansh Gupta: Got it. And just one last question. So, when the rate increases actually happened, do you increase the tenure or do you increase the EMI keeping the tenure constant?
Manoj Viswanathan: We always increase the tenure so that the customer's budget does not get upset. Our first attempt is always to increase the tenure. Unless the tenure crosses a certain limit in which case, we have to then change the EMI.
Divyansh Gupta: Got it. Understood.
Moderator: Next question is from the line of Abhishek, an individual investor.
Abhishek: The question pertains to, I think, in the earlier years, management has spoken that there is reversal of provisions for the year and leading to the lower opex to AUM ratio. So that would be pertained to the employee expense, I guess, and not the provisions. Am I right?
Manoj Viswanathan: Yes, largely employee -related and expense -related provisions.
Abhishek: Yes. And the provisions, lower provisions for the quarters that those, I think earlier, the CFO has spoken regarding the other write -back or the recovery has been booked in the provisions hence the lower provisions for t

he quarter.
Manoj Viswanathan: Write back pertain s to the lower credit losses.
Abhishek: Yes. So, you are not booking the other income part, you book in the provisions part.
Nutan Patwari: Credit costs.
Manish Kayal: Yes.
Abhishek: The lower line item in the P&L. I mean just before the PBT provision for lower. So that is the lower is because of the recovery we have booked.

Nutan Patwari: Yes. Yes. The recoveries have been parked in the credit cost line.
Manoj Viswanathan: The recoveries from the write -offs is the reason for the lower credit cost. The lower operating expense is because of certain other provisions on the employee side, employee expenses etc, which there were some provisions which have been or we have got rid of it. That is the reason for the reduction in operating expenses. Both are different.
Moderator: As there are no further questions, I would now like to hand the conference to Mr. Manoj Viswanathan for closing comments. Over to you, sir.
Manoj Viswanathan: Thank you. We are confident of continuous growth momentum led by a strong economic environment, expanding distribution network and differentiated business model. We continue to stay focused on providing loans for affordable housing led by distribution and use of technology and backed by diversified funding and strong risk management. Thank you, everyone, for joining on the call. I hope we have been able to answer all your queries. In case you require any further details, you may please ge t in touch with Manish Kayal. Thank you very much.
Moderator: Thank you. On behalf of Home First Finance Company Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

HFFCIL/BSE/NSE/EQ/ 50/2024 -25 Date: 02-08-2024
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai - 400 051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter ended June 30 , 2024

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herew ith the transcript of the earnings call with analysts and investors for the quarter ended June 30 , 2024 conducted on Friday, July 26 , 202 4. The Company had referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company at www.homefirstindia.com

This is for your information and record s.
For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

“Home First Finance Company India Limited
Q1 FY2 5 Earnings Conference Call ”

July 26 , 202 4

MANAGEMENT : MR. MANOJ VISWANATHAN –MD & CEO
MS. NUTAN GABA PATWARI – CFO
MR. MANISH KAYAL – HEAD, INVESTOR RELATIONS

This document is a transcription of the conference call conducted on 26th July 2024.
Click here to listen to the original audio.
Disclaimer : This transcript is edited for factual errors and does not purport to be a verbatim record of the proceedings. The reader is also requested to refer to audio recording of the call uploaded on the company website here on 26th July 2024. In case of discrepancy, the audio recordings will prevail. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Home First Finance Company India Limited.

Home First Finance Company India Limited
July 26 , 2024

Moderator: Ladies and Gentlemen, Good Day and Welcome to Home First Finance Company India Limited Q1 FY25 Earnings Conference Call.
As a reminder, all participants' line will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the conference call, please signal an operator by pressi ng "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Manish Kayal from Home First Finance. Thank you and over to you, sir.
Manish Kayal: Good afternoon, and a warm welcome to all the participants to HomeFirst Earnings call to discuss the results for Q1 of FY25.
We hope that you had an opportunity to go through our investor deck and press release uploaded on stock exchanges and website yesterday. We have also uploaded on our website an Excel factsheet that has the historical numbers.

On today's call, HomeFirst is represented by our MD & CEO, Mr. Manoj Viswanathan and CFO Ms. Nutan Gaba Patwari . We will start this call with an opening remark by Manoj and then by Nutan, and will then have a Q&A session.

With this, I will now request our MD & CEO – Mr. Manoj Viswanathan, to start today's call by sharing his thoughts on the overall performance.
Over to you Manoj.
Manoj Viswanathan: Thank you, Manish. Good morning and greetings to everyone.
Before I get into the Q1FY25 performance, I would like to highlight that HomeFirst has crossed the critical milestone of Rs. 10,000 Crs AUM during this quarter. I want to thank and express my sincere gratitude to all the stakeholders for their support in t his journey.

We have been sequentially increasing our disbursement every quarter. Disbursement in Q1FY25 stands at a new high of Rs. 1,163 Cr with a growth of 29.9% on a yoy basis and 5.5% on a qoq basis. Growth has been broad based and coming in from all our markets. Notably, Maharashtra and Karnataka have shown better performance this year reflecting in their share of the total AUM. Our expansion in the new markets of UP, MP and Rajasthan have also been successful.

AUM grew by 34.8% yoy basis to Rs. 10,478 Cr and 8% on a q -o-q basis.

Spreads ex CL was at 5.2%. We will take the PLR up by 35 bps from 1st August. Since we are losing one month in Q2 quarter , we will get a lesser benefit on portfolio yield. In addition, we also have some portfolio under NHB schemes and some pools with good track record customers where we have to adjust the pricing for customers from a risk adjusted pricing perspective. As a result, we will get an impact of 10 -15 bps.

PAT at Rs. 88 Cr grew by 27.0% on y -o-y basis leading to ROA of 3.6%. We are pleased to deliver ROE of 16.3% in the first quarter of FY25.

Branch count remains at 133. We have added 22 touchpoints taking the total to 343. We have about 7 branches in pipeline which are likely to be opened in the ongoing quarter.

Our asset quality continues to be strong with a focus on early delinquencies
• 1+ DPD stands at 4.5%
• 30+ DPD is at 2.9%
• Gross Stage 3 (GNPA) is at 1.7% (flat on q -o-q basis). Prior to RBI classification circular of Nov'21, it stands at 1.3%.
• Our credit cost at 20bps (up by 10 bps on q -o-q basis).

BT out rate has moderated in this quarter and stands at 6.3% as compared to 8.3% last quarter.

Technology remains central to our strategy. Account aggregator adoption has become mainstream with an adoption rate of 41% amongst new approvals in Q1FY25 (36% in Q4FY24). Digital penetration is strong with 95% of our customers registered on our app. Digital fulfilment has reached 70%+ with the use of digital agreements and e -NACH mandates. 90% of service requests are raised

on the mobile app.
With this, I would now like to hand -over the call to Nutan to take you through the Financials.
Nutan over to you.
Nutan G Patwari: Good afternoon, everyone .
Our overall Q1 Net Interest Margin remains at 5.3%.

Opex to Assets at 2.7% for the quarter. We expect the ratio to hover around 2.8% -2.9% going forward . Cost to Income is at 35.6% in Q1FY25 .

Our Balance sheet is strong & ready to take on the growth ambitions of the company.
Starting with borrowings, the Company continues to have diversified & cost -effective long -term financing sources. This remained diversified across banks as well as NHB.

Our Borrowings mix is
o 59% of our borrowings are from Banks (Private sector 30% and public sector 29%)
o NHB refinance share is at 19%.
o 14% from Direct Assignment and 3% from Co -lending.
o 3% is from IFC NCD
o We continue to have zero borrowings through Commercial paper.

Our cost of borrowing is competitive at 8.3%.

Coming to capital ;
o Our total CRAR is at 36.2% and Tier 1 CRAR is at 35.8%.
o Our Debt to Equity now is 3.6 times.
o Our Jun’24 Networth stands at Rs 2,188 Crs post dividend payout in Jun’24
o Our Book Value per share (BVPS) stands at Rs. 246

Moving to provisions, we have remained conservative and continue to carry provision overlay, over and above the ECL requirements. Total Provision coverage ratio stands at 48%. Prior to NPA re -classification as per RBI circular, PCR stands at 66%.

On specific transactions during the quarter; We did a direct assignment of Rs 152 Crs during the quarter as a liquidity strategy . Our Co -lending volume in this quarter was Rs 42 Crs. Co -lending business is growing and we expect this to contribute around 10% of disbursements in the near future. With this, we conclude our opening remarks and we will be happy to take your questions.

Moderator: We will now begin the question -and-answer session. The first question is from the line of Rajiv Mehta from YES Securities. Please go ahead, Sir.

Rajiv Mehta: I have a few questions. Your disbursement volume was pretty strong in this quarter. It seems that you had negligible impact from the RBI circular of April. Can you comment why was it? And on this sequential reduction in BT out rate, it's really commendabl e, but now that you are increasing PLR for the back book from August 1, how do we ensure that we are able to control BT out in the coming quarter?
Manoj Viswanathan: On the disbursements, as we had mentioned last time, we actually do a majority of disbursements electronically through NEFT / RTGS. Also, we have a small set of payments which we do for resale transactions through demand draft, so which did not get impacted by this guideline . These are the two main reason s why we d idn't have any disturbance in the disbursements. As far as BT out is concerned, the increase in PLR that we're contemplating is fairly small compared to what the customers have gone through over the last two years, and 90% of it will get transmitted through a tenure increase, not an EMI increase. So, it should not disturb the customers too much. Therefore, we don't anticipate any immediate impact from the increase in PLR which we are doing now.
Rajiv Mehta: Manoj, can you also comment on the origination yield ex of co -lending that is stable at 13.4%? I believe that in this quarter we had a higher origination share of LAP and despite of it the origination yield is stable at 13.4% and now that you're taking a PLR hike, just wanted to understand that is there a scope for taking up the origination yield in the coming quarters?
Manoj Viswanathan: The origination yield will largely be range -bound around 13.4% -13.5% and LAP ratio is also fairly range -bound. LAP share as a percentage of disbursal is generally in the 15% to 20% range. There may be minor

changes within that range, but largely it's in that range. As a result of which, the origination yield also will be range -bound.

Rajiv Mehta: And one last question is on the cost of borrowing. It was stable. So, Nutan, I mean when you just look at the numbers and it seems that we did not have any significant upward repricing on existing borrowings. So, are we negotiating on the transmissions which are coming from the banks, are we trying to stop it or curtail it, which is why the stock of borrowings is not getting repriced in a significant manner?

Nutan G Patwari: That's right, Rajeev. We are doing that and also our overall marginal cost of borrowing has slightly improved. That is helping us.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal . Please go ahead.

Abhijit Tibrewal: Congratulations Manoj & Nutan. I think I mean the way in which we kind of keep improving our disbursements, delivery, healthy AUM growth without any significant impact on the margins, and our BT outs in particular, is really commendable and which is there I mean my question revolves, when we look at peers, the broader affordable housing sector, everyone talks about very high competitive intensity which is not allowing them to really pass on PLR hikes. There are players who have taken PLR hikes, but it's not really reflecting in their yields because

it's not been absorbed. You partly answered this question in the first question that was posed to you. Just trying to understand what is it that will help us kind of take this PLR hi ke, maintaining yields at similar levels or like Manoj said can improve by 10 - 15 basis points from here and yet keep our BT Out at these good levels?

Manoj Viswanathan: We are seeing ; you can say ; kind of worst -case scenario on the BT outs because over the last two years the increase in rate was almost 1.25%. What we are contemplating now is nowhere near that. It is a very small increase in PLR . This is why we are not overly worried on the BT out. Over the last two years BT Out has moved from about 5% -5.5% to about 8%. That was the range of movement in spite of such aggressive repricing of the customers and you can see that it has kind of moderated over the last quarter, which is why, 35 basis points increa se that too largely passed on through a tenure increase should not hurt us that much.

Abhijit Tibrewal: The last question that I had was again on the liabilities. Nutan, just wanted to understand, maybe couple of quarters back we were saying that maybe one more quarter from now you are expecting the cost of borrowings to start stabilizing. Now that the spre ads are very close to 5%. How we're looking at our cost of borrowing stabilizing and what could that translate into spreads and margins?

Nutan G Patwari: The cost of borrowing has stabilized now, may increase by another 10 basis points. As you can see, the deposit rates of the banks are still increasing, and the MCLR of banks are also creep ing up. We are continuously working on managing our cost of borrowing so that we don't get the full increase.

Also, the current spread excluding co -lending is 5.2% , and that is the number that we are focusing on . Because we have this view on the cost of borrowing , we have been proactive and increased the PLR by 35 bps with effect from 1 August . From this PLR hike, we expect an annual impact of around 10 -15 basis points. With this, the spread should be able to hold in this broad 5.2% region for another quarter or two.

Abhijit Tibrewal: Now that we have crossed that critical milestone of Rs. 10,000 crores in the AUM, have we started engaging with credit rating agencies that somewhere down the road if we can favorably look at a credit rating upgrade?

Nutan G Patwari: Yes, we have. The discussion is ongoing. We had always said that the c

redit rating upgrade wi ll
take maybe around 9 -12 months once we cross this threshold. It's just the 1st Quarter since we crossed Rs. 10,000 Crs AUM . Hopefully, in another 12 months, we should get that going as well and then probably that should also help us by another 10 basis points in our cost of borrowing with interest rate cycles remaining where they are. It's all moving in the right direction. It's not a question of if, it's a question of when I would say. Earlier the better.

Moderator: The next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Congratulations on good set of numbers. On this 10,000 crores AUM milestone, obviously it's a great thing from your end, but generally when we look at it in terms of commentary from most of the players, once we cross this milestone, they talk about moderating growth trajectory. At any point in time , or maybe anything which is happening with you believe that maybe this 35% or maybe 38% -plus kind of AUM growth might not be sustainable or maybe what we have delivered over the last three -five years , you see same trajectory over the next three years as well?

Manoj Viswanathan: Disbursal has been very strong in Q1FY25 and if you just look at it from a run rate perspective, this should translate to at least Rs. 4,800 crores of disbursal for the year, which basically then translates into a 30%+ growth. We are not seeing any slowdown at this point. Demand seems to be quite strong on the ground. There seems to be enough opportunity for us to grow. At least there are two areas where we have headroom to grow. We have a lot of markets still to penetrate, especially in the central and northern part of the country , we can go much deeper, even in the other parts where we are already been present. Our penetration in LAP or our contribution from LAP is fairly low. That's another area where we have headroom. We have multiple areas where we have headroom to grow. We are not very much concerned about our ability to grow at the pace that we are growing at.

Kunal Shah: And secondly, with respect to maybe now there would be some spread benefit which might play to, but overall, any thoughts in terms of building up some buffer given this kind of healthy growth over the last 3 -4 years and increasing the coverage across various cities, because it's been coming up for the past few quarters. So, would we want to create any management overlay or something and just try to manage the ROA or maybe we are very comfortable with this kind of ECL provisioning.

Manoj Viswanathan: Kunal, we have been doing that. As you would have seen, there is a certain management overlay on top of what the ECL model throws up. But the fact of the matter is , the portfolio post -COVID since once the normalcy has returned, so there is improvement in how the portfolio is behaving and as a result of which the ECL is throwing up l ower provision. Beyond a point, it will be difficult for us to overlay too much on top of that. But we are taking some overlay over and above what ECL model is throwing up. But t he ECL model itself is throwing up lower numbers. It will be difficult for us to maintain that coverage which we had during Covid period . But yes, there is a regular process of reviewing it and taking overlay.

Nutan G Patwari: I just want to add to that. Kunal, we've also done back testing on when we close d loans to see that whether we have significant amount which is under -recovered. And as you would see from the credit cost line, the credit cost is also reducing and it's now settling at around 0.2 %, though we've been guiding 0.3 %-0.4%. Again, that gives further comfort to say that the portfolio quality is improving and in an eventual NPA situation also , the recoveries are not compromised. So, that is also getti ng captured in the ECL flow.

Kunal Sha

h: On the co -lending part, now that's it's closer to like 3% -odd, but maybe at what level we would want to scale that to given now maybe all the work with respect to integrating and everything

would have been done? And finally, maybe what support can it provide to the overall RO E at the level of the portion that we are looking at?

Manoj Viswanathan: Our immediate milestone is to hit a 10% of disbursal, which is what we are aiming for, 10% of disbursal is our first milestone. Maybe over a longer period, maybe in 2-3 years that number can go up, but first milestone is hit 10% of disbursal.

Kunal Shah: Given the lower capital requirement, it will boost the ROE?

Manoj Viswanathan: Correct. That is something that we have mentioned that it is an RO E-accretive product. So, we have lesser capital allocation .

Moderator: The next question is from the line of Nidhesh from Investec. Please go ahead.

Nidhesh: First, a slightly longer -term question. Can you elaborate on the strategy from a 3-year perspective for the company in terms of how we prepare? We have reached around Rs 10,000 crores of book. How we prepare for the growth over the next three years? And how do you see return ratio panning out in that journey over the next three years?

Manoj Viswanathan: Yes, over three years, broadly, it's a distribution -led strategy. When we started speaking about this three years ago, we said we are going to double down on our older markets which is West and South and we are going to penetrate deeply in these markets , which we have done. And then we said, we will look at three large markets where we had a fairly little presence, which is UP, MP and Rajasthan and we will then start building our distribution there. Our three -year plan is to basically dou ble down on distribution on all these nine markets and improve the penetration and try to cover as much of the state as possible. That is our primary focus for the next three years.

As far as the product is concerned, largely we are going to be focused on housing loans. We want to be known in the market as a housing loan provider. We are very focused on that. Plus, also the focus on housing loans that helps us to understand the dynamics in the market better in terms of the properties and nuances in various geographies, etc., That is our strategy from a product focus perspective.

And as far as the ability to retain margins, etc., is concerned, as I mentioned, we have some headroom over there because as we go deeper and deeper into smaller markets, we have a greater ability to retain the margins, plus we also have good amount of hea droom on the LAP product where we are still at about 15% of disbursals. So there again, we have headroom to be able to protect our margins.

So, broadly, this is a simple strategy, distribution -led, granular connector led distribution as well as hub -and-spoke led branch model , keep the product focus on housing loans and maintain the margins for the next three years. That's what we are basically looking at.

Nidhesh: Do you expect operating leverage basically cost -to-asset improving over next three years and which may lead to ROA expansion in your three -year journey or that is not what you are building?

Manoj Viswanathan: Yes, there will be some gradual operating leverage which is flowing through. As you can see, while we have guided to around 3% opex to AUM, we are still kind of hovering below that. The operating leverage is flowing through gradually. And while our intention is that we want to use that in building distribution, etc., still you will see some of it flowing through in the next three years. Our aim is to kind of eventually get to maybe not in three years but in five years get to about 2.5% opex to assets and closer to 30% cost -to

-income.

Nidhesh: When should we start seeing fee income from the corporate insurance license in our P&L?

Manoj Viswanathan: We should start seeing something coming in from the next quarter.

Nidhesh: Any quantification for the full year that you have in your mind at this point in time?

Manoj Viswanathan: It will not be appropriate to provide any figures on this because we are still in negotiations with the insurance compan ies. I think we'll have to wait for that.

Nidhesh: And the last book -keeping question is on the active number of connectors for the quarter?

Manoj Viswanathan: Active connectors is about 3,500.

Moderator: The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Over the last one year, we have seen sort of pressure on yield despite the fact that cost of borrowing has been going up and this is true for all the players in the industry. Now over the next one year, we're probably looking at interest rate sort of that going out or maybe, maybe coming off. What gives us comfort that yields will not come down further or probably yield will not come down faster than the cost of borrowing, leading to further pressure on core spreads and especially in the backdrop of some of the larger players getting into the smaller ticket businesses?

Manoj Viswanathan: Generally speaking, if you see our last cycle also, in a decreasing interest rate environment when the borrowing costs are decreasing for us, generally we have actually been able to maintain our yields and the spreads have actually expanded for us. That is what has happened in the last cycle. You will see that across cycles we are able to maintain our yields at around 13.5 % or thereabout. As the borrowing cost reduces, we are anticipating that the spreads will expand. And as I mentioned, we have some tailwinds on that. As we go into smaller markets, we have ability to retain margins, we have ability to take on higher LAP. Those are both kind of cushions that we have as far as the yield is concerned. We're confident of maintaining yields at these levels. If the borrowing cost reduces, hopefully it will mean that our spread expands.

Nischint Chawathe: And over the next four quarters, let's say, if I look at your ticket size breakup of book, given the fact that you're going into lower tickets, should it remain similar or would you kind of expect a trend where the larger tickets, Rs. 15 lakhs, Rs. 20 lakhs and Rs. 25 lakhs plus grow at a faster pace in the overall company growth?

Manoj Viswanathan: Overall, if you take a 5-10 year view, the ticket size is to migrate up. So, when we started out, we were focused on between Rs 5 lakhs to Rs 15 lakhs, but that number has moved up over time. Now if you see between Rs 15 lakhs to Rs 25 lakhs or Rs 15 lakhs to Rs 30 lakhs is where the growth is in the affordable segment itself. That's where we are likely to focus. Growth in all these segments Rs 15 lakhs plus, Rs 15 lakhs to Rs 20 lakhs , Rs 20 lakhs to Rs 25 lakhs , Rs 25 lakhs to Rs 30 lakhs are fairly similar for us and that is where we will be focusing.

Moderator: The next question is from the line of Renish Bhuva from ICICI Securities . Please go ahead.

Renish: Just two questions. One on this BT out rate which has improved sharply this quarter. So, any particular initiative we have taken to arrest this?

Manoj Viswanathan: Renish, there are two things that have happened. One is that recency effect has faded out for the customer because the last rate increase happened on 1st April 2023. It's been 12 to 15 months since then. And secondly, in the previous quarter we had put in place a set of protocols for arresting the BT out. Some of it has started working. So, I think both the things have contributed to the slight decrease.

Renish: You mean

you have put out a separate team for that?
Manoj Viswanathan: No, not a separate team. It's more like a set of rules or a set of protocols we have rolled out for the branches, and we have given them training on that as to what needs to be done when a customer comes for a BT out, step one, step two, step three, step four. That is beginning to help.
Renish: Lastly, again sorry to be circling back to spread and yield. So, now when we look at the origination yield, still at 13.4% wherein our cost of borrowing is higher at 8.6% which is almost 30 basis points higher than the blended cost which essentially means at the ground competitive intensity such that even in the origina tion yield side we are not able to charge a premium to that extent. Given the base as well, right, when we tap new markets, what is your ground experience? I mean, where do you see th is yield settling in near term and does that possess risk on the spread what you're guiding today?
Manoj Viswanathan: On the borrowing cost, when we compare, we should actually take the book borrowing cost because the origination borrowing cost will not reflect the correct cost of borrowing for us because in the overall borrowing cost, there is a blend of NHB also which co mes to us at a slightly lower rate and hence the overall borrowing cost is lower, but in a particular quarter there may not be any NHB borrowings, so as a result of which the cost of borrowing for that quarter might show up higher. I wo uld say, we should take the origination yield and the borrowing cost

for the overall book, that that will give us the trend of spread. If you take it that way, it is 13.5 % minus 8.3 %, so 5.2 %, which also happens to be the book spread. That is the better way to look at what will be the trend of spread in the book going forward.
Renish: But sir, if I look at our slide #32, the share of NHB refinance, it must actually gone up this quarter? That's why I'm wondering, despite the higher NHB borrowing, why our margin al cost of borrowing is significantly higher?
Manoj Viswanathan: It depends on the schemes under which we are drawing from NHB. There are schemes where there is no concession, there are some schemes there is a concession. On an overall basis, if you look at it, it will be different. In this particular quarter for example, we drew down on a particular scheme where there is no concession in terms of the borrowing cost. So, the cost of borrowing is reflecting higher.
Nutan G Patwari: Renish, in a full year of funding, there'll be many things that will be playing out. There'll be new borrowings from banks, from NHB under different schemes, there'll be repricing for older loans and a whole bunch of things. So, to pick up a quarter and then anchor that to the cost of borrowing, is not a good reflection of how the spreads will move forward. The right anchor should be what ultimately lands on the book on an average quarterly basis. And also, the other way to look at it is in terest expense, what's actually getting charged to the P&L. Those will be two more appropriate methods when you look at the cost of borrowing.
Renish: Anything on origination yield side in terms of competitive pressure?
Manoj Viswanathan: Origination yield side, probably we have been able to maintain 13.5 %. We will continue to do that. 13.4 %-13.5% is what we have been targeting and we are able to maintain that.
Renish: We have seen the two largest affordable housing finance players are now getting into the smaller ticket size loans to sort of sustain the yield wherein in this call we are mentioning that the incremental growth or the larger opportunities in between Rs. 15 to Rs. 30 lakhs ticket size segment. So, does that segment provide that price advantage for us or how is it?
Manoj Viswanathan: In terms of customer profile, it is the same, it is just the ti

cket sizes have gradually moved up over time, because incomes have moved up. The profile of the customer would be the same. I mean so 10 years ago, a person who was earning probably Rs. 25,000 is today earning Rs. 40,000 or Rs. 50,000 and correspondingly the price of the property that they are targeting to build or buy also has also gone up. As far as the segment is concerned, it is the same segment. It is just that there is an inflation effect on the ticket size. It's a very gradual movement. What was Rs. 10 lakhs five years ago is now Rs. 15 lakhs. That is the only way to look at it.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital. Please go ahead.

Raghav Garg: I have three questions. My first one is that you often talk about increasing LAP being a margin enhancer for you. But if I look at over the last 8 -9 quarters, despite share of LAP increasing, the spreads have declined consistently, which probably implies that there is pressure on HL yield. So, what gives you the confidence that increasing LAP will help you improve yields or NIM when it has not happened in the past?
Nutan G Patwari: I want to first address, the calculation of yields then hand over to Manoj on the origination side. When you look at yield, whenever we take an NHB borrowing or a drawdown which includes the HL pool, we have to reprice that pool of customers. When you look at that total number, that

repricing is also inclu ded and bulk of that decline is coming from that line. Of course, the LAP is contributing to the increase and maybe Manoj can articulate better on the origination yield of both the product s.

Raghav Garg: The spreads have still declined, right? That may have been a function of NHB.

Manoj Viswanathan: Spreads have declined in line with the cost of borrowing increase. If you see in Q1 of last year, the cost of borrowing was 8%. So, that's 30 basis points increase and broadly that's the range in which the spreads have declined . That is something that we have acknowledged, that there is a cost of borrowing increase and we have not increased the rate over the last 1.5 years and which is why we are now going in for a repricing to bridge that gap.

Raghav Garg: And that's 35 basis points, right, from August onwards?

Manoj Viswanathan: From August onwards, correct.

Raghav Garg: And the book is repricable as and when the PLR hike is taken, is that it?

Manoj Viswanathan: Yes, because we have a floating rate book except for the portion which is maybe under NHB schemes where we cannot reprice. Rest of the book is we have the ability to reprice.

Raghav Garg: My second question is on the ECL on LAP portfolio, which seems to be low relatively compared to peers or even when compared to your own home loan portfolio. Now that may be the case because it's not a very well season ed portfolio given you've recently started focusing on it. But in your opinion, what should be an ideal ECL cover on the LAP portfolio, and do you think over a period of time as the LAP portfolio season ed that will lead to higher credit cost for you?

Manoj Viswanathan: See, we have been kind of late starters on LAP, and we have also observed how our peers are doing on that product because some of them started earlier, and they have a higher proportion of LAP. Even throughout the COVID cycle, the LAP book in this segment seems to have done fairly well without any stress. We also don't see any early signals on the LAP portfolio in terms of stress , etc., We think it will play out more or less like our home loan portfolio only. We're not seeing any different behavior on it.

Raghav Garg: What was the incremental disbursement ticket size?

Manoj Viswanathan: Incremental disbursement ticket size would be around Rs. 13.5 lakhs.

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oderator: The next question is from the line of Shreepal Doshi from Equirus. Please go ahead.

Shreepal Doshi: My question was on capital adequacy. So, tier-one has dropped by almost 380 basis points sequentially. What explains this decline?

Nutan G Patwari: We have discussed this in some previous calls that when we have our investments parked in mutual funds, they carry 100% risk weight. Almost 1% is attributed to that. The rest is more consumption of capital because of growth in segments for example LAP now requires 125% risk weight which used to be 100% until a few quarters back. All of that is contributing now to higher consumption. 1% , out of this is contributed by the higher mutual funds.

Shreepal Doshi: The other question was on the technology front. So, while we aspire to grow our book at 30% incrementally and also expand our reach in terms of branches, how well are we placed in technology front or do we further need tech -related capex in the coming years?

Manoj Viswanathan: We decided to adopt cloud -based technology very early on in our journey. We adopted the Salesforce platform. Salesforce is a globally used platform and it has very high scalability. The version that we are using and the implementation that we have done, we don't have to worry about it as far as the scale is concerned, I mean we can add 5 x, 10x, 20x the number of customers to it without any change in the response or without any additional investment. From that perspective we don't need to spend anything significant on our core applications. But of course, we will keep enhancing so me of the ancillary applications or mobile apps, plus the cyber security and various other MIS -related visualization applications etc., Those kinds of things we'll keep enhancing so that the customer experience keeps improving. But on the core application itself, we will not need to do any significant additional expense.

Moderator: The next question is from the line of Jignesh Shial from InCred Research. Please go ahead.

Jignesh Shial: Again, beginning to the same area, the yield softening what we are seeing in cost of funds are moving up. You would have done some PLR hike and all. So, is it not getting reflected in yield because you're doing more of doing products or how exactly is it matching? I'm still a bit confused on that thing. And two more strategy related questions I have, but if you can just give me some idea on this that would be really helpful?

Manoj Viswanathan: PLR hike we have not yet taken; we are going to take in this quarter. So, PLR increase has been initiated. That is what we have mentioned because we are required to give the customer 30 -days' notice . We have given the 30 -days' notice and implementation will happen from 1st of August.

Jignesh Shial: But whatever if you see the sequential if I'm seeing all your yields, it has been softening it out on a sequential basis, on a consistent basis. So, that is the reason I'm a little confused that have we not taken any rate hike and we are not passing on to the end customer or how exactly does it work?
Manoj Viswanathan: What you're seeing here, from Q1 of last year, we have not taken any rate increase. If you see page #28 of our investor deck, the repricing schedule is mentioned on the right -hand side. So, the last repricing that we did was 50 basis points on 1st April '23. Post that we have not taken any repricing. Over the last entire five quarters, you can see there is no repricing, so which is why there is a softening of the spread.
Jignesh Shial: Two more strategy questions. We have been tracking it for a while and there have been discussions about moving away from your concentrated states and all. So, what I see from Gujarat, correct me if I am wrong, Gujarat, Maharashtra and Tamil used to be a top three states earlier . Still, I see more or les

s there have been some reduction, but more or less your contribution comes out from these three states on the large basis. Are we going to see the similar trend going forward as well as you gro w going forward as well or we see that some other states might be contributing pretty heavily in the next say two years or three years down the line, how this geographical change is going to plan out if I see three years down the line?
Manoj Viswanathan: Gujarat still contributes 30% of the AUM, and if you see Maharashtra and Tamil Nadu, they are about 13% and 14% of the AUM. We will more or less be able to maintain th is share, but yes as the other states grow a little faster states like maybe Telangana, Andhra Pradesh, UP, MP, etc., their share in the overall AUM will start climbing up a bit . If you see page #12 of our investor deck, you can see that MP has moved up from last quarter 6.2% to 6.6%, UP and Uttarakhand moved from 6.1% to 6. 5%. There is a gradual increase in the share of the overall AUM from the new states and which is likely to continue. Over a longer period maybe over, let's say 8 to 16 quarters, these numbers can change. You can see probably Gujarat share coming down below 30% and the share of some of the other states climbing up. We have mentioned in the past that we are expecting that over maybe a three to five year period, we would expect many of these states to be at the 10% mark as a share of the overall AUM of the cou ntry.
Jignesh Shial: So, fair to say that digging deeper into the existing states but more entering into the new states, I mean, improving penetration into the new states would make sure that the growth momentum remains healthy for the coming years?
Manoj Viswanathan: Absolutely.
Jignesh Shial: And just lastly, if I see your bounce rate, it's more or less in the mid -teens apart from jump which that happened during COVID, but your pre -COVID bounce rates used to be pretty lower. So, is it possible that this trend of the mid -teens will continue, or do you think that even we can go back to the pre -COVID levels as because we're moving more towards relatively high ticket sizes and all, say Rs. 10 lakhs to Rs. 25 lakhs size, that's the average I'm seeing it up. But do you see

that the bounce rate will remain more or less similar, or we might see an improvement happening on that particular front as well?
Manoj Viswanathan: Our intent is to try and improve it. But there is some customer behavior that has changed post - COVID, especially with the introduction of UPI. We are finding it difficult to bring customers back on track because of that. A lot of customers have multiple bank accounts now and they kind of move funds between accounts. We are seeing a slightly more casual approach towards the ECS debit, but a lot of customers are clearing the payment within three to four days of bouncing the payment. If you see the bounce rate, let us say on the 8th of the month that is three days after the presentation date, the bounce rate is very similar to what it was pre -COVID. Within the first three to four days, the customers are actually making the paym ent even though they are bouncing on the ECS date.
Jignesh Shial: And our mix is still more tilted towards salaried. So, that trend will also continue going forward also, right, you will still be focusing on salaried customers itself?
Manoj Viswanathan: In the market, we don't have any stated focus towards salaried customers. It's more a natural flow that comes to us because we have a more convenient process. We are agnostic, whether it is salaried or self -employed customers, and in some of the smaller markets, as we kind of go deeper in the market, we do get more self -employed customers. It has not changed much, but then it can gradually change over a period of time.
Moderator: The next question is from the line of C

hinmay Nema from Prescient Capital. Please go ahead.
Chinmay Nema: Just still wanted to double click on certain aspects of your operations. Could you provide some color on the operations of your field teams and RMs, what are the 2 -3 key activities carried out by them and what's their contribution to the underwriting, bas ically trying to understand how

you deal with the subjectivity of underwriting with the centralized underwriting system?
Manoj Viswanathan: The teams have basically two or three core activities. Core activity is to develop business development, which is involved basically meeting builders, meeting connectors and originating loans from them. And the second activity is once the lead comes in, go convince the customer and close the deal with the customer. They also capture some physical information in terms of photographs of the property, photographs of the customers place of work and things like that. And rest of the correlatio n actually happens centrally. Today a lot of information is available on customers through digital API integrations and with account aggregator coming in even that has become even more strengthened. We basically pull the bank statements directly through the account aggregator for example with the salaried customer, we can correlate from the EPF records or Form 16 records. That triangulation happens centrally. Some information gets captured locally and gets uploaded on our cloud -based system. And then the tr iangulation is done by a central team of underwriters and the approval is given to the customer.
Chinmay Nema: What's the strength of the centralized underwriting team?

Manoj Viswanathan: Centralized underwriting team, we have about 30 -35 people in our central office.
Chinmay Nema: For the self -employed segment where there's higher degree of unpredictability of cash flows, how is it done, if you could explain that on a centralized level, is it done through transaction statements and bank account statements, or do you have more on the feet operations for underwriting to that segment?
Manoj Viswanathan: It started with subjectivity. But our objective since starting the company was to remove the subjectivity from this process by collecting data and using that over a period of time. Today we have removed a lot of the subjectivity from the process. First, a lot of records are available centrally, for example, if the customer has a GST registration or Udyog Aadhaar, we can check that centrally. As I mentioned, the banking comes completely centrally through the account aggregator. And now we have an experience with various segments and sectors and occupations of people as to what their approximate monthly income would be. We benchmark to that. Plus, we are also supported with bureau data as well as our own proprietary algorithm. If a particular customer comes from a particular segment with certain set of characteristics, we know what would be the probability of default. From the time we started 15 -years ago to now, we have eliminated a lot of subjectivity from the process and that reduces the r equirement of the local touch and feel and data collection that used to happen on the ground. A lot of the data collation now happens centrally and the triangulation happens centrally.
Moderator: The next question is from the line of Preetam Agarwal, an individual investor. Please go ahead.
Preetam Agarwal: So, my first question is with respect to the sourcing mix for Q1'25. So, can you throw some light on what is the mix of direct connectors and the DSA, what you source and what was it for FY'24 and the way it will be going forward, how do you see it?
Manoj Viswanathan: Connectors is about 77% and it's mentioned in page #13 of our investor deck, all the various channels from which we source. Broadly, it has remain ed the same. Connectors range between
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0% to 78% of our origination and then there is a long tail of various other channels. Broadly that is how we operate.
Preetam Agarwal: And you see it same going forward also?
Manoj Viswanathan: Yes, at least the medium term we are seeing this will continue. Maybe for the next between one to three years, this is the trend that will be there.
Preetam Agarwal: My another question is with respect to the under -construction property in the outstanding?
Manoj Viswanathan: Under-construction properties have also been largely range -bound. If you see our pre -EMI to overall ratio is about 13% . Pre-EMI as a percentage of total reflects what is under construction because till the time the full disbursal happens, they remain in pre -EMI mode. Broadly that is the ratio of under -construction property as a percentage of the overall property, so about 13%.

Manoj Viswanathan: So, on an AUM basis, it is 13%, right?
Manoj Viswanathan: That is right.
Moderator: The next question is from the line of Chintan Shah from ICICI Securities. Please go ahead.
Chintan Shah: Just wanted to understand, so now if we move further now going down the line 2 -3 years from going to 100 billion to 200 billion , so how would the growth dynamics be, so now also more or less it to be sourced via connector model or continue with the lean branch structure or in the new geographies would we be also expanding our branches, for example if we see in the new geographies that you are expanding in UP, MP and Rajasthan, the players which are already present there are the leaders. They are mostly expan ding via the branch network. They have a

very exhaustive branch network in those areas. So, would we also go via the branch model or the connector model? And secondly, on the technology piece. I think we are very well developed on the tech piece, but so if we want to double our AUM, so would the current tech investment suffice or would there also be some one-time CAPEX expense to be taken there?

Manoj Viswanathan: On the first question, our distribution model will remain the same. There are two, three pillars in our distribution strategy. One is the hub -and-spoke model. We have branches and then we operate through touch points which are connected to the branches. That strategy will remain the same, we are not looking to change it in any of the new expansions that we are planning. And second is the connector model. Connectors again the last mile connectivity with the customer. There again we intend to be very granular. We are not going after some of the large DSAs. The origination from each connector is very low in terms of annual contribution. So, we are talking about probably in the range of between 5 to 10 loans in a year contributed by a connector. A very granular connector approach is what we are intending to pursue. No change absolutely in that process at all.

As far as the second question is concerned on the technology, the technology that we have adopted is very scalable. It's a Salesforce platform, it's a globally used platform by very, very large companies in this world with a much larger customer base than us. It's a very scalable platform , and does not require any additional investment as such. It's a cloud -based platform and then we have to just only buy the licenses. Of course, there are some enhancements on which we need to invest which we are investing on an ongoing basis, but nothing which is like a very significant jump in the investment that we need to make to sustain the growth .

Chintan Shah: Just one more bit on the spread. On the cost of borrowing, so assuming say there is a rate cut in the next 12 -months or so, so how are we placed on the cost of borrowing side due to a rate cut, how much beneficial would it be or how much percentage of a b orrowing would be on the floating?

Manoj Viswanathan: Rate cuts,

I think as and when it happens generally it gives us temporary expansion in spread as we have seen in the last rate cycle also. But that is still some quarters away. There is some lag

between the rate cut happening and passing it on to the customer. There is a temporary expansion in spread, which is there for a couple of quarters.

Chintan Shah: And this 35 bps translation would be immediate and almost for the entire book, except for the NHB related, right?

Manoj Viswanathan: No. First of all, we will lose one month in this quarter. It will be effective from 1st of August. So, you'll get two-third impact in this quarter. Plus there is the NHB book as well as some historical customers where we need to do some adjustment in terms of the risk adjustment because we have to offer similar rates to similar profiles of customers. Those customers will get the advantage of it. So, like I said, in this quarter, we will get a get a benefit of about 15 basis points.

Moderator: The next question is from the line of Siddharth Chandrashekar, an individual investor. Please go ahead.

S Chandrashekar: My question is regarding our capital structure and the way we are utilizing our off -book strategy, right? So, right now, if I see we are already a AA -rated company and we already have if I am not wrong capital adequacy ratio of around 36 percentage, right? So, if I see this off -book, there is a trend, and even if I listen to your comments on last two calls, right, we are doing more amount of co -lending along with securitization, right? So, why we are not actually utilizing our on-book and m ake sure like our capital adequacy falls to 25 percentage or something like that, then we go for off -book strategy, right? Just comments on this.

Manoj Viswanathan: We are trying to build it parallelly which is why if you see we have not aggressively gone after co-lending or direct assignment. It's just a start and it will also take time to understand the product , understand the partners, because co-lending is to be done with bank partners. There is also the process that needs to be streamlined, etc., It will take time for it to scale up. We don't want to start late because then again it will take two years for us to understand the process and stream line all of that. Which is why we have started early, and we are doing at a very nominal level. At this point , the contribution of co -lending is only about 5% to 7%. Our first aim is to take it to about 10%. Similarly, on the assignment 13% percent is our assignment as a percentage of AUM. We have kept both at a fairly low level at this point and when required we can always scale it up. The idea is to understand the dynamics and understand the process well, so that when it is required, we can actually utili ze it.

S Chandrashekar: One more question is on the capital front, right. So, at what point of time you will hit the market again for the capital raise and what sort of mature level capital adequacy ratio that as a business we are looking for, is it something around 20 percentage and whe ther we are looking for around 30 percentage and we will keep on going for market for new funds?

Manoj Viswanathan: If you see our consumption as Nutan mentioned in the call, it's about 2 %-2.5% is the capital consumption based on our growth that we are having at this point. We have a cushion of about

15% to 18%. So, we can say about four to eight quarters worth of capital is still there, and even after that we will still have a cushion because the regulatory cutoff is 15%. Somewhere in that zone in the next six to eight quarters we will look at raising capital.
S Chandrashekar: So, during that time we will be in capital adequacy of around 25 % or something?
Manoj Viswanathan: Keeping an internal thresh

old of say 20% because 15% is a regulatory cut -off. We don't want to go very close to the regulatory cut-off and start looking for capital at that point. So, I'm saying keeping the regulatory cut -off at about 20%, that is how we will approach the capital raise.
S Chandrashekar: And regarding ROE profile, so when you are in maximum utilization level of our capital part, right, so what sort of return on equity that we can look for?
Manoj Viswanathan: Return on equity, last year we ended the year at 16.1% in Q4FY24 and for the full year we delivered 15.5% ROE. We had mentioned that every year we are looking to increase that by about 75 basis points. We can expect those kinds of numbers . Last year we delivered 15.5 %, this full year we want to deliver between 16.2 % to 16.5 % kind of a number and every year we can expect 50 to 75 basis points increase in ROE.
S Chandrashekar: Business model will be 20% plus ROE or 18 -19% would be the maximum kind of level that you are looking at?
Manoj Viswanathan: Our first milestone is to hit about 17.5 %-18% and then we will see from there depending on how the market is.
Moderator: The next question is from the line of Aravind R from Sundaram Alternates. Please go ahead.
Aravind R: Can you quantify how much we have as a floating provision over and above ECL if you can give me that? The second query like will this 35-bps hike in PLR, will it be on the entire home loan book or will it be like in a phase manner?
Nutan G Patwari: On your first question, over and above ECL is about Rs 15 crores approximately. On your second question, the hike is on the entire book, but like Manoj was mentioning that the NHB fixed book does not undergo repricing and we're also looking at the back book , looking at the risk categorization, and considering the good pool of customers, we are seeing how we can adjust the pricing there because that's the right thing to do. Adjusting for all of this, about 10 to 15 basis points is the net im pact that we expect from this increase in PLR of 35 basis points.
Moderator: The next question is from the line of Sonal from AMSEC. Please go ahead.
Sonal: Just similar questions. So, generally banks who are giving out loans for the first year, the loan is a fixed rate loan. So, for us whatever the process was done in last one year, even over there will be repricing the PLR or how does that happen?

Manoj Viswanathan: We do not do any fixed price loan. When we originate the loan, it is a floating rate loan, but some of the NHB schemes require us to fix the interest rate later if the concession needs to be passed on to the customer. So, a certain portion of the book gets fixed at a later point if we are getting a corresponding fund from NHB. That is what we are calling a fixed NHB book.
Sonal: So, basically for disbursements what we've done in Q4 of last year, even for those disbursements there will be a 35 bps of PLR hike, is that correct?
Manoj Viswanathan: Yes, depending upon the risk categorization of the customer.
Sonal: The other question I had was on DA income, direct assignment. So, do we upfront this income or is it only for the same year that we take the income in our P&L, how does it happen?
Manoj Viswanathan: In the Ind AS, we do have to upfront, that is the regulatory guideline.
Moderator: Ladies and gentlemen, as there are no further questions from the participants, I now hand the conference over to Mr. Manoj Viswanathan for closing comments. Please go ahead, sir.
Manoj Viswanathan: Thank you. We are confident to continue the growth momentum led by a strong economic environment, expanding distribution network and differentiated business model. We continue to stay focused on providing loans for affordable housing led by distribution a nd use of technology backed by diversified funding and strong risk managemen

t. Thank you, everyone for joining us on this call. I hope we have been able to answer all your queries. In case you require any further details, you may get in t ouch with Manish Kayal.
Moderator: On behalf of Home First Finance, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2024

HFFCIL/BSE/NSE/EQ/ 70/2024 -25 Date : 01-11-2024
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai - 400 051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter ended September 30, 2024

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call with analysts and investors for the quarter ended September 30, 2024 conducted on Friday, October 25, 2024. The Company had referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company at www.homefirstindia.com

This is for your information and record s.
For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

"Hom e First Fina nce Company India Limited
Q2 FY 25 Earnings Conference Call"
October 25 , 202 4

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MANAGEMENT : MR. MANOJ VISWANATHAN – MD & CEO
MS. NUTAN GABA PATWARI – CFO

This document is a transcription of the conference call conducted on 25th October, 2024. Click here to listen to the original audio.

Moderator: Ladies and gentlemen, good day and welcome to the Home First Finance Company India

Limited Q2 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Manoj Viswanathan, Managing Director and CEO of Home First Finance Company India Limited. Thank you, and over to you, sir.

Manoj Viswanathan: Thank you. Good evening and greetings to everyone and a warm welcome to all the participants to the Home First Earnings Call to discuss the results for Q2 of FY25. Today on the call, I'm joined by our CFO, Ms. Nutan Gaba Patwari. Together, we extend a warm welcome and hope you had a chance to review our investor presentation and press release that have been uploaded on our website and s tock exchanges. Additionally, an excel factsheet including the historical data has also been uploaded on our website.

Let me start by giving you the highlights of our Q2 performance.

• We are pleased with the company's strong performance during the quarter. We continue to expand our distribution footprint deeper into our existing markets. In Q2, we added nine new branches, two branches in Gujarat, one branch each in Maharashtra, MP, Chhattisgarh, New Delhi, Uttarakhand, UP and Rajasthan bringing the total to 142 branches. With digital and potential branches, we now operate across 351 touch points in 138 districts spread across 13 states and union terri tories.

• We continue our track record of q-o-q increase in disbursals with our highest ever disbursal of INR 1,177 cr for Q2. The AUM has grown by 34.2% y-o-y to INR 11,229 cr. Employee strength has grown from 1,249 in March to 1,642 in Sept '24 which puts us on a good wicket for further expansion.

• Our asset qu ality remains strong with early -stage delinquencies under control.

o 1+ DPD stands at 4.5%, which is flat on a q-o-q basis.

o 30+ DPD stands at 2.8%, which is down 10 bps on a q-o-q basis.

o Gross Stage 3 (GNPA) at 1.7% again, flat on a q-o-q basis.

o Our credit cost at 20 bps has decreased by 20 bps on a y-o-y basis and has remained flat on a q-o-q basis.

• The profit after tax for the quarter stood at INR 92 cr which is an increase of 24% on a y-o-y basis, delivering an ROE of 16.5% which is an increase of 20 bps compared to Q1.

• Our well -diversified borrowing profile has enabled us to manage borrowing costs effectively maintaining the spreads at 5.3% in line with our guidance.

• Technology remains central to our strategy. Account aggregate adoption has become mainstream with an adoption rate of about 49% among new approvals. This was 41% in last quarter. We continue to exploit opportunities in technology and data analytics and kee p optimizing and tracking our operational processes and productivity.

Penetration is strong with 95% of our customers registered on our app. Digital fulfilment has reached 75% plus with the use of digital agreements and e -NACH mandates. 89% of service requests are raised on the mobile app.

With this, I would now like to hand over the call to Nutan to take you through the financials. Nutan, over to you.

Nutan Patwari: Thank you, Manoj, and good evening, everyone.

Let us start with the Key Financial Metrics :

• Starting with spreads , after repricing in Aug'24, our Spreads, excluding Co-Lending expanded by 10 bps, and it is at 5.3% right now.

• Net interest margin was 5.2% owing to the leverage effect.

• Operating expenses to assets were maintained at 2.7% for t

he quarter, in line with our expectations. The slight increase in employee cost is due to the new ESOP grants during the quarter. We e xpect the ope x ratio to remain range bound within 2.7% to 2.8% as we focus on expansion.

• Fees and commission income saw an increase. This is due to our product and agreements falling in place with insurance companies after we received the corporate agency license in FY24.

• Credit cost is at 20 bps. Our annual guidance for credit cost is around 20 to 30 bps, being conservative here.

Moving on to the Balance Sheet and Capital Position.

• Balance sheet remains robust, providing a solid foundation to support the company's

growth ambition.
• The company's borrowing profile continues to be well diversified and cost effective, reflecting our prudent financial management. We continue to maintain 3 months of cash on the balance sheet and high liquidity buffers. Liquidity buffer at the end of Sept'24 was INR 3,000 crores plus.
• We added a U.S. dollar ECB to the borrowings mix with a drawdown of $35 million from DFC during the quarter. This is a 10 -year loan fully hedged on our balance sheet.
• As part of our liquidity management strategy, we also executed a direct assignment transaction of INR 154 cr during the quarter.
With this, the Borrowing Mix now is
• 60% from banks, out of which private sector banks are 29% and 32% from public sector banks.
• NHB refinance is 16% of the borrowing mix ,
• Direct assignment 13% and co -lending is now at 3%.
• NCD and ECB each constitute 3% in our borrowing mix.
• We have no commercial papers and zero borrowing s through any short -term lines.

• Our cost of borrowing is competitive at 8.3%, excluding Co-Lending and 8.4% on the total, enabling us to maintain healthy spreads.
On Capital Adequacy and Liquidity :
• Our total capital adequacy is 36.4% with Tier 1 CRAR at 36%.
• Our debt -to-equity is 3.9 x.
• As of Sept '24, our net worth is INR 2,289 cr.
• Our book value per share is INR 257 per share.
Finally, moving to the Provisions and Asset Quality :
• We continue to adopt a conservative approach to provisioning, maintaining a provision overlay above ECL requirements.
• Our Stage 3 provision coverage ratio stands at 48%. Before NPA reclassification as per RBI circular, the provision coverage ratio is 64%.
Overall, our business remains on a strong footing, supported by diversified borrowing profile on a solid capital base and prudent risk management practices. We remain focused on leveraging technology, expanding our distribution network and ensuring operational efficiency to deliver sustainable growth.
With that, we conclude our opening remarks and we are now happy to take your questions.
Moderator: Thank you very much. We will now begin the Q & A session. The first question is from the line of Renish from ICICI Securities. Please go ahead.
Renish: Congrats on a good set of numbers. Just two questions from my side. One on the bounce rate. So, while there has been a steady improvement since many quarters. But when we look at the October month number, there has been a sharp 40 bps increase in bounce rate to 15.6%. And this is, in fact, the highest in the last 8 quarters. So how one should read this bounce rate rise in October month?
Manoj Viswanathan: As of now, nothing to read into it , we are on 25th of this month, and a majority of bounce cases collections actually happens by 25th. We are trending very well as far as the collection is concerned. If you were to look at some of the good months of collections that we had in the last 7 to 8 months, October ranks on par with that.
As of now, I would say nothing to be read into it. The Bounce rate as on Oct'24 is 15.6%, if you see the collection figure 6 days post the bounce , about 5.6% of the people have paid and the bounce

rate after 6 days is 10%, which is in line with what has been happening in the last several months or several quarters.
Renish : Got it. So basically, it is right to assume that in last 10 days, the collections by and large at par with the previous months?
Manoj Viswanathan: Yes.

Renish: Got it. Okay. And my next question is on the employee expense? Even in first quarter, that line item grew by 14 points sequentially. This quarter, it is up 20% sequentially. And also, when we look at the employee counts, we've been adding almost 250 -350 people on annual basis. Last year as well, we added 250. First half, we added 350. So, are we redesigning our business model

wherein the incremental, let's say, disbursement of the business will be more driven by the DS Ts and less from the connector o r I mean how one should think about it?
Manoj Viswanathan: No. We don't have a DST model. We have a connector model, which is a completely variable expense model. Our employees basically consolidate these leads and then they contact the customer and take it to closure. We have been following this model for the last 14 years, and have not changed anything. As we pointed out, we have increased the number of employees in the last 2 quarters. And that is in line with our plan. We are building the employee base for expansion over the next 2 to 3 years .
Renish: Got it. And Manoj, just last question. On the, slightly medium -term point of view. Now since we have sort of crossed that INR 10,000 crores mark on the AUM side, from next 2 to 3 years perspective, how confident we are about sustaining this 30 -plus growth rate? Or do you foresee moderation in that?
Manoj Viswanathan: No, we don't see a moderation. We want to grow by 30% and all other activities in terms of employee hiring, branch expans ion, new location expansion, et c. have been planned on that basis only. If you look at this year as well , we have disbursed more than INR 2,300 cr in the first 2 quarters.
The plan is that in the next two quarters, we should get our disbursement to about INR 2,500 - INR 2,600 cr. And that should deliver the 30% plus growth rate. Similarly, the plan for the next 2 years is that we get to an INR 500 cr run rate next year and an INR 600 cr run rate the year after. So, the expansion and employee base increase are on par with that.
Renish: Okay. And maybe, let's say, given the current stress in the MFI though our customer segment is very different. And given the regulator is also sort of not happy the way HFCs or NBFCs are growing. Do you foresee that risk playing out on our growth plans in near term as well?
Manoj Viswanathan: No. The MFI sector is fairly disconnected with our sector. We have had MFI cycles in the past as well, but it has not really impacted our sector too much. The housing loan customer is fairly conservative in their outlook and in terms of their borrowing profile. And we have very little overlap with the MFI sector actually. These would be customers who generally would have started their borrowing profile with maybe a consumer durable loan or a 2 -wheel er loan, not really MFI loan. It is a different profile of customers.
Renish: And regulatory risk?
Manoj Viswanathan: What we are seeing is that the regulators are pro -housing. I think most of their actions have been to curtail unsecured lending and lending where they don't know the end use . But as far as housing is concerned, there has been a lot of support coming through and the PMAY has also been

relaunched. In all our discussions with the regulators we are not seeing any headwinds from there at all.
Moderator: The next question is from the line of Kunal Shah from Citi Group.
Kunal Shah: First question with respect to the geography, particularly Kar

nataka, it seems to be doing quite well, both with respect to sequential as well as the year -on-year growth. Any thing specific to read into this? Is it the overall segment led by the network expansion? Or there is something else because that growth seems to be quite high? Both Karnataka & UP, While I think UP is anyway s because of the presence, but Karnataka in particular.
Manoj Viswanathan: No, nothing specific as such. If you remember, maybe a year ago, there was some struggle with Karnataka. But we have kind of turned the corner there and it's growing as per our expectation now. Other than that, there is nothing else to read into it.
Kunal Shah: Okay. And second, with respect to fee income, not sure if you indicated but slightly higher fee income during the quarter. So, is there any element of one -off out there?
Nutan Patwari: Kunal, it's not a one -off. We have reworked on the entire insurance partnerships after the corporate agency license that we received last year. Moving ahead, we will accrue a bout INR 4 cr of income per month. It's a new start, which is more or less settled now.
Kunal Shah: This is just for a month? And when we look at fee income of now INR 9-odd cr, so is it like a month's income ?
Nutan Patwari: There are two components to this fee and commission income. One is the commission income, which is approximately INR 7.5 - 8 cr for 2 months, because the entire partnership started from 1st Aug'24 . And the balance, INR 1 - 1.5 cr is the usual number that we used to have even before, which would be your bounce fees or some or the other fees that get s charged to the customer on an on -going basis. Accordingly, we will continue to add around INR 4 cr commission income on a monthly basis.
Kunal Shah: Sure. And one last thing on the regulatory part, again, just to touch upon. So specifically, they're highlighting that maybe because of the investors' push, there is a chase for growth, ROE. And maybe the growth is significantly higher than what the actual demand seems to be at the ground

level and they have indicated HFCs out there. So maybe any read -through for us, maybe any indications from the RBI with respect to how we are conducting or the pace at which we are growing here?
Manoj Viswanathan: No, Kunal. On the pricing side, the 12% - 13% range, which we and several other housing finance companies also operate at, is a very well socialized figure with the regulator. They have gone into very extensive discussions on what that figure should be. And they have also agreed that, a 12% - 13% rate is what is required in this business to sustain the cost and the credit costs and so on and so forth. So, it's a very well socialized number.

And we do not find any disconnect at all over there as far as the pricing is concerned when we are operating in the 12% - 14% range. As far as the growth is concerned, again, we have never heard anything in the last 2 years from the regulator about being aggressive on growth, et c. In fact, we have been part of some discussions where the regulators are actually pushing us for more housing growth. So, I would say that this is something that we have not heard at all.
Moderator: The next question is from the line of Shreepal Doshi from Equirus Securities.
Shreepal Doshi: My question was pertain ing to the rate hike that we had taken in Aug'24. Do you believe all of it would have been reflected in our pricing or in our yields now? Or w ill it still take some time for the repricing or for the impact on tenures to get reflected?
Nutan Patwari: It's fully reflected .
Manoj Viswanathan: Fully reflected but you can say 2/3 of it has got reflected in this quarter , Q2FY25 because it got effective only from 1st August. A full impact will come in Q3 . If we had a 10-basis points impact in Q2 , may be in Q3 it will be 12 - 1

3 bps.
Shreepal Doshi: Got it. And the second question was on the leverage front. The leverage has been inching up for us in the last 12 months , 15 months' time period. What is the peak leverage that we have in mind up to which we would be comfortable with? And you would look at options like capital raise?
Nutan Patwari: If you see the key financial ratio, the leverage right now actually on debt -to-equity is about 3.7 x. We think that we can increase it for a fair bit, perhaps closer to 5 x. We have about 12 – 18 months before we need to look at a capital raise .
Shreepal Doshi: Okay. Got it. And then just last question was on ticket size front. If you look at the above INR 1.5 Mn ticket size, there the increase has been pretty sharp. In FY22, it was closer to 32% of our overall loan book. Today it stands at closer to 47%. And of course, that is inching our ATS as well. So where do you see this sort of stabilizing? Or would it trend towards INR 1.3 Mn sort of number as well?
Manoj Viswanathan: See, some gradual increase will be there because ticket sizes of properties are increasing. The same property in terms of size, 5 years ago and today, the price is very different. On one hand, there is an inflation effect. On the other hand, since incomes are rising faster than inflation , there is also an aspiration effect . The same kind of customers, same profile of customers are actually now looking at larger properties.
There was on ce a scenario in Bombay where there was a concept of one room kitchen. Now no builder is building a one -room kitchen because there is no demand for one room kitchen. So even the basic first -time buyer is now moving from 300-400 sq.ft. to a 600-700 sq.ft. requirement. That inflation effect will be there. And the trend that you're seeing will probably continue. There will be maybe at least a 1% or 2% increase in ticket size every year.
Shreepal Doshi: Got it. Sir, just one follow -up here. So are we not seeing decent traction or decent number of opportunities in the say INR 7 to 8 lakh ticket size as well because there will be a customer

segment who will be moving from say probably INR 4 or 5 lakh in the Tier 3, 4 geography to INR 8 or 9 lakh loan as well as we go ahead, as we look at this inflation scenario playing out for that customer segment as well. Are we not targeting that customer segment?
Manoj Viswanathan: Yes, so we are not excluding any segment. The key issue is that, maybe 5 years ago also, there used to be properties built by the developers, available in the INR 5 - 10 lakh range. Today, those kinds of properties are not available in th is range. A property in this range is only possible if the customer is constructing on their own and if they already have a plot of land.
Basically, the supply in that segment is also reducing for the same reasons that I indicated, which is partly inflation and partly aspiration. The demand for housing in the less than INR 10 lakh category is also slowly diminishing. Today, INR 10 - 15 lakh is the new INR 5 - 10 lakh you can say.

Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Congrats on the very good numbers. My first question is on disbursements. When I look at disbursements on a q-o-q basis, there is a growth, but the growth has been lesser than what we have generally seen in Q2 over Q1. And generally, what we have been delivering in the past few quarters. In terms of momentum, there seems to be a slight slowness. Any markets or locations where we are calibrating growth approach on our own for reasons like pricing, competition or initial quality indicators? Or otherwise, if y ou can tell us whether can we revert again to the growth momentum that we've been delivering so far in the next quarter or so?
Manoj Viswanathan: Rajiv, I would not read too much in

to it because if you see the quarterly trends , Q1 is fairly slow.
If you see the last 2 years before this, the Q1 growth has been generally maybe less than 3% over Q4. This year, we kind of reversed that trend, and we had almost a 6% growth in Q1 over Q4. To that extent, Q2 was a little more moderate. If you actually see H1 over H 2 of the previous year, it has the same trend as the last 2 years. I mean it's about 11 % to 12% kind of a growth in H1 over H 2 of the previous year .
If you take the last 3 years, the growth of H1 over H 2 of previous year, it has been about 11%, 12%. This year also, it's the same trend. I think, it is just a rebalancing between 2 quarters. I mean it's a question of maybe INR 20 - 30 cr moving from one quarter to the other quarter. I mean, let's say, instead of booking it in Q1, if we have booked it in Q2, maybe we would not even be having this discussion.
Rajiv Mehta: Understood. On an annual basis, that 28%, 30% disbursement growth run rate should continue, right?
Manoj Viswanathan: Yes. Our design has been to get to a 30% AUM growth . The design is not for a 30% disbursal growth. With a 20% to 30% disbursal growth, we should be able to achieve a 30% plus AUM growth. The design is that this year, we will clock a run rate of about INR 400 cr per month.
Next year, we'll clock about INR 500 cr and the year after about INR 600 cr per month . And that will help us to reach that 30% AUM growth.

Rajiv Mehta: Okay. And Manoj, do we play on pricing when we get into a new market or if you want to grow faster in a certain market ? or is the pricing standardized because the underwriting is centralized?
Just want to check on that.
Manoj Viswanathan: Pricing is actually fairly customized. It's a risk -based pricing model, which we run at the back end. For each loan, we expect the relationship managers to discuss with the customer and onboard the customer data on the system. And based on the customer data, we then run the probability of default and then throw up the risk -based pricing for that customer. It's a customized pricing for literally every customer. It depends on the customer profile , location, risk profile of that particular a rea, et c. Based on all that, we kind of throw up an individualized or customized risk pricing for each customer.
Rajiv Mehta: Because I think, I was coming from trying to understand, for example, a market like Rajasthan, which is fairly mature and established. There's a lot of competition already in that market. And we've been growing very fast. And the share of Rajasthan in overall AUM ha s been increasing.
I just wanted to understand whether one aspect of growth could also be a play on price. I understand distribution is a larger aspect, but we don't do that, right? That's what you are saying.
It's purely customer profiles specific.
Manoj Viswanathan: Yes. It is customer profile specific. For larger cities, maybe Mumbai or Ahmedabad it depends on multiple factors. It depends on the product, depends on the city. We customize the pricing according to that. In some places, yes, we may be more competitive on pricing. Some places where we can extract the higher pricing, we would be able to, we will be doing that.
Rajiv Mehta: And just one last thing on funding. We've got INR 500 crore s NHB sanction. Is it between the two schemes of AHF and refinancing? That's the first question. And then what could be the blended cost of it when we avail it?
Nutan Patwari: Yes, it will be a combination of both. The exact breakup will be known when we come closer to the drawdown depending on how they are raising the funds from ministry or otherwise. Cost again depends on the proportion. For example, the regular refinance is just above 8%, whereas the AHF portion is much more attractive. Of course, we have to also pass on the benefit to the cus

tomer. I think only once we avail this, then only we can give you an exact number.
Manoj Viswanathan: Because the ratio gets determined actually very close to the disbursal date, and we're still discussing with them on the disbursal. Closer to the date, actually, they determine the ratio. As of now, we don't yet know that ratio , how much is the AHF and how much is normal .
Rajiv Mehta: And Nutan, just last one thing. The bank loans, what is the mix across benchmarks, MCLR, repo

and any other benchmark?
Nutan Patwari: The repo T -bill, et c which is your short -term benchmark will be close to 20% of the entire borrowing book of the bank portion. The rest will be MCLR 3, 6 and 12 months, broadly equally split. Let's say, once the rate cycle reverses, the first 3 months, we should be able to get about 30% - 40% of the book repriced.

Moderator: The next question is from the line of Raghav Garg from AMBIT Capital.
Raghav Garg: Congrats on the results. I have three questions. One is, can you give some sense on whether the balance transfer request this quarter were relatively on the higher side versus maybe what you would have seen in the previous few quarters of last year? And also, if you can give some sense on what percentage of the BT requests were retained by you as compared to last time? Any broad sense would do? Just trying to understand the competitive intensi ty here for you. That's my first question.
Manoj Viswanathan: The peak that we have seen in balance transfer is about 8% and last quarter was about 6.7%. One way to look at it is, yes, there has been some moderation on the BT out because last 2 -3 quarters, the number has been closer to 6% rather than 8 %. So, there has been some moderation in the BT out. Now it's difficult to say whether it's because of reduction in BT intensity in the market or whether it's because of our own efforts .
About 2 to 3 quarters back, we launched a very concerted effort to retain the balance transfers. We put in place a protocol and training for the branches to retain that. We would like to believe that, that has made some impact. I wouldn't say there is any reduction in the BT intensity in the market. It would be more or less similar to what it was over the last several quarters.
Raghav Garg: What I was trying to understand was that you've taken a PLR hike in this quarter, right, 2/3 of which has been passed on. And despite that, what I see is that the origination yields are flat. So, just correlating as to whether the incremental yields being flat here. Does it mean that you may have passed on some kind of benefit to the customer? And as a result of that, you may have been able to control the BT for you?
Nutan Patwari: Raghav, why are you comparing the origination yield with PLR increase? The book yield is not flat.
Manoj Viswanathan: It's gone up by 10 bps.
Raghav Garg: The book yield has increased by about 10 bps. Okay. So , there's no correlation as such?
Manoj Viswanathan: In FY23, the rate increase that was passed on was almost 125 basis points across two, three instalments. That was a pretty large increase that was passed on at that point. Compared to that, what we have passed on now is very small, 35 basis points. And it is coming after almost a gap of 15 months. This has not created any ripple effect as far as the customers are concerned. Almost 93% of the customers actually underwent only a tenure change. They did not undergo any EMI change. To that ex tent, they did not get disturbed. I would say there has not been much impact of this rate increase on the customers.
Raghav Garg: Understood. That's fairly clear. Another question is -- it's pretty clear that you've been very aggressive in terms of hiring compared to the usual trend that's there for your company. And as a result of that, what I'm seeing is that the number of e

mployee s per branch has increased, I think at an all -time high of some 11, 11.5 employees per branch.

Is there some change in sourcing strategy or organizational structure? Can you throw some light later on, maybe you'll expand branches at a higher rate and not the employee base, so the employees for a branch could come down. That's my limited question.
Manoj Viswanathan: There has been no change in the hiring strategy. Normally, we do a lot of hiring in the first two quarters because that's the placement season. And we do most of our hiring from campuses. The campus recruits join during these 2 quarters. So that trend has continued. I think what you would be seeing is a sharper increase in the employee base, right, from 1,250 in end of last year to about 1,650. About 400 employee increase in the first two quarters, which generally is a little more modest. That is because of the attrition also shrinking parallelly. Generally, there is also attrition, which is 30% -35% plus.
But this year, the attrition has been sub 30%. To that extent, we have been able to retain more employees. As a result, you are seeing the employee base going up more sharply. But we don't intend to let up on the hiring because we feel that this is a good opportunity. While the attrition is shrinking, this is a good opportunity to hire more employees and kind of build the employee

base for the future.
That is really, I think, what is behind the strategy. In the normal course, if attrition was lower, probably we could have ended up hiring fewer people. But we have continued with our hiring plan so that we are able to kind of add the employee base for the future.
Raghav Garg: Is it fair to assume that in H2, the employee hiring would be a lot more moderate compared to the trends that have been there in the first half?
Manoj Viswanathan: We do the hiring in H2. We do the campus visits, and we make the offers, etc in H2, which we intend to do now. These candidates generally join us in the first 2 quarters.
Raghav Garg: Understood. And you are still sticking to that branch opening for this year, I think 20 or 30, is that correct for the full year?
Manoj Viswanathan: Yes. We continue to operate on that format. So about 25 - 30 branches per year.
Moderator: The next question is from the line of Aravind R from Sundaram Alternates.
Aravind R: Congratulations on a good set of numbers. Sir, like one question I had on disbursement, I think you answered that in terms of like q-o-q, the growth was flattish in disbursement. I understand that, but I also wanted to understand like in terms of asset quality, I understand like our GNPA has been stable. Do you track any data in terms of our customers in either defaulting or anything like that in their unsecured or in their other loans? And do we have any set of data or anything of that to track?
Manoj Viswanathan: The data scrub we do once a year, but then that would be a bit dated. This phenomenon which we're seeing in the market is more recent, maybe in last 2 -3 months. We would not have a recent data to say anything about whether that is there, that is happening. The data scr ub normally happens once a year. So that will take some time.

Aravind R: Okay. Because the stress was not just seen in MFI but also in unsecured portion of even some large banks. That's why I was trying to understand that. And also, sir, like in terms of fee income, I understand like this insurance broking business is just pann ing out and it can also grow. But do we see any other forms of fee income drivers that can come in the future? Like do you foresee anything like that?
Manoj Viswanathan: We want to focus on insurance because insurance itself is still a large business. We want to kind of focus, stabili

ze that before we think of something else. For the next 2 years, we will be basically focusing on this to stabilize it. And maybe after that, we can think of other opportunities.
Aravind R: May I know, is this life insurance or like general insurance, health insurance?
Manoj Viswanathan: Life and general, both. Life insurance, basically to protect the loan in case of any unfortunate event to the customer. And the general insurance basically to protect the property from a natural disaster, et c.
Moderator: The next question is from the line of Chandra from Fidelity.
Chandra: Three questions. One is, what percentage of the people was the last increase in PLR rolled out to? Was it rolled out for everybody or just a certain set?
Manoj Viswanathan: The PLR increase basically happens on the entire base. It's an internal benchmark change. What we also did was the customers who had a good track record for maybe more than 1 year or 2 years, we gave them a discount on the rate. To basically help them to adjust for the increase in PLR. So, you can say the PLR increase affected about maybe 50% of the customers.
Chandra: Okay. Got it. Secondly, is it fair to say that spread is sort of now plateaued from where they are? I mean how do you think just around cost of funds and spreads? And then in the sort of previous cycle when cost of borrow ing went down, you managed to show an increase in spreads. As we look over the next 12 to 24 months, given the rate cycle going the other way at some point in time, what do you think of spreads? And then just lastly, the ESOP pool, can you just remind me, what percentage of people does it cover and percentage of people from branch ?
Manoj Viswanathan: We have been maintaining that 5% - 5.3% is the kind of spread that we will be able to achieve in this business. It's kind of hovering over there. But if there is reduction in rate, cost of borrowing reduces, there will be periods where we probably enjoy a larger spread because there will be some lag and passing that on to the customers. But on a steady state basis, 5 .2% - 5.3% is something that we should be able to maintain. As far as the ESOPs is concerned, we are providing ESOPs from a supervisory level. Basically, at the branches, it is all the branch managers who are covered through the ESOPs. In other functions, it's basically people who are supervising teams.
Chandra: Any branch manager basically of these 140 branches is covered in the ESOP pool?

Manoj Viswanathan: Yes, they will be covered by the ESOP pool. Unless they have kind of just become a branch manager and they missed the previous cycle. But otherwise, they will all be covered.
Moderator: The next question is from the line of Harshit from Premji Investments.
Harshit: Sir, just one thing. On the model which we follow of the connector, I think when we recently look at the other players, maybe they were late in catching up and maybe it could have been -- they were not aggressive in this, but the peers have started becoming aggressive on this c hannel itself. And in a very similar concept to ours, building up an app and then giving it , making it more technologically easier for them. Do you see this as a greater competition aggressiveness on this part of the segment?
Manoj Viswanathan: Yes, there is always some new players coming or some players starting this concept. Also, this concept always existed in some form or the other. Probably more companies are getting more formal or giving it a more formal structure to it. But otherwise, many companies were sourcing through connectors earlier also. Ultimately, it boils down to what new insights you can gain and how you can kind of make your own app, more user -friendly for the connectors and develop certain insights, which wi ll make it easier for them to deal with us.
We continue to kind of kee

p innovating on that front. There will be others who are trying to catch up, but we will try to stay ahead of them because we kind of have a first mover advantage. We have certain insights , certain database and track record of these connectors. We will hopefully stay ahead of that curve.
Harshit : Got it. Sure, sir. And one more thing, sir, I think for us, if I'm not wrong, the underwriting part , the legal validation of the documents, the technical part, that happens in -house in the central location in Mumbai, if I'm not wrong?
Manoj Viswanathan: No. There are two parts to the process. There is a legal check that happens through legal vendors in the respective locations. And then the legal report gets verified or vetted by an internal property underwriting person. It's a 2 -phase approval process that we have.
Harshit : Okay. And that underwriting team is something which is there in -house in our Mumbai Office , unlike other peers, it's not diversified across the region?
Manoj Viswanathan: Correct. That is correct.
Harshit: If you can, sir, just help with the total team size of that underwriting team. And in general, how has the attrition been in that particular region? Probably the third question more practically since the nuances of individual areas defer a lot, how do we e nsure that any recent updates, whatever has been happening in a particular region or in a particular district gets adequately captured in the underwriting process?
Manoj Viswanathan: Yes. The underwriting team has the size of about 30 - 35 people, and we keep continuously adding to that team. We do a capacity planning in terms of how many applications likely to be received and what is the processing time, et c., and we keep adding people to that team. And

there are two, three things that we do to address the local nature of some of this information. One is that we have these legal and technical valuers who are located in each of these locations, and we have a relationship with them. They process the application first or they process the title papers and the technical report first.
They bring in the local nuance. And then that report is then checked by our internal person who's sitting here in head office. The underwriting team that you see , 30- 35 people over here, they are actually, cultivated from various parts of the country. There would be people who have been branch managers or relationship managers in other various parts of the country. We actually move them to Mumbai to be part of the underwriting team. They bring with them their local experience of those locations as well.
And thirdly, what we also do is we have a continuous process of field visits by the central team. Every month, there are 1 or 2 or 3 people who are visiting various parts of the country to kind of correlate whatever they do in the central office with what is happening on the field. To keep themselves updated on what is happening in the field. Through this three -pronged approach, we combine the local nuance with the kind of centralized control.
Moderator: The next question is from the line of Pavan Kumar from Ratna Traya Capital.
Pavan Kumar: Can you just highlight why we should keep growing our disbursements lower than the AUM rate? Is it because of the adjustment you are looking for assigned loans that are there, for which you are receiving money? Or how does that work exactly?
Manoj Viswanathan: The planning that we have done for the next 3 years is based on a certain AUM growth . The disbursal growth will be more of a derived number.
Like I said, by FY27, we want to hit the INR 20,000 cr number. Broadly, that translates to 30%

AUM growth y-o-y. The disbursal growth, maybe 20%, 25%, 27% it could vary q-o-q. But the ultimate aim or goal being that we have to grow the AUM by 30%.
Pavan Kumar: Okay. Perfect. And any

early signs of stress you are seeing, especially on our lower ticket size book?
Manoj Viswanathan: No, we are not seeing anything ticket size specific as such in terms of stress.
Pavan Kumar: Okay. And so going forward also, we are expecting the credit cost at least as of now to stay between 20 bps to 30 bps, that is what our expectation is, right?
Manoj Viswanathan: The expectation, yes.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: Mr. Manoj ji and your entire team doing very nicely working. It is a good thing you reduce the impairment on financial instrument. Sir, only thing to ask our net interest rise is 50.4% in this quarter against our AUM rise of 34%. What is the reason?

Manoj Viswanathan: Yes, because interest cost is also increasing. Whenever there's an interest cost increase the net interest number increases by a disproportionate percentage. The company is getting more leverage. There is more debt getting added to the balance sheet. That is one factor. And secondly, the interest cost is also increasing because of borrowing cost increase. That is why you're seeing a disproportionate increase in the interest cost line.
Ravi Naredi: In the longer term rise of AUM percentage and interest costs will be similar?
Manoj Viswanathan: Sir, in a steady state, it will be similar. But as the company is growing and adding more debt, the leverage is increasing. So, at some point, let us say, we say that, we are going to maintain a leverage of, say, 5.5 x or 6x. At that point, on q-o-q, you will find that both will increase at the same pace. But as the leverage keeps increasing, the interest cost will rise at a higher rate.
Ravi Naredi: Mr. Manoj ji, my one concern is that, we are maintaining more liquidity. That is the reason we are paying more interest?
Manoj Viswanathan: No, sir. There are two reasons. One is, as I said, the debt component in the balance sheet is increasing . Last quarter, you would have seen 4.6 x was our asset -to-equity ratio. This time it is 4.8x. Our debt equity ratio has moved from 3.5 x to 3.7 x. There is more debt proportionately in the balance sheet. That is one reason for the increase. In a steady state, once that number stabilizes, once we reach 5x debt to equity and we are maintaining the 5x debt to equity q-o-q, then you will not see this disproportionate increase.
Ravi Naredi: Okay. And one more thing, net profit rise by 24% against AUM rise of 34%. What is the main reason? One is the interest and other is staff cost?
Manoj Viswanathan: Yes, sir. Again, same reason because interest cost is rising. Hence the PBT /PAT is rising at a slightly slower rate than the AUM increase.
Ravi Naredi: Okay. But we are keeping the growth rate 30% onwards for the full year, right?
Manoj Viswanathan: Yes, sir, for the full year.
Moderator: The next question is from the line of Jatin from Burman Capital.
Jatin: First one is on the clarification related to fee income. You mentioned that fee income from insurance commission will be around INR 12 cr. Earlier, we used to book advertisement income from insurance that used to be around INR 4.5 cr. Is my understanding right that the net delta would be INR 7.5 cr or similar?
Nutan Patwari: The net delta would be slightly higher. We will reduce the marketing income that we used to get, but not fully eliminate it. The delta could be in the range of INR 9 cr - INR 10 cr .
Jatin: Second question is around the PMAY CLSS scheme. Now please correct me if my understanding is wrong. If a customer gets the CLSS scheme, then he will have to stick with the same lender for the 5 -years till he is getting the subsidy. If he switches, then he won't get the full

benefit of subsidy. Does it

mean that BT out rate will reduce because customer will anyway stick to the same lender and that will also get reflected in our BT out rate?
Manoj Viswanathan: Yes. Theoretically, as of now, the way the scheme is structured, that looks like a possibility.
Moderator: The next question is from the line of Omkar Shinde, who is an Individual Investor.
Omkar Shinde: In Madhya Pradesh, the growth has been very good. We have seen 15% growth on q-o-q. It is now at INR 800 cr book. And almost every quarter, we have added INR 80 cr to INR 85 cr in the book. My question is what is it that we are doing in Madhya Pradesh that it is growing so

fast because share in the AUM has also increased very much in the past 4 quarters? So that is
the first question.
Manoj Viswanathan: Yes. As we had articulated there are 2 - 3 states where we are focusing now. Earlier, our focus used to be in the western and southern part of the country. About maybe 1 year ago, we said that we will now start increasing our distribution in MP, UP and Rajasthan. These three are the new emerging states, which have large populations and where affordable housing is coming up in a big way. We are just going ahead with that plan. We have actually opened up locations in MP. We have added more people in MP. The distribution expansion is picking up pace in MP. Also true to some extent in Rajasthan and UP, you will see that our pace of growth is higher than other parts of the country. Rajasthan has grown by about 41% and UP has also grown by about 50-odd percent . So, in all these 3 st ates, we are now focusing our expansion, and you are seeing the results from that.
Omkar Shinde: I was also going to come on UP. In UP & Uttarakhand , you showed that it is a combined INR 746 cr book . Can you give us the split between Uttar Pradesh and Uttarakhand, if it is possible, what is Uttar Pradesh and Uttarakhand?
Manoj Viswanathan: Uttarakhand would be about 2% of the AUM, and the balance comes from UP. So totally, it's about 6% of the AUM. Out of which Uttarakhand will be about 2% and the balance will be from UP.
Omkar Shinde: Understood. And now one question on the ECL provision. So ECL provision Stage 2 has increased to 10.1% in the current quarter. Q-o-Q, it has seen a big jump from 7.8%. What is that? Because our credit cost, the provisioning that is there in the P&L, that has remained more or less stable. Have we seen any recovery or anything? Can you please explain?
Nutan Patwari: When we do the ECL model, we look at the model as to what changes or any overlays that we may have to take. If you see y-o-y, our number had reduced from 8.6% to 7.8% last quarter. And we just thought it is prudent to take the number slightly higher. We made some very basic changes to accommodate that. If you look at our 30 + DPD, that has improved. If you look at the composition of the credit cost also, about 90% of that is just on account of provision.
The losses are actually negligible in the credit cost line. This is just being more conservative that we have added a little bit more provision to the Stage 2. We've also maintained our Stage 3 provision at 27%. This is just being a little bit conservative on maintaining healthy provisions.

Omkar Shinde: Okay. So , you have changed the model or we have taken management overlay?
Nutan Patwari: Management overlay.
Omkar Shinde: Because the overall provision also has decreased. So that was just to understand. So you have taken a management overlay, that is correct to understand?
Nutan Patwari: Yes. The overall provision has increased by almost INR 5 crores.
Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Mr. Manoj Viswanathan for closing comments. Over to you, sir.
Manoj Viswanathan: Thank you, everyone, for partic

ipating and engaging in the call. We hope we have been able to answer all the questions to your satisfaction. In case you want to reach out for further questions, you can always reach out to Nutan or write to us at investor.relations@homefirst india .com.
Thank you so much. Have a good weekend and Happy Diwali in advance.
Moderator: On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

HFFCIL/BSE/NSE/EQ/ 100/2024 -25 Date: 04-02-2025
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai - 400 051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter ended December 31, 2024

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call with analysts and investors for the quarter ended December 31, 2024 conducted on Wednesday , January 29 , 2025. The Company had referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company at www.homefirstindia.com

This is for your information and records.
For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

"Hom e First Fina nce Company India Limited
Q3 FY25 Earnings Conference Call"
January 29, 202 5

.

MANAGEMENT : MR. MANOJ VISWANATHAN – MD & CEO
MS. NUTAN GABA PATWARI – CFO
MR. DEEPAK KHETAN – HEAD, INVESTOR RELATIONS

This document is a transcription of the conference call conducted on 2 9th January , 202 5. Click here to listen to the original audio.

Moderator: Ladies and gentlemen, good day, and welcome to Home First Finance Company India Limited Q3 FY25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Deepak Khetan, Head Investor Relations of Home First Finance Company India Limited. Thank you, and over to you, sir.

Deepak Khetan: Thank you, Yashash ri. Good evening, everyone, and a warm welcome to Home First Q3 FY25 Earnings Call. We appreciate your time and participation today. I am Deepak Khetan, and I have joined Home First Finance as Head - Investor Relations with effect from January '25.

I'm excited to build a high -quality investor relations franchise for Home First Finance. I hope you have had the opportunity to review our investor presentation and press release, which are available on our website and the stock exchanges. Additionally, we have uploaded an excel fact sheet with historical data on our website for your reference.

On today's call, Home First Finance is represented by our MD and CEO, Mr. Manoj Viswanathan; and our CFO, Ms. Nutan Gaba Patwari. We will begin the call with an opening remarks from Manoj followed by Nutan, which will be followed by Q&A session. With that, I now invite Mr. Manoj Vishwanathan to share his insight on our overall performance. Over to you, Manoj.

Manoj Viswanathan: Thank you, Deepak. All the best to you to continue with building a highly respected Investor Relations practice.

Let me start with Q3 performance highlights :

• We are pleased with the company's strong performance during the quarter as we continue to maintain strong AUM growth of 30% plus and profitability with an ROE of 16.6%.

• We continue to expand our distribution footprint deeper into our existing markets as well as new geographies. 69 branches have been added over the last 11 quarters, which is near doubling the branch count in 3 years from 80 as of Mar '22 to 149 as of Dec'24. Of these 69 branches, 45 were in new markets and 24 in existing markets.

• In Q3FY25 , we have added 7 new branches, (2 in Gujarat, 1 each in Rajasthan, Telangana, Tamil Nadu, Karnataka and Andhra Pradesh) and 8 touch points. With proposed and digital branches, we now operate across 359 touch points in 141 districts, spread over 13 States and Union Territor y. We look forward to adding around 10 branches in the ongoing quarter.

• Quarterly disbursals were at INR1,193 crores, about INR 20 – INR 25 crores lower than expected. About INR 10 – INR 15 crores of impact is because of the Karnataka e-khatas issue and another about INR 10 – INR 12 crores because of tighter credit

filters adopted by us during this quarter. Things are stable now, and we are confident about a solid Q4.

• As part of our distribution investment, we have also added to our people strength. Total employee strength has grown from 1,249 as of Mar'24 to 1,704 as of Dec'24. Our approach to training right after hiring from campuses continues to get more and more rob ust, and we are now able to comfortably hire and train higher numbers of front -end employees.

• Focus on asset quality remains strong with early -stage delinquencies remaining largely range bound :

o 1+DPD stands at 4.8%,

o 30+ at 3.1%

o Gross Stage 3 NPA is at 1.7%.

o Our credit cost stands at 30 basis points.

There is a minor seasonal uptick in early delinquencies and a part of this can also be attributed to the overall macro environment. As you can see, our GNP

A is stable YoY as

well as QoQ , and we are confident about the asset quality, and there is nothing to be worried about.

• The profit after tax for the quarter stood at INR 97 crores, an increase of 24% on a YoY basis, delivering an ROE of 16.6%, an increase of 10 basis points compared to the last quarter. Our well -diversified borrowing profile has enabled us to manage borrowing costs effectively, maintaining spreads at 5.2%, in line with our guidance.

• Technology remains central to our strategy. Account aggregator adoption has improved to 61% for new approvals, a significant improvement over the previous quarter. We continue to exploit opportunities in data analytics and keep optimizing and tracking our operational processes and productivity. 96% of our customers are registered on our app as on Dec'24 and 88% of service requests are being raised on the app.

I would also like to inform that :

• The company has now crossed INR 12,000 crore in AUM. And though the capital of the company is well above the regulatory requirements, the company is planning the next phase of growth well in advance. And with respect to the same, the Board has approved raising equity capital of up to INR 1,250 crore . Since listing, our growth has been non -dilutive so far and we continue to use the capital judiciously. This decision of the Board reflects strong confidence in our ability to drive growth and gain market share in the affordable housing finance segment.

• Our S&P Global ESG score has also improved significantly from 34 in FY23 to 45 in FY24, reflecting our dedication towards environmental, social and governance excellence.

I am also pleased to inform you that the Board of Directors has approved the elevation of Ajay Khetan, our Chief Business Officer, to the post of Deputy Chief Executive Officer. In this new role, Ajay will assume responsibility over strategic alliances and mark eting functions in addition to his current role.

Now I hand over the call to Nutan to take you through the financials and other highlights. Nutan, over to you.

Nutan Gaba Patwari: Thank you, Manoj. Good evening, everyone.

Let us start with the key financial metrics.

• Starting with spreads : Our spreads, excluding co -lending is at 5.2%. As we had expected, the cost of borrowing, excluding co -lending has gone up marginally to 8.4%. Despite continuous increases in deposit rates by banks and consequent MCLRs, the cost of borrowing still remains below 8.5%, which is a reflection of the strength of the funding profile of the company.

• Net interest margin for Q3 was at 4.9%. NIM have compressed by 24 basis points on a QoQ basis. About 11 basis points of this is contributed by increase in ex co -lending cost of borrowing and the rest on account of higher liquidity levels, gearing , and realized yields.

• In line with Q2, fees and commission income continue to witness good growth. This is driven by a full quarter effect of the insurance commission. We expect the insurance commission to be in the range of INR 15 crore to INR 18 crore per quarter going ahead.

• Operating cost to assets was at 2.6% for the quarter, in line with our expectations and marginally lower than the previous 2 quarters. We expect this ratio to remain range bound within 2.7% to 2.8% as we focus on growth and expansion.

Moving on to provisions and asset quality :

• Credit cost for Q3 is at 30 basis points. 9 months FY25 credit cost was 26 basis points. Our 9-month FY25 credit cost is lower than our 9-month FY24 credit cost of 38 basis points despite a 33% higher book. We continue to maintain our conservative medium -term cost -- credit cost guidance of 30 basis points to 40 basis points as we focus on growth.

• We continue to adopt a conservative approach to provisioning, maintaining a provision overlay above ECL requirements.

Moving to balance sheet and capital position :

• Our balance sheet remains robust, providing a solid foundation to support the company's growth plan. Our borrowing profile continues to be well diversified and cost effective, reflecting our prudent financial management. 59% of the borrowings

come from public and private sector banks, 17% from NHB, 16% from assignment and co -lending and balance from NCDs and ECB.

• Our cost of borrowing is competitive at 8.4%, enabling us to maintain spreads. Our current rating is AA - from leading rating agencies.

• As per our current liquidity management strategy, we executed a direct assignment transaction worth INR 170 crores during the quarter. We continue to focus on co -lending as well and looking to scale with newer partners. We expect co -lending to contribute around 10% of disbursements in the medium term.

Moving to capital adequacy and liquidity :

• Our total capital adequacy, risk -adjusted assets ratio stands at 33.1% with Tier 1 at 32.7%. We have made some one -time adjustments to this approach , in line with discussions with the new auditors. This is majorly led by DA interest strip, which has impacted by 1.8% and ESOP reserve account, which is impacted by 80 basis points . Our organic capital consumption led by growth, net of capital accretion , is 75 basis points per quarter.

• As of Dec '24, our net worth stands at INR 2,408 crores with a book value per share of INR 269, reflecting our strong capital position.

• Debt to equity is at 3.8x. Manoj has already covered that our Board has approved the equity raise of INR1,250 crores. I would like to add that our leverage is now nearing 5x. Internally, we are comfortable around 6x. Thus, we would need to raise equity funds over the course of next 6 to 9 months as we continue to strive towards a Mar '27 AUM of INR 20,000 crores. I'm excited to work on this very strategic project for the company and support Home First's future growth trajectory.

Overall, our business remains on a strong ground, underpinned by a diverse borrowing portfolio, a robust capital foundation and prudent risk management. We are dedicated to leveraging technology, growing our distribution network and optimizing operational efficiency to achieve sustainable growth and value creation for our stakeholders. With that, we conclude our opening remarks and now happy to take your questions.

Moderator: Thank you very much. We will take a first question from the line of Rajiv Mehta from YES Securities. Please go ahead.

Rajiv Mehta: Can you elaborate on the tightening of credit filters you spoke about? And shouldn't it have a more lasting impact on your approval volumes then? And which markets were more impacted by this tightening of underwriting?

Manoj Viswanathan: Tightening of underwriting, we have put some product -specific filters, it would be very nuanced to go into the details in this call. But this is something that we implemented a few months ago. It has impacted our volumes to the extent of maybe around INR 10 to INR 15 crores for the quarter. As I mentioned earlier, some of the impact has also come because of the Karnataka issue, about INR 10 to INR 15 crores from there. This is a number that we should now be able

to compensate from other markets in the coming months. I think the impact would now taper off.

Rajiv Mehta: Okay. And one data keeping question is what is the BT in as a percentage of disbursement? And what has been the trend here in recent quarters?

Manoj Viswanathan: BT in is insignificant in our scheme of things. It is generally less than 1% of our disbursals. And that has generally been the trend.

Rajiv Mehta: And how much of the flows that you have seen in this quarter, we have seen some meaningful addition in S

tage 2 and even Stage 3 when you add back the write -offs. How much of these flows can reverse in Q4? And whether have you seen this better collections in January? Can you throw some light on that?

Manoj Viswanathan: Yes. In comparison to last year, if you see our 30 -day past due, it is only 10 basis points higher. Generally, there is a movement in Q3 partly impacted by Diwali holidays and so on. Some of that impact is there this quarter also. Q4, there is again a good improvement. As of now, our expectation is it should completely reverse.

Rajiv Mehta: Got it. And the linkage of bank borrowings with various benchmarks. This is the last question.

Nutan Gaba Patwari: Yes. Bank borrowings, the benchmarks could differ between public sector banks, private sector banks. It's a combination of MCLR and external benchmarks ; generally , repo.

Rajiv Mehta: Sure. Any percentages by any chance, if you can give?

Nutan Gaba Patwari: From the bank borrowing, about 20% of it will be on external benchmark s, which will include repo and T-Bill. The balance 80% will be on an MCLR, of which one third will be on 3-month MCLR, another one third on 6 months and finally on 12 -month MCLR.

Moderator: We'll take our next question from the line of Abhijit Tibrewal from Motilal Oswal.

Abhijit Tibrewal: Just wanted to understand while you have already kind of commented on asset quality, part of it explained by macro environment. I mean, request if you can give some more nuances around it, this 30-basis points deterioration in 1 + DPD and 30 + DPD. You also said earlier to the last participant that some of it could have also been because of the festive season and the fact that you expect a good improvement in Q 4. But I mean, have you had a chance to kind of look through, I mean, which are th ese customer segments, if at all, any geographies where you are seeing this deterioration?

Manoj Viswanathan: There is no geography -specific deterioration. In the sense of at an overall level, specific states, et cetera. Of course, across branches, there are always pluses and minus between quarters. 30 basis points movement comes from basically -- if there are 200 customers who do not pay at the end of the quarter, it impacts us by 30 basis points. It is a number that can be reversed. It also depends upon the last day, whether it is a holiday and so on and so forth. Some movement is also because of that. Maybe partially maybe out of the 30 basis points, maybe 5 -10 basis points

can be attributed to a kind of weak environment, et c. also. But anecdotally or even from our teams on the ground, we are not getting any negative feedback in terms of difficulty in collections, customers going through stress and so on. That kind of feedback is something that we have not yet got.

And even this month, if we look at the collections, we are almost near the end of the month, it is all looking pretty good, as good as any other good month in the past. That is why I mentioned that we are not seeing any cause for worry. It is just a movement of probably 100, 200 customers at the end of the quarter.

Abhijit Tibrewal: Got it. And have you had a chance to look at bureau data, what proportion of our customers would have MFI loan or another retail unsecured loan?

Manoj Viswanathan: Yes, we have. We have done that analysis. Microfinance loans, as we have always mentioned, is a very small percentage. 1% of our customers have microfinance loans. Other loans, of course, now almost 80% of our customers have a bureau score. So , they would either have a consumer durable or a 2-wheeler or a personal loan.

About 20% of our customers would have a consumer durable loan, same for 2 -wheelers, same for personal loans. About 15% to 20% of our customers would have one of these loans. And overall, about 80% of our customers have some loan or the oth

er. That is how they get a bureau score.

But those loans, the repayment installment per month is generally in the region of maybe INR 3,000 to INR 5,000 a month, which we would have already considered at the time the customer came to us for a loan as part of the FOIR. So , it should not generally impact the customers' repayment track. And these are loans that get paid off also in between 6 to 18 months. After which the customer's budget comes back to normalcy.

So, we are not seeing any impact of the other loans and customers' repayment. In any case, in the hierarchy of repayment for the customer, the home loan is always at the highest point. The default will start for some other loan, but the home loan will always be a priority for the customer.

Abhijit Tibrewal: Got it. And my second question was for Nutan. While you explained that out of the 24 basis points NIM compression, almost 13 basis points came from higher liquidity. Just trying to understand, I mean, is this the new normal for the liquidity or at some point in time, we will look to kind of run down this liquidity and come down at lower levels?

Nutan Gaba Patwari: Abhijit, let me just kind of help you read the breakup again. So out of 24 basis points , 11 basis points was the increased cost of borrowing ,7 basis points are liquidity and leverage put together because the balance sheet is getting more and more levered through debt. The liquidity between quarter 2 and quarter 3 has not moved much. The remaining 7 basis points, which is 24 basis points minus 11 basis points minus 7 basis points is coming from a lower realized yield. And so

essentially, what happens is when you calculate the NIM, depending on when that loan has got booked in the balance sheet, the realized yields also move.

Abhijit Tibrewal: And going forward, I mean liquidity, I mean, expected to remain at current levels or at some point in time, we will look through.

Nutan Gaba Patwari: March quarter tends to be the quarter, as you are aware, where we do take drawdowns as we close the year. Towards the end of March, we should be slightly higher. But through the quarter, we should be able to maintain our previous run rate.

Abhijit Tibrewal: Got it. And one last question for Manoj again. Just trying to understand, I mean, this question around competitive intensity from banks have always been there. I just wanted to kind of pick your brains on the fact that recently, almost all the large HFCs in the country have been talking

about entering this affo rdable and near prime segments.
And I mean, at this point in time, it looks like, I mean, they are very, very serious about it, right? I mean have we started seeing some impact of this in the affordable segment? Basically, what I am trying to understand, is there a case that, I mean, over a course of time, yields can see some structural compression from where we are today?
Manoj Viswanathan: Actually, difficult to say at this point of time. But, if I were to just look at some of the 2 or 3 of the large entities that are talking about affordable housing, there is a wide spectrum when we talk about affordable housing. When we say is affordable housing, we talk about less than INR 25 lakhs, average ticket size of INR 10 lakh to INR 12 lakh or INR 12 lakh to INR 13 lakh, et c. But if you see some of their commentary, it is closer to INR 20 lakhs that is the affordable category for them.
And correspondingly, obviously, the yield at which they are operating in that segment will be lesser. So , we are talking about different buckets here. We will have to wait and see how much is the impact on our bucket, which is, let us say, the INR 5 lakh to INR 25 lakh range. As of now, I would say the buckets are different. The buckets in which these entities are operating would be probably different. And hence in the 0 lakh

to INR25 lakh bucket, hopefully, there should not be that much impact.
Moderator: We will take our next question from the line of Renish Bhuva from ICICI Securities.
Renish Bhuva: Sir, just 2 questions from my side, one on the LAP. So , we have seen last few quarters, LAP growth has been much faster than HL. So where do you see LAP share settling in at near term? And given the current operating environment wherein you also mentioned that now we have tightened base filters. So how comfortable we are growing this LAP book at a faster pace? So yes, that is my first question.
Manoj Viswanathan: LAP is looking growing at a faster pace also because of its very small base. We have always been very conservative on LAP and it has always been kind of 10% to 15% of our book. On a small base, the growth looks faster and the numbers look much bigger. Our view on LAP is that currently, we are at about 15% of AUM, and we are co mfortable to take it up to 20% of AUM .

As we expand LAP from 15% to 20% of AUM , obviously, the growth in LAP will look higher than the growth in home loans. But that is really our appetite currently that we are comfortable taking it up to 20% of AUM in the near term. So maybe in the next 2 to 3 years, we are looking at a 20% LAP contribution and an 80% Home loan in our AUM Mix .
Renish Bhuva: Okay. And secondly, on the disbursement side. So of course, you did mention about INR 20 crores to INR 25 crores of business loss due to a couple of reasons. But even if we look at, let us say, first 3 quarters of absolute run rate, which is between INR 1,150 crores to INR 1,200 crores. So what is happening here? I mean also when we calculate, it appears that the home loan disbursement is actually degrowing. I don't know. I mean, that's my estimate. So correct me if I'm wrong. But yes, so I just wanted to understand what is happening on the disbursement front and more importantly, on the actual disbursement front.
Manoj Viswanathan: See, overall disbursement growth is around 20%.
Renish Bhuva: That is YoY; I am looking at sequential numbers.
Manoj Viswanathan: Yes. So sequential numbers, as we mentioned, last 2 quarters have been slightly lower, last quarter or the Q3 specifically, we were expecting a number which was about maybe INR 25 crore to INR 30 crore higher, but that did not happen because of the stated reasons. If the number was INR 25 crore to INR 30 crore higher, it would have been a sequential growth of about 4% - 5%, which finally stood at about 1.5% , which we think should get corrected in the quarter or so.
Renish Bhuva: Okay. And any comment on the HL disbursement front.
Manoj Viswanathan: Yes. Like I said, our design is based on AUM growth. AUM growth of 30% plus is what we are targeting. To achieve an AUM growth of 30% plus, I think the disbursal growth is working out to around close to 20%. The HL growth will be maybe 16% - 17% and the LAP growth is maybe 23%-24% thereabouts, giving an average of about 19% to 20% disbursal growth. That will, in turn, give us an AUM growth of 30%. This is our design and this is the way the plan has been made for this year.
Renish Bhuva: Got it. And maybe if I can just squeeze in a last question on the asset yield side. Again, so circling back to the LAP product, as we are already seeing our LAP product growing from a 10% to 15% now and maybe another 2 years, it will reach 20%. Naturally, the self -employed segment contribution is also inching up. But somehow this is not getting reflected in the asset yield. So any comment o n that?
Manoj Viswanathan: Asset yield, we are trying to maintain it at about 13.5%. And I think what we will see is that in the next maybe a few quarters as the borrowing cost, hopefully, goes down, the asset yield will not go down to that extent .

Moderator: We will take our next question

from the line of Kunal Shah from Citigroup.
Kunal Shah: So when we look at it again on the yield side of it, so we increased the rates in August, but again, that's not reflecting in terms of the yields overall, maybe sequentially, when you look at it, that

is not reflected. And even balance transfer has gone up to upwards of 7 -odd percent. So any correlation with the increase in the rates, which have been there that it has led to a slightly higher balance transfer as well?
Manoj Viswanathan: No, we passed on only 35 basis points to a group of customers who have not actually gone through a rate increase previously. I would say there was no direct correlation between this minor uptick in balance transfers to the rate increase. Balance transfer fluctuates in that 6% to 8% range we have seen QoQ . It is largely external factors; how aggressive competitors are and so on and so forth and how effective our own internal retention methodology is going. At least in this case, balance transfer is not related to the 35 basis points increase that we carried out.
Kunal Shah: Okay. And this 35 basis points would be effective for what proportion of the AUM?
Manoj Viswanathan: We did the increase in August. So yes, for this quarter, there would be a full impact of the 35 basis points. But the 35-basis points increase was carried out only on a portion of the base. I think about 40% of the entire customer base.
Kunal Shah: Okay. And still yield is flat. And this would have been effective for full quarter of this -- full quarter of December. And secondly, in terms of the growth in MP and UP in particular, so these have been the newer geographies, we have seen that we have doubled the AUM over the past 7 to 8 quarters and now a sizable one at INR 800 crore – INR 900-odd crore . Do we expect to sustain a similar kind of growth rate looking at the branch presence as well as the district penetration? Or there is still a scope and this segment because a larger part of the growth is also being led by these two states.
So do we expect it to continue or there would be more investments required in these states to further at least maintain the momentum of 30% plus AUM growth?
Manoj Viswanathan: Yes. I think about a year ago, we mentioned that our new focus states would be MP, UP and Rajasthan because these are emerging states which have crossed a certain threshold of per capita income and are now showing signs of becoming large affordable housing markets. That thought and strategy remains. We continue to invest in these markets, and we want to obviously expand our market share in these new markets.
We have a much stronger presence in MP because we started there earlier and we have a much deeper presence. In UP, it will require more investment because currently, we are present only in 4 cities. So , we will require far more investment to penetrate UP, but UP is also a much more fragmented market, and we will do it in phases. But yes, we are definitely committed towards investing more in these markets and increasing our presence in these markets.
Kunal Shah: Okay. And just in terms of the rise in 1 + DPD, any trends across the geography, maybe in the core states of Gujarat, Maharashtra, Tamil Nadu, is it holding on relatively well? And rise which we have been seeing that is across the newer states. Is that the trend?
Manoj Viswanathan: No, there is no state -wise trend.

Kunal Shah: Okay. Okay. But no specific states as such, yes, high levels?
Manoj Viswanathan: No specific states as such. In the newer markets, Rajasthan, MP continue to do much better than the rest of India. And so, we do not have any concern as such.
Moderator: We will take our next question from the line of Nidhesh Jain from Investec.
Nidhesh J

ain: First question is on employee’s count. I observe that employee per branch has increased materially this quarter. So what is going there? And how do you see that number tracking going forward?
Manoj Viswanathan: The employee number moves depending upon the batches of employees who join. There would be a bunch of employees who would have joined in the quarter. The number goes up slightly, but kind of gets averaged out over the quarters. You should look at it on YoY because in some quarters, some months, there are more number of employees joining which eventually results in an increase in employee per branch in that specific month or the quarter.
Nidhesh Jain: Okay. Secondly, since we have now crossed INR10,000 crores of AUM. Is there any update on credit rating upgrade? What are the conversations with credit rating agencies that we are having?

Nutan Gaba Patwari: Nidhesh, as you would have seen, we are also thinking about enhancing the capital on the balance sheet. Once the capital is behind us, that would be an appropriate time to engage on this and take it to closure from the rating agency side. So , give or take, I would say, 6 -9 months for both the activities to get closed is a plan that we are working with.
Nidhesh Jain: Okay. The next question is on co -lending. Co -lending, the momentum that we are showing has been slowing down. And I think last quarter, we have one of the lowest co -lending disbursements. So , any reason for that?
Nutan Gaba Patwari: We had done 2 tie -ups, and we were progressing reasonably well. There have been some changes in the policy -related aspects. We are also working with a new partner at the moment. And hopefully, in another 2 quarters, we should be able to pull back the losses as well as show growth on this .
Nidhesh Jain: Okay. And as you think about next year, if we are planning 30% growth on AUM next year, then disbursement growth should also be upwards of 25%. So because the 20% disbursement growth continuing next year, probably we'll not be able to deliver 30% AUM growth. So how are we planning for that?
Manoj Viswanathan: Yes. The aim is to deliver, say, 27% to 30% AUM growth. Accordingly, we have planned the disbursals as well. The aim is to get the average disbursal per month to around INR 400 crores. Next year, we are looking to average close to INR 500 crores.
Nidhesh Jain: Okay. And last question is the count of active connectors in the quarter.
Manoj Viswanathan: Count is about 3,6 46 active connectors.

Nidhesh Jain: These are active during the quarter.
Manoj Viswanathan: Active during the quarter, yes.
Moderator: We will take our next question from the line of Shreepal Doshi from Equirus.
Shreepal Doshi: My first question was on this tightening of underwriting norms. So what parameters did we come across to sort of tighten the underwriting norms?
Manoj Viswanathan: . We have our own early warning signals and analysis of various portfolios, etc. Based on some inputs that we have got for certain products, we have tightened the norms, we have increased the number of filters in the process, to basically scrutinize it better and so that also results in a bit of slowdown in the disbursal for some period . And after that, it kind of comes back to normal.
Shreepal Doshi: Is it specific to any specific customer profile that we would have sort of seen in these trends?
Manoj Viswanathan: With certain products. We have products like self -construction, resale, apartments, et c. It is a combination of certain products, LTVs, type of properties, et c., quite nuanced. I do not want to go into the details at this point. But for certain categories, we have implemented certain extra filters and more exhaustive processes to clear the approval.
Shreepal Doshi: Got it. Okay. And sir, second question was the NHB borrowing related

. So we would have drawn down our borrowings from our sanction pool from NHB. So what is the rate of interest that we're able to get from NHB?
Nutan Gaba Patwari: Shreepal, it is broadly in line with where the banks are. It is not significantly different.
Shreepal Doshi: Okay. So the benefit is no more there in terms of the differential between the 2?
Nutan Gaba Patwari: For what we are getting now. This should change ideally once the rates go down. But as of now, yes, you are right, the difference is not significant.
Shreepal Doshi: Got it. The last question is on the branch expansion strategy. So , what would it be in FY26? And which states would we be targeting incrementally?
Manoj Viswanathan: Largely in a year, we try to target about 30 to 40 branches. A similar number will be there next year as well. And as I mentioned, our aim is to penetrate deeper into the 3 new emerging markets, which is UP, MP and Rajasthan. We would have a good proportion of branches coming up in those states. Of course, our core markets are also there where there are branches being added in existing locations. I would say broadly 50 -50 in terms of new markets versus existing markets.
Shreepal Doshi: Got it. And sir, just one follow -up there. In the existing market, are we focusing in the same Tier 1, Tier 2 locations? Or we would -- since there is -- we are trying to penetrate more, we would also look at Tier 3 and Tier 4 geographies.

Manoj Viswanathan: So there, again, the strategy is kind of 50 -50. 50% of the branch expansion happens or 40% happens in existing markets where we already have branches. Addition of new branches in a larger city. And about 50% of the branches get opened in new locations, new cities.
Moderator: We will take our next question from the line of Aravind R from Sundaram Alternates.

Aravind R: Congratulations on the good set of numbers. So , you mentioned about early warning signals that led to credit underwriting being tightened. I would like to understand what kind of early warning signals if you can give, please about like whether it is income levels growth is lower or higher leverage amon g the customers? Or is it like any particular cohort which is showing any like troubling signs?
Manoj Viswanathan: Yes. Generally, it is because of some early signals that we get on certain pools of portfolios. And, sometimes we get information from the market, say some other entity being impacted by something, etc. We pick up clues from those and then implement these changes.
Aravind R: So even though we do not see any issues in our portfolio, like we are seeing like customers similar to us, but being serviced by other lenders, there we are seeing some signs of...
Manoj Viswanathan: Both, yes. The occurrence in our portfolio is not significant enough to impact the portfolio. But there would be sporadic one -off instances that have happened somewhere, which give us clues or give us signals. Plus, like I said, we listen to things that have happened to others in the market as well.
Aravind R: And, do you see especially in the geographies we operate, like do you see any like either real income growth being impacted or higher leverage among the customers in the geographies we operate?
Manoj Viswanathan: No, we are not getting inputs from the ground teams related to this or they have not expressed any difficulty in collections because customers are over leveraged. So yes, as of now, nothing like that has percolated to us at this point.
Aravind R: Sure. And the fee income growth has been very good, even though the disbursement growth has been slightly lower. I would like to understand what is it being contributed by is it insurance brokerage, which is helping here or something else?
Nutan Gaba Patwari: We had started the entire insurance partnerships mid of last quarter. This

quarter, we've got the full benefit of that. That is what you see in the fee and commission line. This number is now a more stable number going ahead QoQ .
Aravind R: Can you like tell me what is the number like from insurance group?
Nutan Gaba Patwari: Around INR 15 crores to INR 18 crores per quarter.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital.

Raghav Garg: Congrats on your results. I just have one question. When I look at the longer -term trends on your gross Stage 3 ratio, right, since the FY '18, the ratio has always increased Y -o-Y, except maybe in FY '23 when it declined. And then I assume that this trend would feed into your PD and LGD calculations. But when I look at the trend on your Stage 3 coverage over last several quarters, right, say about 8, 10 quarters, the Stage 3 coverage has been coming down. Normally, I would think that because the trend has been adverse, the ratio , the coverage ratio should increase or at least not decline. So can you help me understand how to read this? That is the only question that I have.
Nutan Gaba Patwari: No problem. So , Raghav, when you look at the Stage 3 from FY18, like you mentioned, there are various things happening. We are discussing 7 years or 8 years. One, the Stage 3 calculation itself changed in Dec '21 when the RBI came up with the once NPA always NPA classification. So, the numbers prior to that are not like -for-like to that extent. That is one. In the new computation, you also have a large bucket sitting there, which is less than 90 DPD where you do not have to take a full provision, you have to take a part provision. That is another reason. The second reason is the composition of the book. When you calculate PD and LGD, you calculate based on your past performance. So , the PD portion, COVID times show a different outcome. And finally, the LGDs vary depending on your product. So , if you have an apartment product with a 90% LTV, your LGD is higher versus we have a LAP with a 30% LTV. S o, your LGDs are very different.
As we have been discussing all through the call today that the LAP has been increasing, the self - construction has been increasing, where the LGDs are very low because the LTVs are low to begin with. The mix or the weighted average LGD of the book has been coming down. And that is what is reflected in the provisions. This is the whole science behind these numbers. I hope this answers your question.
Moderator: We will take the next question from the line of Pavan Kumar from Ratna Traya Capital.
Pavan Kumar: I wanted to understand what is the kind of debt equity that we are looking forward, maybe 2 or 3 years hence since we are trying to raise money. And also this INR20,000 crores target by when we are trying to hit. And, are we comfortable lending in the current environment in terms of -- I am talking about in terms of almost doubling the book maybe next 2 to 3 years, how do we look at that overall? And any -- I mean, I just wanted to understand the rationale -- your rationale behind raising this new incremental?

Nutan Gaba Patwari: Yes, sure. INR 20,000 crores is a number that we are looking to hit by Mar'27. That is about 9 quarters from now. In terms of the debt equity, we are at 3.8 X - 3.9X depending on if you look at average or closing. Let us say, rating agencies are comfortable with 5 X. What we have done is to take an enabling resolution from the Board, which allow s us to raise this capital in the next 12 months such that depending on the advice from the investment banks, depending on the conversation with investors, we have enough time to take this money in. As far as lending in this environment is concerned, maybe I can request Manoj to share his views on that.

M

anoj Viswanathan: As we have been discussing, we are not seeing such a major adverse trend as far as lending is concerned, and we are not getting any such ground level feedback also from our teams. We are fairly optimistic in terms of our ability to grow and build market share in this affordable housing segment.
Pavan Kumar: Okay. One more thing, what do we think are the normalized BT out rates? Because in this quarter, I think there was a good amount of jump there.
Manoj Viswanathan: Yes, it moves between 6% to 8%. That is generally the range we have seen. The maximum that we have seen is 8%, I think, a couple a few quarters ago when there was a series of rate changes that were done or rate increases that were done. But broadly, it is in the 6% to 8% range. It should remain in that range only.
Pavan Kumar: I think we are planning to raise new money, would there be any chance of seeing the NIMs going higher? Or you would pass on whatever benefit we might get from the raising new money through decline in the NIMs?
Nutan Gaba Patwari: No, absolutely, the NIM will definitely go up and the ROA should also go up with the leverage coming down. I think the way to look at yield and cost of borrowing for this company is looking at spreads. The spreads will remain in the 5% to 5.25% range that we have been guiding all along. The outcome of NIM depends on how the balance sheet is structured from an equity perspective. That is just a calculation, and we will continue to keep guiding back to spreads as far as the business portfolio conversations are concerned.
Pavan Kumar: Okay. And have we looked at by when we can hit this current ROE back since we are raising the money?
Nutan Gaba Patwari: Once we raise the capital, just as a scenario discussion, let us say, 6 months' time, we are coming close to 17% ROE as we speak. We should go down to 15.5% and then aim to pick up back to 17%- 17.5% in about 8 to 10 quarters. An average 3 -year ROE for an investor should be in the 16% to 16.5% range. That is the model that we are looking to work with.
What we have done to arrive at this model is also important to discuss. We have looked at Bajaj Finance and Chola as an institution -- two institutions for the last 20 years to 25 years and how they have managed their growth and how they have come to the market and raise d capital every 3 to 4 years, broadly speaking. And that is the model we hope to work with.
Moderator: We'll take our next question from the line of Krishnan ASV from HDFC Securities.
Krishnan ASV: A couple of things. One, there was something you mentioned about having seen a spike, about a 30-bps spike as far as your 30 DPDs are concerned. I just wanted to understand what are you hearing from the ground in terms of what are the reasons why people are defaulting? Is it cash flow? I s it seasonality in cash flows?
Is it because there is leverage building up elsewhere? Because you seem to indicate that's not what you're hearing. But I just wanted to understand when you have these conversations on

ground, what are your -- especially because you also said in terms of the hierarchy of repayment, this will be really up top. So just throw some light on what insights you are gearing to on ground.
Manoj Viswanathan: Generally, the reasons our customers default is mismatches in cash flows. Somebody has not got a salary for a month, and they will get it in the next month or they are between jobs. So that month, the cash flow is a bit impacted. Or there are some emergency expenses that have come up, school fees time or there is a medical expense, etc. Generally, these are the reasons customers delay. What we normally see in the one DPD or let us say, between 0 to 60 days kind of a default is largely because of these cash mismatch or cash flow mismatch reasons.
Beyond 60 days, of course, ther

e could be more serious reasons like a permanent impact to the income, a permanent impact to life, et c. These are generally the reasons our customer’s default.

But like I said, of late since this whole macro issue has started happening, our teams have still not come back and said that customers are over -leveraged or overburdened with existing EMIs, hence they are not able to pay, et c. That kind of anecdotal information or anecdotal news is not something that has come to us.
Krishnan ASV: Understood. The other question I had was around LAP, given that, that is incrementally a segment where you are likely to build more presence and you take the share up from 15% to 20% that will grow faster than the rest of your home loan book. How is the competitive dynamics, especially in the geographies where you are targeting to grow your LAP portfolio?
Manoj Viswanathan: LAP, because of our limited presence in LAP and lower share of LAP, actually, first of all, our performance on LAP is very good. The repayment track record on LAP has been very good. Also, for us to incrementally change that ratio from 15% to 20% is not a big deal because we are operating on a low base. And I think because many of the players in the market have already maxed out their capacity, we are still in a position to kind of pick and choose our customers.
Moderator: We will take our next question from the line of Shailesh Kanani from Centrum Broking.
Shailesh Kanani: My other questions are answered. Just one question, Manoj. In earlier calls, we always have guided for growth AUM growth of 30% plus. Did I hear you correctly when you said 27% to 30%? Are we lowering the guidance on the AUM growth plan?
Manoj Viswanathan: The plan that we mentioned, which is the INR 20,000 crores plan as of FY27, that actually works out to between 27% to 30% growth for this period between FY24 to FY27.
Shailesh Kanani: It was not more particular FY '26 per se. It was in general for next 2 years.
Manoj Viswanathan: Yes, next 2 to 3 years average from that perspective, is how I mentioned.
Shailesh Kanani: Okay. Sir, just one more thing on disbursement end, earlier we had guided that we are ramping up the capacity with the addition of branches and employees. We were expecting somewhere in the range of INR 2,500 crores to INR 3,000 crores of disbursements in the second half. That guidance still holds or that is going to be revised downwards considering the macro environment?

Manoj Viswanathan: Our target for the year was about INR 4,800 crores. We are broadly on track .
Moderator: Next question is from the line of Chinmay Nema from Prescient (check spelling) Capital.
Chinmay Nema: Just wanted some colo ur on the asset quality of the co -lending book and the direct assignment side, if you could share the Stage 3 numbers for the same?
Nutan Gaba Patwari: Co-lending book is fairly new. I do not think there is any meaningful Stage 3 sitting there. Assignment, we have been doing for a long period of time, it will be way below our own balance sheet numbers, probably 2/3 rd of where our current own balance sheet numbers are, broadly speaking.
Chinmay Nema: Got it. So, the Stage 3 number is lower than that of what we have on our book. Is that understanding, correct?
Nutan Gaba Patwari: That is right.
Chinmay Nema: Got it. And on the SMA side, behaviourally , do you see something different on these books compared to what we have on our books?
Nutan Gaba Patwari: Look, the co -lending book works within a product that we have decided together with the bank, which arguably could be slightly better in terms of profile.
Manoj Viswanathan: By design, the co -lending book should perform better. I mean it is still early days for us to reach a conclusion. And, as of now, the delinquencies are very low there. But by design, because

these
are formal customers and with a higher income bracket and higher ticket size , ideally, they should perform better than the core affordable housing or traditional affordable housing portfolios. But it is still early days to reach that conclusion .
And same for the assignment book because assignment happens after a certain minimum holding period during which the repayment track is observed and then the assignment is done. So , it is generally marginally better than the affordable housing portfolio.
Chinmay Nema: Got it, sir. And secondly, just wanted to understand what is the right vintage to look at in terms of assessing the gross NPA. So typically, after how many months do they peak out on average or in general?
Manoj Viswanathan: They peak out after 36 to 42 months.
Moderator: Next question is from the line of Hardik Doshi from White Whale Partners.
Hardik Doshi: So, I just wanted to ask a bit of a longer -term question. You have given the target of INR 20,000 crore . Once you get to that kind of a scale in the affordable housing growth can get challenging, just looking at other companies within the affordable housing space that have got that scale. How are you thinking beyond FY 27, let's say, FY 27 to FY 30, would you look to diversify into other products? Or what is the plan?

Manoj Viswanathan: We are working on a long -term strategic plan. We do a 3 -year kind of a plan and discuss with the Board. Like you very rightly said, yes, we have to relook at what the product mix will be and certain other strategies, et c. It is s till in discussion stage, but broadly, we are looking at an INR 35,000 crores kind of a number by 2030.
Hardik Doshi: INR 35,000 by 2030. And that will include I guess, introduction of new products?
Manoj Viswanathan: Yes. Broadly, without getting into too much detail, there will be higher share of co -lending compared to what we are talking about now. Slightly higher share of LAP and slightly higher share of co -lending is the way I would put it right now.
Moderator: We will move on to the next question from the line of Jatin Sangwan from Burman Capital.
Jatin Sangwan: My question is around co -lending. If I look at co -lending transactions, they once reached 7% to 8% of disbursements. Now they are back to 2.5% to 3% of disbursements, and they are continuously falling down sequentially. So, are there any issues that we are facing with the current partner? And when do we expect the co -lending transactions to pick up?
Manoj Viswanathan: Yes. Co -lending we have to work with the banks and with the partner lending banks, there are always some push and pull in terms of their product policies and changes -- it's not just our changes. They also change their product policies from time to time. That impacts the volume from time to time. But these are hiccups that will be there, and we will handle them out and we will again pick up the volumes.
Jatin Sangwan: Okay. And just one bookkeeping question. Our effective tax rate in this quarter was around 25%. So, what actually would be our effective tax rate going forward for the next year?
Nutan Gaba Patwari: Just to cover the reason behind the higher tax rate, as we discussed that there is an insurance commission, which is higher. So , as the non -housing linked income goes higher, the exemption that we get on maintaining the provisions for NHB also reduces. When you do all these calculations going forward, we expect this to be around 24.5%.
Moderator: Next question is from the line of Jignesh Shial from InCred Research.
Jignesh Shial: Sorry, I logged in a little late. So, in case if I am asking the same question again. But my first question is more on margins. If I see it, our spreads have basically have seen a decline of roughly around 10 bps sequentially, but there is a higher dip in margins. So

, anything that I'm missing out here? What could be the reason for it? That is one.
And second, obviously, though we are aspiring to grow pretty decently, 27% - 30% you're talking about next 2 to 3 years and raising money and all. But technically, our disbursement has remained more or less flat if I see last 3 quarters. So , anything that we are getting concerned about or any specific reasons for it? That is the second.
And third, obviously, you highlighted that basically, the primary reason you are still not seeing over-leveraging for the NPAs, but bounces have seen a sequential kind of a rise. Still, you are

seeing it is only because of shortage of liquidity or shortage of cash flow that is causing it, and you are still not seeing anything different than this. So , I still want to get a little bit more color on it that what could be the reason behind it? These are my three questions.
Manoj Viswanathan: Yes. Take the first question on margin. The NIM compression of 24 basis points, I think you are referring to. It has multiple components. Part of it is leverage increase. 4.8% going up to 4.9%, partly because of cost of borrowing. Broadly, you can divide it into 3 parts. About 7 to 8 basis points each. There is a cost of borrowing impact, there is a n actual yield compression of about 7 basis points - 8 basis points and the cost of borrowing movement of about 8 basis points to 10 basis points. That is the reason for the 24-basis points movement.
On the disbursal, like I said, the first half is something that we were very pleased with because first quarter, we actually had a much higher jump in disbursals compared to previous years. The first quarter is generally muted, but this time, the first qua rter was good. We had about 5% QoQ jump in disbursals compared to the last quarter of last year. And as a result of which Q2 was a bit muted because already Q1, there was a jump.
Q3, of course, as we already admitted that we have done some changes, and there was an impact of about INR 30 crores - INR 40 crores, which would get rectified in the coming quarter. So , nothing which is long term. It would be, I would say, just a temporary blip, and we should be on track as far as disbursals are concerned.
As far as delinquencies are concerned, again, we are really not seeing any structural issue on the ground. Collections, if we actually track day -to-day daily collections throughout the month and how the collection is moving every month, we are not seeing a ny difference i n the way customers

are paying.
And we are still getting the same kind of traction across months. I mean collection in January is as good as any other previous month. The slight movement in delinquency happens because maybe a few extra customers do not pay at the end of the quarter or end of the month. But otherwise, structurally, we are really not seeing any stress at all.
Jignesh Shial: Okay. Understood. Look, I mean, on disbursement, firstly, what you are highlighting that obviously, 1Q, you have seen the jump and then second and third quarter have been more or less flat. Even if I see for your 9 months, I am just purely adding up last 3 quarters and then comparing it with FY '24, our growth had been muted. Generally , we tend to grow in the range of somewhere around 30% plus.
But if you see it, it is somewhere in 22% - 23%, if I see it up correctly. So , do you think so by the year -end, we will be going back to 30% kind of a disbursement growth number? Or do you think this will be the similar range where we will be growing for this particular financial year.
And then again, we can see a rise probably next year? That is one.
On asset quality, if you can just give me a color on the defaults, what we are seeing. Is it coming up more from the new geographies, which is -- which we have built in or it is still f

rom our old

markets where we had a significant stronger presence like Western states and not? A little bit more color on it, if you can give.
Manoj Viswanathan: Yes. As I said, we are not seeing any state -specific problem or state -specific issue. For us, generally, because we are fairly diversified across states. If you see states, our distribution of AUM is between 5% to 15% across 1 3 states & UT . And only one state, Gujarat actually contributes to about 30%. So , we do not have any concentration. It is fairly diversified presence.
We do not really have a state -specific issue at this point. It is largely there are sporadic or isolated branches in certain states which give trouble. So , there is really no state-specific issue that is there at this point of time.
Jignesh Shial: Coming from the new book more compared to the older book or any vintage, if you can give color on that. Old book and new book also.
Manoj Viswanathan: Yes, vintages are actually holding. The trends are the same, which is why you are seeing our GNPA trends are also fairly static. See, our growth has been around 30% consistently for the last 16 quarters. And the GNPA has also been in that 1.6% to 1.8% range for the last 16 quarters.
Vintage -wise, there is really no change that we are seeing. And as far as the disbursal is concerned, the design is for a 30% AUM growth. So , the disbursal growth will be slightly lower, maybe between 20% to 25%.
Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.
Ravi Naredi: You and your team doing fantastic. Insurance commission income is also fantastic and you have started new one. Sir, what is the cost of connectors to Home First as a whole? Can you tell that figure?
Manoj Viswanathan: The cost of paying the connectors?
Ravi Naredi: Yes, yes, yes.
Manoj Viswanathan: We pay about 0.4% to 0.5% of the disbursed amount to the connectors.
Ravi Naredi: 0.4% to 0.5%. And can you give in 9 months, how much we charge the bad debts from profit and loss account? And how many homes we auctioned in 9 months?
Manoj Viswanathan: Sorry, sir, what was the first question? Write off.
Ravi Naredi: How much is the write -off from profit and loss account? And how many homes we auctioned?
Manoj Viswanathan: Yes. Write-off was about INR8 crores in the first 9 months. About 711 accounts have been written -off incl for shorter recoveries .
Ravi Naredi: Okay. Sir, a last one, ECB borrowing, we are hedging foreign currency and it is, okay, how much borrowing cost we assume to company?

Nutan Gaba Patwari: The ECB that we have is hedged fully for currency and for interest rate fluctuations at the moment. The current landed cost of borrowing to the company is slightly lower than where the banks are.
Moderator: We take the next question from the line of Divyansh Gupta from Latent Advisors LLP.
Divyansh Gupta: A question that someone also had asked. So the trend for Stage 3 ECL coming down. It was mentioned that the LGD is coming down because the LTVs are coming down, right?
Nutan Gaba Patwari: Because the mix is improving towards lower LTV loans.

Divyansh Gupta: But if I see the investor presentation and LTV on book, I see the LTVs are going up. If I see Q1
of FY22 LTV on live book was 47.4% , in Mar'23 it was 45.7% and we are currently at 47.1% .
So, let us say, for last 1.5 years or 8 quarters, the LTV has been going up. So , I could not get
that relation of how we are seeing that LGD is going low because LTV is going low?
Nutan Gaba Patwari: No. When you actually look at the LGD, you have to look at the LGD on the losses that you've
actually incurred, not what is on your book. So , when you have a higher proportion, naturally
speaking your losses wil

l be higher from your higher LTV book. And that is what is already
coming through the LGD calculation.
Divyansh Gupta: So, I didn't get. So , you are saying that the loans that were given earlier were of a lower LTV
and they are going into NPAs and therefore, their LGD is going down?
Nutan Gaba Patwari: No. Let us look at that time period and then you should be able to appreciate the point better.
Let me say 5 years ago, if I had only 3 products, and I was doing apartments, self -construction
and LAP and the mix was 50 -30-20, right? And that mix has changed today to, say, 30, 40 and
30, right? There is a change in mix. But what will come through my LGD calculations is that I
incur higher losses in the past than today because the LGD book has a different mix compared
to the book that I am seeing in the portfolio.
Divyansh Gupta: So, it's no more -- it's not only LTV, but it's also, let's say, the change of collateral mix is what
you are saying?
Nutan Gaba Patwari: And many other factors. Yes.
Divyansh Gupta: Got it. And that you give an example, but if you can just, let us say, give me with the concrete
view that, let's say, what has changed because the LTV is not the reason.
So then what is the actual change that we have seen that we are giving more apartments, we are
doing more self -construction.
Nutan Gaba Patwari: We are doing more self-construction . We are doing more LAP.
Divyansh Gupta: LAP typically has a higher NPA is what I understand, they have a lower LTV.
Manoj Viswanathan: Higher NPA but lower LGD. LTV is low. The LTV is low. So , we recover the entire amount.

Divyansh Gupta: Got it. Understood. And the second was on Stage 1 ECL. So Stage 1 ECL is basically saying
that in the next 12 months, what we see as loans which will go into NPAs? Now if, let's say, we
say that economies and more stress and whatever the narratives are bei ng mentioned. Then
ideally our Stage 1 ECL rates should go up. But if I see, let's say, from first quarter of Mar '25,
well, let's say, or even, Mar'24, third quarter -- FY24, third quarter, it was 0.27%. It has come
down to 0.24%.
Nutan Gaba Patwari: It has come down. The reason for it to come down is we used to have a lot of overlay on Stage
1. What we have done through COVID is to take a significant amount of overlay. And we would
take it in particular cohorts of customer, irrespective of the stages they were sitting in. So , you
would see a higher provision in Stage 1 as well. But as better times have prevailed in the last
quarter of last financial year, first quarter of this financial year and now.
There, our Stage 1 performance has improved in terms of the flow rates. Our auditors are of the
view that they should reflect entirely from what is coming from the model. And overlays on
Stage 1 is something that they are not comfortable with. So , we have moved away from the
overlay on Stage 1, which we were carrying in the past to either Stage 2 or Stage 3 or rather
reduce the overlay and trying to build the ECL through the model directly.
Divyansh Gupta: Got it. And what would be the reason for volatility in Stage 2 ECL, 7.85% in first quarter, 10.1%,
9.6%, just others are directionally going down in Stage 2 is swinging?
Nutan Gaba Patwari: Between Q1 to Q2, there has been a change in the discounting assumptions that we took in Q1
to Q2. And Q2 to Q3 is a reflection just of the higher base of Stage 2 loans. This should go back
to where it was in Q2 over time.
Divyansh Gupta: And just a couple of more questions. So the QIP amount that we are raising, INR1,250 crores,
whenever we raise, it is for what period of time from our visibility. Is it let's say, 3 years, as you
mentioned for Chola or Bajaj, or is it like more longer?
Nutan Gaba Patwari: 3 to 4 years.
Divyansh Gupta: 3 to 4 years. Got it. Understood. And what woul

d be the current FOIR for our fresh
disbursements.
Nutan Gaba Patwari: 40%.
Divyansh Gupta: 40%. And this, I am assuming is coming down
Nutan Gaba Patwari: No. This is held pretty much constant.
Moderator: The next question is from the line of Pavan Kumar from RatnaTraya Capital.
Pavan Kumar: I just wanted to understand in co -lending specifically, what is the kind of portion of the book we

plan to retain? And are the yields on the co -lending book higher than what we actually do in our own book? How does that work? And do we also plan to introdu ce -- I understand we have

currently 2 or 3 partners. Any targets on the number of partners we intend going forward, anything of that nature?

Manoj Viswanathan: Co-lending book, basically 20% of the loan we retain and 80% of the loan is passed on to the co-lending partner. The margin on the entire loan generally tends to be around between 1% to 1.5%. For example, the rate on a co -lending loan will be around 10%, which will give us about 1% to 1.25% margin because our cost of borrowing is, let us say, 8.5% or 8.75% on the co -lending piece.

So, 1.25% is what we earn. But we earn the 1.25% on the entire loan, whereas only 20% of the loan sits with us. So effectively, we get a multiplier effect on the 1% or 1.25% that we are earning. That is how the co -lending piece works.

As far as partners are concerned, we already have two partners, and we are working with the third one. We do not have a target in terms of number of partners. We want to make sure that whichever partners we are working with, we have a substantial share and share of business going with them.

Pavan Kumar: Most of these partners which we would target would be the PSVs or I mean, is there any specific preference in that particular nature?

Manoj Viswanathan: Yes, we have two PS Us and one private bank.

Moderator: As there are no further questions from the participants, I now hand the conference over to Mr. Manoj Viswanathan for closing comments. Over to you, sir.

Manoj Viswanathan: Thank you, everyone, for participating and engaging in the call. We hope we have been able to answer all the questions to your satisfaction. In case you want to reach out for further questions, you can reach out to Deepak Khetan or write to us on investor.relations@homefirstindia.com . Thank you very much.

Moderator: Thank you. On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

HFFCIL/BSE/NSE/EQ/1 6/2025-26 Date: 08-05-2025
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai - 400 051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 202 5

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 202 5 conducted on May 2, 202 5 for your information and records. The Company had referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company: www.homefirstindia.com

This is for your information and record.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

"Hom e First Fina nce Company India Limited
Q4 & FY25 Earnings Conference Call"
May 02, 202 5

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MANAGEMENT : MR. MANOJ VISWANATHAN – MD & CEO
MS. NUTAN GABA PATWARI – CFO
MR. DEEPAK KHETAN – HEAD, INVESTOR RELATIONS

This document is a transcription of the conference call conducted on 2nd May, 202 5. Click here to listen to the original audio.

Moderator: Ladies and gentlemen, good day, and welcome to the Home First Finance Company India Limited Q4 and FY25 Earnings Conference Call . As a reminder, all participant line will be in listen only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " * " then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Deepak Khetan, Head Investor Relations of Home First Finance Company India Limited. Thank you, and over to you, sir.

Deepak Khetan: Thank you, Sejal. Good afternoon, everyone. Welcome to Home First Finance Company's earnings conference call to discuss the financial results for the quarter and financial year ended March 31, 2025. We hope you have had the chance to review our investor presentation and press release, both of which are available on our website and stock exchanges . Additionally, we have uploaded an excel fact sheet containing historical data on our website for your easy reference. From the management today, we have Mr. Manoj Viswanathan, Managing Director and Chief Executive Officer; Ms. Nutan Gaba Patwari, Chief Financial Officer. With that, I now invite Mr. Manoj Viswanathan to share his insight on our overall performance. Over to you, sir.

Manoj Viswanathan: Thank you, Deepak. Good afternoon, everyone, and thank you for joining us today. Before diving into our business performance, I would like to touch upon a significant strategic milestone that we recently achieved. During our previous call, we mentioned about the enabling resolution by the Board to raise fresh equity. In April 2025, we successfully raised Rs. 1,250 crores through a qualified institutional placement, issuing 1.3 crore equity shares to market institutional investors, details of which are available on our website and exchanges. The overwhelming response to our QIP reflects the market's strong conf idence in our vision, business model and execution capability. This capital infusion will enable us to accelerate network expansi on, enhance operational capabilities and seize emerging opportunities in the affordable housing space.

Coming back to the business. We are absolutely delighted to share that FY25 has been another year of strong and consistent performance for Home First, marked by robust growth, our operational excellence and strategic execution. Let me walk you through some highlights.

• Our assets under management grew to Rs. 12,713 crores, registering a 31.1% yoy and 6.4% qoq increase while delivering a PAT of Rs 382 crores with an ROE of 16.5% for the full year 2025. We touched an ROE of 17% in Q4 FY25.
• Our disbursements for FY25 stood at Rs. 4,805 crores, up 21.2% yoy, in line with our guidance for the year. For the quarter, disbursements grew notably up by 6.7% qoq.
• Business growth is driven by expansion and distribution strength in large affordable housing markets. During the fiscal 2025, we further expanded our network, adding 40 touch points, including 22 branches. This added our reach to 10 more districts within our 13 states and emerging territory. As of March 2025, our total touch points stand at 361 with 155 branches. As we expand our operations, we also added a net of 385 employees during the fiscal 2025 taking the total employee strength to 1,634.
• Importantly, despite the continued rise in the MCLR of banks we were able to leverage our strong balance sheet and well diversified borrowing mix to maintain a competitive cost of borrowing (ex-colending) of 8.4% for the fiscal 2025. Our borrowings stood at Rs. 9,551 crores as of March 2025, and we are carrying a solid liquidity buffer of Rs. 2,468 crores.
• Our asset quality remains resilient with sequential improvement in early delinquencies.
o 1+ DPD improved to 4.5%, which is a decline of 30 bps on a qoq basis.
o 30+ DPD improved to 3.3%, which is a decline of 10 bps on a qoq basis.

o Gross Stage 3 assets remained stable at 1.7%.
o Our credit costs continue to be contained at around 30 bps. We maintain our conservative annual credit cost guidance of 30 to 40 bps.
• Now turning to technology, which continues to give us a competitive edge.
o Today, 75% of our sanctions are being facilitated by the account aggregator framework.
o 80% of our loans are digitally ful

filled through the agreements in E -NACH mandates.
o And 96% of our customers are registered on our mobile app with 88% of service requests being raised digitally.
• On the regulatory front, environment continues to be supportive, with two back -to-back rate cuts of 25 basis points each by the RB I and clear policy focus on promoting liquidity growth and governance, the conditions arise for strong momentum in housing demand.
• Finally, I am thrilled to share that our ESG journey is accelerating. We expanded our

Green Home initiative during the year with 120 homes certified as of March 2025.
ESG efforts are being acknowledged and appreciated by independent global agencies in the form of high ESG scores – 46 by S&P Global for 2024 and 16.2 by Morningstar Sustainalytics indicating “low risk ”.
All in all, it has been another exciting year. India's housing story is only getting started, and Home First is uniquely positioned to lead this transformation.
With that, I may now hand it over to Ms. Nutan Gaba Patwari to take you through the financials in a little more detail. Over to you, Nutan.
Nutan Gaba Patwari: Thank you, Manoj. Good afternoon, everyone.
Let us start with the key financial metrics :
• Total income for the year stood at Rs. 1,539 crores, up 33.1% yoy and our profit after tax increased by 25% to Rs 382 crores. This translates into a very healthy return on assets of 3.5% and ROE of 16.5%. For the quarter, we crossed Rs. 100 crore profit as we posted a net profit of Rs. 105 crores with ROE of 17% demonstrating that even as we grow, we continue to deliver on profitability.
• For Q4 FY25 , our spread, excluding co -lending, is at 5.1% . Our cost of borrowing, excluding co-lending , is maintained at 8.4%. Net interest margin for Q4 was at 5.1%. It expanded by 20 bps on a qoq basis, driven largely by better liquidity management.
• Operating expenses to assets was at 2.7% for the quarter, in line with our expectations.

Moving to provisions and asset quality :
• Credit cost for Q4 and for the year stood at 30 basis points. We continue to maintain our conservative medium -term credit cost guidance of 30 to 40 bps.

• We continue to adopt a conservative approach to provisioning, maintaining a provision overlay above ECL requirements. As of March 2025, our total provision coverage ratio is 46.6% as against 50.9% as of March 2024.
Moving to balance sheet and capital position
• Our balance sheet remains robust providing a solid foundation to support the company's growth plans. Our borrowing profile continues to be well diversified and cost-effective, reflecting our prudent financial management. 60% of borrowing comes from public and private sector banks, 16% from NHB, 17% co -lending, and balance from NCDs, ECBs and NBFC.
• As part of our liquidity management strategy, we executed direct assignment transaction worth Rs. 230 crores during the quarter. We continue to focus on co - lending business and are looking to scale with newer partner. We aim to take co - lending contribution to 10% of disbursements as we scale .
• Our cost of borrowing is competitive at 8.4%, enabling us to maintain our spreads. Our current rating is AA - from leading rating agencies.
Coming to capital adequacy and liquidity
• As of March 2025, prior to April QIP, our capital adequacy stands at 32.8% with Tier 1 at 32.4%. As of the end of fiscal year 2025, our networ th stands at Rs. 2,521 crores, with book value (BVPS) of Rs. 280, reflecting a strong capital position.
• The capital position looks very robust post the QIP. I would like to highlight some proforma key numbers . Given our enlarged equity base post the capital infusion, our proforma leverage has come down to 3.3x. Proforma capital adequacy (CRAR) post capital raise will be 51% and a net worth of Rs. 3,751 crores.
To summarize, o

ur financial position is extremely strong. Our balance sheet is well capitalized, and we are sharply focused on scaling profitability while maintaining high asset quality.
With that, we conclude our opening remarks, and now happy to take your questions.
Moderator: The first question is from the line of Renish from ICICI Securities.
Renish : Congrat s on a great set of numbers Manoj and Nutan . Also, congrats for successful QIP. Just two things. One on the spread side . So, when we look at the incremental spread and when we look at the last 4 quarters, spread is declining. So how confident we are that we will be able to sustain this 5% to 5.25% of a medium -term range when it comes to spreads?
Manoj Viswanathan: Renish, if you look at the book spreads, we are above the 5% mark. And we have always maintained that we run a fully floating rate book. So , depending upon how the cost of borrowings is moving , we will transmit difference to the customer. Of course, now we are kind of entering a declining interest rate situation. That is why we have not really embarked on any increase in

rate. So , the trend should reverse and the margin should be maintained on the book. That is how we are looking at it.

Renish : So basically, we don't foresee any pressure on spread from this level? I mean, is that a fair assumption with lower end of the guidance is at 5% ?
Manoj Viswanathan: Correct. 5% plus we should be able to maintain because it is a floating rate book. If we are going below 5%, we will transmit that difference to the customer.
Nutan Gaba Patwari: Renish, just to be clear, the guidance is on spread excluding co -lending book.
Renish : Yes, but then that is only 10 basis points of difference . Right?
Nutan Gaba Patwari: Our expectation is that we will be able to hold on to the cost of borrowing moving ahead. So , we are comfortable with that 5% plus guidance on the spread, excluding co -lending.
Renish : Got it. And just a hypothetical situation . Let us say if there is no rate -cut cycle , how do you see the asset yield moving just from a competitive perspective?
Manoj Viswanathan: Asset yields w ill largely hold in the 13.5% kind of a range . 13% to 13.5% we normally maintain the yields . You are talking about the incremental origination yield?
Renish : Yes.
Manoj Viswanathan: We should be able to maintain it at that level.
Renish : Okay. And the LAP mix, how should it pan out over the next couple of years?
Manoj Viswanathan: LAP mix broadly will end up in 15% to 20% range . 15% is the current share of AUM while share of disbursal is slightly higher at 16%-17%. That catch -up is something which we have already communicated that over the next 5 years, it can move up from 15% to 20%.
Renish : Okay. And lastly, on PCR on the stage 3 . Last year we were close to 30% . Now, we are close to 25%. So , how one should read this data point on the PCR?
Nutan Gaba Patwari: Renish, it is essentially an outcome from the ECL model. The only way to read is that the credit cost is improving. And the resultant requirement of provisioning on the book is now coming at around 25%.
Renish : And how often we refresh our ECL ? On annual basis?
Nutan Gaba Patwari : Every year . Yes. Every March, we do the full activity of refresh. We have just done this exercise in the last 2 - 3 months.
Renish : Okay. And just to clarify, on Stage 1, we will be using 12 months rolling database . Right?
Nutan Gaba Patwari : On Stage 1, we use 12 months probability of default . But the data that is used is from business to date. For additional comfort, we have just had new auditors this time, as we know that auditors have to rotate every 3 years. This is BSR's first audit, and they have done a full detailed verification of the ECL model. And as you can see, there is no meaningful change to what we were doing in the past.

Moderator: The next question is from the line of Abhijit Tibrewal from Motilal Oswal Financial Services Limited.
Abhijit Tibrewal: Congratulations on a good quarter. I am just nit-picking . I just wanted to understand bounce rates have inched up a little bit sequentially, though it came down again in April. Also , when we look at the asset quality – GS3, for last 7 quarters , has been in that 1.7% range. I would admit we are seeing shades of this in other product segments as well given how the economy was . I am just trying to understand, today, are there any customer segments, some cohorts or maybe geography -wise where you are seeing some stress which is actually leading to this? Or is it just pure weak macro, which is leading us where we are today in terms of collections or asset quality?
Manoj Viswanathan: No. As we have mentioned in the past, we cannot read too much into the bounce rate because that is just the data immediately after the first presentation. A large percentage of customers actually make the payments immediately after the bounce. If you see our early delinquencies has actually compressed this quarter. Even in spite of the bounce rate being a little high last quarter, you can see that the early delinquencies have come down.
The 1 + delinquency has come down to 4.5% ; there is 30 basis point reduction. And even 30 -day past due has come down by 10 basis points. I would say we are not seeing anything other than what you are seeing on the asset quality. There is nothing which we are reading from the ground level data that we are getti ng.
Abhijit Tibrewal: Got it. So basically, bounce is more like some behaviour al change that has happened in customers and which is where maybe they bounce when the NACH mandate is presented, but they pay up later when they follow.

Nutan Gaba Patwari: That's right.
Manoj Viswanathan: Correct.
Abhijit Tibrewal: The second question that I had was for Nutan . This is more on the cost of the borrowing trajectory in th e upcoming financial year, let us say, with a 75 to 100 basis points cumulative rate cut – what is the benefit that we are going to see in our cost of borrowings? The related question here is – now that we have already seen 50 basis points, have there been any changes in our PLR? Lastly, how are we thinking about margins in this year?
Nutan Gaba Patwari: Abhijit, I'll try to go in the sequential order. Assuming a 100 basis points cumulative rate cut . What we have observed , generally , is that there's a 60% transmission if we take a very long -term 10-year data. But the transmission takes about 12 months to happen. So , by now, 50 basis points has happened and another 50 basis points for this conversation , gives us a bout 60 basis points, but it will take cumulatively 12 months to come through on the bank borrowing s. Logically speaking, it sh ould also happen on the repo book and other EBLR book as well. That is the answer to your first question.
On PLR, no changes have been made. What benefit has come through thus far is that if you remember, our projection was 8 .5% for Q4 and we have been able to hold it at 8 .4%. So, we

have been able to actually hold the cost of borrowing flat for quarters despite the MCLR creep up because there are some shorter tenures linked lines, which are getting repriced downwards.
Moving to margins. I think before margins, spreads are important. Spre ad is going to be in that 5% to 5.25% range that we have guided. Margin is an outcome of equity . Because we have just had an equity raise. The margins will expand for next few quarters . As leverage starts to pick up, 6 - 8 quarters out, we will see compression on margin. So , the right number would be to look at spreads of 5 %+.
Abhijit Tibrew

al: Now that the equity raise is complete, have we or are we at least thinking about engaging with the credit rating agencies once again? And lastly, Manoj ! From what we picked up from other housing finance companies during this quarter is maybe in the month of March, the PSU banks were a little aggressive in mortgages, but we have not really seen that kind of a competitive intensity from the private banks just yet. If you could just briefly give some colo ur on how the competitive intensity has been ?
Nutan Gaba Patwari: The credit rating agencies, yes, we have started doing some work because the results have just got signed yesterday. We are hopeful that in the next few months, let us put a 6 -month time line to this , that we should be able to see initial signs of a credit rating upgrade. From my conversation with the banks, you're right, private sector banks are not so focused today on mortgage. In fact, there's a significant sell -down of book from their side on the s ecured side. From a more on -ground m arket feedback, I will just hand over to Manoj to walk you through.
Manoj Viswanathan: Yes. On-ground feedback, I think , news in the market is that the private banks are slightly less excited about mortgage, but there is more activity amongst the nationalized banks. And of course, the larger HFCs are also quite active.
Moderator: The next question is from the line of Raghav Garg from Ambit Capital.
Raghav Garg: Congrats on the quarter and capital raise. I have three questions. One is on the employee part . You hired a lot of people in FY25. The employee base is up some 31%. This is highest growth in any of the last 4 to 5 years. What are your hiring plans for FY26? Will you continue at this rate or will the hiring tone down materially compare d to 31% growth rate in FY25?
Let me also ask my second question, which is connected to the first one. Historically, you have not seen such a dip in 4Q employee base. This time, it is around 4% lower quarter -on-quarter. I understand that employee attrition has been a challenge for the sector in general. In this backdrop, how was attrition in F Y25 and what do you expect for F Y26 on the attrition part?
Nutan Gaba Patwari: On the employee part, yes, in absolute terms, the increase has been close to 400 employees. This is representative of our branch growth and our overall scale. The right way to calculate and forecast this will be about 10 to 11 employees per branch at an orga nization level. Actuals will be split between head office and branch. But from a modelling perspective, 10 to 11 employees per branch is what you should look at.
Attrition for last year is 30%. It will be disclosed in our annual report, which we will publish shortly. YoY attrition has come down by 2% to 3%.

Manoj Viswanathan: I think you are looking at Q4 over Q3 and why the number of employees has gone down. That is largely because the hiring gets bunched up. In Q1 there would be a large influx of employees and in Q4 , normally, there is no such influx of additional employees because we largely do campus hiring. The campus season or the hiring season ends in March and then people start joining from April. The number of people joining in the last quarter is a little less. So, the attrition catches up and there is a reduction in employee base in the last quarter.

Raghav Garg: And you expect that attrition would continue to come down even in FY26 ? Is that the expectation right now?

Manoj Viswanathan: Between FY24 and FY25 attrition movement is just 2 % to 3%. Broadly, we think the attrition in this segment remains at this level only. 25% to 30% attrition is something that is kind of par for the course in our business.

Raghav Garg: Okay. If you look at some of the data points that you provide, then it appears that the productivity has come down in F Y25

, obviously because of such hiring, which indicates that it's more of a denominator effect. Do you expect that employee productivity will go up substantially? And if yes, can you give a number, say, 5%, 10% or 15% increase over F Y25 or you think that the productivity gains will be very limited given that you are already best in the industry.

Manoj Viswanathan: I would not project too much increase or decrease in the productivity. Those would be largely, like I said, quarterly movements depending upon addition of new employees etc. W hen there is a large influx of new employees, the productivity drops a little bit. But broadly, it will be range bound. We can not expect a substantial improvement in productivity.

Raghav Garg: Understood. So , whatever run rate that was there for FY25 , maybe a marginal improvement over that, not more than 3%. Is that something that we can assume?

Manoj Viswanathan: Yes, broadly in the same range . You can say last 2 years average productivity is what we will be able to maintain.

Moderator: The next question is from the line of Mona Khetan from Dolat Capital.

Mona Khetan : Firstly, was there any element of recovery from written off this quarter because I see that the net write -offs are higher and yet credit cost is low.

Nutan Gaba Patwari: Yes, very minimal, not significant, Mona.

Mona Khetan : Okay. And just on the co -lending business, I wanted to understand if it is RO A accretive. And given that the yields are lower than the overall portfolio yields, where is the accretion coming in the P&L? If you could throw some light there? Or is it more like a volume business?

Nutan Gaba Patwari: The co -lending structure is ROE accretive because we are able to move away the assets from the balance sheet. That is the main reason why it becomes ROE accretive . In the P&L, it appears in the interest income line and the interest expense line, unlike assignment, if that's your question.

Mona Khetan : Right. Okay. So , ROA wise, it may be a little dilutive, but it's ROE accretive because you use less capital?

Nutan Gaba Patwari: Absolutely, yes.

Mona Khetan : Got it. And just finally, on the opex to assets. So , we did see some improvement last fiscal and opex to assets seem to be at the lower end of your guidance at this point or for the full year FY25. Any colour on the trajectory as we go ahead?

Nutan Gaba Patwari: Broadly in the same line. The opex has a significant contribution of employee cost, and we are assuming the productivity at similar levels , we just touched upon that. So operating cost to assets, we will also want to keep in this 2.7% to 2.8% range. We are more focused on growth for the next few years now.

Moderator: The next question is from the line of Nidhesh from Investec.

Nidhesh : First question is on growth for next year. What is the target of disbursement growth that we are targeting in FY26? And how do you plan that in terms of new branch addition as well as growth from the existing branches?

Manoj Viswanathan: Disbursement growth, we are targeting it on 20% +; somewhere in the range of 20% to 25% is what we are looking at for disbursement growth. And the trend will be similar – about 20% to 25% will come from new locations, branches, expansion, distribution and 75% will continue to come from existing branches.

Nidhesh : Okay. Second is on co -lending. There have been draft guidelines from the regulator. Do you see any adverse impact of these guidelines on us?

Manoj Viswanathan: One thing that we are watching out for is that they have not mentioned the modus operandi of how those assets will get transferred. Till now, we were following the co-lending model 2, but the draft guidelines do not have mention of that co -lending model 2. If the co -lending model 2 is not allowed, then how the assets will get transferred to

the bank is something that we will have to see. If it is as per model 1, then it is a little tedious from a logistics perspective. Operationally,

it is a little tedious. So, we have to watch out for that.
Nidhesh : Sure. And lastly, a data keeping question is active connectors as of March 2025 and number of RMs as of March 2025 and what percentage of disbursement has come from top 10 connectors.
Manoj Viswanathan: Total connectors active , as of now , is about 3,800. And number of relationship managers that the sales team would be about close to 1,200 sales people.
Nutan Gaba Patwari: And disbursement from top 10 connector is below 4%.
Moderator: The next question is from the line of Rajiv Mehta from Yes Securities.
Rajiv Mehta: Congrats on strong results in QIP. My question is on Tamil Nadu. If I were to calculate growth on a sequential basis, we are seeing some moderation in growth of Tamil Nadu market. And we also have not been adding many branches in the last few quarters out there. How should we read this? Are we seeing any competitive pressure, pricing pressure out there or any delinquency issue? And the reverse question is for Madhya Pradesh, where we have been growing very fast

and by adding a lot of branches. Is that market, besides the opportunity, behaving well in terms of early delinquency trends and hence, that is giving us confidence to grow there?
Manoj Viswanathan: As far as Tamil Nadu is concerned, we already have about 24 branches there. We are just kind of taking a step back and to see where we can expand, etc., and some leadership changes – kind of a recalibration there. In MP, you are right. Our initial calculations have gone right, and we are able to expand and do well over there. So, w e are investing more there.
These kind of, opportunistic movements will be there. There will be some states where we are kind of taking a step back, whereas in other places where we are expanding . This will continue. It's not that we have kind of capped out in Tamil Nadu. We are looking at making some changes and we will come back stronger.
Rajiv Mehta: About borrowing mix . When I look at from a lenders profile, we have reduced our dependence on private banks and increased our dependence on P SU banks pretty significantly over the last 7-8 quarters. How does it help us in the rate easing cycle? Does it help us in terms of benchmarking of loans or negotiations ? If you can explain that?
Nutan Gaba Patwari: Not so much specifically like that, Rajiv. It is largely driven by relationship depth or size. For example, one of the reasons I can call out for the public sector bank expansion in March quarter is a large line from SBI. And it just happens to be bunched up in a particular quarter. So that would expand substantially. But broadly, it is 30% and +/ - 5% between either of the 2 pools.
Rajiv Mehta: The borrowings from PSU banks, the stock and even incremental are they coming at a finer rate than the private banks?
Nutan Gaba Patwari: At par, I would say. That would be one of the key considerations for us to move ahead.
Rajiv Mehta: Got it. And just one clarification about this when you report collection efficiency and then you also give collection efficiency for unique customers. So , the difference will be your OD collections and NP A recovery?
Manoj Viswanathan: No. It is basically the number of collections. If the same customer, for example, makes 2 payments in the same month, that will get counted in the first bar, the higher one. But in the other one, it will be counted as one.
Rajiv Mehta: Okay. So , it can also be in advance and not just OD
Manoj Viswanathan: No, we don't take advance. It will be basically customers, for example, who are overdue by, let's say, 2 or 3 payments.
Rajiv Mehta: So, OD collections and NP A recoveries as well?
Manoj Viswanathan

: Yes, overdue on NP A recovery.
Moderator: The next question is from the line of Anusha Raheja from Dalal & Broacha .

Anusha Raheja: My question is on the margin side. Of the total borrowing 60% comes from bank . If you could tell us how much is repo rate linked or the MCLR rate linked? And secondly, NHB drawdown, if I am not mistaken, is close to around 16% up. So how do we see this number in FY26? More drawdowns are expected?
And thirdly, again, on the margin side, the origination yield in Q4 is 13.3% versus 13.5% of your blended yield. So that is lower around by 20 basis points, what the blended average yield is. And on the borrowing side, I think incremental marginal cost of borrowing is at 8.6% versus 8.4% blended cost of borrowing. So , if you can just throw some light on all these things and how this could impact the margins? I understand that you said that you will be maintaining 5% +, but if you can also throw some light o n all these things.

Nutan Gaba Patwari: Starting with the first question on the repo and short -term linked borrowing, that is about 18% to 19%. And I also mentioned to one of the previous questions that we have already started getting some benefit through that, and that is one of the primary reasons why we have been able to hold the cost of borrowing flat.

Your second question was on NHB mix. NHB mix is about 16%. So NHB mix is in that range of 15% to 20%, which we feel is appropriate for the size of our company. We will continue to try to maintain in that range.

On the last question that you had around yields. Yields , right now is about 13.3%. And like we mentioned just a few minutes ago, the origination yield is range bound between 13% to 13.5%, and we have a fully floating book. So , if we have an origination yield in that range and when we start seeing the cost of borrowing moving downwards, we have the flexibility to pass it on to the borrower. And that gives us the confidence why we will be able to maintain this 5% + spread on an ex-colending basis.

Anusha Raheja: Okay. And ma'am, you also mentioned the disbursement run rate of around 20% to 25% and is that sufficient to maintain the AUM growth of 30%? What is the broad assumption on the run - off of the book that you would have taken here ?

Manoj Viswanathan: Run-off we have assumed is around 17% to 18%. With the 20% to 25% disbursal growth, we should be able to get to about 26% -27% to about 30% range of AUM growth.

Anusha Raheja: In that 17% - 18%, how much is the BT out rate?

Manoj Viswanathan: BT out rate is about 7.5 %.

Anusha Raheja: Sorry, I did not understand 17% - 18% is the total rundown or 20% - 25%?

Manoj Viswanathan: 17% to 18% is the total run down.

Moderator: The next question is from the line of Sanjay Jain from Aven tus Capital.

Sanjay Jain : My first question is on AUM. Your guidance , by the management, is for AUM of Rs. 20,000 crores for FY27. So how comfortable are we to achieve that in the next 2 financial years? And also, are there any hindrances or risks that we may be facing to achieve those numbers?

Manoj Viswanathan: No, we are fairly confident of achieving the Rs. 20,000 crores mark in the next 2 years. At this point, we don't see anything which could be a hindrance to achieving the Rs. 2 0,000 crores.

Sanjay Jain: Okay. And could you give me any guidance on the Rs. 35,000 crores AUM as guided for FY30?

Manoj Viswanathan: Yes. So there, again, we don't see anything that is seen as a major hindrance to reaching that number. Overall, we seem to be on track to achieving those numbers.

Moderator: The next question is from the line of Shreya Shivani from CLSA.

Shreya Shivani: Congratulations on everything. Only one of my questions is unanswered. It's again on the cost of

funds. So , you have reduced the liquidity buffer this quarter. And also, you mentioned 18% - 20% is your repo linkages . So, shouldn't the cost of fund reduction have been a little more? Or maybe if you can quantify the breakup of how much benefit came in from repo, how much came in from lower liquidity ? Or something like that, that will be a little useful.

Nutan Gaba Patwari: No problem. Lower liquidity benefit will not come in the cost of borrowing line. It will come in the NIM line. When we focus on the cost of borrowing line, essentially, what we are talking about is just the repo linked. When we talk about repo EBLR and short term, it also includes, for example, a 3 -month T -bill. But a 3 -month T -Bill has not got repriced substantiall y. Also, there is a repricing date. So , everything has to be in order for it to become effective. What has become effective is broadly just the repo rate. Then you start slicing the 18% down to somewhere, let's say, 10%. So that is why you see rather a flatter curve. Now let's take a hypothetical situation. If this policy rate had not happened, then we would have been at 8 .5%. So, the delta really is about 10 basis points.

The second question, which you had was around liquidity. Liquidity is now giving an effect in the net interest margin line. Net interest margin has improved from 4 .9% to 5.1% largely contributed by liquidity. I would say you can consider about half of it that has come through the liquidity line. And there are some other accounting entries that we have to take on mark -to- market transactions that form part of the borrowing cost. Those 2 have contributed to the expansion of NIM.

Shreya Shivani: Got it. So , of the 20 bps, 10 bps is just from the liquidity benefit that has flown into the margins . Has there been a pickup in the cost of borrowing for any other lines that we have?

Nutan Gaba Patwari: Yes. Whenever there is a historical , like a 6 -month MCLR or 12 -month MCLR . Because the bank MCLR has not come down yet, especially for public sector banks . As and when they are coming on the repricing date, they will increase. But if you are asking me from a marginal cost of borrowing, the answer is no. We have been able to maintain in the broad range of 8 .4% to 8.6% and we are hopeful that now we should start improving on that starting this quarter.

Moderator: The next question is from the line of Aravind from Sundaram Alternates.

Aravind : Congrats on the good set of numbers. Sir, BT out rate has been going up for a few quarters now, is there any competition increasing ? What to read there? That is my first question. And the second question is on the co -lending norms which came out. So , what do you see as the

opportunities or the headwinds and tailwinds to our existing co -lending model in terms of either margin impact or for the growth opportunities like whatever you would like to call out in terms of very important takeaways from there.

Manoj Viswanathan: On the BT out rate , it is largely range bound. We normally see last 2 quarters, it is slightly higher, first 2 quarters is slightly lower. That trend continued last year also. If you see Q4FY25 versus Q4Fy24 , it is a little lesser. FY24, Q4 was 8.3%. This time, it is 7.5%. So slightly lower the BT out rate is. We expect it to be largely in that range bound between 6% to 8% only. And as far as co-lending was your second question, right?

Aravind : Yes, sir.

Manoj Viswanathan: Yes. On co -lending, new guidelines have been released, and we have to wait as they are still under discussions. We have to wait and watch. On certain areas, it is definitely beneficial because now there is no ticket size gap on the co -lending part. That is actually beneficial. And of course, as I mentioned earlier in the call, there is no mention of the co -lending model 2 in the draft gu

idelines. That is something that we need to watch out for because that if co -lending Model 2 is elimin ated from the co -lending process, then it will make the co -lending process a little tedious. That is the thing that we need to watch out for. But otherwise, the guidelines are beneficial in the sense that it expands the addressable market for us.

Moderator: The next question is from the line of Pavan from RatnaTraya Capital.

Pavan : Congratulations on the results. I just wanted to understand the growth of this particular quarter has been pretty good. Actually, it has been much better than the last 2 to 3 quarters. So what has changed in this quarter? And there seems to be a spike in disbursements, not only in Home First, but almost all the home finance lenders. So , I just wanted to understand, is there any structural change? Or is this a seasonal thing that happens in Q4?

Manoj Viswanathan: So generally, Q4 is always a big quarter for all the companies. And I think the same trend that we are seeing this year also. In our case, generally, Q4 is not such a big skew. There is no major skew in Q4 and it is slightly better than the other quarters. The same trend continues for us as well. Like we mentioned in last quarter call also that we are broadly on track to achieve the annual numbers. There was a slight increase in the quarter 4 and which helped us meet the annual numbers.

Pavan : Okay. On the assignment book, do we have any targets on direct assignments per year? Or how do we look at it overall?

Nutan Gaba Patwari: Overall, largely driven by liquidity needs, relationship with the bank, pricing, some of those factors. No targets per se.

Manoj Viswanathan: No targets per se but broadly range bound if you see as a percentage of AUM.

Nutan Gaba Patwari: Yes.

Pavan : Okay. And last question on the leverage side. Now since we have raised money, so how do we think about the leverage in, let's say, 2 years ahead? What is the kind of leverage we would like to operate on.

Nutan Gaba Patwari: See, right now, immediately after the fundraise, we are at 3.3 x. We can easily go up to 5 x+. So, we are good for 4 years, thereabouts.

Pavan : Okay. So you are saying until next 4 years, you might not need to raise again.

Nutan Gaba Patwari: That's right. Because right now, we will have an optical reduction in ROEs. And eventually, that will also start catching up. So , the equity will start accruing and that will also further support the growth on the AUM. So , probably until FY30, we are good. unless, of course, we grow faster than our projection, then it is another story.

Pavan : Okay. And as per your projections, when will we get back to the ROE of, let's say, around 16% - 17% that we currently have?

Nutan Gaba Patwari: Our first milestone is to get to 15% +, which is in about 6 to 7 quarters from now.

Moderator: The next question is from the line of Ravi Naredi from Naredi Investments.

Ravi Naredi: Manoj Ji, you are really doing great. My question to Gaba Ji. Our borrowing rates are 8.4%, which is higher than other NBFC. They borrowed at 7.2% to 7.4%. Why you pay higher rate? This rate of interest came down to us 7.2% in financial year 2022. But again, it has rise n.

Nutan Gaba Patwari: Yes, sir. Sir, I think the larger NBFCs that you are comparing us with will be likes of Bajaj and PNB Housing and perhaps some of the other names. Sir, their credit rating is AAA. We are a professionally set -up entity. Our credit rating is AA - and the big difference is scale. Sir, we are hopeful that one day we will definitely get to AAA, and then we will match those rates, but we need some time to get there, sir.
Ravi Naredi: In how many years we will attain AAA?
Manoj Viswanathan: Sir, right now, we are AA -, and we are hopeful that with this capital raise that we have done recently, we shou

ld be able to get one notch improvement that has moved to AA. After that, there will be AA+, which would probably take several years to get to a AA+. After that, we can look at further increase.
Ravi Naredi: We maintain liquidity Rs 2,700 crores almost equal to 1 year AUM. Why we maintain such a higher liquidity buffer when we have unavailed bank credit limit?
Nutan Gaba Patwari: Sir, the Rs. 2,500 crores that you are seeing is not on the balance sheet. Out of that Rs 1,200 crores is on the balance sheet, the rest is unavailed lines only.
Ravi Naredi: Okay. And Rs. 28.7 crores we write -off this year, how much recovery of earlier year write -off we received during the year?
Nutan Gaba Patwari: Sir, you are looking at the credit cost line, right?

Ravi Naredi: Right.
Nutan Gaba Patwari: Sir, it's not full write -off. The write -off portion of that number is about Rs 17 crores and the recovery that we have had is about Rs 2 crores.
Ravi Naredi: So Rs 15 crores is a net loss .
Manoj Viswanathan: Yes sir.
Moderator: The next question is from the line of Abhishek Jain from Alf accurate Advisors Private Limited.
Abhishek Jain: Congrats for a strong set of numbers. Sir, my first question on the industry growth in the affordable housing segment. So , what is your expectation for FY 26 and we have seen that many financial institutions are increasing their presence into this space. So how do you see competition over there?
Manoj Viswanathan: As far as the overall market is concerned for FY26, we think it should be another year of good or decent demand because affordable housing demand has largely been secular. The growth has been secular in the range of 10% to 15% a year. So , we are expecting a similar kind of a growth rate this year as well.
As far as competition is concerned, it has been very uniform across several years. Every year, there are some new players entering this business. But at the same time, there are some of the larger entities who move up in terms of the ticket sizes and customer profile. So , in some ways, they kind of exit this segment. So , from a competition perspective, we expect it to be another year, nothing very diff erent .
Abhishek Jain: What is your current market share in this space? And how do you see the market share going ahead?
Manoj Viswanathan: The market share, if you look at it as a percentage of the overall affordable housing segment, we are at about 2% share of the market. And our ambition is to reach somewhere between 4% to 5% market share in the medium term. That is maybe in the 3 to 5 years kind of horizon.
Abhishek Jain: Okay. And in terms of the ticket size, what kind of the growth you are looking in the coming years average ticket size?
Manoj Viswanathan: The average ticket size has been growing at about 3% to 4% every year, and we expect a similar kind of increase in the coming years. Every year, maybe around 3% to 5% increase in ticket size.
Abhishek Jain: Okay. And my last question on the delinquency side. So are you seeing any increase in the delinquencies in the few states and courses would like to give some comment on that.
Manoj Viswanathan: No, broadly, at least last several quarters, we have seen most of the states moving together. That is when there is increase, there is an increase across the board and there is a decrease across the board. Largely, it is seasonal. We are not seeing anything specific to any market or any particular state or region where there is an increase or decrease for any reason.

Moderator: The next question is from the line of Aditya Pal Singh from MSA Capital Partners.
Aditya Pal Singh : Congratulations, Nutan and Manoj sir, for great performance. Wanted to quickly understand that when we look at the branches which

have a vintage of more than 2 years, what would be the
profile of these branches in terms of AUM per branch, opex to AUM, ROA ex -head office?
Manoj Viswanathan: 2+ years, generally, the branches reach AUM of between Rs. 30 crores to Rs.50 crores. And in terms of opex to assets, if the country is at 2.7%, these would be slightly higher than country because they still have not reached kind of a mature level. So maybe around 3% to 4% opex to assets would be the broad range. We would call these kind of just pre -midsize branches – Midsize would be around Rs. 50 crores to Rs. 70 crores of AUM. By the time they reach about 3 to 4 years, they reach the midsize which is about Rs. 50 crores to Rs. 75 crores.
Aditya Pal Singh: Understood. And if you have the number handy with you, would you know vintage -wise number of branches today ? We have total branches of 155. Of these, h ow many would be less than 1 year, 1 to 2 years , 2 to 3 years and 3 year s plus?
Manoj Viswanathan: Yes. Broadly, we categorize in 3 buckets. There are smaller branches, which are less than Rs. 25 crores AUM and there are Rs 25 crores to Rs 75 crores which would be the midsized branches and Rs 75 crore + branches. Generally, the ratio is around 1/3 each. You can say 50 to 60 branches in the smaller category, about 50 branches in the midsize and about 50 branches in the larger category.
Aditya Pal Singh: Understood. Another question was that now that we raised INR1,250 crores in Q IP, many congratulations on that. Do we see our branch expansion that is number of branches per year increasing from what a status quo was 22 to 25 branches per year? And another question would be that our target of Rs. 35,000 crores in FY30, would we need another fundraise in the interim before we reach that?
Manoj Viswanathan: The number of branches will increase because of the base being higher. We would like to expand at about 20% to 30% every year. The AUM is expanding at about 25% to 30% every year. The branches also will expand at the same pace. So , we were growing at about 20 - 25 branches every year. That number will go up slightly maybe 30 to 35 or 35 - 40 every year. A s far as capital is concerned, we are good for about 4 years now. So , maybe by 2030 is when we will need to look for fresh capital.
Aditya Pal Singh: Understood. Just one last question. This was more to do with the thought process. When we see state-wise AUM per branch, so they are quite different. For example, there are states with Rs. 65 crores to Rs. 7 0 crores AUM per branch like Maharashtra, Tamil Nadu. And then there are states which have an AUM per branch of Rs. 100 crore s plus like Gujarat, Karnataka, Telangana. Just trying to understand, is there any different strategy we are deploying in the states or the states which have Rs. 100 crore AUM per branch, these are more high conviction states for Home First ?
Manoj Viswanathan: No. It will be largely to do with the vintage. So , where we have started the branches a little earlier, the size would have become bigger. The AUM per branch would have become larger.

There will be newer states like MP , where we started the expansion over the last 2 - 3 years. So there, you would have a lower AUM per branch.
Aditya Pal Singh: Understood. But a state like Tamil Nadu also or Maharashtra, which we have been there for a very long time, but they have the same, I would say, somewhat similar AUM per branch to or lower than Madhya Pradesh.
Manoj Viswanathan: Yes, because it will also go in line with the growth rate in that particular state . Some states are growing faster, some states are growing at a slower pace. So , AUM per branch also would reflect that.
Aditya Pal Singh: But there's no different strategy that we are deploying these states will have larger AUM per branches?
Manoj Viswanathan: No, nothin

g of that sort. There is nothing of that sort. Our general position is that irrespective of where the branch is located, it should be able to run at about Rs. 200 crores per branch.
Aditya Pal Singh: Understood. Last question was for Nutan. So Nutan, when I calculate the yield, I am getting 13.2% as my portfolio yield. This is including the co -lending. Is it a timing difference that because we would have disbursed a lot in the fag-end of March?
Nutan Gaba Patwari: Not fag-end of March . When you look at the monthly disbursement, it will be about first half to second half, about 40 :60, and maybe in some months 35:65, which will lead to the dispersion that you just mentioned. But like you just mentioned, it is a timing difference.
Moderator: The next question is from the line of Nupur Kogta from Naredi Investments.
Nupur Kogta : I have two questions. First one is – we could see a good AUM growth of 31% and interest income growth of 32%, but growth in profit is 25%. Further looking into this, I got to know that there was an increase in our overall interest cost by 43% year -on-year despite our cost of borrowings rising only marginally to 8.4% vis -a-vis 8.2% last year. So , can you throw some light on this increase in interest cost?
Nutan Gaba Patwari: When you look at the fact sheet and you analyze the P&L, the total income has gone up by 31%,

but the net interest income has gone up by 26%, which is broadly where the overall profit increase is also. So , the cost of borrowing rise has been slightly higher. Your question on yoy or qoq?

Nupur Kogta: Year-on-year

Nutan Gaba Patwari: When you look at the fact sheet, the interest expense has gone up by 43% because the cost of borrowing has gone up and the total income has gone up by 33%.

Nupur Kogta: Exactly.

Nutan Gaba Patwari: Yes. So that is the most important reason.

Nupur Kogta: Yes. So , what is the reason behind the rise in interest cost by 43%, because our cost of borrowings is almost at the same level of 8.4%.

Nutan Gaba Patwari: No. So , if you look at yoy, it has gone up from 8.2% to 8.4%. That is a 20 basis point increase on a sharply increasing growing borrowing book. That is the contributor to the difference.

Nupur Kogta: Okay. And my second question is how much commission do we give to our connectors and also do our connectors help in recoveries.

Manoj Viswanathan: No. Commission, we give about 40 to 50 basis points to connectors. And helping in recovery is more ad hoc. It is not part of their contract or part of their agreement with us.

Moderator: The next follow -up question is from the line of Anusha Raheja from Dalal & Broacha.

Anusha Raheja: Sir, in newer geographies that you have catered to, for example, in MP or UP, so how has been the asset quality performance in these newer states? How is the credit discipline ?

Manoj Viswanathan: Credit Discipline has been fairly good if you see the 4 new states that we are present – MP, Rajasthan, Uttarakhand and UP. I would say in MP, Rajasthan and Uttarakhand, the performance has been better than what we expected. And UP, it is just what we expected.

Anusha Raheja: Okay. And in Gujarat, which is a domain state, the growth is coming down in that state relatively on a Y -o-Y basis. So is it because the other states are growing at a higher rate or demand per se in that state is relatively lower or you would choose to gro w at lower there?

Manoj Viswanathan: No. We are still growing at about 21% - 22% in Gujarat. And we have some plans to re -energize there . As I mentioned earlier on the call, there are some states where we are , kind of , restructuring the teams, and we will come back strongly. There are some places where we are growing at 20%, there are places we are going at 30% - 40%. So , there is a range. There will always be that strategy of going very strong in a particular state in a particular year. And in other states, we are kind of regrouping or consolidating.

Anusha Raheja: Okay. And lastly, you said that co -lending model 2 is eliminated from the new RBI guidelines and co -lending model 1 is tedious . So, in what way that is that tedious?

Manoj Viswanathan: What I mentioned was they have omitted mention of co -lending model 2. Everybody is still wondering whether it is allowed or not allowed. And I think there is still discussions going on, on whether this will be allowed. We are hoping that the co -lending model 2 will be allowed. But if it is not allowed, then yes, we have to go to co -lending model 1, which is a little more tedious. It is tedious is because as per co -lending model 1, the disbursal of the loan has to be done simultaneously by both the entities. So primarily, that makes the process more tedious because when the loan is onboarded, the 20% sits on our books and 80% will sit on the bank's books. And the disbursal also has to be then proportionately done by the respective entities. Currently, the disb ursal is done by us, and then it is paid back by the bank to us. Which is the easier model. But if all disbursals have to be made simultaneously by the two entities, then it makes it more tedious.

Anusha Raheja: Okay. And you call a co -lending model 2?

Manoj Viswanathan: Correct. We follow co-lending model 2.

Moderator: The next question is from the line of Divyansh Gupta from Latent Advisors.

Divyansh Gupta: A couple of questions around the LAP book. Would you be able to break up our NPAs between LAP and home loan separately because last time we discussed the ECL is coming down because LAP is going up and we end up incurring a lesser loss there. What would be the NPA trajectory for LAP versus home loan and what would have been this number in FY24 ?

Nutan Gaba Patwari: Yes. I can tell you the March 2025 numbers right away. LAP is around 1.2% - 1.3% NPA and home loan is about 1.9%. Actually, the numbers are disclosed in our QIP placement document, and it is already published on the stock exchanges. You will get the full detail with a 3 -year comparison there.

Divyansh Gupta: Got it. I missed it, I'll check back. Typically, LAP would have a higher NPA and home loan would have lower NPAs. But our numbers are a bit different from, let's say, the general expectations. So how should we read into?
Manoj Viswanathan: The way we are reading it is that because we have a lower proportion of LAP, our teams have the luxury of selecting better customers. And we don't have aggressive targets for LAP. So , they have the luxury of selecting better customers for LAP and which is the reason our NPAs are slightly lower compared to the market as well as compared to our own other products.
Divyansh Gupta: Got it. And when you say LAP, it is not a top -up on home loan, right? Because then you can get that advantage on a home loan, you are giving a top -up and then it is considered LAP and t his is pure play LAP ?
Manoj Viswanathan: Yes. These are new customers we are acquiring from the market.
Divyansh Gupta: And second question related to LAP. Our presentation shows that our LTV at origination less than 80% is going down, which can also be a factor because of LAP going up, right? Because LAP, I don't think you will do at 80% LTVs. So , what would be our more than 80% LTV at origination for home loans business?
Manoj Viswanathan: LAP forms a smaller proportion. I would say because LAP is only 15% of the AUM. So , to that extent, it should not impact the ratios too much.
Nutan Gaba Patwari: Yes, that's right.
Divyansh Gupta: That effectively LAP is also given at 80% LTV, that way is a risky thing
Manoj Viswanathan: No, LAP would be given 80% LTV. LAP LTV will be generally or rather in almost all cases, it wi

ll be less than 60%.

Divyansh Gupta: In our presentation, we give a pie chart on LTV at origination . If I look at the more than 80% has been consistently coming down, which makes sense if you are giving LAP loans because they will be at lower LT V.
Manoj Viswanathan: Yes. More than 80% LTV actually is in developer -led apartment segment. Over the years, our exposure to apartment segment has been coming down because we are doing more of self - construction, more of retail and other products compared to new apartments. That is the reason for the marginal decrease in LTV, which is above 80%.
Divyansh Gupta: Understood. And the last on the LAP is that if I look at the mix of self -employed and salaried and LAP and other LAP and home loan, would it be a fair statement to say that salaried LAP is going up?
Manoj Viswanathan: Why do you say that? We don't have any such direction internally.
Divyansh Gupta: It might be not deliberately, but just happening because if I see the self -employed mix, it is going down. LAP is going up and self -employed is largely similar at whatever range it was. It has not fallen down. So , then it implies that LAP would be taken up by salaried also?
Manoj Viswanathan: Yes. LAP is taken by salaried also. We have an equal mix of salaried and self -funded as far as LAP is concerned, and the ratio has been largely constant across the years.
Divyansh Gupta: Got it. So , the question was that what would be the purpose? Is it loan consolidation or any other ?
Manoj Viswanathan: Purpose is threefold. There are basically broadly 3 purposes of LAP. There are some customers, about 30% , who would have actually started their construction by borrowing from others and would have kind of finished the construction. And then now they want to repay those loans. That is one reason. It's like a delayed housing loan. That is one key reason for LAP. The other reasons are the normal traditional reasons where it is used for consumption or it is used for business purpose.
Divyansh Gupta: Got it. So , the other one was that last time we mentioned that we studied Bajaj and Chola and we figured out that, let's say, we will come back to markets every 2 to 3 years to raise equity. Now in this call, we said that this equity raise will suffice for us for at least 4 to 5 years. So , is there a change in thought process of the growth assumptions that, let's say, we had earlier versus now? Or how should we read into that ?
Nutan Gaba Patwari: The change is in the amount of equity that we raised. When we were on the call last time, the number that we had in mind was Rs. 1,000 crores and we have taken an enabling resolution for Rs. 1,250 crores, but because of the response, we actually ended up raising the full Rs. 1,250 crores, which has added the additional year.
Divyansh Gupta: Understood. The next question was that sourcing through digital partnerships saw a big raise from 1 point something to 2.2. Is it a one -off? Is it some structural changes that we have done, which is, let's say, which has taken it to this level? Or just trying to see is it a one -off or some structural changes that we have introduced?

Manoj Viswanathan: Not a one -off. Last couple of quarters back, a new partnership was added, which is Phone P e. And that is giving us a slightly increased number as far as digital p artners hip is concerned.
Divyansh Gupta: Got it. But is it a BT product or it's a fresh new home loan kind of loan that we are getting ?
Manoj Viswanathan: We don't do BT product. We only do new home loans. I mean BT product is not a focus area for us. It is a very insignificant portion of our business. And in all these digital partnerships also, the focus is on new acquisition only.
Divyansh Gupta: Got it. Because for the

m, it becomes a very easier sell home loan and we can give it at a cheaper one. That's why I thought ...
Manoj Viswanathan: That is right. It is more of a strategy by some of the larger lenders because they have a cost of borrowing advantage and they can pass it on to the customer. We don't have that advantage, so we only focus on new.
Divyansh Gupta: Understood. So two more questions. The Rs. 300 crores of net gain on DA and if I look at our PPoP or even PBT . Around 20% of our profit is coming from this upfronting of DA sales, which does not necessarily lead to actual profit .
Nutan Gaba Patwari: Rs. 3 0 Crore s
Divyansh Gupta: Yes, Rs. 30 crores . Sorry, my bad. Rs. 30 crores, but at PBT it is still 20% . The question was -- one, if you can break the split into what was the net gain from fresh DA done and the earlier ones would have been some assumption change. So , if you can just give a breakup of this?
Nutan Gaba Patwari: The breakup largely is not more than 10%, which will be there from the old one . But I want to address the more important point of whether this is sustainable. The thing is that we are upfronting the income because it is a requirement. Now the question is, if I did not upfront it and if I drew up my P&L and look at the profit after tax or the net worth in the old IGAAP method, what would be the difference? I can do either IGAAP accounting or I can do Ind AS accounting. It is a timing difference at the end of the day and I'm still going to recover the same amount of money from the custome r and my spread is not going to change. From a net worth basis, the difference is not more than Rs. 30 crores - Rs. 40 crores. From an annual profitability perspective, the difference is less than Rs. 10 crores. And it fluctuates depending on whether the assignment proportion to the AUM is increasing or decreasing. Because the gap is so narrow, we have chosen to kind of focus on more why DA needs to be done rather than the contribution to the income because either it will come through the net gain line in I nd AS accounting or will come through the interest income and expense line in IGAAP accounting.
Divyansh Gupta: This quarter itself, it was Rs.30 crores. And you said for the year, it is around Rs. 10 crores . Am I missing something? D id I misunderstood something? Because every year, there's a net gain, right? So if I just cumulatively look at it, it would be a higher number.
Nutan Gaba Patwari: No. If I did not do a net gain, I have a DA book on which I would earn the spread.
Divyansh Gupta: Yes. That would have been Rs. 10 crores is what you're saying?

Nutan Gaba Patwari: No. My DA book is about Rs. 1,500 crores on which I would earn a 5% plus spread.
Manoj Viswanathan: He is saying that d one it that way, it would be Rs. 10 crores lesser than the total for this year.
Nutan Gaba Patwari: Yes. Profitability would have been in the range of Rs. 7 crores - Rs. 10 crores difference.
Divyansh Gupta: Got it. And what is the overlays that we are carrying in our ECL?
Nutan Gaba Patwari: Rs. 13 crores.
Divyansh Gupta: Rs. 13 crores. And what would be the write -off in this quarter and for the whole year?
Manoj Viswanathan: Full year is Rs. 17 crores approximately.
Divyansh Gupta: This is the gross write -off, right, not net of recovery.
Manoj Viswanathan: That's right.
Nutan Gaba Patwari: This quarter, I think it's Rs. 4 or Rs. 5 crores.
Manoj Viswanathan: Yes, about Rs. 5 crores
Moderator: The next question is from the line of Siraj Khan from Ascendent Capital Partners .
Siraj Khan : Good set of numbers. I have two questions. One with respect to the data that is given in the fact sheet of the new to credit loan accounts. From FY24 to FY25, that has reduced. This is by design or by default? Are we actively going towards having credit information cust

omers or the number of customers in the new to credit segment are reducing? How is that?
Manoj Viswanathan: Yes, the number of customers in the new to credit segment are reducing. We are not actively seeking out customers with credit history . It's just that in the market such customers are reducing because the credit is easily available now.

Siraj Khan: Okay. And on similar lines, the self -employed AUM is constant. I t inched up very moderately. What is the split that you see, for FY26 or ahead?
Manoj Viswanathan: Broadly in the same range . Right now, it is 68:32. 1 or 2 percentage points, we can't say, but broadly 6 5:35 to 70:30 is the range that we see.
Siraj Khan: Understood. And what will be the incremental ticket size of loans because what I can also see in the fact sheet is the proportion of the AUM in the 1.5 mn to 2mn and 2mn to 2.5 mn has jumped by 2% odd each. So is the incremental ticket size higher than, say, Rs 18 lakh to Rs 20 lakh or above?
Manoj Viswanathan: No. The growth zone for us is Rs. 10 lakhs to Rs. 25 lakhs . Below Rs. 10 lakhs is not a very large growing segment. So, between Rs. 10 lakhs to Rs. 25 lakhs, you will see more growth.
Siraj Khan: But what would be the incremental disburse ment

Nutan Gaba Patwari: Ticket Size is Rs. 11.7 lakhs.
Siraj Khan: I think that is the average. What will be the incremental disbursements that would have happened in FY25 ?
Nutan Gaba Patwari: Rs. 13 lakhs to Rs. 14 lakhs.
Siraj Khan: And the final one on the promoters. With the capital raise, each of their holdings has come down below 10% - 7% and 5%. And now Warburg remains the single largest holder at approximately 11%. So , what will be their role going ahead? And will there be any specific change in the management or anything of that sort with respect to the direction? That is a question.
Manoj Viswanathan: No, there is no change. The promoters have largely functioned like public market shareholders over the last 3 - 4 years also since the time we listed. We do not anticipate any change as such as far as the management or company functioning is concerned because we have been led by the independent Board also these years. So , no change anticipated.
Siraj Khan: So, no specific change in strategy or anything with respect to sourcing or anything of that sort?
Manoj Viswanathan: No, absolutely not because like I said, we have been led by the independent Board even over the last 4 to 5 years. We don't expect any changes. So largely, it has been management and independent Board -led strategy. The promoters, our large shareholders , have not played a role in that. So , nothing is expected to change.
Siraj Khan: Okay. And just a final one on the state -wise asset quality. We have seen good growth in Madhya Pradesh and Karnataka and others. But what I want to know is, are you seeing any signs of early stress maybe in the 30+ DPD or 1+ DPD , because it has been inching up, although it's been controlled, but it has been inching up year -over-year. So is there any specific state or any specific product or customer type that is seeing any early signs of a war ning? Because, say, for example, Madhya Pradesh has g rown approximately 72% Y -o-Y, but Tamil Nadu and other states have grown slightly lower. So , is there a region -wise issue or some state -wise issue, anything of that sort?
Manoj Viswanathan: No, pace of growth is not directly linked to the asset quality experience that we are facing in the state. It is more related to various other things like getting the right people, expansion of branches and various other factors. Most of the locations have a similar profile as far as the credit behaviour is concerned. We are not seeing any dramatically different behaviour .
Siraj Khan: Understood. And just a clarification, the active connector count that was shared e

arlier was ?
Nutan Gaba Patwari: 3,800
Moderator: Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Manoj Viswanathan for closing comments. Over to you, sir.
Manoj Viswanathan: Thank you, everyone, for participating and engaging in the call. We hope that we have been able to answer the questions to your satisfaction. In case you want to reach out for further questions,

you can always reach out to Deepak Khetan or write to us on investor.relations@homefirstindia.com. Thank you very much.
Moderator: Thank you. On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

HFFCIL/BSE/NSE/EQ/ 69/2025-26 Date: 04 -08-2025
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai - 400 051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter ended June 30, 202 5

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call with analysts and investors for the quarter ended June 30, 202 5 conducted on Monday , July 28 , 2025. The Company had referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company at www.homefirstindia.com

This is for your information and records.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary and Compliance Officer
ACS NO: 26700

“Home First Finance Company India Limited
Q1 FY26 Earnings Conference Call”

July 2 8, 2025

MANAGEMENT : MR. MANOJ VISWANATHAN – MD & CEO
MS. NUTAN GABA PATWARI – CFO
MR. DEEPAK KHETAN – HEAD, INVESTOR RELATIONS

This document is a transcription of the conference call conducted on 2 8th July, 202 5. Click here to listen to the original audio.
Disclaimer: This transcript is edited for factual errors and does not purport to be a verbatim record of the proceedings. The reader is also requested to refer to audio recording of the call uploaded on the company website here on 28th July, 202 5. In case of discrepancy, the audio recordings will prevail. No part of this publication may be reproduced or transmitted in any form or by any means without the prior written consent of Home First Finance Company India Limited .

Moderator: Ladies and gentlemen, good day, and welcome to Home First Finance Company India Limited Q1 FY26 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Deepak Khetan – Head , Investor Relations of Home First Finance Company India Limited . Thank you, and over to you, sir.
Deepak Khetan : Thank you, Reyo . Good afternoon, ladies, and gentlemen . Welcome to Home First Finance Company 's Earnings Conference Call to discuss the financial results for the quarter ended June 30th, 2025.
We hope you have had the chance to review our investor presentation and press release, both of which are available on our website and the stock exchanges. As per our practice, we have also uploaded an excel sheet containing historical data on our website for your easy reference.
From the management today, we have Mr. Manoj Viswanathan – Managing Director and Chief Executive Officer; and Ms. Nutan Gaba Patwari – Chief Financial Officer.
With that, I now invite Manoj to share his insight on our overall performance. Over to you, sir.
Manoj Viswanathan : Thank you, Deepak. Good afternoon, everyone and thank you for joining us today.
Q1FY26 was marked by two important events in our history :
First, we raised Rs. 1,250 crore through our first QIP, which has significantly increased our net worth and further strengthened our capital base. Also, our long -term credit rating was upgraded to AA (Stable) by ICRA, India Ratings and CARE. Both these events further enhance our ability to build a strong and large housing finance franchise.
Now let me walk you through Q1FY26 highlights :
• AUM growth remained strong, growing at 28.6% y-o-y and 6% q-o-q to reach Rs. 13,479 crores.
• Disbursements for the quarter stood at Rs. 1,243 crores, which was the second highest in our history. The previous highest was in Q4FY25 which is seasonally a strong quarter .
• Disbursements in April was slower than expected , however , May onwards, we are moving on expected lines. The shortfall of about Rs. 50 crores will be covered in H2 of the year. Our disbursal guidance for FY26 remains in the range of Rs. 5,600-5,800 Cr.

• We have grown strongly in Madhya Pradesh, Maharashtra, and Gujarat. Growth in Tamil Nadu and Telangana, which are two other large markets was muted in Q1. However, we are confident of a rebound in these regions in the rest of the year.
• HomeFirst 's branch expansion strategy is based on a contiguous expansion into large and high -density affordable housing finance markets. During the quarter, we added 3 new physical branches, taking the total to 158 branches as of 30th June 2025. We added 75 employees during the quarter, taking the total employee strength to 1,709 as of June '25. We intend to add 6 new branches in Q2.
• Our Origination Market Share in the Rs 5-25 lakh ticket size in the locations we are present in based on bureau data has gone up from 1.5% in FY22 to 2.3% in FY25. We continue to retain a strong origination yield of 13.4% despite an 84% share of individual housing loans. This is a significant growth lever at our disposal in a falling interest rate environment.
• Asset quality saw a seasonal uptick in 1 + DPD and 30 + DPD. However, we expect the numbers to normalize over the next two quarters.
o 1 + DPD is at 5.4% (up by 90 bps on a q-o-q basis).
o 30 + DPD is at 3.5% (up by 50 bps on a q-o-q basis).
o Gross Stage 3 is at 1.8% (up b

y 10 bps on a q-o-q basis).
• The above seasonal uptick was more pronounced in two regions, Surat and Coimbatore -Tirupur. We have already seen a turnaround in Surat in July. We are expecting Coimbatore -Tirupur also to be resolved in the next few months.
• Our credit cost is at 40 bps. We continue to maintain a credit cost guidance of 30 to 40 bps, ensuring disciplined risk management even as we scale.
• Technology remains central to our execution and continues to give us competitive edge. HomeFirst embarked on the journey of exploring AI/ML technologies more than

five years ago. In Q1, we launched “Pulse ”, which is an omnichannel Conversational AI platform, which enables integrated customer conversations across va rious channels like Voice, WhatsApp, SMS, Email, etc. It is functional in 7 Indian languages and uses AI to facilitate business process flows and provides actionable insights through advanced transcription and analytics. Pulse use -cases span across lead generation, customer verification, underwriting, collections, and customer service.

• During the quarter, we also went live with our internally developed enterprise -grade “Document Management System ” and “Treasury Management System ”. The core benefit of developing these applications in -house is that these are tailor made to suit our business flows. And more importantly, we remain agile to adapt to changing business requirements.

• Digital adoption continues to be strong and a key area of our focus as we grow.

• 78% of our approvals in Q1 were facilitated by the account aggregator framework.

• More than 80% of our loans are digitally fulfilled through agreements and E-NACH mandates.

• And 96% of our customers are registered on our mobile app with 88% of service requests now raised digitally.

• During Q1, we got 70 additional Green Homes certified, taking the total to 190. Our efforts and dedication towards responsible and sustainable financing are evident from our ESG scores. During the quarter, MorningStar Sustainalytics has reaffirmed our “Low-risk” ESG rating. SES ESG Research has assigned a score of 80.8 in 2025 (vs. 78.9 in 2024). And CRISIL has assigned a score of 64 (up from 63) - implying strong rating.

• I would like to share a quick update on the PMAY 2 .0 scheme. I am happy to share that 7 customers have already received the first tranche of subsidy with another 7 approved and awaiting funds. We expect the scheme to pick -up traction with increasing customer awareness and streamlining of the process.

With recent cuts in policy rates and the government’s continued focus on CapEx growth, increasing disposable income and “Housing for All”, we remain confident of a strong demand for housing and housing finance. Given our strong and unique business model, we are well positioned to harness this multi -decade growth opportunity.

With that, I now hand it over to Nutan to take you through the financials in more detail. Over to you, Nutan.

Nutan Gaba Patwari : Thank you, Manoj . Good afternoon, everyone.

Let us start with the key financial metrics :

• Total income for the quarter stood at Rs. 455 crores, up by 33.4% y-o-y and 9.4% q-o-q.

• For Q1, our spreads, excluding co -lending was 5.1%. Cost of Borrowing (COB) , excluding co -lending maintained at 8.4%. Disbursement yields were at 13.4%, in line with 13.3% in Q4FY25 .

• Net Interest Margin (NIM) for Q1 was 5.2%, up from 5.1% in the previous quarter.

Cost to income at 34.2% in Q1 FY26 , decreased 150 bps on a q-o-q basis. Operating expenses to assets was at 2.7% for the quarter, in line with our expectations. We expect this ratio to remain range bound within 2.6% - 2.7% as we focus on growth and expansion.

• Our Profit After Tax increased to Rs. 119 crores, up by 35.5% y-o-y and 13.6% q-o-q with Return on Assets of 3.7% and Return on Equit

y of 14.9 %. Proforma pre -money ROE (adjusted for QIP) for Q1 was at 16.6%.

Moving to Provisions and Asset Quality :

• Credit cost for Q1 stood at 40 bps. We continue to maintain our annual credit cost guidance of 30-40 bps .

• We continue to adopt a conservative approach to provisioning, maintaining a provision overlay over and above ECL requirements. As of Jun’25 , our total provision coverage is 43.1%.

Moving to Balance Sheet and Capital Position :

• Our borrowing profile continues to be well diversified and cost effective, reflecting our prudent financial management. 60% of borrowings come from private and public banks, 16% from NHB, 19% from assignment and co -lending and balance from NCBs, ECB and NB FC.

• During Q1, we executed direct assignment transaction worth Rs. 184 crores.

• Our disbursement on the co -lending increased by 87.5% y-o-y and 43.3% q-o-q to Rs. 78 crores for Q1, taking the co -lending book to Rs. 434 crores or 3.2% of the total AUM. Co -lending will continue to be an important part of our strategy to strengthen our ability to cater to higher ticket size segments. We aim to take co -lending contribution to 10% of disbursements as we scale.

• Our Q1 reported cost of borrowing is competitive at 8.4% (Ex- co-lending), enabling us to maintain healthy spreads. With the recent rate cuts and an improved long -term rating, we expect the cost of borrowing to improve in Q2. Our June and July marginal Cost of Borrowing is sub 8%, giving us significant confidence that we can deliver benefit in COB in the next two quarters.

Coming to Capital Adequacy and Liquidity :

• Our Capital Adequacy Ratio as of Jun'25 stands at 49.6% with Tier I at 49.2%.

• Our Net worth stands at Rs. 3,855 crores, up by 76.2% y-o-y and 52.9% q-o-q. Book value per share (BVPS) as of Jun'25 is Rs. 373.

• Our strong balance sheet with high capital base underlines our readiness to take on the growth ambitions of the company.

With that, we conclude our opening remarks and are now happy to take your questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from Suraj Das from Sundaram Mutual Fund. Please go ahead .

Suraj Das : Hi, s ir. Thanks for the opportunity. Sir, the question is on disbursement. This quarter disbursement has been weak. I think you called out a couple of places where probably there was seasonal impact. But sir, if I look at your guidance and what effectively you were saying is that over the next nine months, the disbursement growth will be something like 24% - 25% on a y-o-y basis. But if I look at your disbursement this quarter, it has been only 7%. And even if let us say, adjust for the co -lendin g business, it is hardly 4% - 5%.

So, sir, I mean, the question is in terms of disbursement, what are the challenges? In your couple of geography also, not only the ones that you have called out for . But also, let us say, in UP and

Uttarakhand, I think the AUM growth is slowing down. So , if you can give us more color in terms of disbursement and then what has been the pain point for this quarter and how you are planning it? If you can give us a bit more color on that?

Manoj Viswanathan : As I mentioned, disbursement only in April was slower than expected number. I think just the year opened on a slower note. Generally, Q1 has much lower number in the industry compared to Q4. Till now, we have always been slightly above, except for last year where we were about 5% higher than Q4. If you see previous years, that is Q1'24 over Q4'23, Q1'23 over Q4'22, etc. you will see that we are just 1% or 2% higher than Q4 in Q1. Generally, it is a seasonally low quarter.

Other than that, frankly speaking, yes, April was slightly slower than expected. Th

at is why I said there is a Rs. 40 - 50 crores kind of difference than what we expected. But otherwise, May onwards, we are moving in line with what we have planned for the year, which is about Rs. 5,600 - 5,800 crores of disbursal. If you see our history also in the past, if you see FY23, for example, Q1 was low, but then Q2, Q3, there was a jump or rather Q3, Q4, there was a jump. So, you will have to look at it through the year.

Other than that there is nothing additional to add. As I mentioned, in Tamil Nadu and Telangana, there were two large markets again, the Q1 was a little muted, which is why we kind of came lower than expected. But this trend is likely to get corrected and we should be moving on expected lines in the future. There is nothing structurally which is difficulty in disbursements or anything which we are seeing on the ground.

Suraj Das : Okay, sure. And sir, if I may ask, what was your April disbursement this year versus historical run rate? I mean if the April was slower, is it meaningfully slower?

Manoj Viswanathan : It was lower than what we expected. First quarter, we were looking at maintaining about close to between Rs. 430 - Rs. 450 crores kind of a run rate . But April alone came a bit lower. I think it was around Rs. 380 crores. That is about Rs. 40 - Rs. 50 crores of difference came in April itself. We caught up in May and June, and even July, the trends are good. So , I think , it was just a blip in April.

Suraj Das : Okay. Sure. And one last question from my side, sir, in terms of asset quality, again, I mean, partly seasonal, I can understand. But again, this quarter, if I see the gross increase in Stage -2, Stage -3 plus write -off, that number has been quite elevated. Is it the new branches that you have opened over the last one or two years that is getting matured and hence, you are seeing the pain now or what it is? Or do you think there is only seasonal?

Manoj Viswanathan : Seasonally, there is a 30 - 40 bps impact in general. That is why I have called out that other than seasonal, we had a couple of markets where we had more than the seasonal impact generally that we see in Q1, which was Surat and Tirupur - a little bit of the sluggishness and credit squeeze in the economy has led to a little higher than normal uptick in delinquency in these markets . These are basically people who get employed in factories, etc. So, they end up catching up in a couple

of months. For example, in Surat, they were unable to pay in June but in July we are seeing a turnaround. Many of the people who did not pay in June are now paying two installments in July. It is just something that we feel is under control.

Suraj Das : And sir, on a full year credit cost basis, what kind of credit cost you are expecting this year for the full year?

Manoj Viswanathan : 30 - 40 bps is what we have always mentioned because there are always ups and downs in this business. We should be in the range of 30 - 40 bps, not expecting higher than that.

Suraj Das : Sure, thanks. Yes, that is all from my side. Thank you.

Moderator: Thank you. Next question is from Renish from ICICI. Please go ahead.

Renish : Hi. Sir, just two - three things from my side. Obviously, sorry to coming back to the disbursement front. When we look at in absolute terms, obviously, it is hovering around Rs. 1,150 crores to Rs. 1,250 crores despite we adding 25 new branches, adding more than 400 people in past one year. Obviously, the scale up is sort of below expectation . And what gives you that confidence that we will catch up this lower disbursement in April, in let us say, May, June, July because two things – obviously, Coimbatore, Tirupur , you said, will take some time for a full recovery ; and also, I do not know what is your view on TN and Telangana but what are the feedback you are getting from the ground,

which gives you that confidence that we will be able to sort of recover this loss disbursement in April?

Manoj Viswanathan : Two things. One, May and June were normal in terms of what we expected. We bounced back in May , June and even in July , if we see the nos. till today. That gives us the confidence that April was a temporary blip. Let us say, in April, we had clocked the same number as May, then we would not be having this conversation . It was Rs. 380 crores. Three months in a row, May, June & July, we have been able to move as expected which gives us the confidence . There is no structural issue or anything like that. That is one.

And secondly, look at the overall industry . If we compare our Q1 with the rest of the industry. In fact, in full year FY25 as well as Q1 versus Q4, if we compare ourselves with some of our peers or the larger industry, the drop has been substantial. In our case, it was a 2% drop compared to Q4, which we accept is not something that we expected. We were expecting a 2% - 3% increase on Q4.

But if you look at overall industry, the industry drop is more substantial than us. We are much better off and we have already corrected that trend in May, June, and July. That is what gives us the confidence that we should be able to meet our overall year numbers.

Renish : Got it. And sir, would you like to share your July disbursement number?

Manoj Viswanathan : We are still five days away from month end. It will be difficult to share that number.

Renish : Sir, secondly, on this small ticket LAP piece. Obviously, we are hearing multiple players highlighting stress in this portfolio. And of late, we have been sort of scaling up this book aggressively in recent past. What is your sense on this LAP book? And would you want to continue this growth path in this product given the current scenario ?

Manoj Viswanathan : We have always been very picky about what we are picking up in LAP, what we are onboarding in LAP because we never had a pressure to grow that book. And it is anyway not a large contributor to our overall growth. We are not worried about the LAP portfolio and it is not giving us any additional stress in spite of all the noise in the market. Because the contribution of LAP to disbursement is only about 16% or 17 %, 80% plus is still coming from individual housing loans , which is why we are not worried about the LAP portfolio.

Renish : Have you sort of analyzed your stock in LAP, I mean, in terms of, let us say, number of customers having more than three loans? Or any data would you like to share which can sort of give us some comfort on the health of this portfolio currently?

Manoj Viswanathan : Yes, we have done that. We did it a few months ago. At the time, the discussion was more around MFI business and how it impacts . We did a mapping of whether our customers are MFI customers. We only found about 1% odd overlap of our customers with the MFI segment. As far as other loans are concerned, there has always been an overlap. If you see the bureau penetration of our portfolio, it is 85% , which means 85% of the customers are already coming to us with a bureau score, which they must have obtained because they already have some kind of small ticket loan, which they have borrowed. That has always been there, and that number is only increasing every day.

So, difficult to say what is impacting or not impacting. Maybe , like I said, in some of these markets like Surat, Tirupur , etc., where we are dealing with lower income category people, like factory workers, etc., there is probably some impact . But it is so little that it is difficult for us to attribute everything to that.

Renish : And just a last data keeping question, maybe for Nutan. So, what is the realized yield under co - lending ? And, also yields for loan in more than Rs. 25 lakh ticket size, whi

ch is 14% of AUM?

Nutan Gaba Patwari : Realized yield on co -lending will be around 10%. That is what we basically price to the borrowers. What we end up earning is much more if you go through the unit economics principle .

But essentially what we charge to the borrower is about 10%.

Yields for loans in more than Rs. 25 lakh ticket size would be about 50 - 75 bps lower. So, around, let us say, 12%.

Renish : Thank you and best of luck to you.

Moderator: Thank you. Next question is from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal : Good evening, everyone. Thank you for taking my question. First thing, I just want to understand this increase in 1+ DPD that we saw about 90 bps q -o-q. Was the slippage much more pronounced in the month of April ? And then , in the months of May and June, things kept getting better? Was that the case for us as well?

Manoj Viswanathan : The slippage was high in April, yes. In May, we kind of pulled back. Then there was some slippage in June as well.

Abhijit Tibrewal : Got it. And July, again, the same thing, I mean, trending along similar lines as June? Or is there a recovery?

Manoj Viswanathan : July is much better than June. It is much better than May also.

Abhijit Tibrewal : While you have already spelled that out, but all I am trying to understand is what the industry saw in the month of April was a little unusual of sorts. And to be honest, there is not too much of an explanation of why that happened in April. I am talking at the industry level , so as for us. In your view, is it just macro weakness, tightness in customer cash flows, which is resulting into this or is it something else?

Manoj Viswanathan : There would have been some weakness at the customer level. But at least internally, it was the collection efficiency reduction as well, just our inability to collect from these customers in April for va rious reasons. Customers being on leave, employees being on leave , it is basically a collection efficiency issue. If the entire industry has faced something tha n probably there was some marginal difficulty that customers face d. But that was, I think, more of unavailability of customers, fewer employees on the job and so on.

Abhijit Tibrewal : And then the second question I had was around Karnataka. Manoj, just trying to understand, we all know because of e-Khata issues, things have been weak , the momentum has been weak in Karnataka. So , just trying to understand, I mean, Karnataka is not among our top five markets. And despite that, I mean, I see the growth that we are seeing in Karnataka for the last three quarters - four quarters, right, that has been weaker than our top five markets. So, if you could just help us understand what is happening in Karnataka on the ground? And when are we expecting things to recover in Karnataka?

Manoj Viswanathan : There are multiple issues in Karnataka. One is that we are concentrated more in Bangalore. Almost our entire business comes from Bangalore and surrounding areas. We do not have an extensive distribution across Karnataka. And secondly, this eKhata issue is there, which has impacted our volumes over the last three quarters. It is still not resolved. That process is slow. And of course, the employee dynamics in Bangalore are also very different compared to rest of India.

All these factors are there, which is why it is not one of our key markets. We will probably get better bang for the buck in many of the other markets. We will have to solve these things one by one. It will take some time for these things to get resolved. Of course, if the eKhata gets resolved,

the numbers will come back , because we have a strong presence in Bangalore. But in terms of distribution across the state, etc., it is m

ore long -term and we need to solve for that.
Abhijit Tibrewal : And Manoj last question for you, while you said long -term. So, that reminds me, I mean, if you could just speak a little bit about what is our market share like today and then over the next maybe three to four years ; what is our aspiration like in terms of market share? And if you could just also briefly speak about geographies that you will be focusing on? I understand for the last two years we have been talking about some newer geographies that we have been focusing on in the last couple of years. So , if you could just briefly speak about some of our market share aspirations. And within that, I mean, large part of it, where will they come from?
Manoj Viswanathan : As I mentioned on the call, if you see over the last three -year period, our o rigination market share , it ha s gone up from 1.5% in FY22 to 2.3% now in FY25. So, there is a market share gain and our ambition is to take this number to closer to 5%, say, in the next four years to five years.
And in terms of markets, so last year, if you remember, we spoke about kind of focusing on newer markets like our MP, Rajasthan, UP, Uttarakhand. Out of those four markets, we have had a reasonable success in Uttarakhand, Ra jasthan and MP or has a very good success in these three markets.
As far as UP is concerned, we anyway did not go as aggressively as the other three, because UP is a large market, still a little more rural than the other markets. We have been cautiously expanding distribution in UP. And we will continue to do that. Probably we will see more action in UP over the next , maybe , two years to three years rather than immediately. But in MP and Rajasthan, you can see that our AUM share ha s gone up . And they have become fairly significant markets for us now.
As far as other markets are concerned, we again did a good turnaround in Maharashtra. A couple of years ago, the AUM share of Maharashtra was reducing . But now , it has again started turning around and the AUM share is increasing. It is a very large market and it is becoming significant for us now. Tamil Nadu and Telangana, we had some issues over the last two quarters in terms of leadership, people, and so on, which we have now rectified.
So, this year, we should definitely see an uptick in those markets. So, these are the largest markets , Gujarat, Maharashtra, Tamil Nadu, Andhra, and Telangana put together and MP. These are our largest markets, followed by Rajasthan. And then, of course, we have Chhattisgarh , UP, Uttarakhand, and Karnataka which are smaller for us.
Abhijit Tibrewal : Got it , Manoj. Thank you so much. And one last question for Nutan. Looking at your borrowing mix, we are increasing our borrowings from public banks versus the private banks. So , if you could just help us understand a little bit about are we getting lower cost borrowings from public banks, which is where that inclination to borrow from public banks? Or how should we think about this?

Nutan Gaba Patwari : Essentially, it is a function of where the draw -down is happening in that particular quarter. We did a large draw down from SBI in Q1. That is why if you see the public banks have gone up from 34% to 36%. As a strategy, we are not very choosy between a public sector bank or a private sector bank. If I were to lay down top 3 criteria , the first thing that we focus on is tenure . And second is diversification, third is pricing. And second and third, probably depending on the market situation can be either way. But tenure is sacrosanct for us. We do not do short -term borrowing below five years.
So, when you consider that, depending on where we are getting all these three rights, we will borrow and draw down essentially depends on what time -period we get to draw down depending on the capital charge and so on. Thi

s particular quarter, we have drawn down from SBI and last quarter also it was SBI. Now we have completed that large line. So, now you will see some expansion in the private bank line. It will keep interchanging really speaking.
Abhijit Tibrewal : Got it. But the pricing is broadly the same, be it private or public?
Nutan Gaba Patwari : Yes. The benchmark for the pricing could be different, but the landed cost is broadly the same.
Abhijit Tibrewal : Yes. Correct. Thank you so much and I wish you and your team the very best.
Moderator: Thank you. Next question is from Chandrasekhar from Fidelity. Please go ahead.
Chandrasekhar : Hi, good afternoon. I had a few questions. Manoj, I think over a pe riod of time, the productivity metrics on a per employee basis have actually come down a little bit. I mean, maybe you want to spend some time on where you are deploying people? Are you beefing up some more of the back end? Or is there a reason why the produc tivity has come down , just because you have added a lot of branches? That is question one.
Second is on spreads, given that we have had the rating upgrade. In the previous cycle when rates went down, we did see a brief pe riod of spread expansion , because you said the customers were not particularly sensitive. But I noticed you have done, I think, a 35 bps cut from starting August. So, how should we just think of spread more near -term in that context and more over the longer -term?
And in Maharashtra, I mean, what is happening because it is pretty much a sharp jump, which

has happened in any markets there? And then lastly, just on early delinquencies, obviously, has been inching up. From the commentary, you said, do you sense that, that is topped out and then coming off over the course of this year? Thanks.
Manoj Viswanathan : Productivity has been fairly constant. So, if you are just referring to probably dip in Q1, it is again because of the dip in numbers.
Chandrasekhar : No, this is more over a pe riod of time . I understand Q1 is a little seasonal, but I mean, we used to have disbursals per employee for the quarter of Rs. 75 lakhs - Rs. 80 lakhs. It is down to Rs.

70 lakhs - Rs. 73 lakhs . That has not moved up despite sort of ticket sizes over a pe riod of time coming , sort of case per employee is Rs. 75 lakhs down to Rs. 72 lakhs , so it is just some .
Manoj Viswanathan : You are talking about the AUM per employee.
Chandrasekhar : Yes, the cases , yes, the outstanding cases per employee are a little lower now. Disbursals per employee are a little lower now. That is been a sort of trend over a pe riod of time, not specifically one quarter related.
Manoj Viswanathan : Largely we benchmark disbursement per employee of about Rs. 3 -3.5 crores a year . We are in the same ballpark, except that one or two quarters when the employees join. Like Q4 and Q1 is when large number of employees join and the employee count goes up and the volume is also correspondingly lower. At that time, there is a slight reduction. But I think , it should broadly be in that range of about Rs. 3 - 3.5 crores per employee per year. We are not seeing that going down. We will continue to maintain it at those levels.
And as far as spread is concerned, again, as I mentioned on the call, we have actually tried to maintain the yield at about 13.4% in spite of the overall reducing trend in interest rates. That is one lever that we have with us, and we can use that to build up disbursals as we go forward. As we start seeing the transmission and as we start seeing the cost of borrowing coming down, we can actually use that to build up volumes. We have not actually done any repricing as of now . We still have those levers with us, especially , on the origination side, if you see last quarter also, we maintained the origination yield of about 13.4%. That is a strong l

ever that we have with us,
which we can use to build up volumes going forward.
On Maharashtra, yes, there has been definitely a turnaround. Last two years, we were working on building and rebuilding the team , getting our positioning in the market, etc. So, those things have worked well. And we again see 30% AUM growth in Maharashtra, which used to be much lower a couple of years ago. So last year we managed to get into that 30 % + of AUM growth in Maharashtra. And Maharashtra is one of the tough markets where Bombay and Pune are really very formal markets with large players, etc. And here, if we have managed to turn this around and get to a 30% + kind of an AUM growth, that gives us a lot of confidence that we can kind of do the same kind of business and same kind of turnaround in some of the other markets where there is some slowdown.
On the delinquency side, which was your fourth point, in Q1 delinquency always goes a little higher . But except in one or two markets where we saw more than the seasonal uptick. But then the good news is that in July, for example, in Surat, we are seeing a good pullback. Like I said, a lot of customers are making the payment, which they missed in June also. So, we do not feel worried at all about that uptick. We should be able to pull back on that.
Moderator: Thank you. Next question is from Amit Ganatra from Invesco.

Amit Ganatra : Question is for Nutan. Your cost of borrowings q-o-q is almost same. From when should you start getting some benefit of your rating upgrade as well as the general interest rate cuts?
Nutan Gaba Patwari : Amit, if you see it is flat q-o-q. June and July, our marginal cost of borrowing is below 8%. And I am expecting Q2 reported cost of borrowing to be 20 bps lower. So, we should start seeing that benefit and hopefully, by Q4, this 8.4% should be more like 8%.
Amit Ganatra : Okay. But this is largely on account of general interest rate cut? Or is there any extra benefit that you are now getting on account of rating upgrade?
Nutan Gaba Patwari : See, the spreads have reduced. When we are negotiating with the banks, the spread that used to get added has started to come down by 15 - 20 bps. But of course, the overall rate cycle has also come down. So , it does get mixed up to some extent. So, having a proper bifurcation, which is, let us say, auditable will be very difficult.
Amit Ganatra : The only thing is that should not your cost of borrowing improve more than just general interest rate cuts? Or is it that your hunger is so high in the sense that you are still growing fast. And anyways, you mentioned that it is a tenure and then you mentioned one more thing and then pricing is the last thing that you guys look at?

Nutan Gaba Patwari : Amit, the issue is not the size of borrowing that we are looking to do either this year or next year. We are small in the relative scheme of things. But what happens is that the benchmark for each of the lines that we draw down, for example, ranges between repo, T -bill to a 3month MCLR all the way to a 12-month MCLR. And let us say, if you are working with a large public sector bank, they will stick to an MCLR based pricing only. And then the lowest MCLR is a one month versus a private sector bank, dependin g on which bank you may be referring to you can focus on a repo-based pricing also.

And ultimately, what boils down to is the landed cost. But what gets reported is if I have done a transaction, let us say, six months out and the MCLR has not moved down, though the overall policy rate has moved down and G -Sec has moved down, so it takes time. The only bank that has taken down the MCLR meaningfully today is SBI. Nobody else has done that. So, transition takes time. What we are ensuring is that our marginal cost of borrowing is below 8%.

Amit Ganatra : Okay. And have you done any corr

esponding actions on the yield side?

Nutan Gaba Patwari : Not yet. What we had discussed to date is that we will first want to see the cost of borrowing line go down and then take the call. So, we have parked that decision for either middle of Q3 or early Q4. Q2, we are not looking to make any changes.

Amit Ganatra : Okay. And lastly, generally disbursement to some extent, slowing down was there. It is not only this quarter, it has been there for more than one quarter now. So, just one question there , that is it on account of rising competitive intensity? So, you mentioned a couple of markets , or is it only very, very geography based? Or is it on account of higher rejections at your end because asset quality basically is also important. And what would be the reasons that one can attribute?

Manoj Viswanathan : Amit, I think other than April, frankly, we do not see it as a disbursement slowdown because last year, I think this discussion again came up because in Q1, we had grown quite aggressively. And then Q2 and Q3, we kind of just consolidated. So, there were questions around why the disbursal is kind of flattish across Q2 - Q3. But that was more intentional in some ways. And then Q4, again, we saw a decent jump, almost 10% on Q3. So, April was the only disappointing month if you ask us internally. Otherwise, Ma y, June, July, are going as we have planned. So, we do not see it as a stress on disbursement or difficulty in disbursement.

Amit Ganatra : Okay. Thank you.

Moderator: Thank you. Next question is from Anand Bhavnani from WO. Please go ahead.

Anand Bhavnani : Two questions. One is if you can tell us approximately what percentage of our disbursement in the last one year would be to under construction apartments under the CLP, construction -linked plan, framework?

Manoj Viswanathan : Under construction on the AUM is generally around 12% to 14%. As you can see from the chart on Page No. 14 of the IR Deck , which shows the pre -EMI versus EMI .

So, 13% is under construction, which is in pre -EMI mode, where the loan is fully not fully disbursed and 87% of the AUM is fully disbursed.

Anand Bhavnani : And second, when I look at the payment rates, it seems our payment rate has come down in a sense that , maybe the BT out has come down in this particular quarter . Anything that you can share with us, which explains this trend?

Nutan Gaba Patwari : It is a Q1 phenomenon, Anand .

Manoj Viswanathan : Yes, Q1, to some extent, the overall industry is not as aggressive as Q4. So, the BT out rate comes down a little bit.

Anand Bhavnani : Got it. Thank you. All the best.

Moderator: Thank you. Next question is from Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain : Thank you for the opportunity. First question again is on growth. So, if I do numbers to deliver 20% disbursement growth for the full year, we have to do a Rs. 500 crores disbursement per month from here onwards. And my sense is that we did around Rs. 430 crores - Rs. 440 crores disbursement in May and June. So , how do you plan to increase the disbursement run rate to Rs. 500 crores per month?

Manoj Viswanathan : Yes. Basically, that requires us to have two quarters where we have maybe a 7% to 10% kind of a growth rate on previous quarter, which we have done in the past. And now the organization is much larger with much wider distribution. Getting that additional Rs. 40 - 50 crores, we do not see it as a big challenge . Especially , in a falling interest rate environment. So, what we are saying

is that this quarter, we do about Rs. 1,350 crores. Then next quarter, we do about like Rs. 1,450 crores and then Rs. 1,550 crores . We should get there , ballpark.

Nidhesh Jain : Okay. And secondly, so since our RM looks after collection as well as

disbursement sourcing,
so when 1 + DPD increases, the load on the RM for follow -up, etc., will also increase. So, in that context, how do you plan the bandwidth of RM? And how many cases does the RM handle on collections? And so to make sure that our sourcing engine remains intact, how do we plan the bandwidth for the RM?
Manoj Viswanathan : RM is expected to deliver about five loans in a month, which translates into about Rs. 50 - 60 lakhs of disbursal. That is on the disbursal side. And then on the collection side, they generally handle about 15 to 20 overdue customers. That number has been kind of static over time. We do not see see a bandwidth problem for the employees. Plus, a lot of tools have been made available over a period, like there is e -signature process, payments through UPI , etc. So, actual effort has actually diminished, which is why bandwidth is available for them to do the activity.
When I say 20 overdue customers, are allocated to a relationship manager. Typically, if I call those customers on phone, out of 20, about 10 would make a payment without any physical visit. I just need to send them a link, and they will make the payment through UPI, etc. Effectively, I am left with only 10 customers whom I have to visit to convince them to pay. Bandwidth has never been an issue.
Nidhesh Jain : Sure. And third question is on 1+ DPD, s o is it a regional problem? You mentioned Surat a couple of times. So, is it more confined to Surat where we have seen this 1 DPD rise or we are seeing it across geographies?
Manoj Viswanathan : I mentioned the two regions where there was a more significant increase. Out of the total, let us say, 16 or 17 regions that we have carved the country into, there were about five to six regions where there was a more than normal uptick in April and June. Out of these five to six regions, there were two regions which were more pronounced, which is Surat and Coimbatore -Tirupur . For t he remaining 10 regions, frankly, the numbers were very benign. There was no uptick at all.
Nidhesh Jain : Okay. And there also, we are now seeing improvement in the month of July?
Manoj Viswanathan : That is right. In July, there is a substantial improvement in Surat.
Nidhesh Jain : And in other geographies as well, right, Coimbatore and Tirupur ?
Manoj Viswanathan : Coimbatore -Tirupur not as much as Surat, but it should improve over the next two - three months.
Nidhesh Jain : Sure. And last question is, what is the count of active connectors for the quarter?
Manoj Viswanathan : 3,600.

Nidhesh Jain : 3,600 , that number has also tapered off. I think this number more than 3,700 in Q3 of last year.
Manoj Viswanathan : Q4 number was a little higher . It again flows from the fact that the disbursal was lower than last quarter because directly correlated to the disbursal. The way we calculate this number is basically connectors who have contributed to a disbursal in that quarter. Since the disbursal was 2% lower, this number is also slightly lower than last quarter.
Nidhesh Jain : And sir, are these connectors linked to the company, or they are linked to the your RMs? Basically, is our business model still dependent on employees and RMs or even irrespective of the RM, these connectors will keep giving us business?
Manoj Viswanathan : Irrespective of the RM, connectors will keep giving business because they are linked to us. There is a contract signed with the company. And if an RM exits, then we know that a particular connector needs to be reallocated to a new RM. That information is available to us. So, we end up reallocating the connector and then some other RM will look after that relationship.
Nidhesh Jain : Sure. Thank you. That is, it from my side.
Moderator: Thank you very much. The next question is from Boon Han ONG from Lion Global Investors. Please go ahead.

Boon H an ONG : Hi. I am new to the company, but I have two questions. The first question is regarding the fee income. The fee income has been growing very strong. I just want to know if this growth is sustainable. The second one would be in terms of your cost -to-income ratio. We have seen good improvement in the r ecent quarter. Do we have a target in terms of our cost -to-income ratio in the near term?
Nutan Gaba Patwari : Thank you for your questions. The fee income has gone up because we have seen some mix improvement in our insurance partners. Yes, it is sustainable. We had guided a few quarters back that the insurance commission will range between Rs. 15 - 20 crores a quarter. We were holding to that number. Rs. 15 - 20 crores is what one should expect every quarter on that particular line. Cost income has gone down. What we are anchoring the conversation to operating cost to total assets, which is at 2.7%. What we are guiding is 2.6% - 2.7% for the full year, considering that we are still investing for growth. We are also adding branches and people , so 2.6% - 2.7% is there. We are broadly focusing for the rest of the year.
Boon Han ONG : Right. What about the near -term? I mean, the near -term, medium -term, what do you expect in terms of cost income ratio?

Nutan Gaba Patwari : If you take a three -year view, a medium -term view, we should definitely go more towards 2.5%.
Boon Han ONG : Okay. I see. And this fee income , the growth itself, how is it linked to the loan growth? Or how should I do an estimation

Nutan Gaba Patwari : It is linked to the disbursal growth. About 90% of our customers take an insurance policy and we earn commission on that. Broadly speaking, 90% of our disbursals and a similar percentage of insurance commission we can do. What I will do is I will do a separate call with you and just take you through the model. Deepak will reach out and we will set up a call with you.
Moderator: Thank you. Next question is from Rajiv Mehta from Yes Securities. Please go ahead.
Rajiv Mehta : Hi, good evening. Manoj, can you comment on the trends in employee attrition at the branches? And how is your share in your connectors business volume moving? Are we gaining share within existing active connectors? How are the dynamics there?
Manoj Viswanathan : Employee attrition has been steady, around 30% across the last , Seven - eight quarters , which we think is kind of a healthy range for us. As far as the share of the connector is concerned, by design, we are trying to keep it very granular. We do not want to get a large proportion of business from one connector and our sales teams are incentivized to kind of diversify their origination across connectors.
If you see , there are different segments of connectors are dealing with. We want to make sure that if the connector is getting a higher segment loan or a prime loan than they go to a different company. And if it is a loan that is suitable for us, it is in the affordable segment, they send it to us. To that extent, the share will be bifurcated across va rious companies depending on the segment that they are operating in. And by design, we are trying to keep it very granular.
Rajiv Mehta : And just one thing, just observation is on the UP and Uttarakhand market. I mean in the past two quarters, the AUM growth has significantly slowed down. I mean anything to read here? Or if you can comment why the slowed down in the last two quarters?
Manoj Viswanathan : If you see last two years, we were saying that we want to expand in UP. So, we put in four branches, in key markets in Eastern part of UP, which is Lucknow, Allahabad, Varanasi, and Gorakhpur. And part of the UP business also comes from what is getting booked in Ghaziabad , because technically that falls in UP. Two quarters ago, we articulated that in some markets, we had

tightened some of the credit screens especially on the property side.
This holds true for the Ghaziabad business as well. So, Ghaziabad and Eastern UP, those screens were tightened. And as a result of which there has been a slight reduction in the business in those markets. It is a very large market, but we know we want to approach it very cautiously, which is why you are seeing a little bit of a slowdown there.
Rajiv Mehta : And anywhere else, we have done some tightening of underwriting or selection?
Manoj Viswanathan : We did do that last Q2 and Q3, especially of last year, we did put in certain screens in place, which are continuing. Higher ticket cases, pass -through of more screens. And as you can see there, the pace of increase of the higher ticket cases has slowed down from Q2 of last year. Rs 25 lakh ticket size segment was rising sharply if you see the previous year. But from Q2 of last year, that increase has slowed down a little bit. Because we wanted to kind of focus on the

affordable segment, smaller tickets, etc. , we did some tweaks to control the increase in the Rs. 25 lakh ticket size plus. Those screens are in place and they continue.
Moderator: Thank you. The next question is from Pranav Gundlapalle from Bernstein. Please go ahead.
Pranav Gundlapalle : Two questions. One is on the ticket size. Manoj, I think you have talked a lot about this natural increase in ticket size over time. Some of the peers have seen their ticket size stay stable, I guess, by going down a segment or two lower. The question is, is it more a risk filter that is preventing us from going down on the ticket size? Or is this a limitation of the model, either because of geographic presence, sourcing model or whatever else?
The second question is on attrition. You did mention the overall rate is stable at around 30%. Could you give some color around either tenur e wise or seniority wise or the position wise attrition? Just trying to get a sense of if someone sticks around for 1 year - 1.5 years or 2 years, how does that number change?
And third, if I can just squeeze in one last one. What percent of customers during a quarter would get a lower rate offered, right, because they express willingness to or intention to move out or any other reason? What would that rough number be? Thanks. Those were my questions.
Manoj Viswanathan : The ticket size, it is multiple factors. Obviously, the risk filter is there, but there is also a viability angle. Very small ticket sizes, if you actually wanted to make it viable, then we need to offer very high rates, which we are uncomfortable with. For example, if we have to actually offer a

Rs. 2 - 3 lakh ticket size loan, we will have to do it at very high rates. I mean maybe 15% - 17% to make it viable and to make it equivalent to a loan of Rs. 10 lakh loan at 13%. We are uncomfortable doing those small ticket loans at very high rates . Which is why when we talk about our segment, we start at Rs. 5 lakhs. We do not even talk about less than Rs. 5 lakhs. Rs. 5 lakhs to Rs. 25 lakhs is how we define our segment. Which is why, to some extent, we are not as low as some of the other peers as far as ticket size is concerned. There is risk as well as viability both filters are there in ticke t size.

On the second question on attrition, RM level attrition in the first one year is generally higher than 30%. It hovers around 30% to 35%. It slows down in the second year. Between 12 - 24 months, it is a little lesser. Then again, it picks up a little bit in the 24 month pe riod. 24 to 36 months, it comes back to around 30%. In head office and post three years, the attrition is much lower. It generally tends to be in the 10% - 20% range , This is the breakup of the attrition across various segments .

The number of customers who are getting a repricing offer would be aro

und 50 odd customers per month. So, maybe about 600 customers to 1,000 customers in the entire year.

Pranav Gundlapalle : Thanks, sir.

Moderator: Thank you. We move to the next question. Next question is from Kunal Shah from Citigroup. Please go ahead.

Kunal Shah : First thing , just wanted to gauge in terms of what led to this problem in Surat and Coimbatore because I think you said like you will be able to roll back. Was it more of internal issue or these were like the external circumstances in terms of slowdown in the economic activity? Because it does not seem like maybe the economic activity levels would have changed, okay, which is making us confidence with respect to the rollback. And particularly, that question is in context of provisioning coverage because that is also down to 22 odd percent . I think that confidence that we will be able to roll it back and get back to 25%. But if it does not come through, then seasonality might impact the credit cost, as we will need to get towards like 25% kind of a coverage.

Manoj Viswanathan : Generally , Q1, April, May, June is a little more difficult in terms of collection, which is why you see the numbers going up every year in this quarter. It is because part of the time customers are on vacation, plus there are some stress of school fees and things like that. There is additional load on the customers' wallet during that quarter, which also requires a higher collection intensity during that quarter. In April of this year, on both fronts, we had a problem. One is, obviously, the customer was under stress and plus collection intensity could not be matched , the level of intensity that is required to collect because, again, our employees are also on leave during that quarter and so on. I think it is a combination of both factors, a bit of collection intensity efficiency issue plus some stress at a customer le vel.

Kunal Shah : The only question was on quantum. Generally, it rises, but maybe if you look at last three years - four years, the increase which has been there . Say, even 1+ DPD , it would have been closer to like, say, 30 odd bps or so. And this time, it seems to be relatively on the higher side at 90 odd bps on 1+.

Manoj Viswanathan : For Surat , in any case, there are fluctuations in the incomes of the customers because they are all dependent on this whole diamond and textile industry. Depending upon demand in the market, global markets, etc., they may or may not be paid for over time. There is some fluctuation in incomes. Normally, what happens is in April, there is an uptick and then we kind of claw back in May and June. This time, we had a regular May. I mean we had a claw back in May. But then surprisingly, in June, for some reason, there was again some slippage.

That was the only difference if you see past years. Normally, whatever is the slippage in April , we pull back in May and June. This time in June also, there was some slippage, which is why there was a more than normal slippage. We do not see any fundamental issue as such in these markets, except that I think these are more lower income customers. The y are all factory workers and people belonging to that profile. Other than that, we do not see anything which indicates a pattern. The good news is , in July, i t is getting clawed back. So, we are not reading too much into it beyond that.

Kunal Shah : July itself, we are seeing a significant claw -back from this. So , it does not seem to be more like an economic activity issue ?

Manoj Viswanathan : Yes. some fluctuation maybe in economic activity possibly. Other than that, we are not seeing anything more significant than that.

Kunal Shah : Okay. And on the coverage side, maybe getting down to 22 odd percent, now we are at a relativ

ely lower level compared to our recent past as well. So, maybe obviously, it depends in terms of the ECL model, but would we need a higher provisioning out there?

Nutan Gaba Patwari : Kunal, we will be watchful on the overall number. If the number rolls back, then the coverage comes back to 25% because we will unlikely reverse the provisions that we have taken. And i n extreme scenario , if it does not, then we will build the provisions.

Moderator: Thank you. Next question is from Nischint Chawathe from Kotak. Please go ahead.

Nischint Chawathe : Hey. My question was essentially on competition in affordable and prime segments. And I think as the BT out trends for you and your peers seems to suggest that competitive intensity seems to have actually gone down, while in the prime segment has gone up. So, what could be the reason for it? And how long do you think it could be sustainable?

Manoj Viswanathan : First Q1, there is a lull in the competitive intensity, especially in BT outs because in Q4, many companies use BT outs as a channel to push up the overall yearly numbers. And in Q1, there is a slight drop in that. Otherwise, overall, I think competitive intensity, as we have always spoken about it, there is ups and downs across years. We do not see anything which is fundamentally different, probably Q1, it was a little lesser, especially on the BT side.

Nischint Chawathe : Sure. Putting it differently, there are some of the high -rated NBFCs who are now entering into the affordable space. Their cost of funding comes down, I think, much faster than you and some of the other peers. Do you see them getting more aggressive on rates?

Manoj Viswanathan : Most of the companies, what they have realized is that they need to maintain at least a 4.5% - 5% spread in this business to be able to make a decent ROE . If you are talking about the highly rated companies and companies which have a higher proportion of prime lending and the affordable is more as an add -on. If the affordable business needs to be ROE accretive, then they need to also maintain a similar 5% spread, because the expense is not going anywhere. The expenses will be similar. Whether it is a large company or a small company, the operating expenses and plus the credit losses, etc. are going to be similar.

Broadly, the industry has reached the conclusion that this is a business that runs at a 5% spread. So, we do not see rational for companies dropping rates too much. Of course, there are different strategies in the market. Some companies are cutting rates to certain segment of customers and then compensating it by offering a much higher rate to certain other categories, etc. Those are all more temporary in nature. I do not think it will work on a long -term basis. On a long -term basis, in the core affordable individual housing segment, you have to maintain a 5% spread , otherwise, your ROE will be much lower than what we have delivered.

Nutan Gaba Patwari : I want to add one point there, Nischint . If you look at the larger NBFCs, the cost of borrowing difference for us and them is less than 60 - 80 bps. Essentially, if you are doing a 13% product, they will have to do it at 12% - 12.20%, on a blended average, which is not very different ; which is not the reason why the customer will move. And if they do substantially lower, then to Manoj's point, they do not deliver the product level ROE and it will get called out at some stage. It is unsustainable to that extent. They will have to end up coming cl ose to the similar number where we are ; that 60 - 80 bps is the only difference that can be there, not more than that.

Nischint Chawathe : Got it. Thank you very much and all the best.

Nutan Gaba Patwari : Thank you, Nischint Chawathe .

Moderator: Thank you. Next question is from Shubhranshu Mishra from Phillip Capital. Please go a

head.

Shubhranshu Mishra : Hi Nutan, two questions or three questions. The first one is to maintain the disbursement run rate, what is the number of loans that we do on a quarterly basis? I understand there are variations in each quarter, but we would have a ballpark budget in our mind for the number of loans, give n the fact that the 90+ largely remains similar. Again, when we have to look at the 1 +, what is the curing of this 1+ till 15 DPD? From 16 to 30 DPD, what is the curing? And what was this a year ago? Third is if we can have the concentration of disbursemen ts, give us the concentration of AUM, concentration of disbursements of the top 10 branches, 11th to the 25th branch and 25th till the 50th branch?

Manoj Viswanathan : Let me go reverse as far as your questions are concerned. Top 10 branches would be delivering on an average about Rs. 5 crores a month in terms of disbursal per branch. That number which you said, 10 branches versus 20 branches versus 30 branches will broadly be in the range of Rs. 4 crores to Rs. 6 crores. So, Rs. 4 crores per month to about Rs. 6 crores per month would be the variation between the top 10 branches versus the top 30 branches.

You were talking about 1 + how that gets cured in the next two buckets. Basically, about 70% to 80% of the customers eventually get cured and about 20% then flows forward. That is in each of these buckets. I mean bucket, the 0 to 29 bucket, we get an 80% -85% resolution, so about

15% moves forward. And then in the next bucket, that is 30 to 59, the resolution is about 60% to 70%, about 30% moves forward.

Shubhranshu Mishra : I am focusing on the 0 days to 30 days. The idea was to understand what flows from 15 to the 16 to 30 DPD because till 15, we can call them or we can send SMSs or WhatsApp, the cost would be much lower versus 16 to 30 days to cure. That is the idea to understand.

Manoj Viswanathan : The bounce rate is around 15%, right . And by 15th of the month , we collect about 50% of that. So, if you see the number by 15 th, there is about 6% to 7% would be left.

Shubhranshu Mishra : Right. So, we are left with around 20% to 25%, which needs to be cured, right, which will flow into the next bucket, 30 +?

Nutan Gaba Patwari : No, no, no. Let me clarify this. Fourth of the month is the NACH mandate, which is when we collect 15% of all customers bounce. On the 15th of the month, we have collected another 7%. So, on 15 days past due, it is, 7% 1+ DPD , which at 30-day end of the month is 5%.

Manoj Viswanathan : In a particular month let us say, 100 customers bounce the payment. Typically, by the 15th, we collect 50% of that. So, 50 customers, we would collect by the 15th of the month. And then about 50 customers will be left between 15th to 30th. And again, if you look at that number by, let us say, 20th, we will be left with about 20 customers. So, only 20% of the customers who bounce in the beginning of the month will be left by 20th of the month.

Shubhranshu Mishra : Right. So, this 16 to 29 DPD, what is the cost of collection per file? Do we have that number or a budget?

Manoj Viswanathan : We do not have a separate collection team, which is only focusing on this particular bucket. We have the same relationship manager who is also doing va rious other activities, who is collecting from these customers. It will be part of the relationship manager’s overall compensation. Like I mentioned at the beginning of the call, the relationship manager’s broad responsibilities are to disburse a certain number of cases, say, about 5 to 6 transactions a month and plus collect about 20 overd ue payments. So, that is how the RM’s cost is bifurcated.

Moderator: Thank you. Next question is from Raghav from Ambit Capital. Please go ahead.

Raghav : Hi, good evening, and thanks for the opportunity. I have two - three questions. One i

s you have partly answered that, but what is the length of pe riod or years of experience you consider when you build your ECL model?

Nutan Gaba Patwari : From the origination of the company, so that’s 15 years.

Raghav : Also, my second question is, when I look at the total stock outstanding of Stage -2 and 3 assets right on an aggregate basis, the growth in that number is somewhere around 50% - 54% y-o-y, and that growth rate has been increasing for last two - three quarters. That suggests some deterioration in underlying asset quality. I know coming back to asset quality, but what is the reason for that? What are your thoughts? Because it is not just in this quarter that we have seen that, but even in some of the previous quarters, the growth rate in Stage -2 and 3 has been higher than the underlying AUM growth. Any comments that you would have on this?

Manoj Viswanathan : No, Raghav. There is no structural problem with the portfolio as such. If you see, our Stage -2, it is one of the lowest in the industry. On that small number, there is some slight movement. At least internally we are not alarmed about that number. If you compare our Stage -2, it is lowest across all our peers. That number might have gone up by a few bps. So, we are not alarmed.

Raghav : I am referring to Stage -2 and 3 cumulatively, but I think that explanation holds there as well.

Nutan Gaba Patwari : I was just looking at the numbers, for example, Q4, our growth in Stage -2 was only 3% vis-à-vis our AUM growth of 6%. So, I think when you look at stress, you will have to look at it

differently because they are in different buckets provided differently and the impact on financials is also different.

Raghav : Understood. Nutan, I was referring to, say, the y-o-y numbers because just to adjust for the seasonality that a particular quarter has. And hence, that is where I was coming from. The other question that I have is, see, in 1H FY25, you added a substantial number of employees, right, that number versus FY24 was up 30%. But since then, I think the addition has not been a lot, 1,650 going to s ome 1,700 employees. You also said that attrition has been fairly stable, yet your value productivity per emplo yee has not improved, right, despite rising ticket sizes. And given that the typical employee becomes more productive with every passing month, why is it that the AUM disbursal per employee is not increasing?

Manoj Viswanathan : There is a certain range in which disbursal per employee moves . Like I said, Rs. 30 - 35 million or Rs. 3 3.5 crores is the disbursal per employee per year. Unless we change something structurally , that number will not go up substantially. Like a few years ago, we introduced some

level of automation. We were able to kind of move up that number. So, unless we do something which is structural like that, that number is going to be range bound.
Moderator: Next question is from Dixit Shah from Ascendancy Capital . Please go ahead.
Dixit Shah : Hello. A few statistical questions. Of the Rs. 864 crores for Uttar Pradesh and Uttarakhand, what is the AUM for Uttar Pradesh?
Manoj Viswanathan : Rs. 450 crores is the total Uttar Pradesh, which includes the Ghaziabad, which falls technically in Uttar Pradesh, but actually it is part of NCR, plus Eastern UP, which is about Rs. 100 crores.
Dixit Shah : Okay. Got it. And during the quarter, I think we might have not drawn any sanctions from NHB, I think because it is flattish q-o-q. Did you draw down ?
Nutan Gaba Patwari : Not from NHB.
Dixit Shah : And one more statistical question. Of the total AUM, what is the pure individual housing loans in the AUM?
Nutan Gaba Patwari : 84% is the housing loan.
Dixit Shah : Understood. Now coming back to a few questions on state -wise growth. So, Madhya Pradesh, we are seeing massive amounts of growth. It has gai

ned y-o-y more than 200 bps in our
composition. Are we seeing a higher ticket size growth there or the Madhya Pradesh market in itself has seen a very massive growth and we are capitalizing on it?
Manoj Viswanathan : All of it , actually. Madhya Pradesh is growing well. Ticket size is growing and number of units is also growing.

Dixit Shah : And we do not see any risk with respect to asset quality issues because some of the players were having a little bit of an issue, specifically in southern part. One of the players, which we compete in the southern areas, was saying in the less than Rs. 20 lakhs, they are not seeing as much as demand. A few of the other players were saying that there is good demand. So, in the state of Madhya Pradesh and also in South, where we are present, how are you looking at the demand scenario ? And are we seeing a lot of competition , with respect to the affordable segment and a sense on the overall view on the housing credit market?
Manoj Viswanathan : Madhya Pradesh has been developing well. The industrialization and urbanization are picking up there, and it is been developing well. It is a growth market in an overall sense. Plus , we have also capitalized on it. We have a great team there, and we have very good asset quality there. We have capitalized on that growth. Other markets, South, etc., are also growing. AP, Telangana, Tamil Nadu are also growing well. We had some issues in Telangana and Tamil Nadu in terms of team, etc., which we have sorted. Growth should come back there.
Moderator: Thank you. Next question is from Prithviraj Patil from Investec. Please go ahead.
Prithviraj Patil : My question was largely answered. I just wanted the guidance for the ROA, ROE given that right now the CRA R is quite high and there is a lot of liquidity on the balance sheet.
Nutan Gaba Patwari : Right. So, we had mentioned this in the last call. Currently, our ROE for Q2 will be lower, as we take on board the full leverage benefit. We aim to deliver 15% ROE in the next five to six quarters and then build from there. As far as ROA is concerned, we look to go closer to 4%, again coming purely from the leverage benefit.
Moderator: Thank you. Next question is from Shubhranshu Mishra from PhillipCapital. Please go ahead.
Shubhranshu Mishra : Hi. One question remained unanswered. What is the number of loans that we disburse on a monthly run rate basis? And I understand there will be quarterly variations, but still there will be a quarterly or a monthly number that we have in terms of our budget.
Manoj Viswanathan : About 4,000 loans a month is what we disburse.
Shubhranshu Mishra : Right. Sure. Thank you.
Moderator: Thank you. The next question is from Dixit Shah from Ascendancy Capital . Please go ahead.
Dixit Shah : Yes. Thank you for the follow -up. The second question that I had was on cost of borrowing. So, overall, we have seen 100 bps decline in the repo and we have a credit rating upgrade. So, overall, for the whole year, what would be the impact in the cost of borrowing that we could see by end of FY26?
Nutan Gaba Patwari : Very important to understand what is the composition of our cost of borrowing. The repo linked cost of borrowing is about 20%. About 60% comes from MCL R linked borrowing and MCLR of banks have not come down. So, while we may see 100 bps decline in repo, the MCLR

reflection has not yet happened. The deposit rates have started to come down and it is expected that MCLR will come down. This transition takes time. So, currently, we are at 8.4%. By December, I am expecting this to go down towards 8% - 8.1%. By March, we should definitely be at around 8% or maybe slightly lower than 8%. That is the expectation. Unless, of course, the bank's MCLR goes down much faster, t

hen the full transition will also play out in our cost of borrowing. But broadly, we would expect 50 - 60 bps transition by end of March.

Dixit Shah : Understood. And what will be the impact on our yields then correspondingly? How much is going to be passed on?

Nutan Gaba Patwari : We will have to discuss it in the ALCO . We have not done that yet because we first have to reflect the benefit in the cost of borrowing. So, only in Q3 or Q4 will be start passing it on. We expect the spread to be maintained in the 5% - 5.25% broad range.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference over to Mr. Manoj Viswanathan for closing comments.

Manoj Viswanathan : Thank you, everyone, for participating and engaging in the call. We hope we have been able to answer the questions to your satisfaction. In case you want to reach out for further questions, you can always reach out to Deepak Khetan or write to us on investor.relations@homefirstindia.com . Thank you so much.

Moderator: Thank you very much. On behalf of Home First Finance Company India Limited , that concludes this conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2025

HFFCIL/BSE/NSE/EQ/ 108/2025-26 Date: 08-11-2025
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai - 400 051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter ended September 30, 202 5

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call with analysts and investors for the quarter ended September 30, 2025 conducted on Tuesday , November 04, 2025 . The Company had referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company at www.homefirstindia.com

This is for your information and records.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary, Compliance Officer and Head – Legal
ACS NO: 26700

"Home First Finance Company India Limited
Q2 FY26 Earnings Conference Call "

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RELATIONS

This document is a transcription of the conference call conducted on 4th November, 2025.
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Moderator: Ladies and gentlemen, good day, and welcome to the Home First Finance Company India Limited Q2 FY26 Earnings Conference Call.
As a reminder, all participant s' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touch -tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Anjana – Head of Treasury and Investor Relations of Home First Finance Company India Limited. Thank you and over to you, sir.
Sunil Anjana: Thank you, Swapnali. Good evening, ladies and gentlemen. Welcome to Home First Finance Company's Earnings Conference Call to discuss the Financial Results for the Quarter Ended September 30, 2025. I am Sunil Anjana . I head the Treasury Function at Home First , and I have been with the Company since 2017. While I continue to lead our Treasury team, I am excited to now also steer our Investor Relations efforts.
We hope you have had the chance to review our investor presentation and press release, both of which are available on our website and the Stock Exchanges . As per our practice, we have also uploaded an Excel factsheet containing historical data on our website for your easy reference.
From the Management , we have with us today , Mr. Manoj Viswanathan – MD & CEO ; and Ms. Nutan Gaba Patwari – CFO.
With that, I now invite Mr. Viswanathan to share his insights on overall performance. Over to you, sir.
Manoj Viswanathan: Thank you, Sunil. Congratulations on assuming the additional responsibility of the Investor Relations role. Looking forward to working with you as we build a best -in-class Investor Relations function at Home First.
Good evening , everyone , and thank you for joining us today.
Let me share the Q2 FY26 highlights :
• The AUM growth remains strong, growing at 26.3% y-o-y and 5.2% q-o-q to reach Rs. 14,178 crores.
• We continue to broaden our distribution footprint, strategically adding to our presence in existing markets. In the last three years, we have expanded our distribution from 249 to 366 touchpoints, (up 47%). Branch count has also increased from 101 branches to 163 branches, (up 61%). Of these 62 new branches, 36 branches were established in our focus states of Gujarat, Maharashtra, Tamil Nadu, AP &T and Karnataka , and 26 in the emerging and other states.

• In this quarter, we added five branches, with the latest additions comprising three in Maharashtra, one in Andhra Pradesh and one in Gujarat. We plan to add four to five new branches in the upcoming quarter.
• Disbursements for the quarter stood at Rs. 1,289 crores, up 9.6% y-o-y and 3.7% q-o-q.
• Overall, disbursement momentum has remained healthy despite subdued macroeconomic environment stemming from prolonged monsoon and tariff uncertainty.
• Our origination yield continues to be healthy at 13.3% despite an 83% share of individual housing loans. This is a significant growth lever at our disposal in a reducing interest rate environment.
• Asset quality metrics have remained healthy and range -bound. We continue to focus on early bucket resolutions.
o 1+DPD is at 5.5%,
o 30+DPD is at 3.7% and
o Gross Stage 3 is at 1.9%.
• In the previous quarter, we had noted a marginal rise in delinquencies with a more pronounced impact in Surat and Coimbatore -Tirupur. This quarter, Surat has shown signs of recovery, while Coimbatore -Tirupur continues to see some challenges, largely driven by tariff -related impacts on businesses. Our credit costs remain at 40 bps.
• Technology forms the backbone of our company, complemented by a focus on developing

in -house solutions that drive innovations and operational efficiency. We recently adopted an in -house developed treasury management system designed to strengthen liquidity risk management, streamline manual operations, and enhance regulatory compliance. It also supports advanced cash flow forecasting and scenario

analysis, enabling more effective funding strategies, optimized returns and reduced idle cash.
• Digital adoption continues to be strong and a key area of our focus as we grow.
o 83% of our approvals in Q2 were facilitated via the account aggregator framework.
o More than 80% of our loans are digitally fulfilled through e -agreements and e-NACH mandates.
o 96% of our customers registered on the mobile app, with 87% of the service requests now raised digitally.
• During Q2, we got 50 additional Green Homes certified, taking the total to 240. I am pleased to share that Morningstar Sustainalytics reaffirmed our 'Low ESG Risk' category with an improved score of 13.6 versus 16.2 last year. This reflects our commitment towards sustainability and good governance.
• PMAY 2.0 scheme saw further traction. As on date, we have received over 3,500 customer applications. Of these, 38 customers have already received their first tranche of the subsidy, with an additional 53 cases approved, where the subsidy will get

credited shortly. We expect the scheme to pick up traction with an increase in customer awareness and streamlining of the process.
As we enter H2, we remain optimistic about our business momentum on the back of improving macro environment, easing interest rate cycle, benign inflationary trajectory, and proactive government and regulatory measures.
With that, I now hand it over to Nutan to take you through the financials in more detail. Over to you, Nutan .
Nutan Gaba Patwari: Thank you, Manoj . Good Evening , everyone.
Starting with the Key Financial Metrics :
• Total income for the quarter stood at Rs. 479 crores, up 28% y-o-y and 5.2% q-o-q.
• With proactive management, we were able to reduce our cost of borrowing, excluding co-lending , by 30 bps at 8.1%, supporting our ex -co-lending spread of 5.3%. Disbursement yields for the quarter were at 13.3%.
• Net interest margin for Q2 was 5.4%, up from 5.2% in the previous quarter.
• Cost to income at 32% in Q2FY26 decreased 220 bps on a q-o-q basis. Operating Expenses to assets was at 2.6% for the quarter, in line with our expectations. We expect this ratio to remain range -bound within 2.6 % to 2.7% as we focus on growth and expansion.
• Our Profit After Tax increased to Rs. 132 crores, up 43% y-o-y and 10.9% q-o-q, with Return on Assets of 3.8% and Return on Equity of 13.4%.
• Our pre -money adjusted ROE for Q2 stands at 16.7%.
Moving to Provisions and Asset Quality :
• Credit cost for Q 2 stood at 40 bps.
• We continue to adopt a conservative approach to provisioning, maintaining a provision overlay above ECL requirements. As of Sep'25 , our total provision coverage is 40.8%.
Moving to Balance Sheet and Capital Position :
• Our funding profile continues to be well diversified and cost -effective, reflecting our prudent financial management . 60% of funding comes from public and private sector banks, 15% from NH B, 19% from assignment and co -lending, and balance from NCBs, ECBs, and NBFCs.
• During Q2, we executed direct assignment transactions of Rs. 175 crores. Our disbursements under co -lending business increased by 179% y-o-y and 24% q-o-q to Rs. 97 crores for Q2, taking co -lending book to Rs. 508 crores or 3.6% of the total AUM. Co-lending will continue to be an important part of our strategy to strengthen

our ability to cater to higher ticket size segments. We aim to take co -lending contribution to 10% of disbursements a

s we scale.
• Our cost of borrowing has already reduced by 30 bps, driven by downward shift in benchmark rates, with incremental borrowing now being secured at even more competitive rates. In the upcoming quarters, we expect further improvement in our cost of borrowing, enabling us to maintain our healthy spreads.
Coming to Capital Adequacy and Liquidity :

• Our Capital to Risk-Weighted Assets R atio as of Sep'25 stands at 48.4%, with Tier 1 at 48 .0%.
• Our net worth stands at Rs. 4,014 crores, up 75% y-o-y and 4% q-o-q. Book Value per Share (BVPS) as of Sep'25 is Rs. 388
• Our strong balance sheet with high capital base underlines our readiness to take on the growth ambitions of the company.

With that, we conclude our open ing remarks and are now happy to take your questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of R enish from ICICI. Please go ahead.

Renish: Hi. Congrats on a good set of numbers. Just two things. One on this bounce rate data which is 17%, highe st since COVID. And I am just wondering, despite generally , second half being better, bounce rate increasing in October implies some weakness at some level. I just wanted to understand what is happening on the asset quality front . And factoring the October trend, what is your outlook on the credit cost?

Manoj Viswanathan: Yes, the bounce rate was slightly higher than expected. But then our recovery during the month did not reflect that. We had good recoveries during the month. Our first bucket recovery, which is a barometer we use, was actually pretty good. It was better than what we had seen in the last couple of months. So , maybe it was just more of a seasonal uptick. And I think there was some confusion in terms of the dates also , the date of presentation was extended by one day in October. Since fourth was a Saturday , we ended up presenting on 6th. There was some confusion on the presentation date , as a result of which there was a slight delay .

Renish: Okay. Keeping aside the operational thing, there is no weakness in drawing our attention to this what you are trying to highlight , right sir?

Manoj Viswanathan: The recovery was normal or even better than normal. So , we think that it was just a seasonal uptick.

Renish: Got it. And any colo ur on this, let's say, incremental higher flows in October. I mean, roughly your 16.3 % bounce rate increased to 17.4 %, so that 1% increase month -on-month basis works

out to be Rs. 150 odd crore s. So, this Rs. 150 odd crore s is coming from which geography? I mean, i s there any specific would you like to share on this general uptick?

Manoj Viswanathan: No, I do not think there was any regional skew in terms of bounce rate. It was sporadic . As I mentioned, in some of the markets, the recovery was good. Like, Gujarat generally in Diwali month the recovery suffers, but this time the recovery was good. But in some of the other tariff - impacted markets, it was a little slow.

Renish: Got it. So , are we confident of maintaining 30 to 40 basis points of credit cost for the full year?

Manoj Viswanathan: Yes, we should be in that 40-basis points ballpark. I think next two quarters, we will have to do some hard work in terms of pulling back the collection numbers. Whatever uptick we saw in the first quarter, some of that is flowing into higher buckets. We will have to work hard on trying to pull that back , but I think we should be able to do that by March.

Renish: Got it. And sir secondly, on the disbursement, last quarter, we did highlight that we were short a few crores because of seasonality and sort of low disbursement in April , and July has already seen improvement. And since you are expecting better disbursement in Q2, but it sort of remains slightly lower than the exp

ected level. So , would you like to share any colo ur on the disbursement part?

Manoj Viswanathan: Last quarter if you see , the y-o-y growth was around 7% and we had a discussion on disbursal. This quarter the disbursal growth has improved to 10% y-o-y. Still slightly lower than what we expected. But given the conditions in the market, we are happy with our number. We have also done a lot of internal re-configuration, etc. in terms of some of the segments and so on. Given all the changes that we have made, we are happy with this number. And I think with some tailwinds coming in the second half, we should be better than Q2.

Renish: So, I mean, just a follow -up on that. So, you mean rejection rate has gone up in Q2?

Manoj Viswanathan: Yes. In fact, r ejection rate has gone up and, in some cases, we have softly conveyed to the market that these are certain segments of customers that we will not be onboarding.

Renish: Okay. Good to hear this, sir. Thank you and best of luck.

Moderator : Thank you. The next question is from Abhijit Tibrewal from Motilal Oswal. Please go ahead.

Abhijit Tibrewal: Yes, good evening. Thank you for taking my question. If I look at this quarter, you will also acknowledge disbursements are a notch lower than maybe what we would have targeted in the beginning of the quarter , the BT outs are inching up. Likewise, when we look at the asset quality, the Stage 2, Stage 3 has inched up, the respective provision covers have come down. So , is this something that you have seen industry -wide or do you think this has to do with the customer segment and the geography, which is more, I would say, urban, metros, peripheries of metros ?

So, are you seeing something which is more pronounced, like you said, Manoj, maybe Surat you mentioned, Coimbatore you mentioned, Tirupur you mentioned . I remember in your opening remarks you also shared that Surat has seen some improvements, but Coimbatore and Tirupur kind of continue to exhibit some weakness, like you shared on the back of tariff uncertainty. Is it something specific to us, the customer segments, the way we are positioned geographically ? Or is it something that you are seeing across the industry today?

Manoj Viswanathan: It is obviously not specific to us. It is a more industry -wide phenomenon. Across last year, if you see, we had the entire commentary on MFI and MSME segment, etc., going through a tough phase. And we always maintain ed that the impact on us is going to be much lesser. But in the last two quarters we said that a little bit of that impact is probably going to blow over us in the coming quarters. It is a bit of that which I think , is coming through.

In a way, we are uniquely placed because we are slightly more urban in our distribution. We get a larger proportion of our business from urban areas. So, to that extent, we are a little more insulated. But then some of these loans that we have done in some of the smaller places, etc., are getting impacted, especially in the tariff -impacted areas. There is an impact of tariff in the leather industry, which is in and around Chennai, and in the textile industry in and around Coimbatore - Tirupur. So, these mark ets are getting impacted and there is an uptick there in terms of delinquency.

But at closer look, we feel that, like I said, we should be able to kind of pull this back in the next two quarters. Does not look like a very big challenge to us. But yes, it will require maybe three, four months of work. It is a reflection of the whole challenge the industry is facing. If you see , many of the other companies have also reported varying degrees of upt ick in delinquencies. It is more of a reflection of that. But we do not see it as a very big challenge , we should be able to pull this back.

Abhijit Tibrewal: Got it. And just a follow

-up on that bit that you explained before I ask ed you my last question.

So, fair to conclude that whatever asset quality weakness that we have seen during this quarter was concentrated in that leather industry around Chennai and a little bit of maybe textile industry around Tirupur, maybe Salem, Erode ? I mean, largely restricted here ? All that I am trying to understand is, is this more local in nature? Or, is it some spillovers that we have seen? Like you mentioned last year we saw MFI spilling into micro -LAP , so all of us are naturally worried that are there some spillovers that we have seen from micro -LAP into little bit of affordable housing now?

Manoj Viswanathan: Yes, so some spillover is there, Abhijit. But if it was only the spillover, probably there would have been a lesser impact. But the spillover got amplified by the tariff issue as well. So, in some places, and even in Surat there is a bit of uncertainty. We are work ing a little harder to get the same recoveries which would have probably come easily, etc. So , everywhere, there was already a kind of overhang of the MFI and the SME, MSME segment, and the credit squeeze that was

going on, which we were able to manage. But then it got accentuated by this whole tariff uncertainty. And so , in some places, the impact became even larger. That is really what it is.

Also, some of it is also spilling over to the disbursement side, because when you see a clear impact in certain segments, then you obviously do not want to underwrite those segments. While, obviously, what we underwrite today is going to probably show up after two years. But then, when you are seeing a certain segment getting impacted, you obviously want to kind of put some stops and restrictions on those segments. That is what is impacting the disbursement to some extent.

Abhijit Tibrewal: Got it , Manoj . So, just to conclude that, I mean, on the disbursement side, some lower numbers in disbursement that we have seen is also a conscious choice, like you mentioned, given that, maybe there are some slippages that we are seeing in some pockets. So , maybe we ourselves are choosing to go a little slow, right, in some of these markets ?

Manoj Viswanathan: Correct. Because this delinquency is showing up, we are also able to figure out certain segments which are getting impacted. Those segments we have put in certain restrictions. It is a bit of proactive caution that we are applying.

Abhijit Tibrewal: Got it. Thank you, Manoj . Just one last question for you, Nutan . Very good improvement that we have seen in cost of borrowings in the quarter. Your incremental cost of borrowings continue to trend, kind of, lower than your portfolio cost of borrowings. How should we look at spreads and margins evolving in the second half?

Nutan Gaba Patwari: The cost of borrowing will come down. We are aiming to get it under 8%, let us say, by March. And we also want to actively look at pricing, both on origination as well as on the back book.

We do not have a specific decision on the back book as of now. However, the spread, we should be able to maintain in the 5 % to 5.25% that we have always guided. As far as the NIM s are concerned, they will marginally expand from here with now large part of the cash consumption done post the QIP and leverage also picking up. So, NIM s will expand faster than spreads.

Abhijit Tibrewal: Got it. Nutan , because we have not taken any PLR cuts yet, any plans of taking it in maybe December after the policy rate cut ? Or at least we are confident that maybe we will take it only in the fourth quarter, the PLR rate cut, if any ?

Nutan Gaba Patwari: Abhijeet, there is a lot of discussion internally. Frankly, this is a price -sensitive matter, so we cannot comment about it on a call. But yes, the policy rate will definitely be an input

into the discussions.

Abhijit Tibrewal: Got it. This is useful. Thank you so much, Nutan . Thank you, Manoj. All the very best to you and you r team .

Moderator: Thank you. The next question comes from the line of Kushan Parikh from Morgan Stanley. Please go ahead.

Kushan Parikh: Thanks for taking my questions. Two questions, both for Nutan . Just looking at the reported borrowing costs, which have gone from 8.4% in Q 1 to 8.1% in Q 2. When I compare that to basically my calculations, I mean, we have the quarterly averages . We do not see a similar drop in the borrowing costs. So , just reverse calculating that , when I take the interest expense for the quarter and the reported borrowing costs for the quarter and compute out the average borrowings during the quarter, what I am seeing is t hat on a q-o-q basis there is about 5% Q-o-Q increase in the average borrowings versus the period end number increasing by only about 2.7% Q-o-Q. Actually, even in the previous quarter in Q 1 there was about a 5% increase in the computed average borrowings versus the period end borrowing decline of 1.6 %. So, I am just trying to understand the missing piece over here. Why the average borrowings are growing at a faster pace than the period -end borrowing ? And, if you could give us some directional sense around this piece.

Should I ask my second question as well? Or would you like to answer?

Nutan Gaba Patwari: No, please go ahead.

Kushan Parikh: Okay. So, my second question is around the asset quality and the provision coverage. So , over the last few quarters, we have seen provision coverage coming down across the different stages, whether Stage 3, Stage 2, or even Stage 1 provisioning. I understand that this is more computational and driven by the ECL model and the experience that we have for the data that we are using for the ECL model. But directionally, if you could give us some guidance as to where do you see th ese coverage numbers settling at? And I me an, does this go back up going forward given the current environment that we are seeing in terms of asset quality? Yes, those are my questions.

Nutan Gaba Patwari: Thanks, Kushan . Let us start with the first one. I think there is a reconciliation that you are to do between the reported cost of borrowing and what is coming through the P&L. Now, what is coming in the P&L is actually the daily charge that gets debited to the company based on the outstanding of that particular day. So , it is the actual that we have paid. What comes in the reported borrowing is a weighted average of all the lines we have through the quarter. The comparison like -for-like is not identical. The benefit in the P&L will, of course, come with a slight lag. Specific numbers, I will call you separately and go through the reconciliation and sort that out , I do not see there should be any material issues there. It is just the reconciliation could be as simple as a 2 -point average to a daily average. That is my initial thought.

Your second question on asset quality and result ant provision coverage. This point was discussed last quarter as well. There are two aspects that I wanted to call out. One, we are watchful on asset quality and collection efficiency at a unique customer level is still around 97 %. If we are

seeing that the collection efficiency is materially dropping and if there is a concern on a large impact coming in the near future, then we should be changing our ECL or overlays in between quarters. Otherwise, the ECL true-up typically will be done in March.

Secondly, we already have a decent amount of overlay. Now, as you can imagine, if the overall NPA has increased and we have not added additional overlay, the percentage is looking lower. So, 22% has

come down to 21 % for Stage 3, not a material change. Again, the number that we have always kind of tried to link this conversation to is the 80 bps of ECL provision on the total book. We are still at 80 bps for last many, many quarters. Therefore, we did not feel the need for any significant change on this. But come March, if we are seeing that our LGDs are throwing up a totally different number or if the underlying performance on collection efficiency is looking much weaker, we will also go through the financial true-up at that point of time.

Kushan Parikh: Yes, that's understood. And for the reconciliation, we can follow -up. Thank you.

Nutan Gaba Patwari: Thank you so much, yes .

Moderator: Thank you. The next question comes from the line of Nidhesh Jain from Investec. Please go ahead.

Nidhesh Jain: Thanks for the opportunity. First question is on disbursement. So , how are the trends in terms of market share in your state -wise market share in the segment where you operate, which is Rs. 5 lakh to Rs. 25 lakh? Because disbursement -wise, we are seeing a bit of moderation for last three quarters. But in terms of market share, any trend you want to call out across states where we operate?

Manoj Viswanathan: If you see a three -year period, market share has moved up from 1.5% to about 2.2%. This is across all the markets that we are operating in. Of course, in some of the specific markets our market share is touching, somewhere between 4% to 5% where we have ope rated for a longer period. If you take Indore , Surat , Ahmedabad and Nagpur , and places like that, our market share is closer to 5%. Otherwise, on an all -India basis, across all markets where we operate, it is 2.2%. It has increased from 1.5% to 2.2%.

Nidhesh Jain: And how are the trends in near term, last three, four quarters? Because longer term we have gained market share , but have we also gained market share in last four quarters, let's say?

Manoj Viswanathan: Yes, so q-o-q, the market share improvement will be very subtle, very nominal . We also keep adding new markets , so to some extent, that kind of pulls down the ratio. It is a 70-bps increase over a three -year period. So, q-o-q, it will be literally in basis points.

Nidhesh Jain: Sure. And second question is on the operating expenses. Your Opex to AUM ratio has been gradually coming down , how should we see the trend going forward? And any medium -term guidance on the OPEX to AUM ratio?

Manoj Viswanathan: Opex to AUM , our numbers are fairly low compared to the average industry numbers. We are not really trying to optimize it from here. Of course, on a longer -term basis, or even on a medium -term basis, it will keep going down as the AUM scales up. But we are not trying to optimize it at this point , our focus is more on ensuring growth.

Nutan Gaba Patwari: So, Ni dhesh, there I would just like to add . As and when our disburs als start to move upwards, the productivity will start to show and operating cost itself will improve. I think, therefore, the focus is to understand the market, look at where we want to proactively manage credit quality, and then do the right quality of disburs als, that is how we would like to put it at the moment. The next two quarters will be around making sure we do right disburs als.

Nidhesh Jain: Sure. And last question is that in terms of branch expansion we have not been adding branches in UP and Uttarakhand, which I think we thought that it's a growth market for us. And I think in Rajasthan also the branch count has been broadly flat in the last four quarters. So, these two geographies, any change in strategy in these two geographies?

Manoj Viswanathan: UP, we called out the change in strategy . After our initial foray into UP, we have kind of taken a pause. We would like to understand the market better

before we expand more aggressively there. That is the reason you are not seeing any new branches coming up there. Plus, in UP, the larger market is in four or five cities , after that it becomes very small. We would rather first consolidate in those four or five cities before we kind of go deeper.

In Rajasthan, again , we are present in all the key markets. So, now our strategy will be to kind of deepen our share in those markets . Because in Rajasthan, again , majority of the business is done in the top 10 cities. We would again try to deepen our presence in those cities before we go any further.

Nidhesh Jain: Sure. Thank you. That's it from my side.

Moderator : Thank you. The next question comes from the line of Shreepal Doshi from Equirus . Please go ahead.

Shreepal Doshi: Hi, sir. Thank you for giving me the opportunity. My question was pertaining to the geographies that you highlighted which were the stress source for us in Q1. Has there been any addition to that list apart from, let's say, Surat, Coimbatore, and Tirupur ? So, because 1+, 30+, and GS3, all these indicators have deteriorated only. So, was there any further addition there? And secondly, apart from the leather and the textile industry, any other industry that you see where the stress is building up because the tariff -related impact still persists? So, which are the industries where you see there could be further deterioration and which could get added to the list that you have highlighted with this textile and leather industry?

Manoj Viswanathan: The concentrated delinquency impact is only in these markets because there is a large population in these markets which are dependent on that particular sector. In most of the other places there

is no such concentrated set of customers who are dependent on a particular segment , which is why we are not seeing such a deep impact in other places. So, it is largely these markets.
Export -related markets are basically Surat which is basically diamond exports. There is some amount of gems and jewellery export from Rajasthan as well, but we are not seeing any impact there.
And then it is the leather industry which is outside the periphery of Chennai. Then there is a textile and then there is shrimps. Shrimps is basically southern part of Tamil Nadu and some coastal areas in Andhra. Our exposure in those markets is less which is why the key impact in Tamil Nadu is in Coimbatore -Tirupur belt and outside of Chennai. Surat is something that we flagged off, although we have still not seen the impact there. If this tariff prolongs for a longer period, then yes, there could be some impact on Surat. As of now, the impact has not come through.
Shreepal Doshi: Got it, sir. So, in that case, like for the full year we had guided for a Rs. 5,600 crores to Rs. 5,800 crore disbursement. I mean, because of this, now we would have , on a conservative basis, I think with prudency playing out we are slowing down our disbursements as well. So, where do you see the disbursement for the full year stabilizing and also the impact on credit cost? Like, we still continue to maintain the 30 to 40 basis points or do we see some breach there for the full year?
Manoj Viswanathan: On credit cost, we are still looking at 40 bps for the full year. And as far as disburs al is concerned, we are still recalibrating . And we would not like to give a specific number at this point of time , we would like to see how this quarter goes. If some of the GST impact and other changes and overall second half tailwinds come, then we will have a different disbursement figure. But broadly, we are guiding to that 25% plus AUM growth , so this quarter it was 26%.
Shreepal Doshi: Got it, sir. S ir, I just have one last question, which is pertinent to your commentary that since we are present in urban markets, we

are relatively better positioned. So, in rural, let us say in Tier 3, 4, 5 geographies, you see the stress moderating or is it still at an elevated level?
Manoj Viswanathan: We do not have very strong rural presence. It is more of a semi -urban or city -periphery kind of a presence that we have. So, we cannot really comment on the rural sector.
Shreepal Doshi: Okay, sir. Got it. Thank you. And good luck with the next quarter. Thank you.
Moderator: Thank you, Shreepal . Thank you. The next question is from the line of Raghav from Am bit Capital. Please go ahead.
Raghav: Hi. Good evening. I just have a couple of questions. So, one is, when I look at your bounce rate data that you report, the bounce for the whole quarter tends to be about 40 to 70 bps higher than the number that you report in the first month of the quarter. So, since your October ‘25 bounce

rate is at 17.4%, do you expect that this could get closer to 18 % for the third quarter? And then a related question is that, should this be a worry for the industry, the increase in bounce rates or generally the increase in slippages? That is my first question.
Manoj Viswanathan: No, we are not reading into like a trend like that. Last few quarters, the first month was generally lower and then it inched up. But there is no such pattern.
Raghav: So, Manoj, when I look at the last five quarters, right, the overall quarterly bounce rate was about 40 to 50 basis points higher than the first month bounce rate of that quarter, which is where my question was coming from. Just wanted some clarity there.
Manoj Viswanathan: Yes, understood that. We do not see any such pattern , that the first month is an indicator of what is going to come. Generally, in Q3, there is a Diwali impact, which is unpredictable. We are hopeful that November and December the bounce rate should moderate.
Raghav: Okay, sure. Second question is, can you comment on how is your attrition trending? I noticed that your employee count has been stagnant around 1 ,700 for last, four or five quarters. But despite that, the disbursement value and volume per employee is lower than what you had about two quarters or three quarters ago. So, is attrition impacting your employee productivity? And if yes, how do you plan to solve for it? That's one question .
And then the another related question is that, given your NPAs and bounce rates are up and collection efforts have also gone up, how is the team on the ground able to manage between collection and sales? I am assuming that because of higher collections, the sales efforts would have come down , so do you think that that can be a risk to your growth for the year?
Manoj Viswanathan: Attrition has slightly inched up. We used to be trending at around 30%, but last quarter it was 34%. But for productivity, the number is basically a derivative of disbursement. Since we have

moderated disbursement, the productivity is also looking a bit lower.
As far as collection load is concerned, we are basically talking about 50 bps increase in the overall collection numbers. That would be effectively be 500 to 1 ,000 customers in the entire country as an incremental collection load , which means maybe one or two loans per employee. It is not significant to really change their workload dynamics on the ground. We are talking about one day past due, which has moved from about 4.5% to 5.5% , which is basically 1%. 1% on about 130,000 customers is about 1 ,300 customers. That is literally only one extra loan per employee to collect.
Raghav: Understood. That was all from my side . And congrats on the number s. Thank you.
Moderator: Thank you. The next question comes from the line of Aravind Ravichandran from Sundaram Alternates. Please go ahead.

Aravi

nd Ravichandran: Thank you so much for the opportunity. Again, the question is on the asset quality side. This collection efficiency data we offer every quarter, like, I can see like compared to FY24 it has dipped by almost 1% for the past several quarters. What is contributing to that, like, what was it like FY24 was a bit more optimistic kind of season and, I mean, like things are much better there and things are normalizing now. What is happening there on collection efficiency, both on total collect ion efficiency and the unique collection efficiency we have seen that dip compared to FY24 and compared to the last four quarters. I am just trying to get a sense there.
And also, another question is, you also mentioned that rejection rate has moved up. So, I am trying to get a sense of what kind of in the case of particular geographies where we talked about the issues are there, like Coimbatore, Tirupur, Chennai peripheries or Surat to some extent. Is it those regions where the rejection rates have gone up or is it some particular customer cohort which we were offering loans now we are like going out of that particular segment?
Manoj Viswanathan: I will address the second question. As far as the cohorts which we have kind of tempered down as concerned , it is a combination of customer, some regional factors are there, like Tamil Nadu is one of the locations where we are looking at things. There is the bureau score, property types. So, it is a combination of factors . We have our analytics , where we look at various cohorts and we kind of look at the delinquencies and how they are moving. Based on that, we have taken some calls of restricting certain cohorts. So, it is a combination of all these factors which I mentioned.
Aravind Ravichandran: Yes. So, the collection efficiency, what we have seen during FY24 and all, it was close to 99 , now it has come down to 98 or even slightly below that. I am just trying to get a sense, like, what is happening there? Why is our collection efficiency like suddenly dropping very slowly but marginally where it is falling? That's what I wanted to understood.
Manoj Viswanathan: On your first question, the collection efficiency dropping is reflecting in the delinquency numbers. If you see last September too for comparison, 98.5 % was the collection efficiency, whereas this September it was 97.9 %. It has dropped by about 50 to 60 bps. That is reflecting in the one day past due, effectively , which has gone up by 40 to 50 bps, which is what we are saying that it is the impact of the overall industry , some of the impact of MFI sector plus tariff impact, etc. All of these factors , working at the same time has resulted in that 50 to 60 bps impact on collection efficiency and corresponding impact on the delinquencies.
Aravind Ravichandran: Thank you. Thank you so much.
Moderator: Thank you. The next question is from the line of Shweta from Elara Capital. Please go ahead.
Shweta: Thank you, sir, for the opportunity. S ir, I have three questions. S ir, one of our peers invariably highlighted challenges in lower ticket segments, and we have almost (+20%) kind of exposure in less than Rs. 1 million ticket size. So, any pronounced challenges here in this particular

customer cohort ? And any re -strategizing in terms of shift in ticket sizes or where the growth particularly would lie going forward? That's my first question.
Second, ma'am, did I get it right that the cost of funds, larger part of improvement is there? Of course, you have guided slightly higher net interest margins already. But given the fact that our BT-outs have been slightly on the higher side around 7.6%, so that will give us a little lower legroom, right, for aggressive repricing on the yield side, and larger part of cost of funds improvement has come by. So, in this contex

t, how will you see the incremental growth versus NIM kind of scenario shaping up?
And lastly, sir, you did highlight about Opex to assets remaining almost steady going forward.

And any plans, because considering the kinds of architecture and technology we have, any plans there where in you can tweak files per loan officer per month so that it helps you enhance your productivity

Manoj Viswanathan: First question was whether lower ticket is causing challenges in collections, etc. We cannot classify it in very simple terms as lower ticket, but it is probably a combination of factors - ticket size, type of property, type of location, type of bureau score, etc. A combination of some of these things is the cohorts that we are looking at. Specifically in lower ticket size , we are not facing a challenge . as a whole in the lower ticket size segment. The second question was, I think, BT -outs and corr esponding impact on the margins, Nutan, you want to cover that?

Nutan Gaba Patwari: On the second question , the BT -out portion is a small portion, Shweta . But the cost of borrowing benefit as well as the benefit of reduced cash will give us enough headroom to expand NIM s. What we are saying is that while we will maintain spreads, which will be an outcome of improvement in cost of borrowing, better pricing to customers, which includes the BT -out impact, the benefit coming from better managed cash and leverage will allow us to expand net interest margin in the quarters coming ahead. Your third question was on operating cost to assets being steady and productivit y drivers , yes, we are working on them and that is what Manoj commented about our more medium -term outlook. Manoj, if you want to detail that out.

Manoj Viswanathan: We are working on some of those things. But again , this will take time to show impact. But yes, in the medium term, that is one of the things that we are working towards, which is reducing the cost of doing business. So, Opex to assets, over time, you should see the impact of some of these tech and AI interventions flowing through.

Shweta: Thank you, sir. A nd all the best.

Moderator: Thank you. The next question comes from the line of Anusha Raheja from Dalal & Broacha . Please go ahead.

Anusha Raheja: Yes, thanks for taking my question. S ir, my question pertains on the asset quality side. S ir, you said that Coimbatore, Tirupur and Surat are witnessing relatively higher delinquencies. So, apart

from these states or cities, you feel that other cities , the performance there is satisfactory or they are showing rising concerns ? Any of the states wherein you feel currently wherein delinquency might rise?

Manoj Viswanathan: There are no state -specific issues other than what I mentioned in Tamil Nadu. In other states, we do not have any state -specific issues, maybe certain geographies within the state, certain branches within the state, which is always kind of part of business -as-usual delinquencies.

Anusha Raheja: Looking at the current junction, you feel that NPAs can go off the mark sizably or a small rise , there can be marginal small rise the way that we are seeing currently, or no concern of going off the mark by a very high margin ?

Manoj Viswanathan: As I mentioned, it will take us a couple of quarters to bring this back to an earlier situation. Generally, in Q4, anyway, there is a drastic improvement. But it will probably take a few months to pull this back to earlier levels.

Anusha Raheja: Also, during the quarter, we had seen that higher growth has been seen in the higher ticket size loans, like 15 to 20, 20 to 25 lakhs ticket size segment. So, any change in the strategy ? Or is it just because NPAs have come in, so there is change in strategy to grow higher in the higher ticket size segment?

Manoj Viswanathan: No, not a change in strateg

y, but it is just more of a movement or migration linked to the overall change in the market situation. At a very small ticket size , properties are no longer available, there is an inflation as well as the overall impact of people's incomes going up. That is really playing out on the ticket size as well. The same type of customers is now going in for larger properties, larger ticket sizes. What used to be earlier at Rs. 10 lakhs is now Rs. 15 lakhs. That migrati on is gradually happening , that is all. We are not consciously going after the higher profile customer. It is the same customer whose incomes have gone up over time and who are now aspiring for slightly larger properties.

Anusha Raheja: Okay. And just one last thing. So, assume that if the asset quality performance is satisfactory or it improves, then previous growth rates that we have seen in the AUM, you can retrace back to those levels?

Manoj Viswanathan: Yes. AUM growth in any case, is broadly in the ballpark. We are guiding to a 25% plus only. We used to say or deliver around 30%, but broadly 25% plus is something that we are confident of.

Anusha Raheja: No, assume that if the asset quality performance is better than your expectation, we can go back to 30% plus sort of growth.

Manoj Viswanathan: Probably, we should be able to give a more convincing commentary, maybe after this quarter or after two quarters.

Anusha Raheja: Sure, sir. Thanks.
Moderator: Thank you. The next question is from the line of Siraj Khan from Ascendancy Capital. Please go ahead.
Siraj Khan: Hello. Thank you for taking my question. A good set of numbers, sir. A few statistics before I ask my question. What is the individual housing loan portfolios on September?
Nutan Gaba Patwari: 83%.
Siraj Khan: What is the active connector count and the number of files sanctioned in H1 and the BT -in rate?
Nutan Gaba Patwari: BT-in is negligible , under 1%. The active connector is 3 ,657.
Siraj Khan: And the number of files in H1 that we have done through the connectors?
Manoj Viswanathan: About 77% of the business comes through connectors , that number is given in page number 13 of the Investor Presentation .
Siraj Khan: Understood. Thank you very much. Now, coming to my question s. Firstly , what I wanted to understand was with respect to the cost of borrowing and the benefit that we have seen 30 bps, this is largely because of the movement in the rates that we have received from our borrowing mix? Or is there a part of it from our credit rating update also? And how much of additional benefit over and above the general repricing in our borrowing through our different lines , how much more benefits are we supposed to receive with respect to the credit rating upgrade?
Nutan Gaba Patwari: The only way to estimate that is , prior to the repo rate cuts, t here was a difference between us and the next rating category of about 10 to 20 bps. One can assume that is the benefit that we will get. And that benefit will come to us over time , that will not come to us immediately. One can assume that the 30 bps benefit that we have is probably 20 bps from rate cut and 10 bps from credit rating upgrades. There is no better way to estimate this.
Siraj Khan: Okay. So, I think so with respect to the borrowing cost, we are optimally placed. I mean, we do not see much of a downward pressure on the borrowing piece ?
Nutan Gaba Patwari: No, we do, which is what I mentioned in the first few questions, that we do expect this to come under 8% by March.
Siraj Khan: Under 8% by March. Okay, great. And with respect to the asset quality, I mean, a lot of questions have come. But what I wanted to understand was, with the 1+DPD also continuously inching up every quarter , for the last three quarters it has gone up and we are above 5% , so how do you see that tren

ding , I mean, on a longer term basis? Do we see it coming back to, say, closer to 4% or will it stay steady around the 5% mark in , say, one year period time or 18 months? I mean, how long do you think this whole tariff and all of the things will take to come back to normalcy?

Manoj Viswanathan: I think longer term, where that number will trend is something that we will have to probably relook at maybe after one or two quarters. Because when some of these things happen, it takes some time for these things to pull back. Broadly, I would say , if you were to ask me for a very long-term trend, I would say it should remain in that 5% ballpark number.
Siraj Khan: 1+DPD , and 30 +?
Manoj Viswanathan: 30+, between 3% to 3.5%, in that range it should be , on a long -term basis.
Siraj Khan: And just a quick couple of points . The assignment volume that we are doing around the Rs. 170 crores , Rs. 180 crores , and approximately as per the fact sheet that I can see is about 12 % to 13% of our total gross loan book. So, will this remain steady state or do you see this increasing as we go ahead? And finally, with respect to the branch addition, what is like the quarterly branch addition that we look at for say two, three quarters d own the line ? And any specific states that we are targeting ?
Nutan Gaba Patwari: Assignment, yes, this will remain steady in this broad Rs. 150 crores to Rs. 200 crore s range per quarter. This is what we had mentioned earlier also. Branch count, again, around that five to seven branches per quarter is what we have been maintaining as a guidance.
Manoj Viswanathan: Branch expansion will be kind of equally split between our focus and emerging states. Emerging states between MP and Rajasthan, we should have most of the expansion. And focus states, which were the six states which we were presented earlier, Gujarat, Maharashtra, Andhra, Telangana and Tamil Nadu , and Karnataka to some extent.
Siraj Khan: Understood. Got it. Thank you very much.
Moderator: Thank you. The next question comes from the line of Aditya pal from MSA Capital Partners. Please go ahead.
Adityapal: Thank you so much for the opportunity. Congratulations on the great set of operational performance. Just wanted to quickly understand, when I look at your focus states and emerging states, the growth rate, Y-o-Y, sequentially have been decreasing. And for focus states, we have come closer to 22% o dd growth rate. And you have already highlighted the case of Tamil Nadu

and Gujarat growth rate peeking out, and Tamil Nadu facing internal issue which you will talk maybe in the next couple of quarters. How should we read into it maybe say over an 18 to 24 months ' timeline?
Manoj Viswanathan: See, it is not that there is some pattern like that. If we go back four quarters, you would have seen that in Maharashtra the growth rate tapered off to 10% and 14% , but now it has come back to 30% plus. And because , again , if you rewound maybe to four to six quarters, Tamil Nadu was growing very fast, but then tapered a little bit. So, to some extent, it depends upon leadership in the state, some of the tactical things that happen in the state at that point of time . Somebody has

offered a scheme in the market, as a result of which we lose a bit of market share , so our growth comes down there.
These are business ups and downs which happen on a tactical basis. Gujarat today is around 20% - 22%, but there is nothing stopping us from probably reaching 30% in Gujarat, maybe in a few quarters. Because our share is still 3 %-4% in Gujarat , so there are still 96 % customers who are taking loans from somewhere else. And there is a possibility that we can capture that share. So, till our share reaches something significant there is

opportunity in every state to grow at 30%.
Adityapal: Understood. And when I look at the product -wise growth, that is our individual housing loans, LAP for commercial and LAP business, again, in IHL business, the growth is again tapering off , how should one read it? Is it a base effect? Is it the new normal? Or is it just a momentary pause before we resume back to our 25% plus growth rate?
Manoj Viswanathan: It is a reflection of the overall numbers . Because overall, the A UM growth is at 26% , and because of the base effect the LAP is at a slightly higher rate , and because of that the housing is showing slightly lower than 25%. So, it is a reflection of the overall numbers. As the overall numbers pick up , that number also will move up.
Adityapal: Understood. Last question from my side, just trying to solve for growth. So, any green shoot that you are seeing now that we are one month in this quarter, compared to the second quarter exit, any green shoot that you are seeing that you want to call out?
Manoj Viswanathan: I actually do not want to call out any green shoots because last quarter also we saw green shoots.
Adityapal: No, but just a qualitative commentary would be helpful.
Manoj Viswanathan: Yes. We will wait for the quarter to speak for itself. There are so many things which are happening on a tactical basis which are impacting things on the ground . So, let us just wait for this quarter to end.
Adityapal: No, the question that I am trying to ask is, because your operational performance, your cost measures, everything has been off the charts, has been phenomenal. Just trying to solve for the growth aspect , that is it.
Nutan Gaba Patwari: Yes, Aditya. Thank you. On the macro side there is a lot of positives , so there's GST, there's early news of the tariff coming to a clos ure. But like Manoj said, we want have a stellar quarter rather than talk about it much earlier. So, allow us 40 days more probably, and we are good to go.
Adityapal: Thank you so much . And wishing you and the team all the very best. Great work. Keep up the great work. Thank you so much.
Nutan Gaba Patwari: Thank you, Aditya, for giving us so much confidence.

Moderator: Thank you. The next question comes from the line of Shubhranshu Mishra from Phil lipCapital. Please go ahead.
Shubhranshu Mishra: Hi, Nutan and Manoj . I heard the comments on the BT -out, so I just wanted to understand what is the team size to arrest this iteration of BT -out? And how many files do we really see on a monthly basis of which how many files really go out? Because there would be a difference in the fees also , this guy has to pay these fees at the other financial as well, which also would be seen. So, do we explain the entire math and what would be the reasons of this BT -out?
Manoj Viswanathan: Right now we have a three -member team which is addressing this problem. We are trying different tactics to arrest the BT -out. We have a tiered plan. As you mentioned, there are multiple things which are communicated to the customer. Our first pitch is to convey that they will be incurring various kinds of charges at the other end. And hence, it obviously does not work out. Secondly, we also convey that we can provide a top -up. And then the last part is, if we can provide some kind of a small pricing break to retain the customer. So, there is a tiered approach that we adopt with each customer. Some part of it is done at the branches , we also have a central team of three people who are doing this on a continuous basis.
It has given us some benefit or impact in the las t few quarters. But then the BT -out action is also

intensified. Earlier, the BT -outs were largely to the nationalized banks or larger banks. But of f
late, there are a lot of our own peers who are very aggressively doing BTs. But we are

still able
to protect to some extent. And we are also stepping up the activity at our end. Hopefully, in
coming quarters we should be able to see some impact.
Shubhranshu Mishra: So, how many files are we seeing for this BT -out right now? And how many customers really take the risk of going out on a monthly basis?
Manoj Viswanathan: It is not a very clear funnel in that sense. There are many customers who approach us for account statements, some of them end up doing a balance transfer. So, I would say , from the time we know that there is an actual balance transfer, our hit rate is probably maybe 20 %- 25% at this point.
Shubhranshu Mishra: So, 25% stay back and 75% are the guys who take that rate of going ahead with the balance transfer?
Manoj Viswanathan: Yes, I am saying, 75% go ahead with the balance transfer and 25% we are able to retain.
Shubhranshu Mishra: So, what I was asking is that 75% go out and 25% is what we arrest ?
Manoj Viswanathan: Correct.

Shubhranshu Mishra: Okay. And just one last question, what would be the reason of these 75% people going out? It's just the dip in the interest rate , is that the only reason? What is that big reason for the slip of it that they are taking?
Manoj Viswanathan: Yes. The reduction in interest rate is one of the key factors. Second is also our ability to reach the customer at the right point. Because the customer is already deeply invested in the new loan, then they would find it difficult . Even if we are able to convince them, we will find it difficult to retain them. They would have probably paid the fee over there or made some investment in that transaction. So, then they become too invested in the transaction to backtrack.
Shubhranshu Mishra: Understood. I look forward to interacting with you in the ensuing quarters. Best of luck.
Moderator: Thank you. The next question is from the line of Siraj Khan from Ascendancy Capital. Please go ahead.
Siraj Khan: Thank you for the follow -up. With respect to the quarterly run rate, I mean, since the March quarter we have been around the Rs. 400 crores to Rs. 450 crore s per month r un rate. So, with H2 being a stronger quarter, can we see like a Rs. 450 crores to Rs. 500 crores or maybe higher disbursement rate , would that be fair to assume?
Manoj Viswanathan: I know you are indirectly asking about the number, but as I mentioned, we will let this quarter pass and then we will give you a better guidance.
Siraj Khan: Understood. And a quick one on the other income with respect to the fees, the insurance income has seen a good increase. So, are we trying to leverage with respect to the fees, commission and other incomes to boost the NIMs ? And how will that NIM trajectory, so NII plus the fee income, specifically the fee, not the other income, but how will the NII plus fee income go in the coming quarters, specifically with respect to the fee and commission income? Could you give some color on that.
Nutan Gaba Patwari: Siraj , the insurance commission income will likely remain in this Rs. 18 – 20 crore s range , broadly. We have already discussed the NII and the impact on NIMs. NIMs are likely to expand as an outcome of now reduced cash on the balance sheet as well as improvement in leverage. We should start to see that , and this commission line will broadly remain in the same ballpark .
Siraj Khan: Okay. So, as a percent age of the total income, will it remain in the same steady state rate or will it increase , I mean, as a percent age basis?
Nutan Gaba Patwari: It will remain the same.
Siraj Khan: Understood. Thank you very much. That was helpful.

Moderator: Thank you. Ladies and gentlemen, as there are no further participants, that was the last question for today. I would

now like to hand the conference over to Mr. Manoj Viswanathan for closing comments. Thank you and over to you, sir.
Manoj Viswanathan: Thank you , everyone , for participating and engaging in the call. We hope we have been able to answer the questions to your satisfaction. In case you want to reach out for further questions, you can always reach out to Sunil Anjana or write to us at investor.relations @homefirstindia.com . Thank you very much.
Moderator : Thank you. On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining us today . And you may now disconnect your lines.

Call: Jan 2026

HFFCIL/BSE/NSE/EQ/ 135/2025-26 Date: 30-01-2026
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Bandra Kurla Complex,
Mumbai - 400 051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter ended December 31, 202 5

Dear Sir/Madam,

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of the earnings call with analysts and investors for the quarter ended December 31, 202 5 conducted on Friday , January 23, 2026 . The Company had referred to publicly available documents for discussions during the
call.

The above information is also available on the website of the Company at www.homefirstindia.com

This is for your information and records.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary, Compliance Officer and Head – Legal
ACS NO: 26700

“Home First Finance Company India Limited
Q3 FY26 Earnings Conference Call”

January 23, 2026

MANAGEMENT : MR. MANOJ VISWANATHAN – MD & CEO
MS. NUTAN GABA PATWARI – CFO
MR. SUNIL ANJANA – HEAD, TREASURY AND INVESTOR
RELATIONS

This document is a transcription of the conference call conducted on 23rd January, 2026 .
Click here to listen to the original audio.
Disclaimer: This transcript is edited for factual errors and does not purport to be a verbatim record of the proceedings. The reader is also requested to refer to audio recording of the call uploaded on the company website here on 23rd January , 202 6. In case of discrepancy, the audio recordings will prevail.

Moderator : Ladies and gentlemen, good evening and welcome to the Home First Finance Company India Limited Q3 FY26 Earnings Conference Call.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing ‘*’, then ‘0’ on your touch - tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sunil Anjana - Head of Treasury and Investor Relations of Home First Finance Company India Limited. Thank you and over to you, sir.
Sunil Anjana : Thank you . Good evening, ladies and gentlemen. Welcome to Home First Finance Company's Earnings Conference Call to discuss the Financial Results for the Quarter -Ended December 31, 2025. We hope you have had the chance to review our investor presentation and press release, both of which are available on our Website and Stock Exchanges . As per our practice, we have also uploaded an Excel fact sheet containing historical data on our w ebsite for your easy reference.
From the Management , we have with us today , Mr. Manoj Viswanathan - MD & CEO ; Ms. Nutan Gaba Patwari - CFO.
With that, I now invite Mr. Manoj Viswanathan to share his insights on Home First Finance. Over to you, sir.
Manoj Viswanathan : Thank you , Sunil. Good evening, everyone and thank you for joining us today. We are pleased to present the performance for Q3 FY26, which reflects the strong business momentum, robust profitability along with a stable asset quality and with improving early delinquencies.
Let me share the Q3 FY26 highlights :
• Annual growth remains strong, growing at 24.9% y-o-y and 5.3% q-o-q to reach Rs. 14,925 crore.
• In this quarter, we added two branches, with the latest additions comprising one in Karnataka and one in Madhya Pradesh. We have 6-8 branches in the pipeline and at least 6 branches will be added in Q4.
• Disbursements for the quarter stood at an all -time high of Rs. 1,318 crores, up 10.5% y-o-y and 2.2% Q-o-Q. Monthly disbursements crossed Rs. 500 crores for the first time in December 2025.Our origination yield continues to be healthy at 13.1%, with an 83% share of individual housing loans.
• Asset quality matrices remain healthy and range -bound. We continue to focus on early buckets and resolutions.
o 1+ DPD is at 5.3%, an improvement of 20 bps on a Q-o-Q basis .

o 30+ DPD remains flat at 3.7%, with Stage 2 reducing by 10 bps.
o Gross Stage 3 is at 2%. This is increased by 10 bps Q-o-Q, and we are confident that this will improve going forward, as the early delinquencies have shown improvement and overall collection efficiency has also improved.
• Moving to state -specific updates :
o Starting with our largest state of Gujarat: In Q1, we had flagged off an anticipated impact of tariffs. However, we are pleased to report that Gujarat has successfully overcome this on account of the overall economic vibrancy of the state. We continue to witness strong growth and stable asset quality in Gujarat.
o In Maharashtra, we have successfully re -established a strong growth trajectory, especially in the larger and more competitive markets of Mumbai and Pune. This impact can be seen in the strong AUM growth in this state.
o In Tamil Nadu, we faced both tariff -related delinquency issues as well as churn in the team. We have made good progress in stabili zing the team and we expect a strong turnaround in this state in FY27.
o Regarding UP, we have adopted a calibrated approach. We are in the process of setting up a strong team in order to capitali ze on the large potential in the state in the coming years. We can expect this state to b

e a large contributor
for us from FY28 onwards. With respect to the other key states, Karnataka is emerging out of the e-khata overhang and has clocked a strong growth this quarter. Rajasthan, MP, AP and Telangana continue to deliver growth as planned.

• Technology remains the backbone of our company, complemented by a focus on developing in -house solutions that drive innovations and operational efficiency. To enhance operational efficiency and reduce costs, we have developed a separate grade document system that enables secure, structured and scalable document management. This system handles high volumes with robust security, tracking and safe archival for optimal storage and performance.
• Digital adoption continues to be strong and a key area of our focus as we grow.
o 81% of our approvals in Q3 were facilitated via the account aggregator framework.
o More than 80% of our loans are digitally fulfilled through e-agreements and e-NACH mandates.
o 96% of our customers are registered on our mobile app, with 85% of the requests now raised digitally.
o In addition, several AI pilots are in progress, and we expect these to deliver results in the coming years.
• During Q3, we received certification for 70 additional green homes, taking the total to 310.

• The PMAY 2.0 scheme saw further traction. As on date, we have received around 4,500 customer applications. Of these, 103 customers have already received the first tranche of the subsidy, with an additional 15 cases approved where subsidy will get credited shortly. We expect the scheme to pick up t raction with the increase in customer awareness and streamlining of the process.
• As we move toward FY27, we are positioned to achieve 25% AUM growth driven by enhanced distribution , technology adoption supported by diversified funding and robust risk management.
Lastly, I also wanted to address the topic of my continuity at Home First. There could be some rumor s and speculation on this topic which I want to state are completely baseless. I would like to strongly reiterate that I do not have any plans or intent to move out of Home First.
With that, I now hand it over to Nutan to take you through the financials in more detail. Over to you, Nutan.
Nutan Gaba Patwari : Thank you, Manoj. Thank you for that.
Let us start with the Key Financial Metrics :
• Total interest inc ome for the quarter stood at Rs. 429 crores, up by 20.5% Y-o-Y and 4.8% Q-o-Q.
• Portfolio yields held constant at 13.4%. Disbursement yields for the quarter was at 13.1%.
• With proactive management, we were able to contract our cos t of borrowing ex -co-lending by 10 bps at 8%, supporting our ex -co-lending spread of 5.4%.
• Net interest margin for the quarter was at 6 .0 %, up from 5.4% in the previous quarter, supported by gearing, optimi zed liquidity position and lower cost of borrowing.
• Provisions arising from the implementation of new labo ur code have been recorded and these one -time expenses of Rs. 3.3 crores on account of gratuity provisions have impacted OPEX and earnings of Q3 FY26.
• Reported cost to income was 32%, up by 10 basis points on Q-o-Q basis. Ex -gratuity provision impact, it would have been 31%.
• Reported operating cost to asset was at 2.7% for the quarter. Ex -gratuity provision impact, this ratio stands at 2.6 % for the quarter. We expect this ratio to remain range bound within 2.6 %-2.7% as we focus on growth and expansion. Our Profit After Tax increased to Rs. 140 crores, up by 44% Y-o-Y and 6.3% Q-o-Q, with Return of Assets of 4% and Return of Equity of 13.7%. Ex -gratuity provision impact, the earnings growth in Q3 FY26 has improved by 46.6% Y-o-Y and 8.3% Q-o-Q, with Return on Assets of 4.1% and Return on Equity of 13.9%.
• We also had a QIP of Rs. 1,250 crores earlier in April. Pre -money adjusted ROE for Q3, stand

s at 17.1%.

Moving to Provisions and Asset Quality :
• Credit cost for Q3 stood at 40 bps.
• Provision on Stage 3 has increased to 22% as on Dec’25 from 21% in the previous

quarter.
• We continue to adopt a conservative approach to provisioning maintaining a provision overlay above ECL requirements. As of Dec'25 , our total provision coverage is 40.4%.
Moving to Balance Sheet and Capital Position :
• Our funding profile continues to be well diversified and cost effective, reflecting our prudent financial management. 57% of the funding comes from public and private sector banks, 16% from NHB, 20% from assignment and co -lending, and balance from NCB, ECB and NBFC.
• During Q3, we executed direct assignment transactions of Rs. 215 crores. Our disbursement under co -lending business increased to Rs. 1 01 crores for Q3, taking co -lending book to Rs. 585 crores or 3.9% of the total AUM. Co -lending would continue to be an important part of our strategy to strengthen our ability to cater to higher ticket size segments. We aim to take co -lending contribution to 10% of AUM as we scale.
Coming to Capital Adequacy and Liquidity :
• Our capital adequacy ratio as of Dec'25 stands at 49% as compared to 48.4% in Q2. This increase in capital adequacy is due to lower cash held in mutual funds.
• Our net worth stands at Rs. 4,180 crores, up 73.6% Y-o-Y and 4.1% Q-o-Q. Book value per share as of Dec'25 is Rs. 402.
With that, we conclude our opening remarks and are now happy to take your questions.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Abhij it Tibrewal from Motilal Oswal Financial Services. Please go ahead.
Abhijit Tibrewal : Good quarter. First of all, thank you so much for kind of reiterating towards the end of your opening remarks that you don't have any plans to move out of Home First. I think that is very reassuring. And like you said, we also kind of used to get questions around the co ntinuity and your plans. So, first things first , thank you so much for that. Now, moving to business, very clearly, I think disbursements are starting to pick up. But I have two questions here. First thing is, disbursements, while they have improved sequentially, maybe they are still a sha de lower than what we were expecting or penciling in. So, what is it that is leading to this? Is it a higher competitive intensity? Or was it in the nature of, I would say, some weakness in asset quality that we were seeing until last quarter, which was making us go a little conservative on more businesses and di sbursemen ts? If you could explain that. And the other thing is, now that asset quality looks like stabilizing , your 1+ has actually improved sequentially, 30 + is now stable.

And so, to that end, are we getting higher confidence to start accelerating the business from here? And we have already put out in the press release that next year, we will look to grow at 25% Y-o-Y. For the 4th quarter, at least what are the internal targets that you are working with?
Manoj Viswanathan : The target is to end the year at 25% AUM growth. And again, for the next year, we have given the guidance of 25% growth on AUM. And as you rightly mentioned, yes, the first half of this year, there were certain issues that we were grappling with, because of the environment. And as I have mentioned in my detailed, state-wise discussion, there are certain states where we are going through certain issues, etc., which are now gradually stabilizing, and which is the reason for the renewed confidence in disbursal numbers. And some of the overhang, which was there, because of the M FI delinquency, etc., is now coming to an end. It is kind of tapering off in the overall marke

t environment. These are all the reasons why we are feeling more confident. And we are also seeing that upt ake in numbers internally, in origination numbers, etc. , which will eventually translate into disbursal. That is the reason we are feeling more confident about the disbursal numbers for Q4 as well as for next year.
Abhijit Tibrewal : I was just saying that this spillover of MFI stress, like you mentioned, at least in affordable, is coming to an end. So, just trying to understand in your detailed comments, you spoke about 3-4 states, where we are seeing things improve. Gujarat, you mentioned , the impact of tariffs, which was earlier anticipated , I think Gujarat has successfully managed it, Gujarat being one of our top states . So, just trying to understand, at least this increase in bounce rates, that doesn't bother us, right? I think that is a little bit more of a behavioral problem, right rather than of an asset quality issue?
Manoj Viswanathan : Correct. So, we are gradually seeing that divergence between bounce rates and actual collections. If you see last quarter also , the bounce rates were elevated, but then the collection was far better than the previous quarter. To some extent, it is becoming more of a behavioral issue, where customers have multiple accounts, so they end up missing the payment in one account, then they immediately transfer the payment from some other account. We have been talking about this for the last couple of years. But I think now tha t is coming out very clearly. So, collection efficiency is kind of getting disconnected from the bounce rate itself.
Abhijit Tibrewal : Got it. And lastly, Manoj, on asset quality, again, given that you have seen some stability in this

quarter, you think Q 4, again, a seasonally strong quarter, and given where we are, you think we
can start looking at an improvement in asset quality, even in Stage 3 from this quarter onwards?
Manoj Viswanathan : Yes, we should see that in this quarter. Generally, Q4 is good. But what gives us more confidence is that we managed to bring down our early -stage delinquency also quite substantially this quarter , whereas, if you see the same quarter last year, it was actually elevated. So, better collection efficiency in Q3 is giving us the confidence that the Stage 3 also should start moving down.
Abhijit Tibrewal : Got it. And have you made any PLR changes in the last quarter or effective January?

Manoj Viswanathan : Yes, effective from 1st Jan, we have reduced our PLR by 10 bps. And we have passed on that benefit to customers from 1st of January.
Abhijit Tibrewal : Got it. That is all from my side. Thank you so much for taking on my questions and I wish you and the team the very best.
Moderator : Thank you. The next question is from the line of S hreepal D oshi from Equirus . Please go ahead.
Shreepal Doshi : Hi, sir. Thank you for giving me the opportunity. My question was on the PLR front. So, we have already done the reduction of 10 bps. But given the competition in the market, and I think even in the last quarter, the BT-out rate had increased. So, are we planning or is there any plan to further take a rate cut in the quarter? Or how is that aspect likely to shape up in the next, let us say, 3-4 months ' time period?
Manoj Viswanathan : The PLR is a function of our own borrowing cost. So, that will work in sequence. As our borrowing cost comes off, we should be able to pass on the reduction to customers. Based on the reductions that we have experienced, in the middle of the last quarter, the ALCO decided to pass 10 bps reduction to the customer. If there is further reduction, the board / ALCO will decide how much to pass on in the coming quarter. The reduction in PLR is to be basically fair with the customer. It is not directly intended to reduce the BT-out. BT-out ge

nerally happens
when there is a huge difference in the rate which the customer is getting compared to what they are experiencing with us. Minor reduction in PLR is not going to really materially impact the BT-out rates.
Shreepal Doshi : So, then in that case, what is t he overall cost benefit that we ha ve already seen from the 125 bps rate cut that we have seen at systemic level and what is it that is remaining?
Nutan Gaba Patwari : Shreepal, I will take you back to the overall benchmark led rates that we have. Repo link rates are about 15%, external benchmark is about 30% in total. To that extent, we hav e got the benefit.
Out of the 125 bps in total, we would have now gotten the benefit about 40 -50 bps. As we all know that the credit deposit ratio of banks are what they are, and the MCLR of banks are just about starting to come off. Moving forward, we should expect a little bit of maybe 5 -10 bps every quarter for t he next 2-3 quarters. And basis that we will have to go back to see how the rates are looking like, what we are getting and eventually look at the PLR. I would think that we will not do any more PLR reduction in this quarter, which is Q4 of this year. Anything from here on will be next year only.
Shreepal Doshi : Got it. The other question, ma'am, again was on the liability side only. So, on the NHB borrowing, what is the sanction pool that we have there and what is the borrowing rate that you are seeing from that avenue?
Nutan Gaba Patwari : We got an approval this year of about Rs. 900 crores. We have actually put that in the liquidity position slide last quarter and this quarter also. In terms of pricing, pricing remains pretty

comparable to the banks. We are now in that broad region of 7.5 % and it is a good pool of liquidity for us and we want to expand both NHB as well as banks.
Shreepal Doshi : So, has there been a PLR cut at the NHB level as well or not yet?
Nutan Gaba Patwari : Yes, there has been.
Shreepal Doshi : Got it. Thank you, ma'am. Thank you so much and good luck for the next quarter. I will come in the queue for additional questions if any .
Moderator : Thank you. The next question is from the line of Rajiv Mehta from Y ES Securities. Please go ahead.
Rajiv Mehta : Good evening. Congrats on good performance. So, my first question is on Tamil Nadu. I think you spoke in the initial remarks that the team is in gate now. So, where do you expect the productivity from the team to come through? And can you also comment about the competitive intensity impacting the volume recovery out there? And are you also budgeting that in FY27, disbursement in Tamil Nadu would outgrow that of the company?
Manoj Viswanathan : I think the recovery will take probably another 2 quarters, Rajiv. Probably from Q2 of the coming

years , we should expe ct the turnaround in Tamil Nadu .
Rajiv Mehta : And Manoj, were there any underwriting changes done across markets because of the difficult macro that we saw? And can such changes be released, giving you better approval rates or helping you in recovering your disbursement volumes in FY27?
Manoj Viswanathan : Not really. Since it is a home loan product, generally, the impact of your underwr iting is visible after maybe 18 -24 months. And generally, these things become more visible when there is some stress in the economy, like what we saw over the last 12 -18 months. When we realize that this is likely to happen to a specific cohort of customers, then, generally, you do not reverse those changes. To give you an example of, let us say, customers with certain type of bureau score are going to defau lt in a certain situation. Then you would not reverse that going forward , unless there is something really changes in the environment. And these are ongoing changes. And as we keep discovering, let us say, new cohorts, which m

ay be defaulting, it can happen on both sides, positive as well as negative. When we realize there are certain cohorts which are behaving well, we kind of double down on those. Certain cohorts which are not doing well, we kind of restrict those profiles. This is an ongoing process. And there is no immediate knee -jerk reversal that we are going to carry out.
Rajiv Mehta : Understood. And the last thing is about the origination yield. The origination yield has actually come down by 20 bps on Q-on-Q basis. Now, is this largely a function of we incrementally doing higher tickets in our own books as well? Or is it also the thought process that whatever decline we are seeing in the marginal cost of funds, we are concurrently passing it on the new layer?

Manoj Viswanathan : It is more of the latter. The marginal cost of funds has dropped by about 30 -40 bps So, that is likely to reflect in new origination as well.
Rajiv Mehta : So, broadly, book spreads should kind of stabilize around 5.0 %-5.4% and you would want to kind of prioritize growth and push volumes for any incremental bene fit?
Manoj Viswanathan : Yes. We have always maintained that the book spreads will be in 5.0 %-5.20% range.
Rajiv Mehta : That is a long -term number. Ye s.
Manoj Viswanathan : Anything more than that, we will basically follow a fair practice of passing that on to the customer.
Rajiv Mehta : Got it. Thank you so much.
Moderator : Thank you. We have the next question from the line of Raghav from Ambit Capital. Please go ahead.
Raghav : Hi. Thanks for the opportunity and congrats on this quarter. I just have two questions. One, I wanted to ask what will be your disbursement target for FY27? I am estimating somewhere around Rs. 6,400-Rs. 6,500 crores. Is that a fair estimate? That is about 18% higher versus FY26?
Manoj Viswanathan : So, Raghav, we are not giving a specific number for disbursal for next year because there are multiple levers by which we can reach our even growth target. So, we are not giving a specific disbursal number.
Raghav : But you would have done your budgeting or some sort of numbers for FY27. So, is that a fair estimate of around Rs. 6,500 crores for next year or do you think that?
Nutan Gaba Patwari : Yes, Raghav, when you do the budgeting, there are multiple scenarios involving a lot of business factors. There could be more than 20 factors contributing to the AUM final growth number. We want to keep those variables flexible and under control. And what we want to guide the market is to AUM number and then deliver that number. So, that is how we are thinking.
Raghav : Sure, fair enough. Will reducing the repayment rates be under consideration , say, for example, if you want to deliver a 25% growth on the AUM front, then do you also have some strategies around reducing your repayment rates next year?
Nutan Gaba Patwari : Yes, it will be one of those many variables.
Raghav : Understood. So, it is fair to say that what you are looking at is probably the FY25 repayment rate. The way that we calculate should be lower compared to FY26, right? That is a fair assumption to make ?

Nutan Gaba Patwari : I can separately run the model discussion with you. But like I said, we want to stick to the AUM guidance of 25%.
Raghav : Understood. And then besides this 10 bps PLR cut, I think you have partly answered that. Any further PLR cuts will be considered only from next quarter onwards, if at all. But do you sense that there will be a requirement for you to cut the PLR given the comp etitive intensity in the affordable home loan segment, the moderation and volume growth and in this slide, do you think that you will be required to take a PLR cut further?

Nutan Gaba Patwari : Raghav, the business has to react much fas

ter. Therefore, it will be very difficult to say what
could be reality on the ground 4 -6- 8 months down the line. And hence, the whole spread
guidance of FY25, the whole AUM growth guidance as well, we want to stick to that and then
let the rest of the interplaying forces be with the internal teams and then deliver on the guidance.
So, today, it will be very hard to say what could competitive pressure look like in July or in
October and how we wi ll choose to react to that.
Raghav : Understood. On another aspect, I saw your employee number that is down Q-o-Q. Is that because
of high attrition that is continuing for the larger industry as well as for you? And what are you
doing to control that? That is my last question?
Nutan Gaba Patwari : Attrition has remained in that broad 35% range. What we are seeing, yes, you are right, the
overall number Q-o-Q is down. We actually have about 250 people who are joining us. It just
got delayed between Dec and Jan. So, we expect that number should increase in March when
you see the numbers next time.
Raghav : Understood. Generally, out of the 1700 employees that you have, there would be different
cohorts wherein there is going to be a set of people which are highly productive and then there
will be another set of people which are not as productive. Is it usually the ones which are less
productive getting weeded out or are leaving to join other companies and therefore, you are left
with the more productive ones and that is something that is going to be an input to your AUM
growth or disbursement growth next year? Is that the right way to think about this or not really?
Manoj Viswanathan : Yes, that is how we think about it and the aim is to retain the more productive sales people. All
our efforts in terms of reward recognition etc. , work towards retaining the more productive
people. But some of them also leave us for various other reasons. Some of them want to go to a
larger brand or they want to take up a more senior role or some other kind of role etc. Those
factors are also at play. But ye s, of course, internally the efforts are on to retain the more
productive employee s.
Raghav : Understood. Thank you, a lot, and that is all from my side. Thank you.
Moderator : Thank you. We have the next q uestion from the line of Adityap al from MS A Capital Partners.
Please go ahead.

Adityapal : Just a couple of questions to Nutan and Mano j. So, over the last couple of quarters, we have
gone from saying 27 %-30% AUM growth to 26 % and now today we are saying 25% AUM
growth for FY26 as well as Fy27. Now, this is the guidance I agree and the branch additions are
also not keeping up the pace to what we had said a couple of quarters back. What are we seeing
on the ground? Is there any change because now the cycle has turned somewhat, the credit cycle.
Do you see any green shoots now going forward, maybe say exiting December?
Nutan Gaba Patwari : let me just straight away take the question on the guidance that you referred to. The guidance
we had given was Rs. 20,000 crores by March 2027. With 25% growth , next year, we will hit
about Rs. 19,600 -Rs. 19, 700 crores. Essentially the overall impact in a medium -term is about
Rs. 300 crores of AUM and we all know how the credit cycle has been in the last 12 months. It
would not be very fair to say that we are dropping numbers Q-o-Q. I think we need to look at
numbers in the medium term and whether the business is geared to take on challenges and do
the right thing when the cycle is difficult. I think that is how I would like to address the first part
of your question. The second part, you talked about the branch additions. Branch additions again
take place on a regular basis. Yes, this particular quarter we had two branch additions, but come
March, we are expecting 6-8 branch additions. Again, it is not a lin

ear number , Aditya, I would
request you to consider that.
Manoj Viswanathan : So, to address the last part, you were talking about green shoots. The aim is to convey that yes,
we are seeing those green shoots. We have got over some of the challenges that we had in some
of the markets . We are feeling more positive about our origination as well as dis bursal numbers
for the coming quarters. So, definitely want to put it out there and convey that.
Adityapal : Understood. Thank you so much for this detailed answer. The other part is asset quality. So, I
definitely understand that last quarter , we tightened our credit filters and even after tightening
our credit filters, which would have definitely led to higher rejection rates, we posted this good
disbursement growth. Now, because of a tightening of credit filters, do you see that this is the
peak in terms of 1+ DPD as well as the GNPA?
Manoj Viswanathan : Yes. 1+ DPD already has turned around and the GNPA also should start moving down in the
coming quarters.
Adityapal : Perfect. Wishing you and the team all the very best. Again, great set of performance.
Congratulations.
Moderator : Thank you. We have the next question from the line of Prithviraj Patil from Investec. Please go

ahead.
Prithviraj Patil : Hi, thanks for the opportunity. Sir, I just wanted one clarification on the cost of borrowing . We have given the cost of borrowing ex of co -lending. So, I just wanted to know what that metric is and how do you calculate?

Nutan Gaba Patwari : We give two lines, Prithvi. One is the total cost of borrowing. It includes the total bank borrowings, the assignment transactions, the co -lending transactions. Because the optical spread in a co -lending book is low, we started giving the cost of borrowing and spread excluding co - lending as well. What we basically do for that Rs. 530 crore s pool, whatever the cost of borrowing is, we take that out and recompute the cost of borrowing and we put it in a separate line for full disclosure.
Moderator : Thank you. We have the next question from the line of Divyansh Gupta from Latent PMS. Please go ahead.
Divyansh Gupta : Yes. Hi, Nutan and Manoj. A couple of data keeping questions. What will be our LAP AUM mix and what would be the HL NPA and LAP NPA?
Nutan Gaba Patwari : LAP AUM is 15%. And the GNPA in LAP will be about 1.4 %. HL will be slightly above 2 %, just because it is a higher book
Divyansh Gupta : Sorry, higher book as in?
Nutan Gaba Patwari : Mix is higher.
Divyansh Gupta : Sorry, I didn't get. Can you repeat?
Manoj Viswanathan : LAP NPA will be slightly lower than the HL NPA.
Divyansh Gupta : Got it. Understood. And the second question was, any early read on the CLM -1? How is it impacting us or the customer experience and any from our industry as well as HomeFirst specific?
Nutan Gaba Patwari : The co -lending guidelines have become effective from January 2026. We are in this transition mode as we speak. Some banks are ahead; some banks are taking some time. In my view, we will take another 2 weeks to fully settle the process, but it is a matter of transition and we will be done with it quickly. As we speak today, we are still undergoing conversations with some banks. We do expect that one out of the 3 banks, we will do a transaction this month as well.
Divyansh Gupta : So, does it mean that, let us say, this, at least the period, at least in the first month, our co -lending disbursal is a bit slower and we expect to ramp it up in the next 2 months?
Nutan Gaba Patwari : Yes, but I also have to add that some variations on the M-o-M basis are normal.
Divyansh Gupta : Got it. Understood . This is helpful. And the next question was that, if I remember, last con-call only we said that UP, there are 4 or 5 big cities and the market is not as big. But in the opening rem

arks, we mentioned that we expect to make UP a big business by FY28. So, has there been a change in strategy or product or anything, s ome light i f you can shed on that?

Manoj Viswanathan : UP was part of our plan. If you see, last 2 years ago when we started our expansion into North, UP was part of our plan. But some of our early experiences in UP was not so good and hence we kind of decided to take a more careful approach. In terms of size of the market, it is large and yes there are 3 or 4 large cities which have a larger amount of business and then it is more fragmented. But however, that will not deter us from going into UP. It is one of our key markets which we have fo r future. It is just that by the time we kind of put together the team and create the foundation for expansion to UP, it could take us another few quarters. So, which is why we have mentioned in the call that in FY28, it would start becoming a large contributor.
Divyansh Gupta : Got it. And just two more questions. So, first is I think in the deck, we mentioned that our average CIBIL is around 747. This is at the time of origination or after because o nce someone takes a home loan, then CIBIL score anyways goes up?
Manoj Viswanathan : Correct. It is at the time of origination.
Divyansh Gupta : Got it. Understood. And the last question was that the increase in GNPA, let us say, looking at the Stage 3 absolute growth Y-o-Y, has been faster than the increase in the AUM, which is also therefore reflecti ng in the higher NPA percentage?
Now, given that, let us say, some green shoots and let us say, overall, let us say, the pain being done, how should we expect, let us say, in the next few quarters, this ratio, should we expect GNPA to come down with some flow backs or is just that the growth of the book will more or less make the denominator big and therefore, the percentage will come down?
Manoj Viswanathan : No, both will happen. The absolute value should also come down and because of the denominator going up, there will be some impact on that as well.
Divyansh Gupta : Got it. And is it through any specific collection effort or just generally reduction in stress and

therefore, people are expected to pay back and expecting it to revert or we are doing much more for collections?
Manoj Viswanathan : In some markets where delinquencies are elevated, obviously, there is a greater collection effort. But for us, collection is, the entire team is tasked on collection. It is part and parcel of the day -to-day activity for every employee in the branches. And also, to some extent, because of the green shoots in the economy and the overhang of all this delinquency going away, some customers also kind of proactively come forward to settle their accounts and repay and come back to normal.
Divyansh Gupta : Understood. Got it. I will join back the queue for any further questions. Thank you and all the best.
Moderator : Thank you. We have the next question from the line of Chintan Shah from ICICI Securities. Please go ahead.

Chintan Shah : Hello. Thank you for the opportunity. So, I had a question on AUM growth. On the disbursements, we have clocked around Rs. 500 crore s disbursements per month. So, I just wanted to understand in terms of the tariff -impacted states, which is Tamil Nadu and Gujarat, we had tightened our underwriting filters , and now, have we loosened the filters? Also, what is actually driving this Rs. 500 crores and makes us confident that this will be sustainable?
Manoj Viswanathan : As I mentioned, the tightening of filters is an ongoing process. It is just that when there is an event in the environment, economy not doing well, some of these trends emerge much faster. And it helps us to take those decisions on which seg

ments to tighten and so on which we did over the last few quarters. The growth is not coming from relaxing those norms. The growth is coming from increased distribution and maybe just a bit of better momentum in the environment , so not from relaxing of credit filters.
Chintan Shah : Sure. Are we also planning to relax those filters? And if we do, then could it further accelerate the growth then?
Manoj Viswanathan : No, we are not looking to relax those credit filters. Because the credit filters, as I mentioned, the impact of the credit filter comes only after 18 -24 months. Once we have already realized that a certain cohort will not behave, then it doesn't make sense to kind of relax the criteria on that cohort.
Chintan Shah : Sure. And do we have any limit on a maximum exposure to a single state, any internal ceiling or limit?
Manoj Viswanathan : No, at the moment, we have not set any limit for a particular state. If you see our market share in each state, it is still in low single digits, which is why we have not set any cap for any state. In any state where we are present, there are obviously other players who have much larger share, including banks , so which is why we have not, at this point, put any cap on any state.
Chintan Shah : Sure. And one last question, in future or in the coming years, do we intend to reduce ticket size at any point of time or to just get out into a higher yielding segment like 6 -8 lakh ticket size or this is the current ticket size will only continue?
Manoj Viswanathan : Our proposal always has been that as the country grows and incomes grow in most of the states, the availability of housing in this lower ticket sizes is shrinking. We have always said that every year the ticket sizes will grow by 3 %-5% as a natural progression. And we continue on that path. We are not going into lower ticket size.
Chintan Shah : Got it. Thank you and all the very best for the future. Thank you.
Moderator : Thank you. We have the next question from the line of Nidh esh Jain from Investec. Please go ahead.

Nidhesh Jain : Thanks for the opportunity and thanks for the clarification on rumors around management changes. So, first question is on management change only to Manoj that you will be continuing as an executive role as MD and CEO going forward as well, right?
Manoj Viswanathan : Absolutely.
Nidhesh Jain : Second is how has the approval rate changed , let us say , last year to this year? Is there a drop in approval rates that we have witnessed?
Manoj Viswanathan : Not significantly because the way we operate is that if any new credit screens have to be implemented, we convey that to the front -end teams. And a lot elimination happens in the front -end itself. By the time the proposal comes for underwriting, it has already gone through those screens. At the head office level, there is no significant change in approval levels.
Nidhesh Jain : Sure. And what are the plans for branch addition in FY27 and which are the states which you are looking to add branches?

Manoj Viswanathan : We have about 6 -8 branches in the pipeline. It is kind of spread across several states. There are couple of branches coming up in the north, Uttarakhand, Delhi. They are basically spread across the various states. One or two branches across 4 -5 states.
Nidhesh Jain : Yes, I think that is for Q4. Any planned addition for FY27?
Manoj Viswanathan : FY27, again, we are looking to add about 25 -30 branches. It will again follow the same path where we are concentrating. MP will be one of the states. Andhra Pradesh, Madhya Pradesh, Tamil Nadu, Maharashtra, these would be frontrunners next year in terms of branch additions.
Nidhesh Jain : Sure. And UP will pick up in FY28, is the plan?
Manoj Viswanathan : That is right.
Nidhesh Jain : And lastly, a data keeping question on what is the coun

t of active connectors for the quarter?
Manoj Viswanathan : Count of active connectors is around 3600.
Nidhesh Jain : That is, it for my side. Thank you.
Moderator : Thank you. We have the next question from the line of Ma ulik Chaudhar i from Monarch Networ th Capital Limited. Please go ahead.
Maulik Chaudhari : I just have one broad question. there was an article in Economic Times 4 days ago stating that sales in affordable housing have declined. I just wanted to know your take on the overall loan demand momentum ?

Manoj Viswanathan : Affordable housing, we have to kind of narrow down the definition to understand where it is shrinking and where it is growing. As we have always said, the lower ticke t sizes in affordable housing , if you look at ticket sizes less than Rs. 10 lakhs, there are markets where that is shrinking. And the growth has moved to the ticket sizes between Rs. 10-40 lakhs, which is a natural progression of country progressing, incomes increasing and so on. But of course, different states are in different stages of this evolution. There are som e states where they are already at average ticket size of Rs.15 or 20 lakhs plus. In some states, there are still properties available between Rs. 10-15 lakhs. State-wise, there are differences. But yes, if you were to look at an overall commentary, the ticket sizes below Rs. 10 lakhs are shrinking. That is because of the increase in incomes in most of the pockets in the country. In order to keep track of affordable housing, we will have to index the ticket size by about 3 %-5% every year to account for infl ation.
Maulik Chaudhari : Thank you. Thank you so much. That is all.
Moderator : Thank you. We have the next question from the line of Bunty Chawla from Ask Wealth. Please go ahead.
Bunty Chawla : Thank you, sir. Thank you for giving me the opportunity. Actually, I have joined late if I am repetitive , Sorry for that. What is the situation in Tamil Nadu as such as we have seen one of your peer s has said that there has been some issue from the ordinance point of view, how you are seeing the situation currently and any changes in terms of disbursement and all we have taken there?
Manoj Viswanathan : Yes, the ordinance issue is several months old now. And of course, it had some temporary impact on collections. Besides various other issues, which Tamil Nadu was going through, including tariffs or some overhang of microfinance, delinquency, etc. , but as I mentioned in my opening speech, we have stabilized the team, which we had a challenge with last year. And now gradually we are building the portfolio over there. We should start seeing good traction in Tamil Nadu from quarter 2 of FY27.
Bunty Chawla : Sir, during this quarter, how was the growth in Tamil Nadu, if you can say stabilizing down, up, something like that?
Manoj Viswanathan : It is still growing. Tamil Nadu is still growing, but obviously, not at a pace that it used to grow earlier. Growth has been very muted.
Bunty Chawla : So, now situation has been under control means has changed from last year ?
Manoj Viswanathan : That is right. Last year, there is a substantial difference in terms of stabilizing the teams.
Bunty Chawla : And any change in terms of focusing on different ticket size or in different areas in Tamil Nadu where the situation is much better? Is it a w ell thought process or is it completely on that now the team is stable, now we can grow again?

Manoj Viswanathan : Yes, now that the team is stable, we are looking to again re -establish our growth. In any case, we were not focusing too much on the lower ticket sizes, below Rs. 10 lakhs. Largely the focus will be on core affordable housing the way we see it, which is between Rs. 10-40 lakhs.
Bunty Chawla : That wa

s very helpful, sir. Thank you. Thank you very much.
Moderator : Thank you. We have the next question from the line of Smaran from Money Stories Asset Management. Please go ahead.
Smaran : Yes. Hi team. So, I have two questions. The first one is that I have noticed that recently the bounce rates and growth NPAs and net NPAs have seen a margin al increase. So, I wanted to understand what is the core reason for that ? And my second question is regarding the loan book and the borrowings percentage of fixed and floating population ? So, because in this falling interest rate environment, I wanted to understand if the yield of the borrowing versus the yield of the loan book, is it an advantageous portion or not?
Manoj Viswanathan : Bounce rates, if you see last 2-3-4 quarters, they have moved up by about 1 %-1.5%. In the last quarter, we had the collection efficiency was much better. That is why we are slowly starting to see divergence in the bounce rate versus the actual collection efficiency. Customers have other accounts where the money is parked, etc. So, they end up bouncing the payment, but then they pay off immediately. So, bounce rate is no longer a strong reflection of how the collection is going to go in th at particular month. As far as fixed versus floating is concerned, our entire book is floating rate. We don't have fixed rate loans for the customer.
Smaran : Got it. So, how will it affect in terms of borrowing and lending?
Manoj Viswanathan : So, on the borrowing side also we have floating rate borrowing. It is back -to-back floating on ly.
Smaran : Got it. Thank you.
Moderator : Thank you. The next question is from the line of Siraj Khan from Ascendancy Capital. Please go ahead.
Siraj Khan : Hi, team . Thank you for the question. First, a clarification. Can you call on the logins growth , and also the number of logins that you have plugged during this quarter? Because there has been a little bit of a noise, yes, you said that the affordable housing piece is starting to come out of the woods, but what was the login group, if that number could be called out?
Manoj Viswanathan : Yes, origin ation has also been growing. We don't normally mention that number in the discussions. But, ye s, ultimately, the disbursal, there is a certain disbursal rate. If 100 cases get logged in or originated, there is a certain disbursal rate, which is a kind of constant. If the disbursal goes up, that means origination also has gone up.

Siraj Khan : So, if you could give me like the funnel, then what will be the login to disbursal funnel? So, like if 100 cases were logged in, what would be the disbursal rate just to get it?
Manoj Viswanathan : 80% is the disbursal rate to origination. We are not talking about login. So, we are talking about origination, the number of loans that get sanctioned or approved.
Siraj Khan : Understood. And the 250 number of employees that was being mentioned that are going to join in Q4, which particular cohort is this? Like mostly sales, collection, what is this? What I am trying to understand is over the last 3-4 quarters, what we have seen is the per employee disbursement number has been around the 30 million mark . If the number will add up, that will get impacted. But is the 30 million number, like the peak number or is there aspiration something higher that we target for poor employee disbursement for us?
Manoj Viswanathan : Yes, the aim is always to improve on that number, but it has been static at least last 5-6 quarters. But of course, last 5-6 quarters have also been difficult from an environment perspective. Definitely, I think if there are tailwinds and the environment improves, that number can also improve. But as of now, we are budgeting on the basis of the 30 million number.
Siraj Khan : Understood. And just a final quick one, with respect to the gr

owth that we are seeing in peak, it
seems to be one of our fastest growing states. Tamil Nadu is coming out of, as we are seeing from the M FI issue and other certain states are also recovering from, say for Karnataka coming out of the e-khata thing. The 25% that you are looking at is like a conservative piece because what I want to understand is in the growth wave, are we entering towards the top of the wave, a t the bottom of the wave or we are coming out of the trough and going up towards up of the growth wave? I am trying to unders tand how the swing might happen?
Manoj Viswanathan : We are basically giving a projection or a guidance based on how we are seeing it today. And of course, if let us say , 6 months down the line, there is more bullishness in the market and there is a greater momentum, then of course, we will revise our guidance at that point of time.
Siraj Khan : Understood. And just a quick one, we have seen approximately 3% drop in our less than 15 lakh portfolio on ticket size basis, which has correspondingly increased in more than Rs. 20 lakh. So, is this like more so driven by on the ground or part of it is down to the natural inflation because the 25% growth rate that we are targeting, I think you said 5% would be from ATS, then what will be the balance 20% coming from?
Manoj Viswanathan : See, we are open to customers coming in all of these segments. We are not declining customers from any of these segments. This is more of a natural phenomenon that we are observing in the market. As you see across the years, the lower ticket sizes, the proportions are reducing and it is increasing in the medium or higher ticket sizes. It is a more of a natural phenomenon of what is

coming through the door. We don't have any particular policy which says that below a certain ticket size, yo u have to decline the loan, etc. It is like I mentioned, natural progression. In some

states, incomes have arisen. Customers are aspiring for larger ticket size or larger homes. It is just what is coming through the door.

Siraj Khan : I was not saying that you are declining, but you are not categorically pushing for a higher ticket size. It is just whatever is on the merit, even though if it is higher tic ket size, you are going with it?

Manoj Viswanathan : Absolutely. We are open to; we are not competitive in the extremely high-ticket sizes where banks are active. We don't actively pursue those ticket sizes. If we go by the RBI definition of affordable housing, which is all the way up to Rs. 55 lakhs in metros, we are open to customers in that entire range. Customers who are facing a difficulty in getting loans from larger lenders is whom we are facilitating. We are open to all of those customers. And so typically, now the customers are com ing from slightly higher ticket sizes, lower ticket sizes, the market is shrinking.

Siraj Khan : Understood. I will turn back in the queue, but your outlook on the yields, how do you see the yields moving? Thank you very much.

Manoj Viswanathan : Yields, as we mentioned, we should be able to maintain the spread at between 5 % and 5.2%. Yields , of course , will move depending upon the rates in the market, but the spread we should be able to maintain between 5 % and 5.2%.

Moderator : Thank you. We have the next question from the line of Shubhankar Gupta from Equitree Capital. Please go ahead.

Shubhankar Gupta : Yes, sure. So, I will continue. 2-3 questions from my end, I will make it quick. Just want to understand MP actually has a lot of share, nearing 10% of overall gross loan book. So, just want to understand what is enabling this sort of growth in MP? And is it a model which we can learn from and apply to, let us say, states like UP?

Manoj Viswanathan : When we are operating in multiple states, we always have certain growth drivers , certain ma

rkets
are going through some challenges , so which is the whole advantage of diversification and which is why we are present in 13 states and other than Gujarat and most of the states are kind of equal contributors to our business . This is the advantage of the diversification so we find that certain states, there is more industrialization or urbanization happening at a rapid pace, incomes are going u p rapidly, overall law and order situation is improving more rapidly . The demand for affordable housing also kind of goes up fast and it also to some extent depends upon the team, you may have a stronger team in one state whereas versus another state so the things go better in a particular state. There will be a few states which are firing this year, some state is firing next year so that is the whole advantage of diversification.

Shubhankar Gupta : Actually , I get your point, I just want to understand . So, one is external elements which are not in our control , I was talking more from the internal elements bit that okay , there are stronger

teams in the part of the state or some other factors which have contributed to , let us say , this state gaining more than others was my key question?

Manoj Viswanathan : What we have realized over time is that each state has its own characteristics . When we try to kind of cut pa ste something that has happened in one state into another state it never works.

Shubhankar Gupta : Got it. So, that is fair, that is helpful. Second question is on the lead generation strategy bit. So, I saw that builder ecosystem has gained a bit there. So, I just wanted to understand is there some cohorting pareto of lead generation which is connectors and how do you strategic ally look at cohorting within this and then kind of using it to increase lead generation?

Manoj Viswanathan : Our aim is to have a very granular connector network. When we are analyzing connectors, our main focus is to drive to particular two metrics which is that the number of connectors which are handled by Relationship Manager , can we drive that number up and the number of active connectors. So, these are two metrics that we drive actively. We are not really interested in trying to maximize the business from a connector because then that leads to aggregation and a different model which is an aggregation model. We try to increase the number of connectors which are handled by Relationship Managers , capacity of a Relationship Manager to handle more connectors and the number of active connectors, overall number of active connectors.

Shubhankar Gupta : And what will be the key , let us say , steps or acquisition strategies to increase the number of active connectors or even connectors?

Manoj Viswanathan : One is that just addition of the denominator itself which is just adding the total number of connectors and the second part is the activation. Activation is the process of identifying which connector can be , who is dormant. Somebody who has given us a loan or referre d a loan to us in the past but has gone dormant. So, how do we activate that person? What has stopped them from referring cases later on? That is the whole science.

Shubhankar Gupta : So, sir, as I am getting you are saying that there is a full funnel for connectors, acquisition, activation and probably retention also. What I am asking is within the acquisition funnel or the bucket, cohorting , what is the strategies or the ways you are looking to acquire these connectors? Is it digital mediums, physical mediums and within that also is their further segmentation? What is the acting value?

Manoj Viswanathan : The acquisition is largely physical. Each Relationship Manager is tasked with acquiring connectors. And we have found it to be most effective at this stage. At some point if there is a digital or centralized process, we will ad

opt that. Some pilots are going on. But at the moment physical acquisition by the Relationship Manager is the most active method of getting connectors.

Shubhankar Gupta : Got it. One last question for you , sir. So, if there is a change in the early delinquencies as mentioned , just want to understand what are the major steps you have taken over the last 2 -3 quarters which have led to this change in early delinquencies?

Manoj Viswanathan : When the environment is tough , we basically try to increase the collection intensity. We will increase the step of the monitoring at a Relationship Manager level, number of visits and so on and so forth. Some of those steps are paid off and improvement is also a reflection of how the environment is easing off. Yes, our efforts were elevated for couple of quarters. But then the environment easing off combined with our efforts has helped to reduce the early delinquency.

Shubhankar Gupta : Alright. Thank you so much , sir. Thank you for answering the question.

Moderator : Thank you. We have the next question from the line of Ravi Na redi from N aredi Investments. Please go ahead.

Ravi Naredi : Thank you very much to give me opportunity. Mr. Manoj and Nu tan Ga baji, your entire team is doing fantastic work and your confirmation , you will remain with company will play a new confidence in company. Sir, my only question is there, can you give figure in December '25 quarter , how much money we write off completely in auction of house property took on possession? And can you give this figure for 9 months also?

Nutan Gaba Patwari : Raviji, for the quarter of December , we have not done any write off which is a complete write off. For the first 2 quarters we have done, my sense is in the range of Rs. 4-Rs. 5 crores , but allow me a minute and I will confirm that number to you.

Manoj Viswanathan : Rs. 3.3 crores in quarter 1.

Ravi Naredi : Total?

Manoj Viswanathan : Total Rs. 10 crores for the year.

Ravi Naredi : Thank you very much and all the best.

Moderator : Thank you. We have the next question from the line of R uhitash , an Individual Investor. Please go ahead.

Ruhitash : Sir, what are the disbursal trend in January month?

Nutan Gaba Patwari : Sir, January is still not closed.

Ruhitash : No, current trend means up to 20 days trend ?

Manoj Viswanathan : Strong , sir.

Ruhitash : Thank you. And are there any specific states which are contributing for the NPA and GNPA?

Manoj Viswanathan : Yes, as we discussed in the past , Tamil Nadu has been one of the more difficult states for us last year. Other than that, at a state level , we don't have any challenges. There would be obviously specific branches where there are challenges in some states. But as a whole we faced a challenge last year in Tamil Nadu.

Ruhitash : No, this quarter only. GNPAs are increased from last quarter and in this quarter which states are having a higher stress?

Manoj Viswanathan : Sir, the stress continues in Tamil Nadu. The stress that we had which was building up. So, the higher delinquency , some of it is coming from Tamil Nadu only.

Ruhitash : Is the stress due to tariff issues?

Manoj Viswanathan : Yes, tariff issues have also contributed to it.

Ruhitash : That is it from my side.

Moderator : Thank you. We have the next question from the line of Divyansh Gupta from Latent PMS. Please go ahead.

Divyansh Gupta : Hi, thanks for allowing me another question. Just one question I had. Let me know if my understanding is not correct. Typically, home loans will have a higher LTV compared to a LAP . Given our NPAs are higher in home loans on , let us say , even historically as well as let us say as the talk right now , the simple mathematical assumption would be that the Stage 3 LGD or ECL n

umber should go up ?

Nutan Gaba Patwari : Yes, but what we will have to do is not look at a single year. We will have to look at a one cycle trend which is at least 7 years. And when you look at that ultimately it depends on what the equity of the customer is. It is not a very mathematical formula on one year basis or one quarter basis.

Manoj Viswanathan : Also, within housing loans , there are different products which are different LTVs. LTVs are high in certain apartment products , but then when it comes to resale or self -construction the LTVs are actually low. T hey could be as low as a LAP itself.

Divyansh Gupta : Let us say if you are doing a plot purchase plus construction on plot. But my understanding was that we had more or less exited from the apartment led credit , right?

Manoj Viswanathan : Entire Gujarat is largely apartment led only.

Divyansh Gupta : Got it. So, basically , there is no change in ECL model or any assumptions which might be leading. It is just purely driven by various factors of the loan characteristics. Is that a fair understanding?

Manoj Viswanathan : All of that gets reflected in the ECL model . The changes in the portfolio, the changes in the LGDs from time to time , all of that gets reflected in the ECL model.

Divyansh Gupta : Got it. And just one last question , what could be a GNPA on a managed book? Because the GNPA that we report is more on the on -book GNPA?

Nutan Gaba Patwari : 1.8%

Divyansh Gupta : 1.8% which means that then it is a fair assumption that mostly home loans are taken away in DA. And also, probably more premier or better profile cu stomers are in the managed book?

Manoj Viswanathan : Yes, it is a vintage issue also. So, what happens is the lower vintages go off in the assignment and higher vintages remain with us. So, that difference also comes through.

Divyansh Gupta : Got it. You were saying fresh vintages goes away ?

Manoj Viswanathan : Yes.

Divyansh Gupta : And the old vintage. But over a period of time, it will equalize only.

Manoj Viswanathan : Correct. But it will take some time because the large part of assignment s started after COVID. Probably it should get normalized in maybe next 2 years.

Divyansh Gupta : Got it. And then we should see 1.8 % kind of number. Is that correct understanding or ?

Manoj Viswanathan : At some point there should be a convergence. There will still be some difference because of the quality of the book. Because by definition , the assignment book is taken away after a certain seasoning. In that seasoning the quality is already checked in that seasoning. And then the book is then assigned. That difference will still remain. But yes, there will be a greater convergence in a couple of years.

Divyansh Gupta : Got it. Understood. Thank you.

Moderator : Thank you. We have the next follow -up question from Siraj Khan from Ascendancy Capital. Please go ahead.

Siraj Khan : Thank you for the follow -up. Can you just give me a breakup of the AUM with respect to apartment? How much is apartment? How much is P+C? How much is self -construction? Would that be possible to provide?

Manoj Viswanathan : Sure. We can give you that. Apartments on AUM is around 16%. Self-construction is around 26%. And ye s, anything else you wanted to know?

Siraj Khan : Plot plus Construction and?

Manoj Viswanathan : So, plot plus construction and self -construction will be part of the self -construction group which is 26%.

Siraj Khan : Will you do only plot or only construction?

Manoj Viswanathan : Only plot will be very small. It is about 1% of the pool.

Siraj Khan : And just a quick one on the BT-out rate. So, Q-o-Q we can see that the number has fallen. Last quarter , it was 7.6 %. Now it is 6.6 %. What do you look at the numb

er with respect to the BT-
out overall runoff? Because what I have seen from the ground, speaking with some of the people on the ground, some of the affordable housing and some housing finance companies are doing 12% or sub-12% rates in this quarter. And even a little bit in the last end of the last quarter. So,

the yield outlook question was purely because of that. Because if you are seeing less than 15 lakhs or less than 20 lakhs customers being offered 12 %, maybe even sub -12 rates, then that creates a question mark with respect to the whole spread and the entire ROE Tree?

Manoj Viswanathan : Yes. This is something that we have been also flagging off since the last several quarters. That there are the balance transfers are fairly aggressive even in the affordable segment now. And the rates being offered by various affordable housing players are also fairly aggressive. It is something that we had flagged off. However, we have also reinforced or renewed our efforts for retention in order to prevent balance transfers. Hopefully, at least in this quarter, it has yielded some resul ts, and we have managed to reduce the balance transfer. Tshis effort will be on to speak, and we will counsel the customers and reduce the balance transfers.

Siraj Khan : So, a steady state BT-out rate that you feel safe, say, FY26 to FY 27?

Manoj Viswanathan : Yes, our aim is to kind of continue this success that we have had in this quarter. If the effort that we have put in this quarter continues to give us results, then it will stabilize around 6 %-6.5%.

Siraj Khan : And finally, an aspirational overall thing. Like, we have seen some of our peers, slowing d own post there is a Rs. 20,000 crores mark. You are saying that you will be reaching the Rs. 20,000 crores mark in a couple of years ' time. Yes, because the base is higher, the growth rate is moderate. But what do you think is a sustainable steady state growth for you and what you are looking? Like a longer -term frame, this is a question , like, where do you see the book and what is a sustainable growth rate and like a sustainable ROA that you see? Just a big picture question ?

Manoj Viswanathan : As we had mentioned the Rs. 20,000 crore s number by March of 27. And as we discussed earlier in the call, we may only miss it by maybe 1 or 2 months. Similarly, we are you can say guidance

or our vision or projection for 2030 is Rs. 35,000 crores. That is where we want to get to. That will be in the region of around 20 %-23% AUM g rowth Y-o-Y if we have to get to Rs. 35,000 crores.

Siraj Khan : Understood. Thank you very much and this is great. Couple of suggestions on the fa ct sheet, if you could start giving the statistics with respect to those numbers of the sanction ratios and etc. , it is a very useful number that generally as analyst see, if you could add that number into the fact sheet.

Manoj Viswanathan : Number of approvals?

Siraj Khan : Yes, the approval ratio, like log into sanction or sanction to disbursement. That ratio would be really helpful. Thank you very much.

Moderator : Thank you. We have the next question from the line of Aditya pal from MSA Capital Partners. Please go ahead.

Adityapal : Just wanted to understand the color, qualitative aspects of 1+ DPD as well as GNPA. So, you answered a few data points to previous participants. The nature of these customers, is there any commonality between these customers that are not paying? It can be either vintage, it can be income profile, it can be state level ?

Manoj Viswanathan : Most of the customers default because of some unforeseen event in the family. It could be largely medical events, accidents, some major illness. That is a big contributor. Another contributor is, of course, losses in business, loss of job and so on. These are the key contributors to the default. And if this i

s combined with, let us say, some weakness in the property value that is where the NPA and losses take place. If the property is strong and there is a lot of equity for the customer in the property, then they typically either sell the property or settle and square off the loan. But if there is a weakness in the property, as well as there is obviously the weakness in the income, then we end up with NPA.

Adityapal : No, I understand that aspect, and that is something which is business as usual. But my question is more to do with, if you look at it from 1-year basis, obviously there has been a macroeconomic issue and we all know that the country went through a rough economic or credit patch over the last 15 -18 months. But is there, as in the company, for HomeFirst , Now, our 1+ DPD over the last 12 months went from 4.5% in FY25 Q1 to 5.5% last quarter and 5.3% this quarter. Who are these customers and what is it that the economy or the customer profile that needs to turn for you to come back to, say, a closer to 5% or sub-5% ra nge that we were doing historic ally? And same color for NPA. NPA, there has been a 30 bps jump over the last 12 months. I think a large part of that chunk would be Tamil Nadu, if I am not wrong. You can correct me if my understanding is wrong. So, that is what I want to understand. I completely agree that there would be family issues, there would be medical emergencies, there would be decrease in house prices. But those are business as usual and that is something that all the affordable housing finance across cycles will go through. But this cycle was a bit different. So, that is why I wanted to know the color ?

Manoj Viswanathan : What will change things is basically easy availability of credit , which is important for a customer at the lower income segments. Typically , when there is a stress in the family, like somebody has lost the job or there is a sudden medical expense that has come up, they need immediate cash flow from some other source. If you are expecting them to continue to pay the home loan EMI, then in order to attend to their other problem, they will have to get immediate cash flow from somewhere. Which was earlier available because there were a lot of companies providing quick person al loans and so on. But that dried up over the last 12 -18 months. And as a result of which some of these customers were kind of left high and dry, you can say. When there is a sudden crisis, they don't have anywhere to turn, anywhere to go to. So, they had to then stop their home loan payment and kind of dip into that as a last resort for their emergency needs. That is something that when it changes and we know that it has changed over the last 3 -4 months, customers find it a little easier to tide over that phase, of 2 -3 months when there is a liquidity problem for them. That is one of the important things that can change in the economy. What can obviously change at a macro level is obviously there is more job creation, there is higher income or wage inflation or income inflation. That then helps the customer to create a financial cushion for difficult situations .

Adityapal : Understood. And out of this Rs. 255 crores of gross NPA that we have, how much would be because of Tamil Nadu or for that matter because of tariff -related stress? We already commented that we are seeing a good turnaround in Gujarat ?

Manoj Viswanathan : Yes, so see, Tamil Nadu is as a percentage of the AUM, it is about 12%. The ratio of NPA will be slightly higher, probably around 15 %-18% of the NPA cohort. And at least in some pockets, it is largely because of the tariffs. For example, Tirupur has a much higher NPA ratio because the economy there has been under stress.

Adityapal : Understood. Thank you so much and wishing you all the very best again.

Moderator : Thank you very much. As

there are no further questions from the participan ts, that concludes the question -and-answer session. I now hand the conference over to Mr. Manoj Viswanathan for the closing comments. Thank you and over to you, sir.

Manoj Viswanathan : Thank you, everyone for participating and engaging in the call. We hope we have been able to answer the questions to your satisfaction. In case you want to reach out for further questions, you can always reach out to Sunil Anjana or write to us at investor.relations@homefirstindia.com . Thank you so much.

Moderator : Thank you very much. On behalf of Home First Finance Company India Limited, that concludes this conference. Thank you for joining with us today and you may now disconnect your lines.

Call: May 2026

HFFCIL/BSE/NSE/EQ/ 14/2026-27 Date: 12-05-2026
To,
BSE Limited ,
Department of Corporate Services,
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort, Mumbai - 400001.
Scrip Code - 543259 To,
The National Stock Exchange of India Limited,
The Listing Department,
Exchange Plaza, C -1, Block G, Bandra Kurla Complex,
Bandra (E), Mumbai - 400051.
Scrip Symbol - HOMEFIRST

Sub: Transcript of the earnings conference call for the quarter and year ended March 31, 202 6

Dear Sir/Madam,
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call for the quarter and year ended March 31, 202 6 conducted on May 07, 2026 for your information and records. The Company had referred to publicly available documents for discussions during the call.

The above information is also available on the website of the Company: www.homefirstindia.com

This is for your information and record.

For Home First Finance Company India Limited

Shreyans Bachhawat
Company Secretary, Compliance Officer and Head - Legal
ACS NO: 26700

"Hom e First Fina nce Company India Limited
Q4 & FY26 Earnings Conference Call"
May 07, 2026

MANAGEMENT : MR. MANOJ VISWANATHAN – MANAGING DIRECTOR
AND CHIEF EXECUTIVE OFFICER – HOME FIRST
FINANCE COMPANY INDIA LIMITED
MS. NUTAN GABA PATWARI – CHIEF FINANCIAL
OFFICER – HOME FIRST FINANCE COMPANY INDIA
LIMITED
MR. SUNIL ANJANA – HEAD OF TREASURY AND
INVESTOR RELATIONS – HOME FIRST FINANCE
COMPANY INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Home First Finance Company India Limited Q4 and FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode . There will b e an opportunity for you to ask questions a fter the presentation concludes . Should you need assistance during th is conference, please signal an operator by pressing star and then zero on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sunil Anjana, Head of Treasury and Investor Relations of Home First Finance Company India Limited. Thank you, and over to you, sir.

Sunil Anjana: Thank you, Farah. G ood afternoon, ladies and gentlemen, and welcome to Home First Finance Company's Earnings Conference Call to discuss the financial results for the quarter and financial year ended March 31, 2026. We hope you have had the chance to review our investor prese ntation and press release, both of which are available on our website and stock exchanges.

As per our practice, we have also uploaded an Excel fact sheet containing historical data on our website for your easy reference. From the management, we have with us today Mr. Manoj Viswanathan, MD and CEO and Ms. Nutan Gaba Patwari, CFO.

With that, I now invite Mr. Viswanathan to share his insights on overall performance and outlook. Over to you, sir.

Manoj Viswanathan: Thank you, Sunil. Good afternoon, everyone, and thank you for joining us today. FY26 has been a year of resilience and disciplined execution for Home First. We ended the year with healthy growth, record disbursements in Q4, over 41.4% profit growth for the full year, improving asset quality, and a b alance sheet that remains very well capitalized.

What is important to us is not any one of these metrics in isolation, but the fact that all of them moved in the right direction together. We continue to grow well. Our assets under management stood at INR1 5,878 crores as of March '26, up 24.9% year -on-year and 6.4% sequentially. Disbursement in Q4 was the highest ever at INR1,572 crores, up 23.5% year -on-year and 19.3% q-o-q.

For FY'26, the disbursement stood at INR5,424 crores, a growth of 12.9% over FY25 . The strong exit run rate in Q4 gives us confidence as we enter FY27 . Profitability remained robust. For FY26 , PAT stood at INR540 crores, up 41.4% year -on-year. Reported return on equity for FY26 was 15.7%. And on a pre -money basis, adjusted ROE stood at 16.8%.

Even as we delivered this performance, we continue to invest for the next phase of growth. During the quarter, we added 6 new branches and 5 touch points, increasing the network to 171 branches and 373 touch points. During 2026, we also added net 221 employees in largely customer -facing goals, taking our total headcount to 1,855.

Our origination yield continues to be healthy at 13% with an 83% share of individual housing loans. That consistency in mix is important because it reflects both the stren gth of our core franchise and the granularity of our portfolio.

Now coming to asset quality, one of our key priorities over the last few quarters has been to strengthen the portfolio quality from the front end by tightening our focus on early bucket collection discipline and resolution intensity.

We are pleased with the pronounced improvement visible this quarter. Our 1+ DPD is at 4.7%, down 60 bps sequentially. 30 + DPD improved to 3.2%, down by 50 bps sequentially. Stage 2 reduced by 30 bps to 1.4%. Gr oss Stage 3 improved to 1.8%, down by 20 bps q-o-q.

Early indicators from April demonstrate good collection outcomes compared to the same month in previous years. Fresh slippage % is lower than what was seen in April 2025 as well as April 2024.

We have not yet observed any significant impact from the ongoing war in the Middle East.

Let me now touch upon state -wise trends. To start with, all senior leadership positions in the branch network have been filled across all states and are now fully focused on deli vering strong results in this financial year. Gujarat, MP, and Rajasthan are showing healthy growth and stable asset quality . Maharashtra has regained strong momentum, particularly in Mumbai and Pune, reflected in the robust AUM trajectory. All the souther n states are on track for strong growth in this financial year, including Tamil Nadu and Karnataka. Also, the e-Khata issue is mostly behind us. In UP, the team is being built, and we are preparing a strong base for FY28.

Technology remains one of the key differentiators of Home first. It is central to how we source, underwrite, service, and scale the business. Home first’s deep-rooted digital DNA built consistently since inception has created a strong foundation for accelerated AI adoption across the value c hain. This digital -first approach has also given us clean, structured data assets stretching back to day one of the company, providing the high -quality training ground that modern AI systems demand.Our AI strategy is anchored on 3 outcomes , elevating custo mer experience, enhancing employee productivity, and driving structural cost efficiencies. In line with this framework, we have already operationalized proprietary AI agents for income assessment and contextual bank statement analysis.Parallelly, AI -led in terventions in lead qualification, legal and technical evaluation, and bureau analysis are currently in pilot and will progressively move to production as we scale our intelligent underwriting stack.

On sustainability, our green homes initiative continues to make progress. We certified 140additional homes during the quarter, taking the cumulative total to 450 as of March 2026.

As we look ahead, we are entering FY27 from a position of strength. Growth mom entum is healthy. Asset quality is improving. Margins remain robust. The balance sheet is strong, and the investments we are making in distribution, people, and technology are intended to support durable growth, not just near -term growth.

Based on where w e are today, we are positioned to deliver around 25% year -on-year AUM growth. Our focus remains clear , grow with discipline , protect portfolio quality, improve productivity, and deepen our customer franchise, and continue delivering strong and sustainable profitability.

With that, I now hand it over to Nutan to take you through the financial performance in more detail. Over to you, Nutan.

Nutan Gaba Patwari: Thank you, Manoj, and good afternoon, everyone. I will take you through the key financial highlight s for the quarter and the full year.

Let us start with the income statement.

Total income for the quarter stood at INR505 crores, up by 21.3% Y -o-Y and 4.4% q-o-q.-on-quarter. Specifically, the interest on term loans went up from INR406 crores in Q3 to INR412 crores in Q4, presenting 1.6% q-o-q increase . As against average principal outstanding growth of 5.5% on a q-o-q basis ,in the interest income on term loans 2 lesser days in the quarter (Q4 Vs Q3) impacted 2.2%, 10 bps PLR cut impacted by 80 bps, and origination yields had an impact of another 80 bps.

Portfolio yields, excluding co -lending, stood at 13.2%, while disbursal yields for the quarter stood at 13%, reflecting continued pricing discipline and healthy customer acquisition quality.

On the liability side, through proactive borrowing mix management, we were able to contract our cost of borrowing, excluding co -lending, by 10 basis points to 7.9%. Incremental borrowing costs d

uring the quar ter remained favourable at around 7.6%, which gives us confidence in the resilience of our spread profile. As a result, our spread, excluding co -lending, remained healthy at 5.3%.

Yields have to be looked at a portfolio level, and we run a 100% floating asset book, allowing us the ability to reprice as the cost of borrowing moves. This is an essential element of our financial strategy to not carry any interest rate risk on our balance sheet. Our aim remains to deliver a spread at a portfolio level in our guided range of 5% to 5.25%.

Net interest margin for Q4 stood at 5.9%, while there was a modest sequential compression of 10bps, NIM remains robust and continues to reflect the strength of our business model. For FY26 , NIM stood around 5.7%.

Moving to ope rating efficiency.

It remains strong. Cost -to-income for Q4 was 32%, improving 10 bps sequentially. For FY26 , the cost-to-income stood at 32.5%, an improvement of 330 bps y -o-y.. This is particularly encouraging because it comes alongside continued investments in distribution, headcount, and technology.

As a reminder, the full year opex includes a one -time gratuity provision of INR3.3 crores recorded earlier in Q3FY26 , arising from the implementation of the new labour Code . Operating cost to assets was 2.7% for the quarter as well as for the full year. As we continue to invest for growth, we expect this ratio to remain broadly range -bound within 2.6% to 2.7%.

Pre-provision operating profit in Q4 stood at INR212 crores, up by 44.9% y-o-y. This reflects the operating leverage inherent in the franchise as the book continues to scale. Profit after tax for Q4 stood at INR149 crores, up by 42.7% y-o-y and 6.6% q-o-q. For FY26 , profit after tax stood at INR540 crores, representing 41.4% y-o-y growth , return on assets of 3.9 % and return on equity of 15.7%.

Following the INR1,250 crores QIP completed earlier in Apr ’25, our balance sheet remains very

well capitalized. On a pre -money basis, adjusted ROE for FY26 stood at 16.8%.
Moving on to provisions and asset quality .
Credit cost for Q4 and the year stood at 40 bps. Provision on Stage 3 assets was increased to 24% as of Mar'26 from 22% in Dec'25. We continue to follow a conservative provisioning approach and maintain overlays above ECL requirements. As of Mar '26, our total provision coverage ratio stood at 44.9%. We believe this reflects the prudence with which we manage the balance sheet while preserving adequat e flexibility for growth.
Now coming to borrowings and liability profile .
Our funding profile continues to be well diversified and cost -effective. As of Mar'26, 59% of funding came from private and public banks, 15% from NHB, 20% from assignment and co -lending, the balance from NCDs, ECBs, and NBFCs.
During Q4, we executed direct assignment transaction of INR264 crores. In co -lending , disbursement for FY26 doubled, rising from INR153 crores in FY25 to INR307 crores in FY26 .
The co -lending book grew to INR593 crores and now represents 3.7% of AUM.
In FY27 , we will continue to scale the co -lending business by further strengthening the enabling infrastructure. This product line provides an opportunity to serve a wider customer base , while driving enhanced productivity and returns.
Coming to capital adequacy and liquidity.
As of Mar '26, our Capital to risk-weighted asset s ratio (CRAR) stood at 44.1% with Tier I at 43.8%.As of Mar '25, prior to Apr '25 QIP, our capital adequacy stood at 32.8% with Tier I at 32.5%. Our net worth stood at INR4,357 crores, and the book value per share is INR418 as of Mar'26. This positions us well to continue investing in growth while maintaining a disciplined risk framework.
With that, we c

onclude our opening remarks and are now happy to take your questions.
Moderator: Thank you very much. The first question is from the line of Abhijit Tibrewal from Motilal Oswal. Please go ahead.
Abhijit Tibrewal: Yes. Thank you for taking my questions. Am I audible?

Manoj Viswanathan : Yes, Abhijit.
Moderator: Yes, sir.
Abhijit Tibrewal: Thank you. Manoj, two questions. One is, maybe near-term, what we have seen over the last one year. And then maybe I'll move to the second question. But the first question is more around, if you look at this financial year, which we just ended, the first part of the year was a little bit about weakness both in terms of demand as well as, I would say, asset quality. And then when we move to the third quarter, we saw some semblance of stability coming in.
And then fourth quarter, obviously, we have ended on a high note, whether we look at the disbursement momentum, whether we look at the improvement in asset quality that we have reported. So, just trying to un derstand the first half weakness, which was there, was that more demand -led? And are you seeing demand improv ing now as you've exited Q4 on a high note
That is the first part of the question.
And the other thing is, you'll remember first half of this fisc al year, we also spoke about weakness in asset quality, predominantly part of it coming from some impact of U.S. tariffs.
How is credit trending now is something I wanted to understand. I remember you saying in your opening remarks that Apr'26 was better t han Apr'25 and Apr'24. But just trying to understand how are these 2 things, demand and credit trending right now?
Manoj Viswanathan: Yes. So, looking at the first half, so there were two or three things that were happening simultaneously. One was that we were just coming out of the whole overhang of the credit issue.
So the delinquencies were elevated and the collection was a bit difficult , also impacted by tariffs etc..
There was a bit of sluggishness in demand as well at that point in tim e. And we were also internally going through some issues. Some of the locations were not staffed properly. There was some attrition and so on. So, all of these things were happening simultaneously at that point, and hence, a little bit of weakness or slugg ishness.
As the year progressed, some of the external factors got resolved, and then the internal factors also got resolved. We started filling up all the positions. We rebuilt the teams. And simultaneously , the external factors got resolved to some exten t. So the credit weakness started coming down, collections started improving.
The tariff issue was also kind of put to rest at some point. And the demand also started improving from October onwards . So all these things kind of came together in the last two quarters and th at helped us deliver these good results.
Abhijit Tibrewal: Got it, Manoj. And then the last question that I had was a little bit, I would say, a medium -term

strategy. I remember you saying in your opening remarks that we are entering FY27 from a position of strength. You also acknowledged that there were some internal challenges as well last year in terms of staffing, which you acknowledge has now been resolved.

So, if you could just articulate how should we look at maybe the next two to three years? You did mention that we'll be looking to grow our AUM at 25% this year. So, what all changes have you made this year that are giving us confidence that we'll be able to sustain that 25% growth? And then, if you could also talk about how, you a re looking at your distribution, your expansion into newer states, or rather, deepening into newer states? Just those two-three points if you can

cover.
Manoj Viswanathan: Yes. So one is the teams being rebuilt, and all senior leadership positions being fi lled across the country. I think that is the big positive with which we are entering this year. We have now the teams on the ground fully focused on delivering the results for the year. We are not distracted with any positions to be filled or any attrition , and so on and so forth. So that is the big positive starting point.
Second is that we have further improved our value proposition to the distribution channels in terms of turnaround times , in terms of the wide bouquet of products that we are able to off er. So there, the co -lending also comes into play , where we are going to a connector or to any distribution channel, we are able to offer them a larger bouquet of products where they can address a larger number of customers. It's a wider target market that they can address. That is being well recognized by the channels . You would see that there's a big jump in the number of connectors as well in the last quarter. So that is another big positive that we are entering with.
So all of th ese and the other important development is our huge success that we have got in places like Mumbai and Pune, which were traditionally seen as formal markets and where only the banks could operate. So we have really turned around and created a huge success in some of these m arkets .
All of these things give us the confidence that the next two to three years, we are on a very strong growth trajectory. We have understood the kind of value proposition the market wants. We are able to deliver that and exceed the expectations of t he channels. So that's what gives us the confidence that this year, definitely 25% AUM growth we can deliver. And if everything goes well, we should be able to continue that trend over the next couple of years as well.
Abhijit Tibrewal: Got it. Thank you s o much, Manoj. That answer s my questions and I wish you and your team the very best.
Moderator: Thank you. T he next question is from the line of Prashant Kothari from Pictet. Please go ahead. Mr. Kothari, your line is unmuted. Yes, please go ahead , sir.
Prashant Kothari : Hello. Two quick questions from my end. The first one would be that you mentioned that you're on track for growth in the Southern states in FY27 . I just wanted to check how did our market share move d in, say, Karnataka and Tamil Nadu in FY26? And are there any specific competitors growing aggressively in these regions? That would be my first question. I'll come back with the second.
Manoj Viswanathan: Sure. So, market share in Tamil Nadu was not very strong to start with. And it would have further dropped a little bit in this last year because the growth was very muted in Tamil Nadu. But we

will hopefully be able to make it up in the coming couple of years , because now the base is ready and the teams are there. So we should be able to catch up as far as Tamil Nadu is concerned.
In Karnataka, it has been a fairly steady growth, except for a minor blip we had for one or two quarters because of the e-khata issue. Otherwise, we would have sustained our market share in Karnataka.
Prashant Kothar i: Got it, got it. And any specific competitors that you are sort of looking out for there or growing aggressively in the Southern states?
Manoj Viswanathan: No new names as such. Set of existing players, so depending on the season, depending on the year, there are some players who are more active. So nothing significant to report in terms of new competition.
Prashant Kothari : Got it. My next question is, how do we think about risk -adjusted yields when, say, compared to other pure play affordable housing finance players? Do we look at that? And then if so, what's the thinking there?
Manoj Viswanathan: On yields, our thinking is that

we are offering a wide bouquet of products. Starting from INR5
lakh ticket size to a INR40 lakh ticket size. And we also do l oan against property. So the idea is to provide a blended yield, or rather to deliver a spread of around 5 % to 5.25%. If the borrowing cost drops further from here, then there will be a corresponding decline in the yields .
But overall, we are looking to m aintain a spread of 5 % to 5.25%. That is what we are looking to do. We will do that by using this whole blend of products. So there will be LAP on one side, maybe to the extent of 20%. There are smaller ticket loans, which will deliver slightly higher yields. And then we have slightly higher ticket loans.
And then, we also have co-lending, which is yield agnostic because we are anyway getting an effective spread of about 5 %, So, the idea is to sustain the profit and deliver a respectable or the promised ROE that we have committed to.
Prashant Kothari : Helpful. I was seeing more around sort of risk-adjusted yield . So if we look at, say, the yield and take out the credit cost, how do we think about that on a portfolio basis on different segments, say, differen t states? And then how does it compare to our peers?
Manoj Viswanathan: It would be in certain segments similar to peers. It also depends upon the kind of markets etc, we are comparing. So some of our peers operate in more rural or semi -rural markets wher e the yields would probably be higher. Also, in some cases, they operate in LAP, and they have a higher proportion of LAP and micro -LAP segments, so the yields are again higher.
In comparable products, the yields will be largely comparable. It's not going to be very different. Just to give you a range, we operate in a yield range of between, say, 12% to about 14%. So ticket size is one axis. And the other is the nature of the product, which is whether it's a LAP or a housing loan. So, 12% to 14% is general ly the range in which we operate. It doesn't vary beyond that.

Prashant Kothari : Got it . And then just on that, on the LAP segment compared to the home loan segment, are the yields higher, and then is the credit cost comparable, or let's say, i s it very different?
Manoj Viswanathan: See, credit costs also don't fluctuate a lot. We are talking about the overall credit cost of 40 basis points for the year. I mean the range will be between , say, 20bps to 60bps. So we are not operating a product where the cr edit cost is substantially higher and we are just deliver ing a higher yield , because that is not our strategy.
Prashant Kothari : Got it. For LAP, also, it will be in the same range, right?
Manoj Viswanathan: LAP also will be in the same range, correct.
Prashant Kothari : Got it. But yield will be higher. Is that correct?
Manoj Viswanathan: Yes. The yield is higher. So again, we are not operating in the very high -yielding LAP category. Our LAP yields are also in the, say, 14%, 14.5% range.
Prashant Kothari : Got it , got it. Helpful. Thank you so much.
Moderator: Thank you. Our next question is from the line of Shreepal Doshi from Equirus. Please go ahead.
Shreepal Doshi: Hi sir. Thank you for giving me the opportunity. My question is pertain ing to PLR. So we h ave taken a 10bps PLR cut last quarter. Now with rates likely to go up, systemic rates likely to go up, would we make any adjustment there? Or would we continue with our pricing strategy that we have as of today?
Nutan Gaba Patwari: Shreepal, we will wait for the repo hike, if at all, they were to happen in the later part of the year. We will also have to watch out how banks are repricing from the MCLR line. And only if we need, we will make the decision to hike. As I explained in my opening remarks, we hav e a fully floating book.
And our history also has indicated that we have the capability to increase r

ates as well as reduce
rates. And so we will take a call based on as and when the hike comes through. In the next one quarter, we are not seeing that as a possibility. In fact, I would say we should be able to maintain our cost of borrowing in Q1’27 at around the levels of last quarter.
Shreepal Doshi: Got it. My second question was on branch expansion. So I was looking at the disbursement upon branch number, and it's already close r to INR30crs per branch. And this is really at a peak level. So what is our branch expansion strategy? Where do you see the disburse ment per branch as a run rate? And also wanted to understand which locations we would add branches to? And what is the number of branches or percentage of branches with disbursement per branch below INR10 crores?
Manoj Viswanathan: So generally, our strate gy to put up a branch is only if the branch has the potential to reach this average branch disbur sal potential, which is INR2 crores to INR3 crores a month. So we would

typically not put a branch where the potential is only INR1 crore s a month. So th ere we would just operate as a touch point or a satellite location.

Our branch strategy is to add about 30 to 40 branches every year. So that is what we are planning. And productivity of the branc h, obviously the disposal for branch should keep inching up, y ou know, as we scale up. That has always been the principle under which we are operating. So productivity of the branch and overall AUM per branch, disbursal per branch, and AUM per employee should keep on going up.

Shreepal Doshi: Okay. But sir then, wher e I'm coming from is that while we focus on business, our employees at the branch level is responsible for collections as well. So in that case, the AUM per employee continues to inch up . In that case are we planning to create a bandwidth for buckets like , let's say, 31 to 60 and 60 to 90 with additional bandwidth there ?

Manoj Viswanathan: No. So, how we facilitate this increase in productivity is only through technology and tools which are made available to the employees. So the idea is to take away the ti me they are spending in mundane tasks and just focus their attention more on customer -facing activities . So originating leads, closing the transaction with the customer and collecting from more difficult customers. These are the key front facing or the cu stomer facing activities that we want to spend the time of the front -end teams on. So if they are spending time on any other activity like making receipts or you know, updating records, things like that, so those we continue to keep observing and automating those activities.

Shreepal Doshi: Got it. Sir, just two follow -ups here. One was that in terms of AUM per branch, if you could highlight number of branches or percentage of branches with, let's say, AUM per branch having below INR10 crore s sort of a number ? And the second question was where would we plan to add these 30 to 40 branches in incoming year? Thank you.

Manoj Viswanathan: So 30 to 40 branches would be broad -based. We are not really targeting a specific state as such . We are looking at a two-pronged strategy. There will be a few additions in new locations or new cities that we have identified across various states. And a lot of addition will also be in existing cities where we are increasing the density of the branches.

So larger cities w here we have a few branches, we would be increasing the number of branches in the larger cities to improve our distribution and access to the customer. It's going to be a two - pronged strategy. Number of branches which are less than INR10 crores would be very small. Maybe 10 odd branches.

Shreepal Doshi: INR10 crores to INR50 crores.

Manoj Viswanathan: Less than INR50 crores you are talking

about ?

Shreepal Doshi: Yes, sir.

Manoj Viswanathan: Less than INR50 crores will be about 50 bra nches.

Shreepal Doshi: Got it. Thank you so much for answering my questions. Good luck for the next quarter.

Moderator: Thank you. Our next question is from the line of Kunal Shah from Citigroup. Please go ahead.

Kunal Shah: Thanks for taking the questio n. So, not sure if the co -lending piece got addressed. So this quarter, it was low. How much time would it take to rectify this and again scale it up? I understand that the regulatory changes have led to this. But it is addressed to a larger extent and whe n should we again start seeing a pickup in this?

Manoj Viswanathan: It should get addressed this quarter. Some progress has been made in the first month of April. And by the end of May, hopefully, all the issues should get addressed. So I think June should be a normal month.

Kunal Shah: Okay. So thereafter, the run rate of co -lending would be similar or maybe better than what we saw last year?

Manoj Viswanathan: That's right.

Kunal Shah: And secondly, in terms of the bounce rates, we have heard from many that the bounce rates have been better in April than those of March. But I hear you mentioned that at least it's better than that of April of the previous year. But how has it been trending and is it showing any sign of worry in any of the pockets because of the macroeconomic factors at this point in time?

Manoj Viswanathan: No. As of now, there is absolutely no visible impact. I mean there are sporadic anecdotal discussions going on, but really nothing that we are seeing at a central level in terms of a vi sible impact from this whole Middle East issue.

Kunal Shah: Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Gaurav Khandelwal from JP Morgan. Please go ahead.

Gaurav Khandelwal: Hi, good afternoon. Thanks for taking th e questions. My first question is on the sourcing rate. Is the 13% number average for the quarter or is that the exit sourcing rate?

Nutan Gaba Patwari: Average for the quarter.

Gaurav Khandelwal: And where are we at the quarter -end, the exit rates?
Nutan Gaba Patwari: It's similar, Gaurav. It doesn't vary month -to-month. So, probably it will be 2 bps plus or 2 bps minus that will be range.
Manoj Viswanathan: The pricing is largely centrally driven in our case. So it's all algorithm based . The loan applicatio ns get locked in and there is a risk -adjusted rate that gets generated and communicated to the customer and there is a little bit of a cushion for negotiating that is left. So this is a process we have been following since several years. So generally, ther e will not be a month -to-month variation once we have fixed a certain rate.

Gaurav Khandelwal: Got it. Thanks. That's very helpful. Second question is are you seeing more competition in your product segments, your ticket sizes by the larger housing finance companies of f late, the competition is always high, but any new incremental there?
Manoj Viswanathan: Nothing new as such to report, frankly. It's always up and down depending upon the month or season. But otherwise, there is nothing as such new or signif icant to report.
Gaurav Khandelwal: Got it. The place where I'm coming from is effectively all of these large HFCs are losing out to the big banks in terms of the prime loans and hence based on my discussions with some of these, they are trying to target s ome of the ZIP codes where you excel in and hence the question?
Manoj Viswanathan: Yes. But there is nothing significant that we have seen or any new activity that we have seen as of now.
Gaurav Khandelwal: Got it. No worries. Thank you so much.
Moderator: Thank you. The next question is from the line

of Jyoti Khatri from Ambit Wealth. Please go ahead.
Jyoti Khatri: Yes. Thanks for taking my question. One was with respect to the ticket size of the loans. This quarter around, we are seeing higher growth com ing in from the high -ticket -size loans, from INR15 lakhs to INR20 lakhs and INR20 lakhs to INR25 lakhs ticket size. So what's the outlook there? So assume that this run rate continues, will it exert some pressure on the margin side, because I assume that e ven in the high -ticket -size loans, competition is relatively higher and therefore margin pressure too? So what is the outlook there?
Manoj Viswanathan: As we have been saying since last couple of years, there is a customer segment, the same customer who us ed to purchase a smaller house or a lower -ticket -size property earlier, is migrating upwards. But his or her challenges continue to remain the same in terms of difficulty in getting loans from the larger lenders.
So we are not targeting a more premium cus tomer as such. It's the same customer we are targeting. It's just that the requirements have gone up. The size of the price and price of houses have gone up. So which is why you're seeing if you look at there has been an increase in the ticket size, but yo u are not seeing such an impact on the yield. We are still reporting an origination yield of 13% and th e slight drop is largely also because of the drop in borrowing cost.
So adjusted for borrowing cost there is actually no decline in yields at all. The r eason is that we are addressing the same customer and the customer is willing to pay that premium for us to solve this problem. So, 5 years down the line, we will probably be talking about an INR40 lakh ticket size. But the customer segment is going to rem ain the same. The challenges are going to remain the same. And obviously, then the yields will also be the same.
Jyoti Khatri: Fine. And second thing is on the fact that over the last 3 months, we have seen interest rates hardening. Do you foresee , althoug h your incremental cost of borrowing has come down and

your guidance sustains 5% to 5.25% margins. Do you feel that this might continue in FY27 as well, given that the interest rates have hardened in Q4?
Nutan Gaba Patwari: So let me take it in two parts. Q1, we have enough visibility to ensure that the cost of borrowing is, by and large, in the same range. For the rest of the year, we will have to see how the actual pricing moves in the market. And based on that, we will have to decide to reprice the custo mers or not to reprice. That decision is not available today. We are very confident of maintaining the spread above 5%, which is in our guidance range of 5 % to 5.25%.
Jyoti Khatri: Thank you. Thanks so much.
Moderator: Thank you. The next question is from the line of Kushan Parikh from Morgan Stanley. Please go ahead.
Kushan Parikh: Thanks for taking my question. Just wanted to understand how you are seeing asset quality on

the ground in the month of April and I mean what is your assessment for the year? An d also, what is your guidance on the credit cost side? Lastly, one specific question around collections. I mean, peers have been highlighting some collection issues in the state of Karnataka. I just wanted to get your assessment. Yes, those are my question s?

Manoj Viswanathan: So asset quality -wise, as I mentioned April experience has been good and it's been better than the last 2 years. So, it gives us a lot of confidence in terms of how it's going to pan out for the rest of the year, because if you remember last year April was much worse than March. But this year, we have not seen that. I mean, it's been much better than the last 2 years.

And overall, for the coming year we feel that, if this is a kind of indicator, it should be good. The credit quality experience should be good for this year. We

don't have any issues as far as Karnataka is concerned. Generally, our portfolio quality has been extremely good there and we are not seeing anything on the ground .

Kushan Parikh: Thanks for that. Just a guidance on credit cost for the next year?

Manoj Viswanathan: Guidance on the c redit cost is the same . 30bps to 40 bps.

Kushan Parikh: Got it. Those were my questions. Thank you.

Moderator: Thank you. The next quest ion is from the line of Meghna Luthra from Incred Equities. Please go ahead.

Meghna Luthra: Yes. Thank you sir for the opportunity.

Moderator: I'm sorry, ma’am your line is not audible. Could you repeat.

Meghna Luthra: Thank you for the opportunity for t he question. I had one quick question , what has changed on the sourcing strategy in Pune and Mumbai . And any plan to replicate the same in some other locations?

Manoj Viswanathan: Yes. So, Mumbai -Pune are more formal apartment markets, where the sourcing largely comes from the developers who are building housing projects. We have developed a good strategy to kind of tap into that market and get leads from there. We already had a good, similar you can say, sourcing structure in places like Ahmedabad, Surat , etc., which are large developer -led markets. So we've managed to replicate that well in places like Mumbai and Pune, where banks used to be much stronger in these markets. So we have been able to kind of penetrate that. So that is the main difference in the sourcing strategy.

Meghna Luthra: Can we get some more colour on how ? I mean builders have already been there in Mumbai and it has been performing as a good market since, I think, many quarters. So what is this that happened during the quarter? If you can give some more colour to that?

Manoj Viswanathan: No, not specifically with respect to the previous quarter. I mean, Mumbai -Pune , you can say transition has been taking place over the last almost 18 to 24 months. It's just that it's become much l arger now. So we started this transformation about 24 months ago and entering these developers, entering into the developer segment and sourcing customers from there. It's just that it has become much larger now and it's really taking off. This transformat ion started some time ago.

Meghna Luthra: And we plan to replicate this in Bangalore, Delhi, Hyderabad?

Manoj Viswanathan: Sorry, can you just repeat that?

Meghna Luthra: Do we plan to replicate this in Bangalore, Delhi and Hyderabad? Are we going to see h igher flows from the bigger cities?

Manoj Viswanathan: Yes, to some extent. But if you compare Mumbai and Pune with, say the other cities that you are talking about , those are more individual housing markets as far as affordable housing is concerned. But y es, some part of our Mumbai -Pune strategy will be replicated in those markets.

Meghna Luthra: And lastly, is it fair to assume that the co -lending and DA book is largely the large ticket, high ticket AUM that we have?

Manoj Viswanathan: A large part of it is, yes. So, co -lending is largely INR20 lakhs plus. So INR20 lakhs to INR40 lakhs is where we do co -lending. So a large part of the higher ticket is co -lending.

Meghna Luthra: Got it. Thank you so much.

Moderator: Thank you. The next question is from the line of Suraj Das from Sundaram Mutual Fund. Please go ahead.

Suraj Das: Hi, thanks ma’am. Two questions. First, if I look at the number of employees per branch, it has steadily increased, let us say, from 9 in FY23 to almost 11 now. Do you believe further strengthening of the manpower will be required given probably the higher attrition in the sector and also the competitive intensity in the sector? This number can go up further. What is your opinion on that? So that is point one.

Sec

ond question on this origination yield, I mean, looking beyond the quarterly movements, you have taken a 35 -basis -point PLR increase in FY25, still the yields remain broadly flat on FY 25 versus FY 24 .. Now, over the past few quarters, the origination yields are coming down and then you have also taken a PLR cut. So over the next couple of years, do you think yield could remain under pressure given the competitive intensity to sustain growth?

Manoj Viswa nathan: Okay. So, on the first question, as far as the number of employees per branch is concerned, there will be some fluctuation. So, for example, if we add another, let's say, 30 branches next year, that number can maybe come down for a couple of quarte rs and then again pick up. But broadly, it will be in that 9 to 10 -11 range. It's not going to substantially jump up.

It will only gradually move up as the company scales up. So maybe 2 to 3 years down the line, that number can be a higher number. But oth erwise, broadly, it will range bound in that 9 to 12 number. As far as the yields are concerned, I want to just draw your attention to the spread. So we have been able to maintain the spread. So if you see the last three -four quarters, 5.2%, 5.3% that we h ave been talking about, we have been able to maintain th at spread.

So that is the number that we are trying to anchor to. So if the borrowing cost reduces, then we will pass on some of that to customers and the yield reduces, but we are still able to main tain the spread. And our increase in the LAP ratio is not very substantial. So we have always been in that 14%, 15% range. It's just maybe a 1% increase, which does not move the needle much.

So broadly we are operating in that 5% to 5.2 5% spread kind of a construct, depending upon whatever the borrowing cost is at that point in time and we run a fully floating -rate book. So we will ensure that we maintain that 5% to 5.2 5% spread. So we either pass on the benefit to the customer, or if there is an increase, then we pass that increase to the customer.

Nutan Gaba Patwari: Suraj, just one additional point. You referred to FY24 versus FY25. What we had done essentially was that we were looking forward to the cost of borrowing hike that was coming our way, and we had led with the price increase at that point in time, which led to a slightly higher spread. And even if you go back to that year, our guidance has always remained spre ad in 5% to 5.25% range . We enjoyed a higher spread for a shorter period. And in our conversations, we've always been guiding to this product mix that we are broadening now and we will stick to our spread guidance for some time to come.

Suraj Das: Okay. Su re. ma'am. Thanks sir. That's it from my side.

Moderator: Thank you. The next question is from the line of Aravind Ravichandran from Sundaram Alternatives. Please go ahead.

Aravind Ravichandran: Thank you so much for the opportunity. My question was on the similar lines of Suraj, but let us say do we really see the need to cut PLR further at least in the short term if the borrowing rates especially the incremental borrowing rates are broadly stable vis -a-vis the book?

Nutan Gaba Patwari: Not at the moment. We have already done with the 10 basis points in January. So we will want to stay put for now.

Aravind Ravichandran: And this PLR cut , is it effective for the entire book and is it transmitted over time .,

Manoj Viswanathan: PLR cut has to get transmitte d to the entire book.

Aravind Ravichandran: Yes. Okay. Sure.

Moderator: Thank you. The next question is from the line of Nischint Chawathe from Kotak Institutional Equities. Please go ahead.

Nischint Chawathe: Hi, thanks for taking my question. If I look at the AUM growth trajectory, we've come down from around 30% to around 25% -odd. What gives us conviction and confidence that

you will

sustain this trajectory? Are we actively going to shift into segments or is it the same segment that we pursue? Are th ere liability -side tailwinds? What is it that gives you this conviction that this 25% will kind of remain here and not further taper down?

Manoj Viswanathan: So one is the organizational distribution strength that we have built in terms of our connect or netwo rk, branches, distribution, RMs etc, that we have across the country. Last year for a couple of quarters, we were still in the process of rebuilding that. But now we have completed that process and our delivery of the last two quarters gives us the confide nce that yes, this is a good formula to kind of use or keep building on.

And that is what gives us the confidence that we should be able to do this 25% growth. So as far as FY27 is concerned, our exit momentum, our continued disbursal in April, that's wha t gives us the confidence to project that number for FY27. And beyond that, hopefully, whatever good work we do this year in terms of building distribution and team etc, should help us to keep going

with the same momentum for the next couple of years.
Nischint Chawathe: Okay. Let me be a little more specific. See, if I look at your loan book growth in the last year and loan growth accretion, almost one -third of the incremental loan growth comes in from ticket sizes above INR25 lakhs. I think you rightly men tioned that loans above INR20 lakhs are largely kind of co -originated?
So is this kind of a strategy? How much is the funding cost differential between your balance sheet borrowings and co -lending, or basically on co -lending and yield differential above I NR25 lakhs? Is this really the way forward in terms of slowly reducing the gap between us and maybe the target segment of larger housing finance companies?
Manoj Viswanathan: So co -lending is one way to bridge that gap. And we are using it more as a produc tivity enhancement tool. So when our distribution comes across a customer who is, let's say, a formal customer and who can get a loan from a bank, we push it through the co -lending channel. In the normal course, we are sourcing customers who are from the i nformal segment and that gets booked as a normal regular Home first customer.
So it's just a way to increase the target market, offer a better proposition to our channels and increase the productivity of the team. So that is the strategy behind co -lending. But having said that, at the moment, it is only about 4% of our AUM and about maybe 10% of our originations.

So a good part of the INR20 lakh -plus is also coming as regular customers, which, as I said, is where there is an increase in ticket size. So same customer segment who are from the informal segment, but with a larger ticket size, also forms a part of the INR20 lakh -plus cohort.
Nischint Chawathe: What is the difference in cost of funding between co -lending and balance sheet borrowings?
Nutan Gaba Pa twari: Very similar, Nischint. I mean, it depends from bank to bank, but the range will be less than 20bps.
Nischint Chawathe: And how much is the catch -up between you and, let's say, the larger housing finance, the AAA rated housing finance companies in cost of funding?
Nutan Gaba Patwari: Cost of funding difference will be 40 bps or at best 50 bps, not more than that.
Nischint Chawathe: So just as these companies have a strategy of having a small affordable housing book, you can probably also have a strate gy of having a small prime book.
Nutan Gaba Patwari: No, I think I want to come in here and address it, it's not prime. The customer segment is the same. There is inflation, which is causing the ticket size to rise. There is lack of documentation in these borrower segments. Otherwise, we wouldn't have been able to deliver the yields. We are not targeting a prime

book. I think it's very important to differentiate that.
Manoj Viswanathan: The prime customer would see a rate in today's market between 7.25% to 8%. He is not going to pay a penny above 8 % today . So that is not the customer we are targeting. I mean, we cannot offer 8% even in co -lending. Rates we are offering in co -lending is anywhere between 8% to 10%.
So these are the customers who have some formal sources of income etc, but who are willing to pay us that premium. So that is the co -lending portion. And then we also have, in the same cohort, customers who are affordable housing customers who have informal incomes and who are willing to pay us t he rate, which is, say, 12.5% or 13%. Earlier, the ticket size used to be lower. I mean, they would have bought a smaller house, but now they are going for a larger house. Their incomes have gone up. And hence, they are looking to take a larger ticket hous ing loan. That's the only difference.
Nischint Chawathe: Just one last one. In markets like Mumbai and Delhi, the properties would be similar to those of the prime segment, but just that the customer segment would be different looking at?
Manoj Viswanathan: Yes. Absolutely right. So if you see Mumbai and Pune, as I was mentioning, always the mainstay of large banks. So these are projects, which are all RERA -approved projects. Most of the banks operate in these projects. So they would take away ~90% of the customers who have formal incomes and documentation and so on.
But there are always 10 customers who are left, who have informal income, who struggle to get loans from the banks. But they are purchasing properties in the same projects. And thes e are all

from the deep suburbs. We are talking about Kalyan, Ambernath, Badlapur, Palghar these kind of places.
Nischint Chawathe: Got it. Thank you very much for answering all the questions and all the best.
Moderator: Thank you. The next question is fr om the line of Shubhranshu Mishra from Phillip Capital.

Please go ahead.
Shubhranshu Mishra: Hi, good evening. Thank you for the opportunity. Sir, just wanted to understand this growth that we are forecasting, what proportion would come from home loans and what proportion would be from LAP? And how do we think of the demand with the West Asia crisis? Is it going to have a dip in terms of the down payment capabilities? Any kind of uptick that we are seeing in demand may be because of the PMAY or is it a very stringent PMAY this time around? So I just wanted to pick your brains on these aspects .
Manoj Viswanathan: Yes. So our mix is likely to remain the same. We are looking at somewhere between 15% to 20% loan against property. We are somewhere in the middle o f that 16% or 17%. So the ratio of housing to LAP will broadly remain in the same ballpark, which is about 80% -20%. So 80% housing and 20% loan against property. So that will be the mix.
As far as the West Asia crisis is concerned, at the moment, we are n ot seeing any impact on the demand. So hopefully, it should be behind us soon and things will move ahead. So as of now, we are not seeing any drop in demand. April has also been fairly good.
Shubhranshu Mishra: On PMAY 2.0, i s it a more stringent policy t han the previous one? Are we seeing any kind of throughput increase because of that?
Manoj Viswanathan: Yes. So, I mean, it has a slightly more elaborate process. But I think some of the teething issues are getting addressed and we should see good traction this year in terms of transmitting the benefit to a larger number of customers. In terms of generating new demand, it probably does not have that kind of impact, but maybe gradually it will pick up. As more customers get the benefit of the scheme, it will kind of pull in more customers.
Shubhranshu Mishra: Got it. And just one last question in terms of data keeping. W

hat is the differential between the home loan and the LAP product at the blended level?
Manoj Viswanathan: The yield difference ?
Shubhranshu Mishra: Yes, the Yield differential?
Manoj Viswanathan: 100 to 150 basis points.
Shubhranshu Mishra: And this would be the same on an APR basis also?
Manoj Viswanathan: Yes, the rate that we are charging, it’s a reducing balance rate. So the APR is almost the same as the interest rate which is charged.

Shubhranshu Mishra: Because the APR calculation also takes into account the fee income. So sometimes the fee income in LAP is slightly more?
Manoj Viswanathan: Very minimal. So those are very minimal. So that's why I said it doesn't move the needle that much. I mean, it would be a 10-basis points difference.
Shubhranshu Mishra: Okay. Thank you so much. These were my questions.
Moderator: Thank you. The next quest ion is from the line of Ravi Kumar Naredi from Naredi Investments. Please go ahead.
Ravi Naredi: Thank you for giving me the opportunity. Sir, how much is write -off of bad debt from the profit and loss account this year and how many units did we auction?
Manoj Viswanathan: Total write -off has been – this year has been about INR36 crores.
Ravi Naredi: Okay. So you think this amount is extraordinarily high?
Manoj Viswanathan: It's the scale of the business is growing. So it's more or less in line with the gro wth in the business.
Ravi Naredi: And how many units we auction?
Manoj Viswanathan: Sir we auctioned anywhere between 50 and 100 units a month. So for the year, it will be around 1,000 units.
Ravi Naredi: And sir AUM growth we achieved between March '23 an d March '26 is 30% CAGR. Same growth can we expect t over next 3 years?
Manoj Viswanathan: So we have guided to a 25% growth, sir.
Ravi Naredi: That I have listened. But can it be 30%, not possible in the current circumstances?
Manoj Viswanathan: At this point, difficult to say, sir.
Ravi Naredi: Okay. Thank you very much and all the best.
Moderator: Thank you. The next question is from the line of Mayank Mistry from Antique Stock Broking. Please go ahead.
Mayank Mistry: Sir, just one question on the connectors. I think there are many players who are increasing the connector fees. Just wanted to know, has there been any higher demand from their side, even in your case? And if you can highlight how the connector fees have moved since the last few years and maybe how they should trend going forward?
Manoj Viswanathan: Yes. So, this is an ongoing negotiation with the connectors. So, any connector, whatever fee structure he is at, if you are going to ask him, he's going to always want a higher fee. So that is

a constant negotiation with them. How we normally address that is by also addressing other issues that the connectors have, which are timely payouts, a wider bouquet of products and faster turnaround.

A faster turnaround to some extent compensates for the higher fees. Because if they're able to turn around one more case or two more loans in a particular month, that more than compensates for the higher commission that they would probably be earning with somebody else.

So that is how we address the commi ssion issue. And if there are specific tactical moves that we need to make in a particular market, we do that. So in a particular location, a particular connector, we need to increase the fees; we do that. But on an overall basis we would have 10 to 15 bas is points movement in the commissions.

Mayank Mistry: So basically, it varies across the connectors and across the geographies?

Manoj Viswanathan: Yes, varies across connectors and geographies, and we also kind of plan it depending upon the connectors' thr oughput, the quality of files and various other metric

s that we track the connectors on.

Mayank Mistry: Okay, sir. Thank you. That was all my questions.

Moderator: Thank you. We have a question from the line of Aditya pal from MSA Capital Partners. Please go ahead.

Adityapal: Yes. Thank you so much for the opportunity. Great set of results and really commendable performance on the asset quality. Just wanted to quickly understand what the issue is with Tamil Nadu and Telangana is. Is it just a human capital issue or is it something else that you're seeing on the ground?

Manoj Viswanathan: No. As we had mentioned, it is, I think, largely to do with internal teams and building the team. But now those things are behind us and we should have a good year as far as Tamil Nadu and Telangana are concerned.

Adityapal: Understood. And the other question is on strategy. So, in your opening remarks, you had said that you have successfully implemented agentic AI, and some piece of work has already been automated. So, how a re we thinking? Will it increase our productivity in terms of growth or will it increase the productivity in terms of opex cost?

Manoj Viswanathan: So as of now can more confidently predict the outcomes on the cost side. It is little more difficult to pred ict what outcomes it will have on the origination side. But eventually, it should have origination outcomes as well. On the cost side, definitely, yes, there will be a strong outcome because of the implementation of AI, because of higher productivity.

As far as new origination are concerned, there are some pilots going on. It could be a more gradual impact over there. I mean, the outcome that we are looking for there is the ability for us to capture loans, which may otherwise get declined on the ground, pr oactively. So that is

something that is going on. If it is successful, of course, it should help us to improve productivity . But that is something difficult to predict at this point.

Adityapal: Understood. That’s all from my side. Wishing you and the entir e team all the very best.

Moderator: Thank you. As there are no further questions from the participants, I now hand the conference over to Mr. Manoj Viswanathan for closing comments. Over to you, sir.

Manoj Viswanathan: Thank you, everyone, for joining us today and for your continued interest in Home first. We hope we were able to address your questions satisfactorily. For any further queries, please feel free to reach out to Sunil Anjana or write to us at investor.relatio ns@homefirstindia.com. Thank you.

Moderator: Thank you. On behalf of Home First Finance Company India Limited, that concludes this conference call. Thank you all for joining us and you may now disconnect your lines. Thank you.